CS EXECUTIVE

# CORPORATE ACCOUNTING

**Comprehensive Curriculum Coverage**
Covers every Concept as per the latest ICSI Syllabus

**Strictly Based on ICSI Modules**
All chapters aligned topic-wise with the official Module Sequence

**Theoretical + Practical Questions**
Includes Past Year Questions, Practice sets & Case-based Questions

## Module 1

# CS EXECUTIVE

# CORPORATE ACCOUNTING

**Comprehensive Curriculum Coverage**
Covers every Concept as per the latest ICSI Syllabus

**Strictly Based on ICSI Modules**
All chapters aligned topic-wise with the official Module Sequence

**Theoretical + Practical Questions**
Includes Past Year Questions, Practice sets & Case-based Questions

## Module 1

**EDITION: First**

**Published By: Physicswallah Limited**

# Physics Wallah Publication

**Mobile App:** Physics Wallah (Available on Play Store)

**Website:** www.pw.live

**Youtube Channel:** Physics Wallah - Alakh Pandey

CS Wallah by PW

Commerce Wallah by PW

**Email:** publication@pw.live

# PREFACE

Corporate Accounting constitutes a core area of the CS Executive curriculum, providing an in-depth understanding of financial reporting and corporate transactions within the regulatory framework. For an aspiring Company Secretary, proficiency in corporate accounting is not only an academic requirement but also a professional imperative, as it underpins compliance, governance, and strategic decision-making in the corporate sector.

This book has been meticulously prepared to assist students in mastering the **Corporate Accounting** syllabus prescribed by the Institute of Company Secretaries of India (ICSI). The content has been systematically structured, beginning with the fundamentals of accounting principles and extending to advanced topics such as issue and redemption of securities, underwriting, buyback of shares, amalgamation, internal reconstruction, and consolidation of financial statements.

Each chapter is designed to ensure conceptual clarity while maintaining a strong examination focus. Practical illustrations, solved examples, and case-based applications have been incorporated to strengthen students' ability to apply theoretical concepts to real-world scenarios. The approach adopted in this book emphasizes not only knowledge acquisition but also the development of analytical and interpretative skills essential for professional practice.

We firmly believe that quality academic resources form the foundation of effective preparation. This book has therefore been designed to serve both as a comprehensive learning companion and a reliable revision aid, enabling students to approach their examinations with confidence and clarity.

We gratefully acknowledge the contribution of subject experts, reviewers, and the academic team whose inputs have enriched the quality of this work. It is our sincere hope that this book will help students build a sound foundation in Corporate Accounting and guide them towards academic excellence and professional success in their journey as Company Secretaries.

# ABOUT THE AUTHOR

Sir **Mr. Rishabh Tyagi**, is an erudite academician and a visionary mentor with over 12 years of exemplary teaching experience in the discipline of Accountancy. Possessing an illustrious academic foundation with degrees in B.Com, M.Com, and B.Ed., each accomplished with meritorious distinction, he epitomizes intellectual excellence combined with pedagogical mastery.

Over the span of his career, he has profoundly influenced the academic journeys of 100,000+ students across both online and offline platforms, making him one of the most impactful educators in his domain. While he commands admiration in teaching Accounts at the Class XI & XII level, his true eminence lies in the arena of Corporate Accounting for ICSI aspirants, where his guidance has consistently translated into exemptions and prestigious All India Ranks (AIRs).

Endearingly addressed as Gabbar Sir, he is renowned for his commanding presence, dynamic instructional style, and uncompromising pursuit of results. His celebrated slogan, #RollaOnTheTop, has become emblematic of the energy, inspiration, and indelible impact of his teaching.

What truly distinguishes him is his innovative pedagogy—a harmonious blend of conceptual precision, practical acumen, creative illustrations, and subtle humour. Even the most abstruse concepts of Corporate Accounting are rendered lucid, engaging, and intellectually stimulating, ensuring that learning is not merely absorbed but deeply experienced.

With an unwavering mission to empower, enlighten, and elevate his students, Mr. Tyagi continues to craft professionals who are not only academically distinguished but also future-ready. His legacy endures in the resounding voices of his students, proudly affirming: “With Gabbar Sir, it’s always #RollaOnTheTop.”

# ACKNOWLEDGEMENT

We extend our sincere gratitude to the subject experts, illustrators, and content development team whose dedication and insight have shaped the quality and depth of this book. Their contributions have been instrumental in crafting a resource that balances academic rigor with practical clarity. We also thank our proofreaders, reviewers, and publishing professionals for their meticulous attention to detail, ensuring that the final work upholds the highest standards of accuracy, coherence, and accessibility.

A special word of thanks to **Miss Tanuja Baghel (Content Professor)** for going above and beyond in contributing her subject expertise, which has added immense value to this book.

This book is the result of a collaborative effort to empower learners and professionals in their pursuit of legal and compliance excellence. It reflects our shared commitment to supporting aspirants as they navigate complex statutory frameworks with confidence and clarity. May this guide serve as a meaningful step toward your success—not only in examinations and practice, but in shaping a more informed and inclusive legal ecosystem.

# CONTENTS

CHAPTER 1

# INTRODUCTION TO ACCOUNTING



## A. INTRODUCTION TO ACCOUNTING — THE LANGUAGE OF BUSINESS

Imagine running a business without knowing whether you're earning or losing money. Imagine trying to explain your business to an investor or the government without having any records or reports. Sounds chaotic, right?

That's where **Accounting** comes in.

Accounting is like the **heartbeat** of a business. It tells you whether your business is healthy, growing, or in trouble. It helps you make informed decisions, stay organized, and adhere to legal rules.

### a. DEFINITION (PROFESSIONAL)

**Accounting** is the systematic process of **identifying**, **recording**, **classifying**, **summarizing**, and **interpreting** financial transactions to provide meaningful financial information to users like owners, managers, investors, creditors, and regulatory authorities.

In simple words, **accounting tells the financial story of a business**.

It shows:

1. How much profit the business earned?
2. How much money it owns (assets)?
3. How much money it owes (liabilities)?
4. Where the money came from and where it was spent?

### b. WHY IS ACCOUNTING IMPORTANT?

1. To **track** every rupee flowing in and out of the business.
2. To **prepare reports** like Profit & Loss Account and Balance Sheet.
3. To **make informed decisions** about growth, investments, and savings.
4. To **comply** with laws (like tax laws, corporate laws, etc.)
5. To **communicate** financial information clearly to all stakeholders.

## B. ACCOUNTING PROCESS – A CREATIVE JOURNEY OF BUSINESS TRANSACTIONS

Let's understand the **accounting process** as a step-by-step journey — like turning raw ingredients (transactions) into a well-cooked meal (financial statements).

We'll use the creative formula:

$$\mathbf{I \rightarrow R \rightarrow C \rightarrow S \rightarrow A \rightarrow I}$$

### a. IDENTIFYING THE TRANSACTIONS

First, we identify **what qualifies as a financial transaction**.

Only those events which can be **measured in terms of money** and have a **financial impact** on the business are recorded.

**Example:**

Paying salary = Yes (It involves money).

Hiring an intern without pay = No (No monetary value involved).

### b. RECORDING THE TRANSACTIONS (JOURNALIZING)

Once identified, the transactions are recorded **chronologically** in a book called the **Journal**.

This step is also known as **Bookkeeping**.

Think of this as **noting every business activity in a diary**, with proper details and dates.

**Purpose:** To keep a **complete and reliable record** of each transaction.

### c. CLASSIFYING THE TRANSACTIONS (LEDGER POSTING)

Now we organize the recorded transactions and **group them account-wise**.

This is done in the **Ledger**, where we prepare different accounts like:

- Sales Account
- Purchase Account
- Cash Account
- Capital Account, etc.

Think of this step like putting all ingredients in the right bowls before cooking.

**Purpose:** To **see the total impact** of a particular item during a period.

### d. SUMMARIZING THE TRANSACTIONS

Once the accounts are classified, we prepare summary reports:

1. **Trial Balance**: To check the mathematical accuracy.
2. **Profit & Loss Account**: To know the business performance (Profit/Loss).
3. **Balance Sheet**: To know the financial position (Assets vs Liabilities).

This step is like **serving the final dish** – well arranged and ready to be judged.

**Purpose:** To give a **clear, summarized view** of business performance and position.

### e. ANALYZING THE RESULTS

We now start **analyzing the data** in Financial Statements:

1. Are profits increasing or decreasing?
2. Is the business financially stable?
3. Are we investing wisely?
4. Are expenses under control?

**Purpose:** To understand **what the numbers are trying to say.**

### f. INTERPRETING AND COMMUNICATING

Finally, the accounting information is **interpreted** and **communicated** to users – owners, shareholders, investors, banks, tax authorities, etc.

**For example**

- A banker uses accounting info to decide whether to grant a loan.
- An investor checks profitability before investing in the company.
- A business owner sees if cost-cutting is needed.

**Purpose:** To help others make **rational and informed decisions**.

## C. ATTRIBUTES OF ACCOUNTING – WHAT MAKES ACCOUNTING UNIQUE?

Accounting isn't just about numbers; it has special features that make it **an art, a tool, and a language**. Let's explore its key attributes in a simple:

### a. ACCOUNTING IS AN ART

Accounting is called an ***art*** because it involves skill, experience, and judgment.

Just like an artist uses brushes to create a painting, an accountant uses financial data to create meaningful reports. It helps us achieve our goal of knowing the business's profit and financial health through **analysis and interpretation**.

"Accounting is not just about data entry – it's about painting a picture of the business with numbers."

### b. IT INVOLVES RECORDING, CLASSIFYING, AND SUMMARIZING

Accounting follows a **systematic process**:

1. **Recording:** Writing down all financial transactions when they happen.
2. **Classifying:** Grouping similar types of transactions together – like sales, purchases, or salaries – in separate accounts (done in the ***ledger***).
3. **Summarizing:** Making final reports like the Profit & Loss Account and Balance Sheet that give a complete summary of business performance.

Think of this like organizing your expenses: write down everything, group similar ones together, and then total them to understand your spending.

### c. IT RECORDS TRANSACTIONS IN TERMS OF MONEY

All business transactions are recorded in the common unit of **money**, like rupees or dollars.

This helps in comparing and understanding the value of different items easily. Without a common measure, the records would be confusing and meaningless.

Whether it's a laptop or rent payment – everything is converted into monetary terms in accounting.

### d. IT RECORDS ONLY FINANCIAL EVENTS

Not every event in a business is recorded – only those that can be **measured in money**.

For example, hiring an employee is important but not recorded in accounts unless salary is paid, which is a financial transaction.

Accounting deals only with what affects the wallet.

### e. IT INTERPRETS THE RESULTS OF OPERATIONS

Once all transactions are recorded and summarized, accounting **interprets** the results:

1. How much profit was earned?
2. Is the business growing?
3. Are we financially stable?

This helps the business understand its journey and make decisions for the future.

It's like a health report for the business – showing strengths, weaknesses, and areas of improvement.

## D. OBJECTIVES OF ACCOUNTING – WHY DO WE EVEN NEED IT?

Accounting isn't just about keeping records. It's a **powerful tool** with clear goals that help businesses grow and stakeholders make informed decisions.

### a. PROVIDING INFORMATION FOR DECISION MAKING

Accounting gives important financial data to people who make business decisions – like owners, investors, managers, and creditors.

It shows:

1. Costs and revenues
2. Profitability
3. Return on investment
4. Business performance over time

"Accounting is the business's voice – it speaks to everyone who needs to listen."

### b. SYSTEMATIC RECORDING OF TRANSACTIONS

Every rupee spent or earned is carefully recorded. This ensures the information is **reliable and accurate**.

Without accounting, we'd have no clue where the money went!

Bookkeeping lays the foundation – it's the first step in building financial reports.

### c. FINDING OUT THE PROFIT OR LOSS

At the end of each period, businesses want to know: *Did we make money or lose money?*

This is found by preparing the **Profit & Loss Account** – a statement that shows all income and expenses.

It helps in:

1. Filing taxes
2. Rewarding employees
3. Planning for the next year

"Profit or loss is the final score card of your business game."

### d. KNOWING THE FINANCIAL POSITION OF THE BUSINESS

Accounting helps prepare the **Balance Sheet**, a statement showing:

1. What the business **owns** (Assets)?
2. What the business **owes** (Liabilities)?
3. The owner's share (Capital)?

This snapshot shows how healthy the business is at a particular date.

**Like a selfie of your business's financial health.**

### e. CHECKING SOLVENCY POSITION

Can the business pay its debts on time?

The Balance Sheet and Profit & Loss Account together show whether a business is **solvent** – both in the short term and long term.

Lenders and investors use this information before giving loans or investing money.

> "Solvency shows whether your business can stand strong or collapse under pressure."

## E. BASIC ACCOUNTING TERMS WITH EXAMPLES

| Accounting Terms | Examples |
|---|---|
| **Transaction** | Rohan went to a bookstore and bought a book for ₹10. He paid for it using his debit card. This is a transaction because it involves the exchange of money. |
| **Event** | The company received a shipment of inventory worth ₹5,000. This event involves an increase in the company's assets (inventory) and can affect its financial position. |
| **Goods/Services** | A bakery sells tangible goods like bread and cakes to customers. In contrast, a consulting firm provides intangible services, offering advice and guidance to clients. |
| **Capital Expenditure** | A company buys a ₹30,000 delivery truck to expand its services. This is a capital expenditure since the truck, as a fixed asset, is meant for long-term use to boost business profits. |
| **Revenue Expenditure** | A company spends ₹2,000 on machinery repairs for operational efficiency. This is a revenue expenditure as it's for maintaining machinery's current performance and benefits are expected within the same accounting period. |
| **Profit and Loss Account or Income Statement** | At year-end, a company summarizes its Revenue, Expenses, and Calculates Net Profit or Loss. For instance, it might report a ₹50,000 net profit after deducting all expenses from revenue. |
| **Profit** | A lemonade stand earns ₹100 from selling lemonade during the summer. After subtracting expenses such as the cost of lemons, sugar, and cups, totalling ₹40, the lemonade stand has a profit of ₹60 (₹100 - ₹40). |
| **Loss** | A small business spends ₹500 on advertising but only generates ₹300 in revenue from sales. In this case, the business has incurred a loss of ₹200 (₹300 - ₹500). |
| **Trade Discount** | A retailer buys 20 pairs of shoes at ₹100 each from a wholesaler, who offers a 10% trade discount. Instead of ₹2,000 the retailer records the transaction at ₹1,800 after the discount. They pay ₹1,800 to the wholesaler. |
| **Cash Discount** | A customer buys ₹1,000 worth of goods with a 10% trade discount, reducing it to ₹900. If paid within 10 days, they get an extra 5% cash discount, saving ₹45 (5% of ₹900). Thus, they pay a net amount of ₹855 after both discounts. |
| **Balance Sheet** | At year-end, a company's balance sheet summarizes its financial status. It lists assets like cash, liabilities such as loans, and owner's equity. For instance, Assets total ₹100,000, Liabilities ₹60,000, and Owner's Equity ₹40,000, showing the company's financial position. |
| **Asset** | A company's fleet of delivery trucks is a tangible asset used for transporting goods to customers, contributing to future profits through delivery services. |
| **Tangible Assets** | A manufacturing company owns a factory building where production takes place, machinery used for manufacturing, and vehicles for transporting goods. These assets have physical existence and can be seen, touched, and felt. |

| | |
|---|---|
| **Intangible Assets** | A software company owns patents and trademarks, intangible assets with no physical form. These assets grant exclusive rights and benefits, aiding future revenue generation. |
| **Current Assets** | A retail company's inventory, including clothing and electronics, is intended for sale within 12 months after the reporting date. These items are current assets on the balance sheet. |
| **Non-Current Assets** | A construction company owns heavy machinery like excavators and bulldozers for long-term projects, not for near-future sale. These assets are classified as non-current assets on the balance sheet. |
| **Current Investments** | A company purchases shares of a mutual fund for short-term gains, intending to sell them within a year. These are current investments, easily sellable within a year. |
| **Non-Current Investments** | A company invests in 10-year treasury bonds, planning to hold them for over a year. These are non-current investments, kept for potential future sale. |
| **Debtor** | A furniture store sells ₹1,000 worth of furniture to a customer on credit. The amount owed by the customer to the store becomes a debtor. |
| **Fictitious Assets** | A company records a provision for discounts to be given to creditors. This entry represents an expected future expense rather than a tangible asset. Since it's not a real asset but only an accounting entry, it's classified as a fictitious asset. |
| **Wasting Assets** | A mining company owns a coal mine. Over time, as coal is extracted, the mine's value decreases until it's exhausted. The coal mine is a wasting asset as its value diminishes with extraction. |
| **Liability** | A company buys goods worth ₹5,000 on credit. This creates an obligation to pay the supplier ₹5,000 in the future, making it a liability |
| **Current Liabilities** | A company owes ₹10,000 to suppliers for inventory purchased on credit, due for payment within the next month. This is a current liability as it needs to be settled within 12 months after the reporting date. |
| **Non-Current Liabilities** | A company takes out a loan with a repayment period of 5 years. This loan is classified as a non-current liability because it's not due for settlement within the next 12 months after the reporting date. |
| **Contingent Liability** | If a supplier files a legal suit against a business, the potential obligation to pay damages would be considered a contingent liability until the outcome of the lawsuit is determined. |
| **Capital** | John invests ₹50,000 of his own savings into starting a new bakery business. This ₹50,000 represents John's capital in the business. |
| **Drawings** | Sarah withdraws ₹500 from the cash register of her business to pay her bills. This withdrawal is from her drawings, reducing her capital in the business. |
| **Net worth** | A company's net worth is ₹100,000, derived from subtracting its total liabilities (₹50,000) from its total assets (₹150,000). |
| **Creditor** | A company owes ₹10,000 to a supplier for goods bought on credit. The supplier is a creditor, listed as a current liability on the balance sheet. |

## F. BOOKKEEPING VS. ACCOUNTING: THE JOURNEY OF FINANCIAL DATA

### a. BOOKKEEPING: THE RECORD KEEPER

1. **What It Does**

   Records and organizes raw financial data — the first step in understanding a business's finances.

2. **Main Activities**

   - Collecting financial information.
   - Identifying and measuring money-related events.

- Recording in order of occurrence.
- Classifying results.
- Preparing a Trial Balance.

**Analogy**

Like keeping a diary of all your expenses and income — just noting what happened.

### b. ACCOUNTING: THE FINANCIAL STORYTELLER

1. **What It Does**

   Analyzes and interprets bookkeeping data to show the business's financial health and support decisions.

2. **Main Activities**

   - Analyzing and interpreting financial data
   - Reporting performance to stakeholders
   - Supporting informed decisions

**Analogy:**

Like writing a summary of your diary to explain your spending and saving decisions.

### c. KEY DIFFERENCES

| Aspect | Bookkeeping | Accounting |
|---|---|---|
| **Role** | Records financial data in an organized way. | Analyzes, interprets, and reports the financial data. |
| **Purpose** | Keeps systematic records of transactions. | Reports the business's financial health. |
| **Focus** | Day-to-day recording of business transactions. | Overall performance and financial decisions. |
| **Involvement** | Junior staff, clerical work. | Senior staff, analysis, and interpretation. |
| **End Product** | Trial Balance. | Financial Statements & Reports. |
| **Nature** | Basic, factual record-keeping. | Analysis, insights, and decision-making. |

## G. SINGLE ENTRY SYSTEM VS. DOUBLE ENTRY SYSTEM: THE ESSENTIALS OF BOOKKEEPING

### a. SINGLE ENTRY SYSTEM

The **Single Entry System** is a basic and incomplete method of bookkeeping where only one aspect of each transaction is recorded, usually cash and personal accounts. It does not follow the strict rules of the double entry system and is mostly used by small businesses for convenience. This system ignores many subsidiary books and ledger accounts, making it unreliable for accurate financial reporting. According to Kohler, it is an incomplete form of double-entry that varies based on circumstances.

### b. DOUBLE ENTRY SYSTEM

In contrast, the **Double Entry System** is a scientific and systematic method of accounting where every transaction affects two accounts — one is debited and the other is credited. It provides a complete and accurate record of all financial transactions. This method was formalized by Italian mathematician **Luca Pacioli in 1494**. The double-entry system is the foundation of modern accounting and is essential for proper auditing and financial reporting.

## 1. Features of Double Entry System

**(a) Two Sides to Every Transaction:**

Every business transaction has **two sides**: one party gives the benefit, and the other receives it. It's like a **give-and-take** situation where both sides are captured!

**(b) Debit & Credit System:**

Every transaction is split into two parts: one account is **debited** (money going out), and the other is **credited** (money coming in). It's like a **balance scale** – one side goes down, and the other goes up.

**(c) Balance is Key:**

For every **debit**, there's always an **equal and opposite credit**. This creates **balance** in the books, ensuring **accuracy**.

## 2. Advantages of Double Entry System

**(a) Complete Picture of Transactions:**

By recording both personal and impersonal accounts, the **double-entry system** ensures that the **complete effect** of each transaction is captured. It's like having both sides of a story!

**(b) Accuracy is Guaranteed:**

Every **debit** has a **matching credit**, which ensures the **arithmetical accuracy** of the books. You can always check with a **trial balance** to confirm if everything adds up. It's like a **double-check** for precision.

**(c) Error Prevention:**

This system helps in detecting errors **early**. If something doesn't balance, it's easy to spot. Think of it as a **built-in error detector**!

**(d) Easier Corrections:**

If you find an error, you can **easily correct it**. Since everything is balanced, it's clear where the mistake happened. Like **fixing a puzzle** where each piece fits perfectly.

**(e) Easier to Track Receivables & Payables:**

Since **personal accounts** are maintained, it's easy to know who owes money (receivables) and who you owe money to (payables). It's like having a **clear list** of who you need to pay or collect from.

**(f) Compare Financial Performance:**

You can compare your **current year's performance** with **previous years**—like comparing **past and present photos** to see how much you've grown!

**(g) Clear Understanding of Business Health:**

You can **justify the standing** of your business, comparing purchases, sales, expenses, and stocks between years. It's like checking your **business's health** every year.

**(h) Informed Decision-Making:**

With clear financial data, the system helps **business owners** make informed decisions about their next moves. It's like having a **financial map** for direction!

**(i) Prepare Accurate Reports:**

You can prepare the **Trading and Profit and Loss Account** and **Balance Sheet** to show the **net operating results** and **financial position** of the business. It's like presenting a **financial report card**.

**(j) Helps the Government:**

It helps the government to understand whether a business is **sick** (not performing well) and if it needs help. It's like the **business health check** for the government.

**(k) Decision-Making for Stakeholders:**

**Banks, suppliers**, and other stakeholders can make better decisions regarding loans and credit, based on accurate records. It's like a **trustworthy guide** for others to decide.

### 3. Limitations of Double Entry System:

(a) **Does not detect all errors** – Some errors like omission or principle errors may go unnoticed.

(b) **Fails to disclose compensating errors** – If one error is compensated by another, the Trial Balance will still tally, hiding the mistake.

(c) **Costly and time-consuming** – Requires maintenance of many books and trained staff, making it expensive for small businesses.

### c. KEY DIFFERENCES

| Aspect | Single Entry System | Double Entry System |
|---|---|---|
| **Recording Transactions** | One-sided entries (either debit or credit). | Two-sided entries (debit and credit). |
| **Accounts Recorded** | Primarily cash and personal accounts. | All accounts: Personal, real, and nominal accounts. |
| **Accuracy** | Less accurate, can miss key details. | Ensures arithmetical accuracy. |
| **Complexity** | Simple and easy to use. | More complex due to multiple entries and accounts. |
| **Error Detection** | Harder to detect errors. | Easy to detect errors through trial balance. |
| **Cost** | Less costly, fewer records to maintain. | Costly due to the maintenance of multiple books. |
| **Suitability** | Suitable for small businesses with fewer transactions. | Suitable for larger businesses with detailed records. |

## H. ACCOUNTING CONCEPTS

Accounting concepts are the basic rules and assumptions that guide accountants in preparing financial statements. Here's a simple and creative breakdown of key accounting concepts:

### a. ACCRUALS CONCEPT

Recognize revenues and expenses when earned or incurred, not when cash is received or paid. It ensures everything is accounted for in the right period.

**Example:** Imagine you gave tuition in March but got the payment in April. You'll still show it as March income because that's when you *earned* it.

### b. CONSERVATISM CONCEPT

Revenue is recognized only when it's certain to be earned, but expenses are recognized sooner when likely to happen. This keeps things cautious and avoids overestimating profits.

**Example:** If your customer *might* not pay ₹5,000, record it as a loss. But if you *might* earn ₹5,000, don't record it until it's 100% confirmed.

### c. CONSISTENCY CONCEPT

Once a business picks an accounting method, it should stick with it for comparison over time. It's like following a single recipe for consistent results.

**Example:** If you use the straight-line method for depreciation this year, continue with it next year too, like using the same measuring cup for baking every time.

## d. ECONOMIC ENTITY CONCEPT

Keep business and personal transactions separate. This ensures the company's finances only reflect business activities, not personal ones.

**Example:** If the owner buys groceries, it shouldn't be recorded in the business account, just like you don't mix your pocket money with your school account.

## e. GOING CONCERN CONCEPT

Financial statements are made with the assumption that the business will continue operating in the future. It ensures expenses and revenues are recognized as if the business is here to stay.

**Example:** If a company buys a machine for ₹1,00,000 to use for 5 years, it spreads the cost over 5 years, assuming it'll run that long.

## f. MATCHING CONCEPT

Expenses should match the revenues in the same period. This way, we know exactly how much it costs to earn the revenue, keeping the records accurate.

**Example:** If you earned ₹50,000 by selling products in January, record the cost of those products in January too, to show true profit.

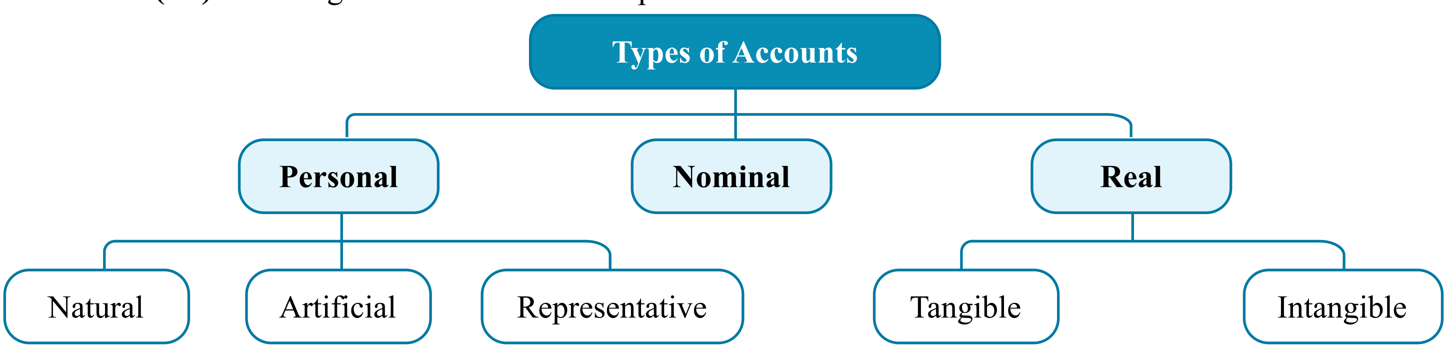
## g. MATERIALITY CONCEPT

Important events that affect decisions of investors must be detailed in financial statements. If an issue is big enough to influence decisions, it must be disclosed.

**Example:** If a business lost ₹1 crore in a fire, it *must* be shown in the report, because it can change how investors view the business.

# I. TYPES OF ACCOUNTS

An **Account** is a record of transactions related to a person or item like customers, land, or trademarks. It helps track how each transaction affects the business. Accounts are shown in **'T' format,** with **Debit (Dr)** on the left and **Credit (Cr)** on the right. Each transaction impacts one or more such accounts.




| Golden Rules of Accounting | | |
|---|---|---|
| | **Personal Account** | Debit the receiver or who owes business<br>Credit the giver or the business owner |
| | **Real Account** | Debit what comes into business<br>Credit what goes out of business |
| | **Nominal Account** | Debit all expenses or losses<br>Credit all income or gains |

## J. JOURNAL

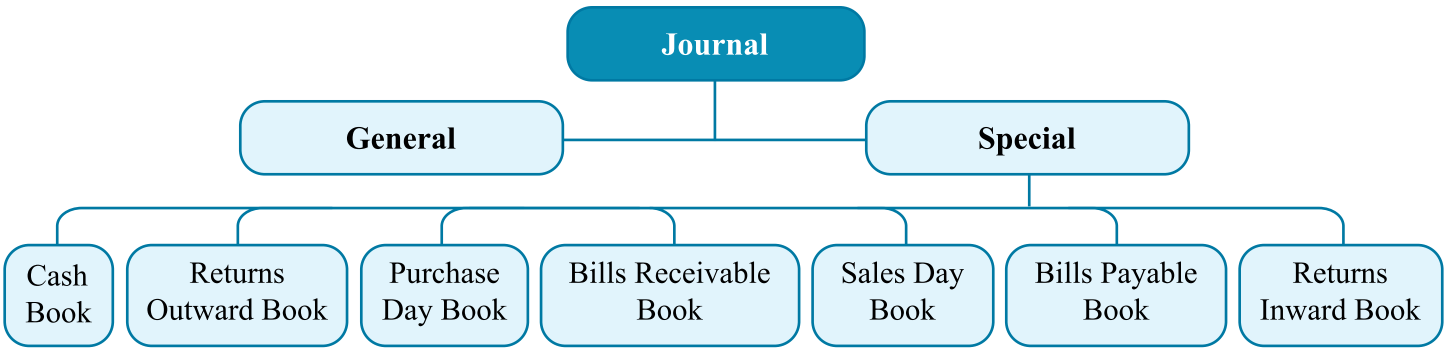
A journal, also known as the Book of Prime Entry or Book of Original Entry, records transactions in the order they occur. The act of recording transactions in a journal is called **"Journalizing,"** and each entry in this book is called a **"Journal Entry."**

### a. ADVANTAGES OF A JOURNAL

The following are the advantages of a journal:

1. **Chronological Record:** Transactions are recorded as they occur, providing detailed day-to-day information.
2. **Minimizing the possibility of errors:** Recording and analysing transactions in both debit and credit aspects help determine their nature and impact on the business's financial position.
3. **Narration:** It means explanation of the recorded transactions.
4. **Helps to finalize the accounts:** The journal is used to post entries to the ledger and create the Trial Balance. The Trial Balance is essential for preparing the Final Accounts.

### b. SUB DIVISION OF JOURNALS




### c. THE SUB DIVISION OF JOURNAL IS DONE AS FOLLOWS

| Transaction | Subsidiary Book |
|---|---|
| All cash and bank transactions. | Cash Book has columns for cash, bank and cash discount. |
| All credit purchase of goods – only those goods that are purchased for resale are covered here. | Purchase Day Book or Purchase Register. |
| All credit sale of goods. | Sales Day Book or Sales Register. |
| All purchase returns – i.e., return of goods to suppliers due to defects. | Purchase Return Book or Return Outward Book. |
| All sales returns – i.e., return of goods back from Customers. | Sales Return Book or Return Inward Book. |
| All bill receivables – these are bills accepted by Customers to be honoured at an agreed date. | Bills Receivable Book. |
| All bills payable – these are bills accepted by the business to be honoured by paying suppliers on an agreed date. | Bills Payable Book. |
| For all other transactions not covered in any of the above categories – i.e., purchase or sale of assets, expense accruals, rectification entries, adjusting entries, opening entries and closing entries. | Journal Proper |

## K. PURCHASE DAY BOOK

The purchase day book records the transactions related to credit purchase of goods only. Any cash purchase or purchase of things other than goods is not recorded in the purchase day book. Periodically, the totals of purchase day book are posted to purchase account in the ledger. A specimen of purchase day book is given below:

**In the Books of .......................... Purchase Day Book**

| Date | Name of the Suppliers and details of Goods purchased | Invoice reference | L.F. | Amount (Rs.) | Remarks |
|---|---|---|---|---|---|
| | | | | | |

The format for Purchase Return Book is exactly the same; hence separate illustration is not given.

## L. SALES DAY BOOK

The sales day book records transactions of credit sale of goods to customers. Sale of other things, even on credit, will not be entered in the sales day book, but is entered in Journal. If goods are sold for cash, it is entered in the cash book. Total of sales day book is periodically posted to the sales account in the ledger. A specimen of a sales day book is given below

**In the Books of .......................... Sales Day Book**

| Date | Name of the Suppliers and details of Goods purchased | Invoice reference | L.F. | Amount (Rs.) | Remarks |
|---|---|---|---|---|---|
| | | | | | |

The format of sales return book is exactly the same; hence a separate illustration is not given.

## M. OTHER SUBSIDIARY BOOKS — RETURNS INWARD, RETURN OUTWARD, BILLS RECEIVABLE, BILLS PAYABLE

### a. RETURN INWARD BOOK

The transactions relating to goods which are returned by the customers for various reasons (may be for the reason that the goods are not according to sample, or not up to the mark) are recorded in return inward book. It is also known as Sales Return Book. Generally, when a customer returns goods to suppliers, he issues a Debit Note for the value of the goods returned by him. Similarly, the supplier who receives those goods issues a Credit Note.

**Returns Inward Day Book**

| Date | Particulars | Outward Invoice | L.F. | Details | Totals | Remarks |
|---|---|---|---|---|---|---|
| | | | | | | |

### b. RETURN OUTWARD BOOK

This book records the transactions relating to goods that are returned by us to our creditors, e.g., goods broken in transit, or not matching with the sample, etc. It is also known as Purchase Return Book.

**Return Outward Day Book**

| Date | Particulars | Debit Note | Date | Details | Totals | Remarks |
|---|---|---|---|---|---|---|
| | | | | | | |

### c. BILLS RECEIVABLE BOOK

It is a book where all bills received are recorded and therefrom posted directly to the credit of the respective customer‘s account. The total amounts of the bills so received during the period (either at the end of the week or month) is to be posted in one sum to the debit of Bills Receivable A/c.

**Bills Receivable Day Book**

| No. of Bills | Date of Receipt of Bill | From whom | Name of the Receiver | Name of Drawer | Name of Acceptor | Date of Bill | Due Date | L.F. | Amount of Bill | How disposed off |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | | |

## d. THE BILLS PAYABLE BOOK

Here all the particulars relating to bills accepted are recorded and therefrom posted directly to the debit of the respective creditor‘s account. The total amounts of the bills so accepted during the period (either at the end of the week or month) is posted in one sum to the credit of Bills Payable Account.

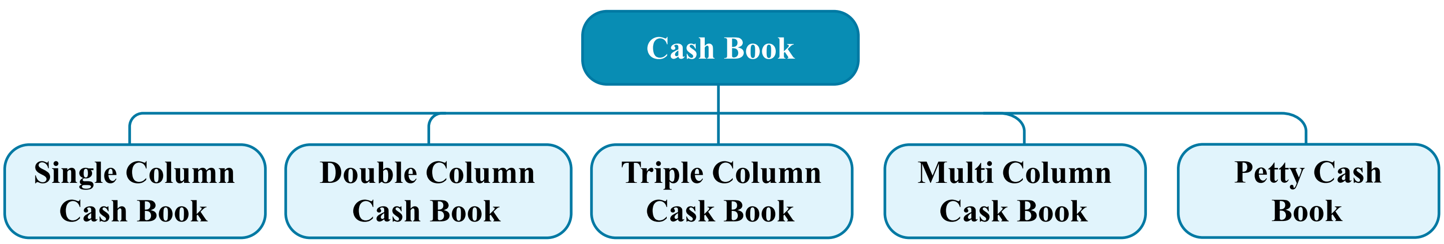
**Bills Payable Day Book**

| No. of Bills | Date of Acceptance | To whom given | Name of Drawer | Name of Payee | Name of Payable | Date of Bill | Term | Due Date | L.F. | Amount of Bill | How disposed off |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | | | |

# N. CASH BOOK

A Cash Book records all cash receipts and payments. It’s a book of original entry because transactions are first recorded from source documents. The Cash Book resembles a Cash Account, showing receipts on the debit side and payments on the credit side. So, it serves as both a journal and a ledger.

## a. TYPES OF CASH BOOK




1. **Single Column Cash Book**

| Dr. | Specimen of Single Column Cash Book | | | | | | Cr. |
|---|---|---|---|---|---|---|---|
| Receipt | | | | Payment | | | |
| Date | Particulars | L.F. | Cash | Date | Particulars | L.F. | Cash |
| | | | | | | | |

2. **Double Column Cash Book**

| Dr. | Specimen of Double Column Cash Book | | | | | | | | Cr. |
|---|---|---|---|---|---|---|---|---|---|
| Receipt | | | | | Payment | | | | |
| Date | Particulars | L.F. | Cash | Discount Allowed | Date | Particulars | L.F. | Cash | Discount Received |
| | | | | | | | | | |

3. **Triple Column Cash Book**

| Dr. | Specimen of Double Column Cash Book | | | | | | | | | Cr. |
|---|---|---|---|---|---|---|---|---|---|---|
| Receipt | | | | | | Payment | | | | |
| Date | Particulars | L.F. | Cash | Bank | Discount Allowed | Date | Particulars | L.F. | Bank | Discount Received |
| | | | | | | | | | | |

4. **The multi-column cash book has multiple columns on both the sides of the cash book.**
5. **The petty cash book**

## O. LEDGER ACCOUNTS

### Ledger Posting

Transactions are first recorded in the journal as journal entries when they occur. Then, these entries are posted to the respective ledger accounts following the double-entry principle. This process is called ledger posting.

### To Summarize

| Dr. | Assets | Cr. | Dr. | Expenses or Losses | Cr. |
|---|---|---|---|---|---|
| Increase | | Decrease | Increase | | Decrease |
| Dr. | Liabilities & Capital | Cr. | Dr. | Income or Gains | Cr. |
| Decrease | | Increase | Decrease | | Increase |

## P. TRIAL BALANCE

**Trial Balance** may be defined as a statement or a list of all ledger account balances taken from various ledger books on a particular date to check the arithmetical accuracy.

### Features of a Trial Balance

1. It is a statement of debit and credit balances.
2. It is not an account. It is only a statement of account.

**Specimen of Trial Balance as on ...**

| SL No. | Name of the Account | L.F. | Debit Balance (Rs.) | Credit Balance |
|---|---|---|---|---|
| | | | | |

## Q. FINAL ACCOUNTS

**Final Accounts** are the *grand finale* of the accounting process!

They give a clear picture of how the business performed (profit/loss) and where it stands financially (assets/liabilities) at the end of the year.

In simple terms, Final Accounts = **Performance + Position Report** of the business.

### a. TYPES OF FINAL ACCOUNTS (BASED ON TYPE OF BUSINESS)

1. **Non-Manufacturing Firms**

   These businesses only **buy and sell goods**. So, they prepare:

   (a) **Trading Account** – To calculate **Gross Profit/Loss**

   (b) **Profit & Loss Account** – To find **Net Profit/Loss**

   (c) **Balance Sheet** – To show **Financial Position**

2. **Manufacturing Firms**

   These businesses also **manufacture** goods. So, they need one more step:

   (a) **Manufacturing Account** – To calculate **Cost of Production**

   (b) **Trading Account** – To calculate **Gross Profit**

   (c) **Profit & Loss Account** – To find **Net Profit**

   (d) **Balance Sheet** – To show **Financial Position**

   So, manufacturing firms have **4 statements** while non-manufacturing firms have **3**.

## b. TRADING ACCOUNT

The **Trading Account** shows the **Profit or Loss** from buying and selling goods.

It compares **sales (income)** with **cost of goods sold** and **direct expenses** (like wages, carriage inwards).

1. Helps find **Gross Profit** or **Gross Loss**.
2. Only includes transactions related to goods — not general office expenses.

## c. PROFIT & LOSS ACCOUNT

The **Profit and Loss Account** shows the **Net Profit or Net Loss** of the business.

It includes all **indirect expenses** (rent, salary, ads) and **incomes** not related to trading.

- Helps know the **real earning** of the business after covering all costs.

## d. BALANCE SHEET

The **Balance Sheet** is like a **snapshot** of the business's financial health on a particular date.

It shows **what the business owns (assets)** and **what it owes (liabilities)**.

- The extra value of assets over liabilities = **owner's capital**.

Now it's also called the **Statement of Financial Position**.

## TEST YOURSELF

1. What are the Golden Rules of Accounting?
2. Define Accounting and Book-keeping with examples.
3. Explain important accounting concepts.
4. Even a small amount of the transaction can be considered as material transaction. Explain How?
5. Define the term 'account' and name the types of accounts? Also explain with examples.
6. Give Journal Entries of the following transaction:
   - Started business with cash Rs. 36,000
   - Paid rent in advance Rs. 800
   - Purchased goods for cash Rs.10,000 and on credit Rs. 4,000
   - Sold goods for cash Rs. 8,000
   - Rent paid Rs. 2000 and rent outstanding Rs. 400
   - Bought cycle for personal use Rs. 16,000
   - Purchased equipments for cash Rs. 10,000
   - Paid to creditors Rs. 1,200
   - Some business expenses paid Rs. 1,800
   - Depreciation on equipment Rs. 2,000.

7. Discuss the Double Entry System of Accounting with examples.
8. Illustrate with examples the difference between "Event" and "Transaction".
9. Explain the basic rules of debit and credit in accounting
10. Give Journal Entries of the following transaction:
    - Started business with cash ₹36,000
    - Paid insurance premium in advance ₹1,200
    - Purchased goods for cash ₹12,000 and on credit ₹5,000
    - Sold goods for cash ₹10,000 and on credit ₹3,000
    - Salary paid ₹3,000 and salary outstanding ₹600
    - Bought furniture for personal use ₹15,000
    - Purchased machinery for cash ₹18,000
    - Paid to creditors ₹2,500
    - Paid office expenses ₹2,200
    - Depreciation on machinery ₹1,500

CHAPTER
2

# INTRODUCTION TO CORPORATE ACCOUNTING



## A. INTRODUCTION TO CORPORATE ACCOUNTING

In the case of **sole proprietorships** and **partnership firms**, there is **no legal requirement** to prepare Final Accounts. However, for **companies**, it is **compulsory by law** to maintain proper books of account and prepare final accounts **every year**.

These rules are explained in the **Companies Act, 2013**, especially in **Chapter IX (Sections 128 to 138)**. These sections, along with **Schedule II and Schedule III**, came into effect from **1st April 2014**. The rules mentioned in these sections must be followed for all financial years starting on or after this date.

If the company's financial year started **before 1st April 2014**, then the **old law** (Companies Act, 1956) will apply to that period.

### a. REGULATORY FRAMEWORK FOR FINANCIAL STATEMENTS UNDER THE COMPANIES ACT, 2013

Includes:

1. **Section 128** - *Books of Account*
2. **Section 129** - *Financial Statements*
3. **Schedule III** - *Format and Presentation of Financial Statements*

#### 1. WHO NEEDS TO PREPARE FINAL ACCOUNTS? (LEGAL RULES FOR COMPANIES)

While sole proprietors and partnership firms don't *have to* prepare final accounts, companies must do it every year. This is required under the **Companies Act, 2013 (Section 128 to 138)**, which came into effect on **1st April 2014.**

For older years (before **1st April 2014**), the rules of the **Companies Act, 1956** will apply.

**(a) What Books Must a Company Maintain? (Smart Record-Keeping Rules)**

Every company must keep proper books of account and financial statements at its registered office (or any other location if informed through Form AOC-5). These records must:

(i) Show a true and fair view of the company's work.
(ii) Be kept using double-entry system and accrual basis.
(iii) Include transactions from branches, if any.
(iv) Be available for inspection by directors during business hours.

If the company uses electronic records, it must:

(i) Be accessible in India and unaltered.
(ii) Have daily backups stored in Indian servers.
(iii) Use software with audit trail features from 1st April 2023.

Also, companies must keep their books for 8 years. If under investigation, the government may ask them to keep records for longer.

**(b) Financial Statements - What's Included?**

As per **Section 2(40) of the Companies Act, 2013**, a company's financial statement includes:

(i) Balance Sheet

(ii) Profit & Loss Account

(iii) Cash Flow Statement

(iv) Statement of Changes in Equity (if applicable)

(v) Any Explanatory Notes

But for One-Person Company, **Small Companies,** and **Dormant Companies**, the cash flow statement is not mandatory.

## 2. SECTION 129 - FINANCIAL STATEMENTS

**(a) Every company must**

Prepare **Financial Statements** every year that:

(i) Show a **true & fair view** of the company's affairs

(ii) Follow the **Accounting Standards** (Section 133)

(iii) Be in the **format given in Schedule III**

**(b) Who decides Accounting Standards?**

The **Central Government** sets the standards based on:

(i) Recommendations from **ICAI**, and

(ii) Review by **NFRA (National Financial Reporting Authority)**

**(c) Exceptions - Some companies follow their own rules:**

(i) **Insurance Companies** - as per the *Insurance Act, 1938*

(ii) **Banks** - as per *Banking Regulation Act, 1949*

(iii) **Electricity Companies** - as per the *Electricity Act, 2003*

(iv) Other companies - as per their governing laws

These companies **don't need to disclose** information not required by their specific acts.

**(d) At Every AGM (Annual General Meeting):**

The **Board of Directors** must **present Financial Statements** to the shareholders.

**(e) Have Subsidiaries?**

The company must also prepare:

(i) **A Consolidated Financial Statement (CFS),**

(ii) A **summary (salient features)** of each subsidiary, associate, and joint venture.

Even if parent company is **outside India**, it still needs to follow **Indian CFS rules**.

**(f) What if rules are not followed?**

If Financial Statements **don't follow Accounting Standards**, then:

The company must:

(i) Mention the **deviation**

(ii) Give **reasons**

(iii) Show the **financial effect**

**(g) Government Exemptions**

The **Central Government** can **exempt** any class of companies if needed.

Exemptions can be **full** or **conditional.**

**(h) Penalties for Non-Compliance**

If a company breaks the rules:

(i) The **Managing Directors, CFOs,** or other responsible officers can be punished

(ii) **Jail up to 1 year**, or

(iii) **Fine: ₹50,000 to ₹5,00,000**, or both

### 3. SCHEDULE III - THE FORMAT RULEBOOK FOR FINANCIAL STATEMENTS

Under **Section 129**, every company registered under the Companies Act, 2013 must follow **Schedule III** to present its financial statements.

It's designed to match today's modern business world — **Privatization + Globalization** = Better Financial Reporting.

**(a) Key Features of Schedule III**

(i) **Vertical Format** of:

- **Balance Sheet** → split into **Current** and **Non-current**
- **Profit & Loss A/c** → expenses grouped **by nature**

**(b) No more Schedules:**

Now it's all about **Notes to Accounts.**

**(c) No special section for Miscellaneous Expenditure:**

(i) Items like **borrowing cost**, **share issue expenses**, etc. are now to be amortized over 3-5 years.

(ii) Shown under Other Current/Non-current Assets based on when they'll be used.

**(d) Losses (debit balance) in Profit & Loss:**

Show under **Reserves & Surplus** with a minus sign.

**(e) Cash Flow Statement stays the same:**

(i) Still prepared as per **AS-3.**

**(f) Accounting Standards (AS) win:**

If there's any confusion between **AS** and Schedule III, **AS will prevail.**

**TEST YOURSELF**

1. Explain the requirements of Sections 128 and Sections 129 of the Companies Act, 2013 related to maintenance and presentation of Books of Accounts.
2. What are the key features and purpose of Schedule III of the Companies Act, 2013? How does it ensure True and Fair presentation of Financial Statements?

## B. PRESENTATION OF BALANCE SHEET

A Balance Sheet is a statement of the financial position of an enterprise as at a given date, which exhibits its Assets, Liabilities, Capital, Reserves and other account balances at their respective book values.

**SCHEDULE III**

- **Part I**<br>**Form of Balance Sheet**
- **Part II**<br>**Form of Statement of Profit and Loss**

## PART I - FORM OF BALANCE SHEET

- **BALANCE SHEET**
  - **Equity & Liabilities**
    - Shareholders' Funds
    - Share Application Money pending allotment
    - Non-Current Liabilities
    - Current Liabilities
  - **Assets**
    - Non-Current Assets
    - Current Assets

### Break-up of Equity & Liabilities

- **EQUITY & LIABILITIES**
  - **Shareholders' Funds**
    - Share Capital
    - Reserves & Surplus
    - Money received against Share Warrants
  - **Share Application Money pending allotment**
  - **Non-Current Liabilities**
    - Long Term Borrowings
    - Deferred Tax Liability (Net)
    - Other Long Term Liabilities
    - Long Term Provisions
  - **Current Liabilities**
    - Short Term Borrowings
    - Trade Payables
    - Other Current Liabilities
    - Short Term Provisions

### Break-up of Assets

- **ASSETS**
  - **Non-Current Assets**
    - Fixed Assets
    - Non-current Investments
    - Deferred Tax Assets (DTA)
    - Long Term Loans & Advances
    - Other Non-current Assets
  - **Current Assets**
    - Current Investments
    - Inventories
    - Trade Receivables
    - Cash & Cash Equivalents
    - Short Term Loans & Advances
    - Other Current Assets

## C. PART I - FORM OF BALANCE SHEET

**[Financial Statements for a company whose Financial Statements are required to comply with the Companies (Accounting Standards) Rules, 2006 - Division I]**

Name of the Company: ..................................................

Balance Sheet as at: .......................................................

| | Particulars | Note No. | Figure as at the end of Current Reporting Period | Figures as at the end of the Previous Reporting Period |
|---|---|---|---|---|
| | | | (Rs.) | (Rs.) |
| **I.** | **EQUITY AND LIABILITIES** | | | |
| (1) | Shareholders' Funds | | | |
| | (a) Share Capital | | | |
| | (b) Reserves & Surplus | | | |
| | (c) Money Received against Share Warrants | | | |
| (2) | Share Application money pending allotment | | | |
| (3) | Non-Current Liabilities | | | |
| | (a) Long-Term Borrowings | | | |
| | (b) Deferred Tax liabilities (Net) | | | |
| | (c) Other Long-Term Liabilities | | | |
| | (d) Long-Term Provisions | | | |
| (4) | Current Liabilities | | | |
| | (a) Short-Term Borrowings | | | |
| | (b) Trade Payables<br>(i) Total outstanding dues of micro enterprises and small enterprises and<br>(ii) Total outstanding dues of creditor other than micro enterprises and small enterprises. | | | |
| | (c) Other Current Liabilities | | | |
| | (d) Short-Term Provisions | | | |
| | TOTAL | | | |
| **II.** | **ASSETS** | | | |
| (1) | Non-Current Assets | | | |
| | (a) Property, Plant and Equipment and Intangible assets | | | |
| | (i) Property, Plant and Equipment | | | |
| | (ii) Intangible Assets | | | |
| | (iii) Capital work-in-progress | | | |
| | (iv) Intangible Assets under Development | | | |
| | (b) Non-Current Investments | | | |

| | | | | |
|---|---|---|---|---|
| | (c) Deferred Tax Assets (DTA) (Net) | | | |
| | (d) Long-Term Loans & Advances | | | |
| | (e) Other Non-Current Assets | | | |
| (2) | Current Assets | | | |
| | (a) Current Investments | | | |
| | (b) Inventories | | | |
| | (c) Trade Receivables | | | |
| | (d) Cash & Cash Equivalents | | | |
| | (e) Short-Term Loans & Advances | | | |
| | (f) Other Current Assets | | | |
| | **Total** | | | |

## D. DISCLOSURE REQUIREMENT: SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

**[Financial Statements for a company whose Financial Statements are required to comply with the Companies (Accounting Standards) Rules, 2006 - Division I]**

### a. FOR "EQUITY AND LIABILITIES" ITEMS

#### 1. SHAREHOLDERS' FUNDS

##### (a) Share Capital

**Schedule III: Disclosure Requirements for Share Capital**

(i) **General:**
- (1) Only presentation & disclosure — not classification (that's as per Accounting Standards).
- (2) Overdue preference shares still shown under **Share Capital**.

(ii) **Key Disclosures for Each Class of Share** (Equity & Preference treated separately):
- (1) **Authorized Capital** - Maximum Number & Face Value of shares allowed as per MOA.
- (2) **Issued, Subscribed & Paid-Up Capital** - Include partly paid, bonus & other-than-cash issues.
- (3) **Face Value per Share** - As per MOA clause.
- (4) **Reconciliation of Shares** - Opening + Closing + changes during the year, separately for Equity & Preference.
- (5) **Rights & Restrictions** - Voting rights, dividend rights, redemption/conversion terms, etc.
- (6) **Shares held by Holding/Ultimate Holding Company** - Disclose for group entities separately.
- (7) **5%+ Shareholders** - Disclose names holding >5% at **Balance Sheet date** only.
- (8) **Shares Reserved** - For ESOPs, Contracts, Debentures, etc. — Mention Number, Amount, Terms.
- (9) **Past 5 Years' Allotments** - Disclose if shares issued:
  - Without cash,
  - As bonus,
  - Bought back.
- (10) **Convertible Securities** - Mention type, terms, and earliest conversion dates.
- (11) **Calls Unpaid** - Total unpaid amount, show separately for Directors/Officers.
- (12) **Forfeited Shares** - Show amount originally paid up.
- (13) **Promoter Shareholding** - Name, Number of Shares, Percentage, and Percentage change during the year.

### (b) Reserves & Surplus

**Reserves & Surplus Disclosure as per Schedule III of the Companies Act**

Reserves and Surplus should be classified into the following:

(i) **Capital Reserve**

(1) This reserve is not available for distribution as dividend.

**Example:** Profit on re-issue of forfeited shares is considered capital in nature and credited to Capital Reserve.

(ii) **Capital Redemption Reserve (CRR)**

(1) Created under Section 55 (for redemption of preference shares) and Section 68 (for buyback of equity shares).

(2) It is created from free reserves to maintain the capital structure.

(iii) **Securities Premium**

(1) The premium received over and above the face value of shares is shown here.

(2) Can only be used for specific purposes like issuing bonus shares, writing off preliminary expenses, etc.

(iv) **Debenture Redemption Reserve (DRR)**

(1) Required under Section 71 for Redeemable Debentures.

(2) After Redemption of Debentures, the DRR balance should be transferred to the General Reserve.

(v) **Revaluation Reserve**

(1) Created when assets are revalued upward.

(2) Represents the difference between the revalued (market/replacement) value and book value.

(vi) **Share Options Outstanding Account**

(1) Related to Employee Stock Option Plans (ESOPs).

(2) As per ICAI guidelines, this should be shown as a separate line item under Reserves & Surplus.

(vii) **Other Reserves**

(1) Includes other specific Reserves, such as the Tonnage Tax Reserve under the Income Tax Act.

(2) The nature and purpose of each such Reserve must be clearly mentioned.

(viii) **Surplus (Balance in the Statement of Profit & Loss)**

(1) Includes current and past profits remaining after appropriations like dividend, transfer to reserves, etc.

(2) Schedule III no longer allows these appropriations to be shown in the Statement of P&L — they are shown under Reserves & Surplus instead.

**Important Notes:**

- A **Fund** is a reserve backed by earmarked investments.
- A **Debit balance** in the Statement of Profit & Loss (i.e., loss) should be shown as a **negative figure under Surplus**.

The total of "Reserves & Surplus" will reflect this deduction, and may appear negative if losses exceed reserves.

### (c) Money Received Against Share Warrants

(i) This must be shown as a **separate line item** on the face of the Balance Sheet.

(ii) Share warrants are issued (mostly to promoters) as per SEBI's preferential issue guidelines.

(iii) Since shares are not yet allotted, this amount is **not included in Share Capital** but is shown **separately**.

(iv) Eventually, when shares are allotted, it becomes part of Shareholders' Funds.

## 2. SHARE APPLICATION MONEY PENDING ALLOTMENT

### (a) Also shown as a separate line item on the Balance Sheet (after Shareholders' Funds and before Non-Current Liabilities).

### (b) Only the non-refundable share application money (not exceeding the issued capital) is shown here.

(i) **Situations:**

(1) If **authorized capital is less than issued capital** and approval for increase is pending → excess amount must be shown under **Other Current Liabilities**.

(2) If money is **refundable** (e.g., excess application, minimum subscription not received), it should also be shown under **Other Current Liabilities**.

(3) **Calls paid in advance** (by shareholders) and **interest on such calls** must be shown under **Other Current Liabilities** as well.

## 3. NON-CURRENT LIABILITIES

### (a) Long-Term Borrowings (as per Schedule III)

**These should be classified into the following:**

(i) **Bonds/Debentures**

Issued by the company to raise long-term funds.

(ii) **Term Loans**

(1) From **Banks** or **Other Parties**.

(2) Only loans with repayment period **more than 36 months** are treated as term loans.

(3) **Not included:** Cash Credit, Overdraft, Call Money.

(iii) **Deferred Payment Liabilities**

(1) Payments to be made in the future on credit terms.

(2) **Example:** Deferred sales tax or payment for buying fixed assets.

(iv) **Deposits**

Includes **Public Deposits** and **Inter-Corporate Deposits** (if treated as borrowings).

(v) **Loans and Advances from Related Parties**

(1) Must be disclosed separately.

(2) Only include those that are **loan-like in nature**.

(vi) **Long-Term Finance Lease Obligations**

Lease payments due over the long term.

(vii) **Other Loans and Advances**

Mention the **nature** clearly.

**Important Disclosure Requirements:**

(i) **Secured vs. Unsecured**

(1) Show separately.

(2) Mention **type of security** (e.g., Land, Machinery).

(3) If Promoters/Shareholders give personal security → mention that too.

(ii) **Guarantees**

If loans are **guaranteed by directors or others**, show the total amount.

(iii) **Maturity Details**

(1) For Bonds/Debentures, show **interest rate & redemption date** in **descending order** (farthest date first).

(2) **Current maturities** (due soon) should be shown under **Other Current Liabilities**, not here.

(iv) **Installment Redemption**

If redeemable in parts, consider **first installment date** as the maturity date.

(v) **Reissue Option**

If the company can **reissue redeemed bonds**, disclose it.

(vi) **Repayment Terms**

(1) Mention **loan repayment terms** (EMI, schedule, etc.) clearly.

(2) If many loans have the same terms, you can group them.

(vii) **Default**

(1) Disclose **amount and period** of any **default** in repayment of principal or interest as of the balance sheet date.

(2) No need to disclose **temporary defaults** that were cleared before year-end.

(3) Default info applies to **all borrowings** (not just loans).

### (b) Deferred Tax Liabilities (Also Refer AS-22)

| Schedule III Disclosure Requirement | Points |
|---|---|
| To be shown as a separate line item on the face of Balance Sheet. | — |

### (c) Other Long-Term Liabilities

| Schedule III Disclosure Requirement | Points |
|---|---|
| It shall be classified as–<br>(i) Trade Payables | Sundry Creditors for Goods or Services, and Acceptances should be disclosed as part of Trade Payables. Disclosure Requirements under MICRO, SMALL & MEDIUM ENTERPRISES DEVELOPMENT (MSMED) Act Will also be required to be made in the annual Financial Statements. |
| (ii) Others | Amounts due under contractual obligations, e.g., payables in respect of statutory obligations, like contribution to Provident Fund, Purchase of Fixed Assets, Contractually Reimbursable Expenses, Interest Accrued on Trade Payables, etc., should be classified as "Others" and each such item should be disclosed nature wise. |

### (d) Long-Term Provisions

| Schedule III Disclosure Requirement | Points |
|---|---|
| It shall be classified as —<br>(i) Provision for Employee Benefits<br>(ii) Others (Specifying nature) | This should be classified into short-term and long-term portions, and the Latter amount should be included here.<br>This would include items like Provisions for Warranties. |

## 4. CURRENT LIABILITIES

### (a) Short-Term Borrowings

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) Short-Term Borrowings shall be classified as–<br>✦ Loans Repayable on demand-<br>(1) From Banks, &<br>(2) Other Parties, | ✦ Short-Term Borrowings Will include all Loans within a period of 12 months from the date of the loan, Loans payable on demand, etc., but they will not include Current Maturity of Long-Term Borrowings (which should be treated only as "Other Current Liabilities"). |

| | |
|---|---|
| ✦ Loans and Advances from Related Parties,<br>✦ Deposits,<br>✦ Others Loans and Advances (specify nature),<br>✦ Current maturities of Long Term Borrowing. | ✦ In case of Short-Term Borrowings, all defaults (not continuing defaults as in the case of Long Term Borrowings) existing as at the date of the Balance Sheet should be disclosed (item wise)<br>✦ A 3-Year Loan taken for a business with a 4-year Operating Cycle will be categorized only as **Short-Term Borrowings**, and not as **Long-Term Borrowings**. |

### (b) Trade Payables

| Schedule III Disclosure Requirement | Points |
|---|---|
| It shall be classified as -<br>(i) Total outstanding dues of micro enterprises and small enterprises, and<br>(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises. | ✦ Liability for Capital Goods Purchases: Amount due towards purchase disclosed under **"Other Current Liabilities"** with a suitable description.<br>✦ Liability under Contractual Obligations: Liability towards Employees, Leases or other Contractual Liabilities should not be induded under Trade Payables. Only **"Commercial Dues"** can be included under Trade Payables. |

### (c) Other Current Liabilities

| Schedule III Disclosure Requirement | Points |
|---|---|
| It shall be classified as -<br>(i) Current Maturities of Finance Lease Obligations,<br>(ii) Interest Accrued but not due on Borrowings,<br>(iii) Interest Accrued and due on Borrowings,<br>(iv) Income Received In Advance,<br>(v) Unpaid Dividends,<br>(vi) Application Money received for allotment of Securities and due for Refund and Interest Accrued thereon (Refer note below),<br>(vii) Unpaid Matured Deposits and Interest Accrued thereon,<br>(viii) Unpaid Matured Debentures and Interest Accrued thereon,<br>(ix) Other Payables (specify nature).<br>**Note:**<br>(1) Share Application Money includes Advances towards allotment of Share Capital.<br>(2) Terms and Conditions include the Number of Shares proposed to be issued, the Amount of Premium, if any, and the period before which shares be allotted shall be disclosed.<br>(3) It shall also be disclosed whether the Company has Sufficient Authorized Capital to cover the Share Capital Amount resulting from Allotment of Shares out of such Share Application Money. | ✦ The portion of Long Term Debts/Lease Obligations, which Is due for payments within 12 months of the reporting date is required to be classified under "Other Current Liabilities', while the balance amount should be classified under Long-Term Borrowings.<br>✦ Trade Deposits and Security Deposits which are not in the nature of Borrowings should be classified separately under Other Non-Current/Current Liabilities.<br>✦ Other Payables under this head may be in the nature of statutory dues such as Withholding Taxes, Service Tax, VAT, Excise Duty, etc. |

| | |
|---|---|
| (4) Further, the period for which the Share Application Money has been pending beyond the period for Allotment as mentioned in the document inviting application for shares along with the reason for such Share Application Money being pending shall be disclosed.<br>(5) Share Application Money not exceeding the Issued Capital and to the extent not refundable shall be shown under the head 'Equity' and Share Application Money to the extent refundable, i.e., the amount in excess of subscription or in case the requirements of minimum subscription are not met, shall be separately shown under 'Other Current Liabilities'. | ✦ Current Year Classification as Current Liability and Previous Year Non Current Liability: Current/ Non/Current Classification of Assets I Liabilities is determined on a particular date, i.e., Balance Sheet date. So, if there is any change in the position at the end of the current year resulting in a different classification of Assets / Liabilities in the current year. It will not impact the classification made in the previous year. |

### (d) Short Term Provisions

| Schedule III Disclosure Requirement | Points |
|---|---|
| It shall be classified as -<br>(i) Provision for Employee Benefits | This should be classified into Short-term and Long-term portions, and the former amount should be included here. |
| (ii) Others (Specifying nature) | This includes Provision for Dividend, Provision for Taxation, Provision for Warranties, etc. |

## b. DISCLOSURE REQUIREMENTS FOR "ASSETS" ITEMS

### 1. NON-CURRENT ASSETS

### (a) Property, Plant and Equipment and Intangible assets

(i) **Property Plant and Equipment (Also Refer AS - 6,10)**

| Schedule III Disclosure Requirement | Points |
|---|---|
| (1) **Classification shall be given as–**<br>a) Land, b) Buildings, c) Plant and Equipment, d) Furniture & Fixtures, e) Vehicles, f) Office Equipment, g) Others (Specify Nature). | AS-19 excludes Land Leases from its scope. Leasehold Land should be presented as a separate Assets class under Tangible Assets. Also. Freehold Land should be presented as a separate Asset class. |
| (2) Assets under Lease shall be separately specified under each class of Asset. | ✦ The term "under lease" should mean -<br>a) Assets given on Operating Lease in the case of Lessor, and<br>b) Assets held under Finance Lease In the case of Lessee.<br>✦ Leasehold Improvements should continue to be shown as a separate asset class. |
| (3) **Re-evaluation:** Where sums have been written off on a Reduction of Capital or Re-evaluation of Assets of where sums have been added on Re-evaluation of Assets, every Balance Sheet subsequent to date of such write off, in addition shall show the Reduced or Increased figures as applicable and shall be way of a Note also show the amount of the Reduction or Increase as applicable together with the date thereof for the first 5 years subsequent to the dare of such Reduction or Increase. | ✦ AS-10 requires disclosure of details such as Gross Book Value of Re-evalued Assets, Method adopted to compute Re-evalued amounts. Nature of indices used. Year of appraisal, Involvement of External Valuer, etc. as long as the concerned assets are held by the Enterprise, [but only 5 years period is specified in Schedule III]<br>✦ AS-10 requirements will prevail. [Note: AS 26 does not permit re-evaluation of Intangible Assets.] |

| | |
|---|---|
| (4) **Reconciliation:** A Reconciliation of the Gross and Net Carrying Amounts of each Class of Assets at the Beginning and End of the Reporting period showing Additions, Disposals, Acquisitions through Business Combinations and other Adjustments and the related Depreciation and Impairment Losses/Reversals shall be disclosed separately. | a) Since reconciliation of Gross and Net Carrying Amounts of Fixed assets is required, the Depreciation/ Amounts of fixed assets Is required, the Depreciation/ Amortization for each class of asset should be disclosed In terms of -<br>☛ Opening Accumulated Depreciation,<br>☛ Depreciation/Amortization for the year,<br>☛ Deductions/Other Adjustments, and<br>☛ Closing Accumulated Depreciation/ Amortization.<br>b) Similar disclosures should also be made for Impairment if any, as applicable.<br>c) Business Combinations:<br>☛ Business Combination should be taken as an amalgamation or acquisition or any other mode of restructuring of a set of Assets and/or a group of Assets and Liabilities constituting a business.<br>☛ Acquisitions through 'Business Combinations' should be disclosed separately for each class of assets.<br>☛ Asset Disposals through Demergers, etc., if any also be disclosed separately for each class of assets.<br>d) Other Adjustments: This includes -<br>☛ Capitalization of FOREX Differences where such option has been exercised by the Company as per AS-11.<br>☛ Adjustments on A/C of Exchange Fluctuations for Fixed Assets In case of Non-Integral Operations (AS-11).<br>☛ Borrowing Costs capitalized as per AS-16. |

(ii) **Intangible Assets (Also Refer AS-26)**

| Schedule III Disclosure Requirement | Points |
|---|---|
| (1) Classification shall be given as -<br>a) Goodwill, b) Brands/Trademarks, c) Computer Software, d) Mastheads and Publishing Titles, e) Mining Rights, f) Copyrights, and Patents and Other Intellectual Property Rights, Services and Operating Rights, g) Recipes, Formula. Models, Designs and Prototypes, h) Licenses and Franchise, i) Others (specify nature). | Classification of Intangible Assets has been introduced under Schedule VI (R).<br>Intangible Assets under development should also be disclosed separately, if AS-26 criteria are met. |

A reconciliation of the gross and net carrying amounts of each class of assets at the beginning and end of the reporting period showing additions, disposals, acquisitions through business combinations, amount of change due to revaluation (if change is 10% or more in the aggregate of the net carrying value of each class of intangible assets) and other adjustments and the related depreciation and impairment losses or reversals shall be disclosed separately.

(iii) **Capital Work in Progress**

| Schedule III Disclosure Requirement | Points |
|---|---|
| To be shown as a separate line item on the face of Balance Sheet. | Capital Advances should be included under Long-Term Loans and Advances and hence, cannot be included under Capital WIP. |

(iv) **Intangible Assets Under Development**

| Schedule III Disclosure Requirement | Points |
|---|---|
| To be shown as a separate line-item on the face of Balance Sheet. | Intangible Assets under development should be disclosed under this head provided they can be recognized based on the criteria laid down in AS-26. |

### (b) Non Current Investments (Also Refer AS-13)

| Schedule III Disclosure Requirement | Points |
|---|---|
| Non-Current Investments shall be classified as Trade In vestments and Other Investments, and further classified as Investments in -<br>(i) Property,<br>(ii) Equity Instruments,<br>(iii) Preference Shares,<br>(iv) Government/Trust Securities,<br>(v) Debentures or Bonds,<br>(vi) Mutual Funds,<br>(vii) Partnership Firms, and<br>(viii) Other Non-Current Investments (specify nature). | ✦ If a Debenture is to be redeemed partly within 12 months and balance again after 12 months, the amount to be redeemed within 12 months should be disclosed as current, and balance as Non-Current.<br>✦ "Trade Investment" is normally understood as an Investment made by a Company in Shares or Debentures of another Company, to promote the trade or business of the first Company. |
| **Notes:**<br>(1) Under each classification, details shall be given about the Names of Bodies Corporate {indicating separately whether such bodies are– a) Subsidiaries, b) Associates, c) Joint Ventures, or d) Controlled Special Purpose Entities} in whom Investments have been made and the nature and extent of the Investment so made in each such Body Corporate (showing separately Investments which are partly-paid). | **Controlled SPEs:**<br>✦ Schedule III requires separate disclosure of Investments in "Controlled Special Purpose Entities" in addition to Subsidiaries, Joint Venture, Associates, etc.<br>✦ Since the expression "Controlled SPEs" is not defined in the Act/Sch. III/AS, no disclosures would be additionally required to be made under this caption. If and when such terminology is explained/introduced in the applicable AS, the disclosure requirement would become applicable.<br>**Other Points:** "Nature and Extent" of Investment in each Body Corporate should be interpreted to mean the Number an Face Value of Share. Also, it is advisable to clearly disclosed whether Investments are fully paid or partly paid, (item wise) |

| | |
|---|---|
| (2) With regard to Investments in the capital of Partnership Firms, the Names of the Firms (with the names of all their Partners, Total Capital and the Shares of each Partner) shall be given. | **LLP:** A LLP is a Body Corporate, and not a Partnership Firm as envisaged under the Partnership Act, 1932. Hence, disclosures pertaining to Investments, in Firms will not include LLPs. Investments in LLPs will be disclosed separately under "Other Investments"<br>**Change in Constitution:** In case of change in constitution of the Firm during the year, the names of the Other Partners should be disclosed based on the position existing as on the date of Company's Balance Sheet.<br>**Capital:**<br>✦ The Total Capital of the Firm, to be disclosed, should be with reference to the Amount of Capital on the date of the Company's Balance Sheet.<br>✦ If the Partnership Firm has separate accounts for Partners' Capital Drawings or Current, Loans to or from Partners, etc. disclosure must be made with regard to the Total of Capitol Accounts alone, since this is what constitutes the capital of the Partnership Firm.<br>✦ Where, however, such Accounts have not been segregated, or where the Partnership Deed Provides that the Capital of each Partner is to be calculated by reference to the Net Amount at his credit after merging all the Accounts, the disclosure relating to the Partnership Capital must be made on the basis of the total effect of such accounts taken together.<br>✦ **Share of each Partner:** Share of each Partner means share in the Profits of the Firm, rather than the share in the Capital.<br>✦ **Different Reporting Dates:** If it is not practicable to draw up the Financial Statements of the Partnership upto such date and, are drawn upto different reporting dates, drawing analogy from AS-21 and AS-27, adjustments should be made for effects of significant transactions or other events that occur between those dates and the date of the Partners' Financial Statements. ALso1 the difference between reporting dates should not be more than 6 months. In such cases, the difference in reporting dates should be disclosed. |
| (3) Investments carried at other than at Cost should be separately stated specifying the basis for valuation thereof. | **Basis of Valuation:** Disclosure for the basis of valuation of Non Current Investments may be either of — (a) Cost, or (b) Costless Provision for other than temporary diminution, or (c) Lower of Cost and Fair Value. |

| | |
|---|---|
| (4) The following shall also be disclosed- a) Aggregate amount of Quoted Investments and Market Value thereof, b) Aggregate Amount of Unquoted Investments, c) Aggregate Provision for Diminution in value of Investments. | It is recommended to disclose the amount of provision netted- off for each Long-Term Investment However, the aggregate amount of provision made in respect of all Non- Current Investments should also be separately disclosed to comply with the specific disclosure requirement in Schedule III. |

### (c) Deferred Tax Asset (Also Refer AS - 22}

| Schedule III Disclosure Requirement | Points |
|---|---|
| To be shown as a separate line-item on the face of Balance Sheet. | — |

### (d) Long-term Loans And Advances

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) **General Classification:** Long-Term Loans and Advances shall be classified as–<br>(1) Capital Advances,<br>(2) Loans and Advances to Related Parties (giving details thereof),<br>(3) Other Loans and Advances (specify nature) | **Capital Advances:**<br>✦ It should be specifically included under Long-term Loans and Advances and hence, cannot be included under Capital Work-In-Progress.<br>✦ Capital Advances are advances given for procurement of Fixed Assets which are Non-current Assets. They are not realized back in cash, and over a period, get converted into Fixed Assets. Assets. Hence, they are always Long-term Advances, irrespective of when the Fixed Assets are expected to be received.<br>Other Loans and Advances should include all other items in the nature of advances recoverable in cash or kind, e.g., Prepaid Expenses, Advance Tax, CENVAT Credit Receivable, VAT Credit Receivable and Service Tax Credit Receivable which are not expected to be realized within the next 12 months or operating cycle whichever is longer, from the Balance Sheet date. |
| (ii) **Security wise Classification**: The above shall be separately sub-classified as–<br>(1) Secured, considered Good<br>(2) Unsecured, considered Good<br>(3) Doubtful | — |
| (iii) **Bad/Doubtful:** Allowance for Bad and Doubtful Loans and Advances shall be disclosed under the relevant heads separately. | — |
| (iv) **Directors etc.:** Loans and Advances due by Directors or Other Officers of the Company or any of them either severally or jointly with any other persons or amounts due by Firms or Private Companies respectively in which any Director is a Partner in a Director of a Member should be separately stated. | The term "Details" of Loans and Advances of Related Parties would mean disclosure requirements contained in AS-18. |

### (e) Other Non Current Assets

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) Other Non-Current Assets shall be classified as–<br>(1) Long-term Trade Receivables (including Trade Receivables on Deferred Credit Terms),<br>(2) Securities Deposits,<br>(3) Others (specify nature). | ✦ A Receivable shall be classified as 'Trade Receivable' if it is in respect of the amount due on account of goods sold or services rendered in the normal course of business. |
| (ii) **Security wise Classification:** Long Term Receivables shall be separately sub classified as–<br>(1) Secured, Considered good<br>(2) Unsecured, Considered Good<br>(3) Doubtful. | ✦ Dues in respect of Insurance Claims, Sale of Fixed Assets, Contractually Reimbursable Expenses, Interest Accrued on Trade Receivables, etc., should be classified as "Others" and each such item should be disclosed according to their nature. |
| (iii) For Trade Receivables Outstanding | ✦ Trade Receivables ageing schedule |

## 2. CURRENT ASSETS

### (a) Current Investments (Also Refer AS-13)

| Schedule III Disclosure Requirement | Points |
|---|---|
| Current Investments Shall be classified as–<br>(i) Investments in Equity Instruments,<br>(ii) Investment in Preference Shares,<br>(iii) Investments in Government or Trust Securities,<br>(iv) Investments in Debentures or Bonds,<br>(v) Investments in Mutual Funds,<br>(vi) Investments in Partnership Firms,<br>(vii) Other Investments (specify nature). | Principles given far Non-current Investments will apply here also to the relevant. However, Trade vs Non-Trade Classification, is not required for Current Investments. |
| **Notes:**<br>(1) Under each classification, details shall be given of Names of Bodies Corporate [indicating separately whether such Bodies are - a) Subsidiaries, b) Associates, c) Joint Ventures, or d) Controlled Special Purpose Entities) in whom Investments have been made and the nature and extent of the Investment so made in each such Body Corporate (showing separately investments which are party-paid). In regard to Investments in the Capital of Partnership Firms, the names of the Firms (with the names of all their Partners, Total Capitol and the percentage of Shores of each Partner) shall be given.<br>(2) The following shall also be disclosed:<br>a) Basis of Valuation of individual Investments,<br>b) Aggregate Amount of Quoted Investments and Market Value thereof,<br>c) Aggregate Amount of Unquoted Investments,<br>d) Aggregate Provision made for Diminution in Value of Investments. | |

### (b) Inventories (Also Refer AS-2)

| Schedule III Disclosure Requirement | Points |
|---|---|
| Inventories shall be classified as–<br>(i) Raw materials,<br>(ii) Work In Progress,<br>(iii) Finished Goods,<br>(iv) Stock-in-Trade (in respect of goods acquired for Trading),<br>(v) Stores and Spores,<br>(vi) Loose Toots,<br>(vii) Others (specify nature).<br>**Note:** Goods-In-Transit shall be disclosed under the relevant subhead of Inventories. Mode of Valuation shall be stated. | ✦ Goods in Transit should be included under relevant heads with Suitable disclosure.<br>✦ The heading "Finished Goods" should comprise alL Finished Goods other than those acquired for trading purposes. Those acquired for trading purposes are to be shown under "Stock in Trade". |

### (c) Trade Receivables

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) Aggregate amount of Trade Receivables outstanding for a period exceeding 6 months from the date they are due for payment should be separately stated.<br>(ii) **Security wise Details:** Trade Receivables shall be separately sub classified as -<br>(a) Secured, considered Good<br>(b) Unsecured, Considered Good<br>(c) Doubtful<br>(iii) **Bad/Doubtful:** Allowance for Bad and Doubtful Loans and Advances shall be disclosed under the relevant heads separately.<br>(iv) **Directors, etc:** Debts due by Directors or Other Officers of the Company or any of them either severally or jointly with any other person or debts due by Firms or Private Companies, respectively in which any Director is a Partner, or a Director, or a Member should be separately stated.<br>(v) Trade Receivables ageing schedule | ✦ Schedule III requires separate disclosure of "Trade Receivables O/s for a period exceeding 6 months from the dote they become due for payment", only for the current portion of Trade Receivables.<br>✦ Where no due date is specifically agreed upon, normal credit period allowed by the Company should be taken into consideration for computing the due date, which may vary depending upon the Nature of Goods or Services sold and the Type of Customers, etc.<br>✦ Amounts due under contractual obligations, e.g., dues in respect of Insurance Claims, Sale of Fixed Assets, Contractually Reimbursable Expenses, Interest Accrued on Trade Receivables, etc., cannot be included within Trade Receivables. Such Receivables should be classified as "Other Current Assets" and each such item should be disclosed nature wise.<br>✦ **Leon Period Activities:** Receivables arising out of sale of materials/rendering of services during a Company's Lean period, should be included under "Trade Receivables", if such activity is in the normal course of business. If they are not part of "normal course of business", they are to be classified under "Other Assets". |

### (d) Cash and Cash Equivalents (Also Refer AS-3)

| Schedule III Disclosure Requirement | Points |
|---|---|
| Cash and Cash Equivalents shall be classified as–<br>(i) Balances with Banks,<br>(ii) Cheques, Drafts an Hand,<br>(iii) Cash on Hand,<br>(iv) Other (Specify nature). | ✦ "Other Bank Balances" would comprise items like Balances with Banks to the extent of holding as Margin Money or Security against Borrowings, etc., and Bank Deposits with more than 3 months maturity. |

| | |
|---|---|
| **Notes;**<br>(1) Earmarked Balances with Banks (e.g. for Unpaid Dividend) shall be separately stated.<br>(2) Balances with Banks to the extent held as margin Money or Security against the Borrowings, Guarantees, Other Commitments shall be disclosed separately.<br>(3) Repatriation restrictions, if any, in respect of Cash and Bank Balances shall be separately stated.<br>(4) Bank Deposits with more than 12 months Maturity shall be disclosed separately. | ✦ Bank Deposits with mare than 12 months maturity will also need to be separately disclosed under the above subhead.<br>✦ The Non-Current Portion of each of the above balances should be classified under the head "Other Non-Current Assets" with separate disclosure thereof. |

### (e) Short Term Loans and Advances

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) **General Classification:** Short-Term Loans and Advances shall be classified as–<br>(1) Loans and Advances to Related Parties (giving details thereof),<br>(2) Others (specify nature).<br>(ii) **Security wise Classification:** The above shall also be sub classified as–<br>(1) Secured, considered Good,<br>(2) Unsecured, considered Good,<br>(3) Doubtful.<br>(iii) **Bad/Doubtful:** Allowance for Bad and Doubtful Loans and Advances shall be disclosed under the relevant heads separately.<br>(iv) **Directors, etc.:** Loans & Advances due by Directors or Other Officers of the Company or any of them either severally or Jointly with any other person or amounts due by Firms or Private Companies, respectively in which any Director is a Partner or a Director or a Member shall be separately stated. | Principles given for Long-Term Loans and Advances will apply here to the relevant extent. |

### (f) Other Current Assets

| Schedule fit Disclosure Requirement | Points |
|---|---|
| (i) This is an all-inclusive heading, which incorporates Current Assets which do not fit into any other Asset Cotegories.<br>(ii) Nature of each item should be specified.<br>(iii) In case any amount classified under this Category is doubtful, It is advisable that such doubtful amount as well as any provision made there against should be separately disclosed. | ✦ This is on all-inclusive heading, which incorporates Current Assets that do not fit into any other asset categories, e.g., Unbilled Revenue, Unaomortized Premium on Forward Contracts, etc. |

### (g) Contingent Liabilities and Commitments (To the Extent Not Provided for)

| Schedule III Disclosure Requirement | Points |
|---|---|
| (i) Contingent liabilities shall be classified as:<br>(1) Claims against the company not acknowledged as debt,<br>(2) Guarantees,<br>(3) Other money for which the company is contingently liable. | The amount of dividends proposed to be distributed to equity and preference Shore holders for the period and the related amount per share shall be disclosed separately. Arrears of fixed cumulative dividends on preference shares shall also be disclosed separately. |

| | |
|---|---|
| (ii) Commitments shall be classified as:<br>(1) Estimated amount of contracts remaining to be executed on capital account and not provided for,<br>(2) Uncalled Liability on shares and other investments partly paid,<br>(3) Other commitments (specify nature). | Where in respect of an issue of securities made for a specific purpose, the whole or part of the amount hos not been used for the specific purpose at the balance sheet dote, there shall be indicated by way of note how such unutilised amounts have been used or invested.<br>Where the company has not used the borrowings from banks and financial institutions for the specific purpose for which it was taken at the balance sheet date, the company Shall disclose the details of where they have been used. |

### (h) Additional Regulatory Information

(i) Title deeds of Immovable Property not held in name of the Company.

(ii) Where the Company has revalued Its Property, Plant and Equipment, the company shall disclose as to whether the revaluation is based on the valuation by a registered valuer as defined under rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017.

(iii) Following disclosures shall be made where Loans or Advances in the nature of loans are granted to promoters, directors, KMPs and the related parties (as defined under Companies Act, 2013,) either severally or jointly with any other person, that are:

(1) Repayable on demand or

(2) Without specifying any terms or period of repayment.

(iv) Capital-Work-in Progress (CWIP).

(v) Intangible assets under development.

(vi) Details of Benami Property held.

(vii) Where the Company has borrowings from banks or financial institutions on the basis of security of current assets, it shall disclose the following:-

(1) Whether quarterly returns or statements of current assets filed by the Company with banks or financial institutions are in agreement with the books of accounts,

(2) If not summary of reconciliation and reasons of material discrepancies, if any to be adequately disclosed.

(viii) Wilful Defaulter- Where a company is a declared wilful defaulter by any bank or financial Institution or other lender, following details shall be given:

(1) Date of declaration as wilful defaulter,

(2) Details of defaults (amount and nature of defaults),

(ix) Relationship with Struck Off Companies.

(x) Registration of charges or satisfaction with Registrar of Companies.

(xi) Compliance with number of layers of companies.

(xii) Following Ratios to be disclosed:

(1) Current Ratio,

(2) Debt-Equity Ratio,

(3) Debt Service Coverage Ratio,

(4) Return on Equity Ratio,

(5) Inventory turnover ratio,

(6) Trade Receivables turnover ratio,

(7) Trade payables turnover ratio,

(8) Net capital turnover ratio,

(9) Net profit ratio,

(10) Return on Capital employed,

(11) Return on investment.

(xiii) Compliance with approved Scheme(s) of Arrangements.

(xiv) Utilisation of Borrowed funds and share premium.

## E. PART II-FORM OF STATEMENT OF PROFIT AND LOSS

Name of the Company: ..........................................................................................................................

Profit and Loss Statement for the year ended: ......................................... (Rs. in. ............................................. )

| Particulars | Note No. | Figures for the Current Reporting Period | Figures for the Previous Reporting Period |
|---|---|---|---|
| I | Revenue from Operations | ××× | ××× |
| II | Other Income | ××× | ××× |
| III | **Total Income (I + II)** | ××× | ××× |
| IV | Expenses; | | |
| | Cost of Materials Consumed Purchases of Stock-In-Trade | ××× | ××× |
| | Changes in Inventories of Finished Goods/Work-in-progress and Stock-In-Trade | ××× | ××× |
| | Employee Benefits Expense | ××× | ××× |
| | Finance Costs | ××× | ××× |
| | Depreciation and Amortization Expense | ××× | ××× |
| | Other Expenses | ××× | ××× |
| | **Total Expenses** | ××× | ××× |
| V | Profit before Exceptional & Extraordinary Items and Tax (III – IV) | ××× | ××× |
| VI | Exceptional Items | ××× | ××× |
| VII | Profit before Extraordinary Items (V-VI) | ××× | ××× |
| VIII | Extraordinary Items | ××× | ××× |
| IX | Profit before Tax(VII –VIII) | ××× | ××× |
| X | Tax Expenses:<br>(1) Current Tax<br>(2) Deferred Tax | ××× | ××× |
| XI | Profit /(Loss) for the period from Continuing Operations (IX – X) | ××× | ××× |
| XII | Profit/(Loss) from Discontinuing Operations | ××× | ××× |
| XIII | Tax Expense of Discontinuing Operations | ××× | ××× |
| XIV | Profit/(Loss) from Discontinuing Operations (After Tax) (XII – XIII) | ××× | ××× |
| XV | Profit/(Loss) far the period (XI – XIV) | ××× | ××× |
| XVI | Earnings per Equity Share:<br>(1) Basic<br>(2) Diluted | ××× | ××× |

## F. GENERAL INSTRUCTIONS FOR PREPARATION OF STATEMENT OF PROFIT AND LOSS

| Item | Description | |
|---|---|---|
| 1. Revenue from Operations | **For Company other than a Finance Company:**<br>Revenue from Operations shall disclosed separately in the Notes, Revenue from–<br>1. Sale of Products<br>2. Sale of Services<br>3. Grants or donation received (relevant in case of Section 8 Companies)<br>4. Other Operating Revenues<br>5. Less: Excise Duty | **For Finance Company:** Revenue from Operations shall include Revenue from:<br>1. Interest &<br>2. Other Financial Services Revenue under each of the above heads shall be disclosed separately by way of Notes to Accounts to the extent applicable. |
| 2. Finance Costs | Finance Costs shall be classified as–<br>(a) Interest Expenses,<br>(b) Other Borrowing Costs,<br>(c) Applicable Net Gain/Loss on Foreign Currency Transactions and Translation. | |
| 3. Other Income | Other Income shall be Classified as–<br>(a) Interest Income (in case of a Company other than a Finance Company),<br>(b) Dividend Income,<br>(c) Net Gain/Loss on Sale of Investments,<br>(d) Other Non-Operating Income (Net of Expenses directly attributable to such income). | |
| 4. Additional Information | A Company shall disclose by way of Notes, additional information regarding Aggregate Expenditure and Income on the following items referred below. | |

## G. KEY DISCLOSURES IN THE PROFIT & LOSS ACCOUNT (AS PER SCHEDULE III OF COMPANIES ACT, 2013)

### a. EMPLOYEE & OTHER MAJOR EXPENSES

1. **Employee Benefits -** Show separately:
   (a) Salaries & Wages
   (b) PF & Other Fund Contributions
   (c) Expenses on ESOP / ESPP
   (d) Staff Welfare Expenses
2. **Depreciation & Amortization.**
3. **Any big item (more than 1 % of revenue or ?1,00,000 - whichever is higher).**
4. **Interest Income & Interest Expense.**
5. **Dividend Income.**
6. **Gain/Loss from Sale of Investments.**
7. **Change in Investment Value.**
8. **Foreign Currency Gain/Loss (not counted under finance cost).**
9. **Auditor's Fee - For audit, tax, company law, management, other services, and reimbursement.**
10. **CSR Spending (if covered under Sec 135).**

11. **Exceptional/Extraordinary Items.**
12. **Prior Period Items.**

### b. GOODS, MATERIALS & SERVICES

1. **Manufacturing Company -** Show Raw Materials & Goods Purchased (broad heads).
2. **Trading Company -** Show Goods Traded (broad heads).
3. **Service Providers -** Show Gross Income from Services (broad heads).
4. **Mixed Business -** Show Raw Materials, Sales, and Services Income (broad heads).
5. **Other Company -** Show Gross Income (broad heads).

### c. WORK-IN-PROGRESS

Show WIP under broad heads (whatever's pending completion).

### d. RESERVES - MADE OR USED

Material amounts **added to** or **withdrawn from** reserves (excluding specific liabilities).

### e. PROVISIONS - MADE OR USED

Material amounts **created for liabilities** or **reversed** if no longer needed.

### f. OTHER COMMON EXPENSES

1. Stores & Spare Parts,
2. Power & Fuel,
3. Rent,
4. Repairs (Building & Machinery),
5. Insurance,
6. Rates & Taxes (excluding income tax),
7. Miscellaneous Expenses.

### g. SUBSIDIARY INFO

1. Dividends from Subsidiaries.
2. Provisions for Subsidiary Losses.

### h. FOREIGN EXCHANGE DETAILS

1. **Imports (CIF value)** - Raw Material, Parts, Capital Goods.
2. **Foreign Spending** - Royalties, Consultancy, Interest.
3. Percentage of Imported vs Indigenous Material Consumption.
4. Dividend remittance to non-residents.
5. **Foreign Earnings** - Exports (FOB), Royalties, Fees, Interest, Others.

### i. UNDISCLOSED INCOME

Any income **found later** (like during IT raids) must be declared unless exempted under any scheme.

### j. CSR DISCLOSURE (SECTION 135)

1. Amount to be spent.
2. Amount actually spent.
3. Shortfall (this year + earlier years).
4. Reasons for shortfall.
5. Type of CSR activities.
6. Related Party involvement (like donations to controlled trusts).
7 Movement in CSR provisions (if any).

### k. CRYPTO/VIRTUAL CURRENCY

1. Profit or Loss from Crypto.
2. Holding at year-end.
3. Deposits/Advances received for Crypto Trading/Investment.

## TEST YOURSELF

**Profit and Loss Disclosures**

3. List the items that must be disclosed separately under "Employee Benefits Expense" as per Schedule III.
4. When is an income or expense item required to be shown separately in the Profit & Loss Account as per Schedule III?
5. Write a short note on the disclosure of Interest Income, Dividend Income and Foreign Currency Gains/ Losses in the Statement of Profit & Loss.
6. What are Exceptional and Extraordinary items? How are they treated in the Profit and Loss Account?
7. Explain the disclosure requirements related to Auditor's remuneration under Schedule III.

**Material, Goods, and Services Information**

8. How should raw materials, goods purchased and services rendered be presented in financial statements for: (i) Manufacturing Companies, (ii) Trading Companies, and (iii) Service Companies?
9. What is the disclosure requirement for work-in-progress as per Schedule III of Companies Act, 2013?

**Reserves and Provisions**

10. Distinguish between Reserves and Provisions. What are the disclosure requirements for both in financial statements?
11. When is a provision considered no longer required, and how is it treated in the books?

**Expense Breakdown**

12. List any five types of expenses which must be shown separately in the Statement of Profit and Loss as per Schedule III.
13. How are power, fuel, rent, and repairs disclosed under Schedule III?

**Subsidiaries and Foreign Exchange Information**

14. How are dividends received from subsidiary companies and provisions for subsidiary losses disclosed in financial statements?
15. Explain the disclosures required in relation to foreign exchange transactions as per Schedule III.

**CSR & Undisclosed Income**

16. What details are required to be disclosed in respect of Corporate Social Responsibility (CSR) activities by companies covered under Section 135 of the Companies Act, 2013?
17. What is 'Undisclosed Income'? What disclosure is required if such income is surrendered during tax assessment?

**Cryptocurrency Disclosures**

18. What disclosures are mandatory for companies that have traded or invested in Cryptocurrency or Virtual Currency during a financial year?

## H. TRUE AND FAIR VIEW OF FINANCIAL STATEMENTS

As per **Sections 128(1)** & **129(1)** of the Companies Act, 2013, every company must prepare financial statements that give a **true and fair view** of the company's financial condition.

These statements should **follow Accounting Standards** and be in the format given in **Schedule III**.

### a. WHAT DOES "TRUE AND FAIR VIEW" MEAN?

**It means:**

Nothing should be **hidden or misleading**

The financial statements should give a **clear and honest picture** to the users like investors or auditors

#### Key Concepts

1. **Materiality:**

   Important or big amounts must be shown clearly.

   **Example:** If a large amount of raw materials is sold, the **Profit/Loss** must be shown separately — not added to Sales.

2. **Prior-Period Items:**

   If something from the **Previous Year** is found or corrected this year, it should be shown **separately** in the Profit and Loss account.

   **Example:** If wages were increased from October 2015 but the decision came in March 2017, show extra wages of 2015-16 as a **prior-period item**.

3. **Extraordinary Items**:

   Unusual or one-time Incomes/Expenses should be shown **separately**.

   **Example:** Selling a Fixed Asset, Speculation Profit/Loss, or a Government Subsidy

4. **Change in Accounting Policies:**

   - If there is a change in accounting method (like for Inventory or Depreciation),
     - it should be **disclosed clearly.**
     - and the **impact on Profit/Loss** must also be shown.

## I. WHAT IS XBRL?

**XBRL** is a **digital language** used to share **business and financial data** in an organized and accurate way. It helps companies, auditors, and regulators **save time, reduce errors**, and make **better decisions**.

### a. HOW DOES XBRL WORK?

XBRL uses two main tools:

1. **Taxonomy** - Like a dictionary of financial terms based on rules set by regulators.
2. **Instance Document** - The actual report that uses those terms to present a company's financial data.

Companies match their financial items to the right XBRL tags (called **mapping**) and add extra information like units, time period, etc.

### b. HOW DO COMPANIES CREATE XBRL REPORTS?

Companies can:

1. Use XBRL-ready software.
2. Use special tools to map reports to XBRL.
3. Convert accounting data using third-party apps.

### c. WHO NEEDS TO FILE IN XBRL UNDER COMPANIES ACT, 2013?

Companies that must file in XBRL format include:

1. Listed companies & their Indian subsidiaries.
2. Companies with ₹5 crore + capital.
3. Companies with ₹100 crore + turnover.
4. Companies using Indian Accounting Standards (Ind AS).

(**Note:** Banks, NBFCs, insurance & housing finance companies are **exempt**.)

### d. BENEFITS OF XBRL

1. **Saves time** and money by automating data handling.
2. **Improves accuracy** and reduces errors.
3. Makes data easier to **compare** and analyze.
4. Helps create different reports (like tax, credit, internal) quickly.
5. Makes life easier for everyone – Companies, Investors, Regulators, etc.

## TEST YOURSELF

19. Explain the concept of "True and Fair View" of financial statements. How does it influence the presentation of financial information under the Companies Act, 2013.
20. What is XBRL, and how does it revolutionize financial reporting and disclosures in India? Explain the key features of XBRL that enhance the efficiency of financial data exchange.
21. Discuss the advantages and disadvantages of using XBRL in corporate financial reporting. How does it benefit stakeholders such as auditors, investors, and regulators.
22. Explain the role of XBRL in the context of compliance with the Companies Act, 2013. What are the filing requirements for companies under the XBRL framework?

CHAPTER 3

# ACCOUNTING STANDARDS

## A. INTRODUCTION – ACCOUNTING STANDARDS

Accounting Standards are like rulebooks created by expert accounting bodies or the government. They guide how companies should record, measure, present, and disclose their financial transactions in the Financial Statements such as the Balance Sheet and Profit and Loss Statement.

**Let's break this down in a simple way**

### a. RECOGNITION – WHAT TO RECORD AND WHERE?

Imagine you're a shopkeeper and you need to decide **what to write in your notebook and on which page** – assets on one side, incomes on the other.

Accounting Standards help us **recognize** whether a particular transaction should go into the **Balance Sheet** (like buying a machine) or the **Profit and Loss Account** (like paying electricity bill).

> Recognition means officially recording an item with its value in the Financial Statements.

### b. MEASUREMENT – HOW MUCH TO RECORD?

Now that you've decided **what to record**, the next question is – **at what value?**

Accounting Standards help us decide the **monetary value** of Assets, Liabilities, Income, and Expenses.

For example, when buying a machine (as per **AS 10** – Property, Plant & Equipment), we include:

1. Purchase price (after discounts),
2. Import duties,
3. Taxes (if not refundable),
4. Costs directly related to getting the machine ready to use.

> Measurement means putting the right price tag on each item you record.

### c. PRESENTATION – HOW TO SHOW IT?

Just like a presentation in a school project matters, the **format and clarity** of Financial Statements also matter.

Accounting Standards tell us **how to present** the items – in what format and under which heading.

For example, **AS 3 – Cash Flow Statements** tells us to classify cash flows into:

1. Operating activities
2. Investing activities
3. Financing activities

> Presentation means arranging the information neatly and clearly in the statements.

### d. DISCLOSURE – WHAT MORE SHOULD YOU TELL?

Sometimes, just numbers are not enough – we need to give **extra information** to help users understand the full picture. Accounting Standards guide what **additional details (notes)** should be shared.

For example, **AS 10** requires us to disclose:

1. The beginning and ending value of assets,
2. How much was added or removed,
3. If any asset was sold, etc.

Disclosure means giving extra useful information, like footnotes or background details.

## B. IMPORTANCE OF ACCOUNTING STANDARDS

**Accounting Standards** are like traffic rules for financial reporting – they help everyone stay on the same path, avoid confusion, and maintain trust. They tell us **how to record, value, present, and disclose** financial transactions so that the final statements show a **true and fair view** of the company's performance and position.

Let's understand **why these standards are important**:

### a. TO MAKE FINANCIAL STATEMENTS TRUSTWORTHY

Imagine reading a report card where marks are written randomly – would you trust it?

Accounting Standards bring **uniformity and consistency** in Financial Statements. This builds **trust** among investors, creditors, and other users.

They make financial reports more credible and reliable.

### b. TO MAKE COMPARISON EASY

Suppose two students give the same exam, but one is marked out of 100 and the other out of 50. Can we compare them? No.

Similarly, **Accounting Standards ensure all companies in the same industry follow the same rules**, so their financials can be **easily compared**.

This helps investors and analysts compare performance and make better decisions.

### c. TO HELP ACCOUNTANTS & AUDITORS

When rules are clearly defined, it becomes easier for accountants to do their job honestly.

Accounting Standards **reduce the chances of manipulation or fraud** and increase **transparency**.

Auditors also use these standards to check if the company is following correct practices.

It keeps the accounting profession ethical and disciplined.

### d. TO ENSURE IMPORTANT INFORMATION IS DISCLOSED

Not all useful information is mandatory by law.

But Accounting Standards **require extra important details**, like:

1. Method of Depreciation used,
2. Any changes in the method, etc.

This helps users understand the real picture behind the numbers.

More Disclosure = Better Decision-Making.

### e. TO MEASURE MANAGEMENT EFFICIENCY

When financial reports follow a common format, it's easy to judge how well a company is doing.

With Accounting Standards, we can **evaluate Profitability, Liquidity, Solvency**, etc., and **compare it with other companies**.

Without standards, every company would create their own rules, making comparisons meaningless.

### f. HELPFUL FOR THE GOVERNMENT TOO

Governments use financial data for:

1. Economic planning
2. Tax collection
3. Market regulation

If companies follow **Accounting Standards**, their data becomes **more reliable and useful** for these government purposes.

It helps in national-level planning and policymaking.

## C. LIST OF ACCOUNTING STANDARDS ISSUED BY ICAI

The **Institute of Chartered Accountants of India (ICAI)** has issued several **Accounting Standards (AS)** to make financial reporting **clear, consistent, and comparable** across all enterprises.

Important Updates:

1. **AS 8** (Research & Development) was **withdrawn** after **AS 26** (Intangible Assets) was introduced.
2. **AS 6** (Depreciation Accounting) was **withdrawn** when **Revised AS 10** (Property, Plant & Equipment) came in.
3. **AS 30, 31, 32** (related to Financial Instruments) were **withdrawn** in **2016**.

So, **effectively**, there are **27 Accounting Standards** currently in use.

| | |
|---|---|
| AS 1 | Disclosure of Accounting Policies |
| AS 2 | Valuation of Inventories (Revised) |
| AS 3 | Cash Flow Statements |
| AS 4 | Contingencies and Events Occurring After Balance Sheet Date (Revised) |
| AS 5 | Net profit or Loss for the period. Prior Period Items and Changes in Accounting Policies |
| AS 7 | Construction Contracts |
| AS 9 | Revenue Recognition |
| AS 10 | Property, Plant and Equipment(Revised) |
| AS 11 | The Effects of Changes in Foreign Exchange Rates |
| AS 12 | Government Grants |
| AS 13 | Accounting for Investments (Revised) |
| AS 14 | Accounting for Amalgamations (Revised) |
| AS 15 | Employee Benefits |
| AS 16 | Borrowing Costs |

| | |
|---|---|
| AS 17 | Segment Reporting |
| AS 18 | Related Party Disclosures |
| AS 19 | Leases |
| AS 20 | Earnings per Shore |
| AS 21 | Consolidated Financial Statements (Revised) |
| AS 22 | Accounting for Taxes on Income |
| AS 23 | Accounting for Investments in Associates |
| AS 24 | Discontinuing Operations |
| AS 25 | Interim Financial Reporting |
| AS 26 | Intangible Assets |
| AS 27 | Financial Reporting of Interests in Joint Ventures |
| AS 28 | Impairment of Assets |
| AS 29 | Provisions, Contingent Liabilities and Contingent Assets (Revised) |

## D. APPLICABILITY OF ACCOUNTING STANDARDS

### a. WHO NEEDS TO FOLLOW ACCOUNTING STANDARDS?

According to the **ICAI** (Institute of Chartered Accountants of India), Accounting Standards must be followed by **all types of organizations** that are doing any kind of **business, trade, or commercial activity**, even if they are not set up to make profit.

So, even if the purpose of an organization is **charity or religion**, but it **does any small business activity**, then it must follow **Accounting Standards**.

### b. WHO DOES NOT NEED TO FOLLOW ACCOUNTING STANDARDS?

If an organization **only** does **non-commercial work**, like:

"Just collecting donations and distributing them to flood-affected people,"

And **does nothing related to business**, then it does **not** have to follow Accounting Standards.

But remember:

**If even a small part of the work is commercial**, the entire organization must follow Accounting Standards.

### c. TYPES OF ORGANIZATIONS THAT MUST FOLLOW ACCOUNTING STANDARDS:

1. **Sole Proprietorships** (Individual-owned businesses)
2. **Partnership Firms**
3. **Societies**
4. **Trusts**
5. **Hindu Undivided Families (HUFs)**
6. **Association of Persons (AOP)**
7. **Body of Individuals (BOI)**
8. **Co-operative Societies**
9. **Companies and LLPs (Limited Liability Partnerships)**

### d. TO WHICH FINANCIAL STATEMENTS DO ACCOUNTING STANDARDS APPLY?

As per ICAI's guidelines, Accounting Standards are **applied to General Purpose Financial Statements**, which include:

1. Balance Sheet
2. **Statement of Profit and Loss**
3. **Cash Flow Statement** (where applicable)
4. **Notes to Accounts** and Explanatory Notes

These statements are:

(a) Used by **investors**, **government**, **lenders**, and the **public**

(b) Prepared for **general information** and **transparency**

(c) Checked and certified by **Chartered Accountants** (attested)

## E. ACCOUNTING STANDARDS AND AUDITORS & BOARD'S REPORT

### a. ROLE OF AUDITORS WITH RESPECT TO ACCOUNTING STANDARDS

1. **Auditors** are responsible for **checking whether the company has followed all mandatory Accounting Standards**.
2. As per **Section 143(3)(e)** of the **Companies Act, 2013**, the auditor must **report clearly** whether the Financial Statements are **in line with the Accounting Standards** mentioned in **Section 133** of the Act.

**In simple words**

The auditor must say in his audit report – "Yes, the company has followed all the applicable Accounting Standards."

**Or** if not followed, explain what was not followed and why.

### b. ROLE OF BOARD OF DIRECTORS (BOARD'S REPORT AND ACCOUNTING STANDARDS):

1. As per **Section 134(5)(a)** of the **Companies Act, 2013**, the **Directors' Responsibility Statement** (a part of Board's Report) must **confirm** that:

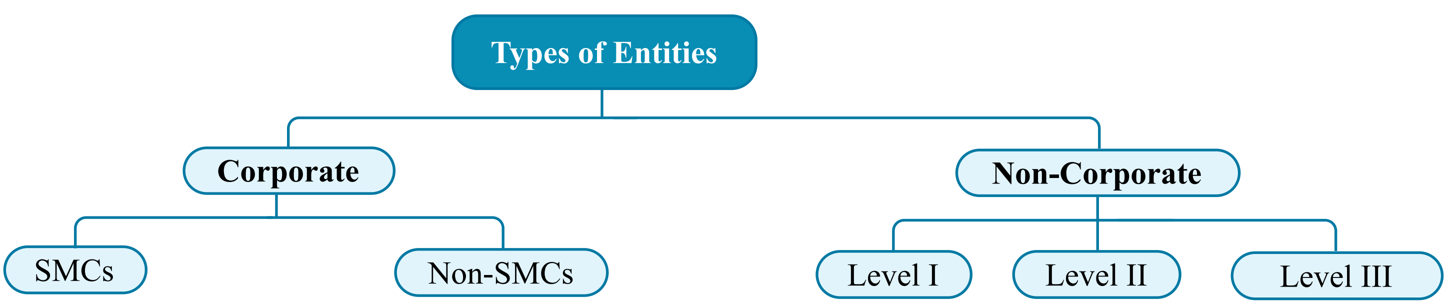
   (a) The **applicable Accounting Standards have been followed** while preparing the Annual Accounts.

   (b) If there is any **material departure**, then it must be explained **properly**.

**In simple words:**

The Board must take **responsibility** and **clearly declare** that they have followed the right Standards. If not, they must **give reasons**.

**For the purpose of applicability of Accounting Standard, entities are grouped as follows:**



## Corporate Entities

| Type | Conditions | Applicability of Accounting Standard |
|---|---|---|
| **Small and Medium Companies (SMCs)** | SMCs are companies that satisfy the following conditions:<br>(a) Equity and Debt securities of the company are not listed or are not in the process of listing on any stock exchange, whether in India or outside India<br>(b) Company is not a bank or financial institution or insurance company<br>(c) Company's turnover (excluding other income) does not exceed Rs. 50 crores in the immediately Preceding accounting year<br>(d) Company does not have borrowing (including public deposits) exceeding Rs. 10 crores at any time during the immediately preceding accounting year and<br>(e) Company is not a holding company or subsidiary of a non-SMC. | **Partial Exemption:** Certain relaxations are provided with respect to following Accounting Standard:<br>AS 17 - Segment Reporting<br>AS 15 - Employee Benefits<br>AS 19 - Leases<br>AS 20 - Earnings Per Share (EPS)<br>AS 29 - Provisions, contingent liabilities and contingent assets **Full Exemption**<br>AS 3 - Cash Flow Statements, shall not apply to SMCs if it is a One Person Company (OPC), Dormant company and Small Company |
| **Non-SMCs** | Any Other Corporate Entities not falling under SMCs | All the Accounting Standards are applicable to Non-SMCs. |

## Non-Corporate Entities

| Level | Conditions | Accounting Standards applicable |
|---|---|---|
| Level I | (a) Entities whose equity or debt instruments are listed or are in process of listing on any stock exchange (in or outside India)<br>(b) Banks (including co-operative banks), financial institutions or entities carrying on Insurance business<br>(c) All commercial, industrial or business reporting entities having:<br>Bcrrowings > 10 crores (at any time during immediately preceding accounting year)<br>Turnover > 50 crores (during preceding accounting year)<br>(d) Hoiamg or subsidiary entities of any of the above. | All the accounting standards are applicable to Level I entities. However, AS 21, 23 and 27 will apply based on regulatory requirement. |
| Level II | (a) Other than Level I entities if they fall under the following limit<br>(b) All commercial, industrial or business reporting entities having:<br>Bcrrowings > 1 crores (at any time during immediately preceding accounting year)<br>Turnover > 10 crores (during preceding accounting year)<br>(c) Holding or subsidiary entities of any of the above. | Fully applicable AS.<br>All accounting standards are applicable to Level II entities except AS 21, 23, 25, 27 and those discussed below.<br>AS applicable but certain relaxations regarding disclosure requirement<br>AS 19 - Leases<br>AS 20 - Earning Per Share<br>AS 29 - Provisions, contingent liabilities and contingent assets.<br>Accounting standards not applicable<br>AS 3 - Cash Flow Statement<br>AS 17 - Segment Reporting. |

| | | |
|---|---|---|
| Level III | All non-corporate entities other than Level I and Level II. | In addition to partial and full exemption as given in Level II, full exemption with respect to these two are also available:<br>AS 18 - Related Party Disclosures<br>AS 24 - Discontinuing Operations. |

**Conflict between Act and Accounting Standards**

In case there is any conflict between provisions of any applicable Act and Accounting Standard (AS), the provisions of the Act shall prevail to that extent

## F. OVERVIEW OF ACCOUNTING STANDARD

| AS | Deals with | Details |
|---|---|---|
| **AS 1** | **Disclosure of Accounting Policies** | Accounting policies are the specific accounting principles and the methods of applying those principles adopted by an enterprise in the preparation and presentation of Financial Statements. All significant accounting policies should be disclosed. Such disclosure form part of Financial Statements. All disclosures should be made at one place. Specific disclosure for the adoption of fundamental accounting assumptions is not required. Disclosure of accounting policies cannot remedy a wrong or inappropriate treatment of the item in the accounts. |
| **AS 2** | **Valuation of Inventories** | A primary issue in accounting for inventories is the determination of the value at which inventories are carried in the Financial Statements until the related revenues are recognized. This Standard deals with the determination of such value, including the ascertainment of cost of inventories and any write-down thereof to net realizable value.<br>Inventories should be valued at the lower of cost and net realizable value. The cost of inventories should comprise - All costs of purchase<br>✦ Costs of conversion<br>✦ Other costs incurred in bringing the inventories to their present location and condition. |
| **AS 3** | **Cash Flow Statements** | The Standard deals with the provision of Information about the historical changes in cash and cash equivalents of an enterprise by means of a cash flow statement which classifies cash flows during the period from operating, investing and financing activities. An enterprise should prepare a cash flow statement and should present it for each period for which Financial Statements are presented. Cash Flows are inflows and outflows of cash and cash equivalents.<br>Cash Flow Statement represents the cash flows during the specified period by operating, investing and financing activities. |

### AS 4 "Contingencies and Events Occurring After the Balance Sheet Date"

**Introduction**

AS 4 defines contingencies and events occurring after the balance sheet date and describes the accounting treatment and disclosure requirements thereof.

**AS 4 deals with**

- **Events occurring after the balance sheet date**
- **Contingencies* Excluding**
  - Liabilities of life assurance and general insurance enterprises arising from policies issued
  - Obligations under retirement benefit plans
  - Commitments arising from long-term lease contracts

** All paragraphs of this Standard that deal with contingencies are applicable only to the extent not covered by other Accounting Standards prescribed by the Central Government.*

**Contingency** → **Condition/Situation** → **Ultimate outcome**

Ultimate outcome: Determined only on the occurrence, or non-occurrence, of one or more uncertain future events

- **Gain** → Not recognised in the Financial Statements
- **Loss** → Charge in the statement of Profit and Loss
  - (a) It is probable that future events will confirm that, after considering related probable recovery, an asset has been impaired or a liability has been incurred as at the Balance sheet date
  - (b) Reasonable estimate of the amount of the resulting loss can be made.
  - Disclosed in the Financial Statements. If either of the conditions (a) and (b) is not met, unless the possibility of a loss is remote.

The existence and amount of guarantees, obligations arising from discounted bills of exchange and similar obligations undertaken by an enterprise are generally disclosed in Financial Statements by way of note, even though the possibility that a loss to the enterprise will occur, is remote.

**Events occurring after the reporting period**

- **Both favourable and unfavourable**
- **That occur between the end of the reporting period and the date when the Financial Statements are approved**
  - By the Board of Directors in case of a company
  - By the corresponding approving authority in case of any other entity
- **Adjusting events** → Those which provide further evidence of conditions that existed at the balance sheet date
- **Non-adjusting events** → Those which are indicative of conditions that arose after the balance sheet date.

**Disclosure**

**Adjusting events after the reporting period**

**Adjust the amounts recognised in the Financial Statements to reflect it**

**Example of adjusting events:**

Events occurring after the balance sheet date may indicate that the enterprise ceases to be a going concern.

For example, Destruction of a major production plant by a fire after the balance sheet date may indicate a need to consider whether it is proper to use the fundamental accounting assumption of going concern in the preparation of the Financial Statements.

**Non-adjusting events after the reporting period**

**Do not adjust the amounts recognised in the financial statements to reflect it**

**Example of a non-adjusting event**

Decline in market value of investments between the balance sheet date and the date on which the Financial Statements are approved. Ordinary fluctuations in market values do not relate to the condition of the investments at the balance sheet date

If non-adjusting events after the reporting period are material, then **disclose**

(a) The nature of the event; and

(b) An estimate of its financial effect, or a statement that such an estimate cannot be made.

**Dividend Declared after the reporting period but before approval of Financial Statements** → **Do not recognise it as a liability at the end of the reporting period.** → **Disclosed in the notes.** → **No obligation exists at the end of reporting period.**

## AS 5 "Net Profit or Loss For the Period, Prior Period Items and Changes in Accounting Policies"

### Introduction

The objective of AS 5 is to prescribe the classification and disclosure of certain items in the statement of Profit and Loss so that all enterprises prepare and present such a statement on a uniform basis. This standard requires the classification and disclosure of extraordinary and prior period items, and the disclosure of certain items within profit or loss from ordinary activities. It also specifies the accounting treatment for changes in accounting estimates and the disclosures to be made in the Financial Statements regarding changes in accounting policies.

**This Statement does not deal with tax implications of**

- **Extraordinary items,**
- **Prior period items,**
- **Changes in accounting estimates, and**
- **Changes in accounting policies for which appropriate adjustments are made.**

### Net Profit or Loss for the Period

The net profit or loss for the period comprises the following components, each of which should be disclosed on the face of the statement of profit and loss.

**Net Profit or Loss for the Period comprises**

- Ordinary Items,
- Extra Ordinary Items,
- Prior Period Items,
- Changes in Accounting Estimates and
- Changes in Accounting Polices.

**Profit or Loss from Ordinary Activities**

**Ordinary Activities**

**Activities**

Which are undertaken by an enterprise as part of its business and such related activities in which the enterprise engages in furtherance of, incidental to, or arising from, these activities.

**Example**

Profit/Loss on sale of merchandise.

**Disclosure**

When items of income and expense within profit or loss from ordinary activities are of such size, nature or incidence that their disclosure is relevant to explain performance of entity, Nature and Amount of such items should be disclosed separately.

**Special Disclosure**

(a) Write-down of inventories to net realisable value as well as the reversal of such write-downs

(b) Restructuring of the activities of an enterprise and the reversal of any provisions for the costs of restructuring

(c) Disposals of items of fixed assets and long-term investments

(d) Legislative changes having retrospective application

(e) Litigation settlements and other reversals of provisions

**Extraordinary Items**

**Extraordinary Items**

**Income or expenses that arise from events or transactions that are clearly distinct from the ordinary activities of the enterprise and, therefore, are not expected to recur frequently or regularly**

**Disclosed in the statement of profit and loss**

- As a part of Net Profit or Loss for the period.
- Nature and amount of each item separately disclosed → In a manner that its impact on current Profit or Loss can be perceived.

**Examples**

- Attachment of property of the enterprise.
- An earthquake.

An event or transaction may be extraordinary for one enterprise but not so for another enterprise because of the differences between their respective ordinary activities.

**Prior Period Items**

**Are income or expenses** → Which arise in the current period as a result of → Errors or omissions → In the preparation of the Financial Statements

Errors or omissions → Errors may occur as a result of mathematical mistakes, mistakes in applying accounting policies, misinterpretation of facts, or oversight.

In the preparation of the Financial Statements → Of one or more prior periods.

The nature and amount of prior period items should be separately disclosed in the statement of profit and Loss in a manner that their impact on the current Profit or Loss can be perceived

**Changes in Accounting Estimates**

**An estimate may have to be revised consequent to**

**Changes occurring in the circumstances based on which the estimate was made, or**

**New information, more experience or subsequent developments.**

Revision of an estimate

is neither an extraordinary item

nor a prior period item.

Residual value and the useful life of PPE → Should be reviewed at each financial year-end and → If expectations differ from previous estimates → Change should be accounted for → As a change in an accounting estimate.

**Effect of a change in an accounting estimate**

**Included in the determination of net Profit or Loss**

- Period of the change — If the change affects the period only.
- Period of the change and future periods — If the change affects both periods.

**Classification in statement of Profit and Loss**

- Using same classification as was used previously for the estimate.

**Disclosure**

- Nature and amount need to be disclosed
  - Which has a material effect in the current period.
  - Or expected to have a material effect in subsequent periods.

## Accounting Policies

**Can be changed only**

- When the adoption of a different accounting policy is required by statute; or
- For compliance with an Accounting Standard; or
- When it is considered that the change would result in a more appropriate presentation of the Financial Statements of the enterprise.

**Conditions wherein there are no changes in accounting policies**

- Adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions.
- Adoption of a new accounting policy for events or transactions which did not occur previously or dial were immaterial.

**Disclosure**

- Any change in accounting period which has material effect should be disclosed
- The impact of, and the adjustments resulting from, such change, should be shown in the Financial Statements of the period in which such change is made, to reflect the effect of such change.

### AS 7 "Construction Contracts"

AS 7 prescribes the principles of accounting for construction contracts in the Financial Statements of contractors. The focus of the standard is on allocation of contract revenue and contract costs to the accounting periods in which construction work is performed.

**What are Construction Contracts?**

- **Contracts Specifically negotiated for the construction of an asset or combination of assets that are closely interrelated.**
- **Contracts for rendering of services related to construction of assets.**
- **Contracts for destruction or restoration of assets.**

**Construction contracts can be classified into two categories.**

**Types of Construction Contracts**

- **Fixed price contract**: Contractor agrees to a fixed contract price or fixed rate per unit of output, which in some cases is subject to cost escalation.
- **Cost plus contract**: Contractor is reimbursed for allowable or otherwise defined costs, plus percentage of these costs or a fixed fee.

**If the final outcome of the contract**

- **Can be estimated reliably**
  - Revenue and costs recognized as per percentage of completion method considering the stage of completion of contract at reporting date.
- **Can not be estimated reliably**
  - Revenue should be recognized only to the extent of contract costs incurred, of which recovery is probable.
  - Contract costs should be recognised as an expense in the period in which they are incurred.

**Note:** Any expected loss (when contract cost > contract revenue) on the construction contract should be recognised as an expense immediately in both the situations.

**AS 7 Prescribes Conditions Under Which the Outcome of a Contract can be Estimated Reliably.**

**Outcome of contracts can be estimated reliably when**

- **In cost plus contract**
  - It is probable that the economic benefits associated with the contract will flow to the enterprise.
  - Contract costs attributable to the contract, whether or not specifically reimbursable, can be clearly identified and measured reliably.
- **In fixed price contract**
  - Total contract revenue can be measured reliably.
  - It is probable that the economic benefits associated with the contract will flow to the enterprise.
  - Both contract costs to complete the contract and the stage of contract completion at the reporting date can be measured reliably.
  - Contract costs attributable to contract can be clearly identified and measured reliably so that actual contract costs incurred can be compared with prior estimates.

**Methods for Determination of Stage of Completion of Contracts**

| **Determination of Stage of Completion** (Method to be chosen depending on the nature of the contract) | | |
|---|---|---|
| Proportion that contract costs incurred for work performed upto the reporting date bear to the estimated total contract costs | Surveys of work performed | Completion of a physical proportion of the contract work |

**As per the standard, Contract revenue and Contract costs comprise of the following**

| **Contract Revenue** | |
|---|---|
| Initial amount of revenue agreed in the contract. | Variations in contract work, claims and incentive payments if (a) it is probable that they will result in revenue. (b) they are capable of being reliably measured. |

| **Contract Costs** | | |
|---|---|---|
| Costs that relate directly to the specific contract. | Costs that are attributable to contract activity in general and can be allocated to the contract. | Such other costs as are specifically chargeable to the customer under the terms of the contract. |

| | |
|---|---|
| **Changes in Estimates** | (a) Application of percentage of completion on a cumulative basis in each accounting period to the current estimates of contract revenue and contract costs.<br>(b) Effect of a change in the estimate of contract revenue or contract costs, or the effect of a change in the estimate of the outcome of a contract, is accounted for as a change in accounting estimate.<br>(c) The changed estimates are used in determination of the amount of revenue and expenses recognised in the statement of Profit and Loss in the period in which the change is made and in subsequent periods. |

**When a contract covers a number of assets, each contract should be treated as separate contract if**

- **Separate proposals have been submitted for each asset.**
- **Each asset has been subject to separate negotiation and contractor and customers are able to accept or reject that part of the contract relating to each asset.**
- **Costs and revenues of each asset can be identified.**

**A group of contracts, whether with a single customer or with several customers, should be treated as a single construction contract when**

- **Group of contracts is negotiated as a single package.**
- **Contracts are performed concurrently or in a continuous sequence.**
- **Contracts are so closely interrelated that they are, in effect, part of a single project with an overall profit margin.**

A contract may provide for the construction of an additional asset at the option of the customer or may be amended to include the construction of an additional asset.

Construction of the additional asset should be treated as a separate construction contract when

- Asset differs significantly in design, technology or function from the asset or assets covered by the original contract
- Price of the asset is negotiated without regard to the original contract price.

**Disclosures in Financial Statements**

**General**

- Amount of contract revenue recognised as revenue in the period
- Methods used to determine the stage of completion of contracts in progress

**Specific for contracts in progress**

- Amount of advances received
- Amount of retentions

**Retentions** are the amounts of progress billings which are not paid until the satisfaction of conditions specified in the contract for the payment of such amounts or until defects have been rectified.

**An enterprise should present gross amount for contract work in the Financial Statements**

- **Due from customers** → As an Asset
- **Due to customers** → As a Liability

## AS 9 "Revenue Recognition"

AS 9 explains the timing for recognition of revenue in the Financial Statements and also state the circumstances under which revenue recognition should be postponed.

**AS 9 dealt with** → Bases for recognition of revenue arising in the course of the ordinary activities → In the statement of Profit and Loss of an enterprise.

**Revenue is the gross inflow of cash, receivables or other consideration arising from**

- **Sale of goods**
- **Rendering of services**
- **Use by others of enterprise resources yielding interest, royalties and dividends**

**AS 9 does not deal with revenue arising from**

- Construction contracts
- Hire-purchase, lease agreements
- Government grants and other similar subsidies
- Insurance contracts of insurance companies

Items not included within the definition of "revenue"

- Realised gains resulting from the disposal of non-current assets
- Unrealised gains resulting front the restatement of the carrying amount of an obligation
- Unrealised gains resulting front the holding of non-current assets e.g. appreciation in the value of fixed assets
- Realised gains resulting from the discharge of an obligation at less than its carrying amount
- Unrealised holding gains resulting from the change in value of current assets, and the natural increases in herds and agricultural and forest products
- Realised or Unrealised gains resulting from changes in foreign exchange rates and adjustments due to translation of foreign currency Financial Statements

**Sale of Goods**

Revenue from sale of goods should be recognised when the requirements as to performance as set out in the standard are satisfied.

**In sale of goods, performance should be regarded as being achieved when**

- Seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership haw been transferred to the buyer and the seller retains no effective control of the goods transferred.
- No significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

**Rendering of Services**

Revenue from service transactions is usually recognised as the service is performed.

**Methods of recognition of Revenue**

**Proportionate completion method**

(a) Recognition of revenue in the statement of Profit and Loss proportionately with the degree of completion of services under a contract.

(b) Performance consists of the execution of more than one act.

(c) Revenue is recognised proportionately by reference to the performance of each act.

**Completed service contract method**

(a) Recognition of revenue in the statement of profit and loss only when the rendering of services under a contract is completed or substantially completed.

(b) Services become chargeable.

(c) Performance consists of the execution of a single act.

**Note:** Revenue from Sale of goods "for consideration" and Service transactions should be recognized only when no significant uncertainty exists regarding amount of consideration.

**Use of Enterprise Resources by Other Parties**

Use of enterprise resources by others may yield revenue in the form of Interest, Royalties and Dividends.

**Recognition of Revenue when enterprise resources are used by others**

- **Interest -** Time basis
- **Royalties -** Accrual basis depending upon the terms of agreement.
- **Dividends -** When right to receive the payment is established.

**Effect of Uncertainties on Revenue Recognition**

Where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, revenue recognition is postponed to the extent of uncertainty involved. When the uncertainty relating to collectability arises subsequent to the time of sale or the rendering of the service, it is more appropriate to make a separate provision to reflect the uncertainty rather than to adjust the amount of revenue originally recorded.

**Disclosures**

In addition to the disclosures required by AS 1 "Disclosure of Accounting Policies", an enterprise should disclose the circumstances in which revenue recognition has been postponed pending the resolution of significant uncertainties.

| | | |
|---|---|---|
| **AS 10** | **Property, Plant and Equipment** | Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to other or for administrative services. The objective of this AS is to prescribe the accounting treatment for property, plant and equipment. The principal issues in accounting for Property, Plant and Equipment are the recognition of the assets, determination of their carrying amounts and depreciation charges and recognition of impairment losses in relation to them. Under this AS, Property, Plant and Equipment are initially recognized at cost, subsequently measured by using either cost model or revaluation model and depreciated so that its depreciable amount is allocated on a systematic basis over its useful life. |
| **AS 11** | **The Effects of Changes in Foreign Exchange Rates** | An enterprise may carry on activities involving foreign exchange in two ways. It may have transactions in foreign currencies or it may have foreign operations. In order to include foreign currency transactions and foreign operations in the Financial Statements of an enterprise, transactions must be expressed in the enterprise's reporting currency and the Financial Statements of foreign operations must be translated into the enterpriser reporting Ciirrenrij<br>This Standard should be applied:<br>(a) In accounting for transactions in foreign currencies; and<br>(b) In translating the Financial Statements of foreign operations. |
| **AS 12** | **Accounting for Government Grants** | This Standard deals with accounting for Government Grants. Government grants are sometimes called by other names such as subsidies, cash incentives, duty drawbacks, etc.<br>Government grants are assistance by government in cash or kind to an enterprise for past or future compliance with certain conditions. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the enterprise.<br>The receipt of government grants by an enterprise is significant for preparation of the Financial Statements for two reasons. Firstly, if a government grant has been received, an appropriate method of accounting therefor is necessary. Secondly, it is desirable to give an indication of the extent to which the enterprise has benefited from such grant during the reporting period. This facilitates comparison of an enterprise's Financial Statements with those of prior periods and with those of other enterprises. |
| **AS 13** | **Accounting for Investments** | This Standard deals with accounting for investments in the Financial Statements Ofenterprises and related disclosure requirements.<br>**Investments** are assets held by an enterprise for earning income by way of dividends, interest, and rentals, for capital appreciation, or for other benefits to the investing enterprise. ***Assets held os stock-in-trade are not 'investments'.***<br>Enterprises hold investments for diverse reasons. For some enterprises, investment activity is a significant element of operations, and assessment of the performance of the enterprise may largely, or solely, depend on the reported results of this activity.<br>An enterprise should disclose current investments and long term investments distinctly in its Financial Statements. Further classification of current and long-term investments should be as specified in the statute governing the enterprise. In the absence of a statutory requirement, such further classification should disclose, where applicable, investments in:<br>(a) Government or Trust securities,<br>(b) Shares, debentures or bonds,<br>(c) Investment properties,<br>(d) Others-Specifying nature. |

| | | |
|---|---|---|
| **AS 14** | **Accounting for Amalgamations** | This standard deals with accounting for amalgamations and the treatment of any resultant goodwill or reserves. This standard is directed principally to companies although some of its requirements also apply to Financial Statements of other enterprises.<br>According to this Standard, amalgamation means an amalgamation pursuant to the provisions of the Companies Act. 2013 or any other statute which may be applicable to companies.<br>An amalgamation may be either-<br>(a) An amalgamation in the nature of merger, or<br>(b) An amalgamation in the nature of purchase. |
| **AS 15** | **Employee Benefits** | The objective of this Standard is to prescribe the accounting and disclosure for employee benefits. The Standard requires an enterprise to recognise:<br>(a) A liability when an employee has provided service in exchange for employee benefits to be paid in the future; and<br>(b) An expense when the enterprise consumes the economic benefit arising from service provided by an employee in exchange for employee benefits.<br>Employee benefits are all forms of consideration given by an enterprise in exchange for service rendered by employees. |
| **AS 16** | **Borrowing Costs** | The objective of this Standard is to prescribe the accounting treatment for borrowing costs.<br>**Borrowing costs** are interest and other costs incurred by an enterprise in connection with the borrowing of funds. Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalised as part of the cost of that asset. The amount of borrowing costs eligible for capitalisation should be determined in accordance with this Standard. Other borrowing costs should be recognised as an expense in the period in which they are incurred.<br>The Financial Statements should disclose:<br>(a) The accounting policy adopted for borrowing costs; and<br>(b) The amount of borrowing costs capitalised during the period. |
| **AS 17** | **Segment Reporting** | The objective of this Standard is to establish principles for reporting financial information, about the different types of products and services an enterprise produces and the different geographical areas in which it operates. Such information helps users of Financial Statements:<br>(a) Better understand the performance of the enterprise;<br>(b) Better assess the risks and returns of the enterprise; and<br>(c) Make more informed judgements about the enterprise as a whole.<br>If a single financial report contains both consolidated Financial Statements and the separate Financial Statements of the parent, segment information need be presented only on the basis of the consolidated Financial Statements.<br>In the context of reporting of segment information in consolidated Financial Statements, the references in this Standard to any financial statement items should construed to be the relevant item as appearing in the consolidated Financial Statements. |
| **AS 18** | **Related Party Disclosures** | The objective of this Standard is to establish requirements for disclosure of:<br>(a) Related party relationships; and<br>(b) Transactions between a reporting enterprise and its related parties.<br>This Standard should be applied in reporting related party relationships and transactions between a reporting enterprise and its related parties. The requirements of this Standard apply to the Financial Statements of each reporting enterprise as also to consolidated Financial Statements presented by a holding company. |

| | | |
|---|---|---|
| **AS 19** | **Leases** | The objective of this Standard is to prescribe, for lessees and lessors, the appropriate accounting policies and disclosures in relation to finance leases and operating leases. This Standard should be applied in accounting for all leases other than:<br>(a) Lease agreements to explore for or use natural resources, such as oil. gas. timber, metals and other mineral rights;<br>(b) Licensing agreements for items such as motion picture films, video recordings, plays, manuscripts, patents and copyrights; and<br>(c) Lease agreements to use lands. |
| **AS 20** | **Earnings per Share** | The objective of this Standard is to prescribe principles for the determination and presentation of earnings per share which will improve comparison of performance among different enterprises for the same period and among different accounting periods for the same enterprise. The focus of this Standard is on the denominator of the earnings per share calculation. Even though earnings per share data has limitations because of different accounting policies used for determining 'earnings', a consistently determined denominator enhances the quality of financial reporting.<br>This Standard should be applied by all companies. However, a Small and Medium Sized Company, as defined in the Notification may not disclose diluted earnings per share (both including and excluding extraordinary items).<br>In consolidated Financial Statements, the information required by this Statement should be presented on the basis of consolidated information. |
| **AS 21** | **Consolidated Financial Statements** | The objective of this Standard is to lay down principles and procedures for preparation and presentation of consolidated Financial Statements. Consolidated Financial Statements are presented by a parent (also known *as holding enterprise*) to provide financial information about the economic activities of its group. These statements are intended to present financial information about a parent and its subsidiary (ies) as a single economic entity to show the economic resources controlled by the group, the obligations of the group and results the group achieves with its resources.<br>This Standard should be applied in the preparation and presentation of consolidated Financial Statements for a group of enterprises under the control of a parent.<br>This Standard should also be applied in accounting for investments in subsidiaries in the separate Financial Statements of a parent |
| **AS 22** | **Accounting for Taxes on Income** | The objective of this Standard is to prescribe accounting treatment for taxes on income. Taxes on income is one of the significant items in the statement of profit and loss of an enterprise. In accordance with the matching concept, taxes on income are accrued in the same period as the revenue and expenses to which they relate. Matching of such taxes against revenue for a period poses special problems arising from the fact that in a number of cases, taxable income may be significantly different from the accounting income. This divergence between taxable income and accounting income arises due to two main reasons. Firstly, there are differences between items of revenue and expenses as appearing in the statement of profit and loss and the items which are considered as revenue, expenses or deductions for tax purposes. Secondly, there are differences between the amount in respect of a particular item of revenue or expense as recognised in the statement of profit and loss.<br>This Standard should be applied in accounting for taxes on income. This includes the determination of the amount of the expense or saving related to taxes on income in respect of an accounting period and the disclosure of such an amount in the Financial Statements. |

| | | |
|---|---|---|
| **AS 23** | **Accounting for Investments in Associates in Consolidated Financial Statements** | The objective of this Standard is to set out principles and procedures for recognising, in the consolidated Financial Statements, the effects of the investments in associates on the financial position and operating results of a group.<br>This Standard should be applied in accounting for investments in associates in the preparation and presentation of consolidated Financial Statements by an investor. |
| **AS 24** | **Discontinuing Operations** | The objective of this Standard is to establish principles for reporting information about discontinuing operations, thereby enhancing the ability of users of Financial Statements to make projections of an enterprise's cash flows, earnings-generating capacity, and financial position by segregating information about discontinuing operations from information about continuing operations.<br>This Standard applies to all discontinuing operations of an enterprise.<br>The requirements related to cash flow statement contained in this Standard are applicable where an enterprise prepares and presents a cash flow statement. |
| **AS 25** | **Interim Financial Reporting** | The objective of this Standard is to prescribe the minimum content of an interim financial report and to prescribe the principles for recognition and measurement in complete or condensed Financial Statements for an interim period. Timely and reliable interim financial reporting improves the ability of investors, creditors, and others to understand an enterprise's capacity to generate earnings and cash flows, its financial condition and liquidity.<br>This Standard does not mandate which enterprises should be required to present interim financial reports, how frequently, or how soon after the end of an interim period. If an enterprise is required or elects to prepare and present an interim financial report, it should comply with this Standard. |
| **AS 26** | **Intangible Assets** | The objective of this Standard is to prescribe the accounting treatment for intangible assets that are not dealt with specifically in another Accounting Standard. This Standard requires an enterprise to recognise an intangible asset if, and only if. certain criteria are met. The Standard also specifies how to measure the carrying amount of intangible assets and requires certain disclosures about intangible assets.<br>This Standard should be applied by all enterprises in accounting for intangible assets, ***except:***<br>(a) Intangible assets that are covered by another Accounting Standard;<br>(b) Financial assets;<br>(c) Mineral rights and expenditure on the exploration for. or development and extraction of. minerals, oil. natural gas and similar non-regenerative resources; and<br>(d) Intangible assets arising in insurance enterprises from contracts with policyholders.<br>**An intangible asset should be recognised if. and only if;**<br>(a) It is probable that the future economic benefits that are attributable to the asset will flow to the enterprise; and<br>(b) The cost of the asset can be measured reliably.<br>An enterprise should assess the probability of future economic benefits using reasonable and supportable assumptions that represent best estimate of the set of economic conditions that will exist over the useful life of the asset. |

| | | |
|---|---|---|
| **AS 27** | **Financial Reporting of Interests in Joint Ventures** | The objective of this Standard is to set out principles and procedures for accounting for interests in joint ventures and reporting of joint venture Assets, Liabilities, Income and Expenses in the Financial Statements of venturers and investors.<br>This Standard should be applied in accounting for interests in joint ventures and the reporting of joint venture Assets, Liabilities, Income and Expenses in the Financial Statements of Venturers and Investors, Regardless of the Structures or forms under which the joint venture activities take place. |
| **AS 28** | **Impairment of Assets** | The objective of this Standard is to prescribe the procedures that an enterprise applies to ensure that its assets are carried at no more than their recoverable amount. An asset is carried at more than its recoverable amount if its carrying amount exceeds the amount to be recovered through use or sale of the asset. If this is the case, the asset is described as impaired and this Standard requires the enterprise to recognise an impairment loss. This Standard also specifies when an enterprise should reverse an impairment loss and it prescribes certain disclosures for impaired assets.<br>This Standard should be applied in accounting for the impairment of all assets, other than:<br>(a) Inventories (see AS 2, Valuation of Inventories):<br>(b) Assets arising from construction contracts (see AS 7, Construction Contracts):<br>(c) financial assets, including investments that are included in the scope of AS 13, Accounting for Investments; and deferred tax assets (see AS 22, Accounting for Taxes on Income). |

## AS 29 "Provisions, Contingent Liabilities and Contingent Assets"

AS 29 lays down appropriate accounting for contingent assets. The objective of AS 29 (Revised) is to ensure appropriate recognition criteria and measurement bases, are applied to provisions and contingent liabilities.

**Scope**

**AS 29 should be applied in accounting for provisions and contingent liabilities and in dealing with contingent assets, other than**

Those resulting from financial instruments that are carried at fair value; "Those resulting from executory contracts except where the contract is onerous".

Those arising in insurance enterprises from contracts with policy holders; and Those covered by another Accounting Standard.

"An 'onerous contract' is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

**Key Terms**

| |
|---|
| **Executory contracts** are contracts under which neither party has performed any of its obligations or both parties have partially performed their obligations to in equal extent. |
| A **Provision** is a liability which can be measured only by using a substantial degree of estimation. |
| A **Liability** is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits. |
| An **Obligating** event is an event that creates an obligation that results in an enterprise having no realistic alternative to settling that obligation. |

**A Contingent liability is:**

- **(a)** A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise; or
- **(b)** A present obligation that arises from past events but is not recognised because
  - (i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
  - (ii) A reliable climate of the amount of the obligation cannot be made.

A **contingent asset** is a possible asset that arises from past events the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

**Present obligation** - an obligation is a present obligation if, based on the evidence available, its existence at the balance sheet date is considered probable, i.e., more likely than not

**Possible obligation** - an obligation is a possible obligation if, based on the evidence available, its existence at the balance sheet date is considered not probable.

A **Restructuring** is a programme that is planned and controlled by management, and materially changes either:

(a) The scope of a business undertaken by an enterprise; or

(b) The manner in which that business is conducted.

**Provisions**

**A provision should be recognised when:**

- (a) An enterprise has a present obligation as a result of a past event
- (b) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- (c) A reliable estimate can be made of the amount of the obligation.

**Present Obligation**

- An enterprise should determine whether a present obligation exists at the balance sheet date by taking account of all available evidence.
- Where it is more likely than not that a present obligation exists at the balance sheet date, the enterprise recognises a provision (if the recognition criteria are met); and
- Where it it more likely that no present obligation exists at the balance sheet date, the enterprise discloses a contingent liability, unless the possibility of an outflow of resources embodying economic benefits is remote.

**Past Event**

A past event that leads to a present obligation is called an obligating event. For an event to be an obligating event, it is necessary that the enterprise has no realistic alternative to settling the obligation created by the event.

No provision is recognised for costs that need to be incurred to operate in the future. The only liabilities recognised in an enterprise's balance sheet are those that exist at the balance sheet date.

It is only those obligations arising from past events existing independently of an enterprise's future actions that are recognised as provisions.

An event that does not give rise to an obligation immediately may do so at a later date, because of changes in the law. However, the causing of the damage will become an obligating event when a new law requires the existing damage to be rectified.

**Probable Outflow of Resources Embodying Economic Benefits**

For a liability to qualify for recognition there must be not only a present obligation but also the probability of an outflow of resources embodying economic benefits to settle that obligation. An outflow of resources or other event is regarded as probable if the probability that the event will occur is greater than the probability that it will not. Where it is not probable that a present obligation exists, an enterprise discloses a contingent liability, unless the possibility of an outflow of resources embodying economic benefits is remote.

Where there are a number of similar obligations (e g, product warranties or similar contracts) the probability that an outflow will be required in settlement is determined by considering the class of obligations as a whole. Although the likelihood of outflow for any one item may be small, it may well be probable that some outflow of resources will be needed to settle the class of obligations as a whole. If that is the case, a provision is recognised (if the other recognition criteria are met).

**Reliable Estimate of the Obligation**

The use of estimates is an inherent part of preparing Financial Statements and docs not undermine their reliability. Provisions require a greater degree of estimation than most other items, but it should not be impossible to determine a range of possible outcomes.

In the extremely rare case where no reliable estimate can be made, a liability exists that cannot be recognised. That liability will, instead, be disclosed as a contingent liability.

**Contingent Liabilities**

An enterprise should not recognise a contingent liability but should be disclosed. A contingent liability is disclosed, unless the possibility of an outflow of resources embodying economic benefits is remote.

Where an enterprise is jointly and severally liable for an obligation, the part of the obligation that is expected to be met by other parties ts treated as a contingent liability. The enterprise recognises a provision for the part of the obligation for which an outflow of resources embodying economic benefits is probable, except in the extremely rare circumstances where no reliable estimate can be made.

**Contingent Assets**

Contingent assets usually arise from unplanned or other unexpected events that give rise to the possibility of an inflow of economic benefits to the enterprise.

An enterprise should not recognise a contingent asset, since this may result in the recognition of income that may never be realised.

A contingent asset is not disclosed in the financial Statements. It is usually disclosed in the report of the approving authority where an inflow of economic is probable.

Contingent assets are assessed continually and if it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognised

**Provisions and contingent liabilities**

Where, as a result of past events, there may be an outflow of resources embodying future economic benefits in settlement of:

(a) A present obligation the one whose existence at the balance sheet date is considered probate; or

(b) A possible obligation the existence of which at the balance sheet date is considered not probable

| There is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation. | There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. | There is a possible obligation or a present obligation where the likelihood of an outflow of resources is remote. |
|---|---|---|
| A provision is recognised. Disclosures are required for the provision. | No provision is recognised. Disclosures are requited for the contingent liability. | No provision is recognised. No disclosure is required. |

**Measurement- Best Estimate**

The amount recognised as a provision should be the best estimate of the expenditure required to settle the present obligation at the Balance sheet date.

The estimates of outcome and financial effect are determined by the judgment of the management of the enterprise, supplemented by experience of similar transactions and, in some cases, reports from independent experts.

**Risks and Uncertainties**

The risks and uncertainties that inevitably surround many events and circumstances should be taken into account in reaching the best estimate of a provision.

**Future Events**

It is only those obligations arising from past events that exist independently of the enterprise's future actions that are recognised as provisions.

Future events that may affect the amount required to settle an obligation should be reflected in the amount of a provision where there is sufficient objective evidence that they will occur.

The effect of possible new legislation is taken into consideration in measuring an existing obligation when sufficient objective evidence exists that the legislation is virtually certain to be enacted.

**Expected Disposal of Assets**

Gains on the expected disposal of assets are not taken into account in measuring a provision, even if the expected disposal is closely linked to the event giving rise to the provision. Instead, an enterprise recognises gains on expected disposals of assets at the time specified by the Accounting Standard dealing with the assets concerned.

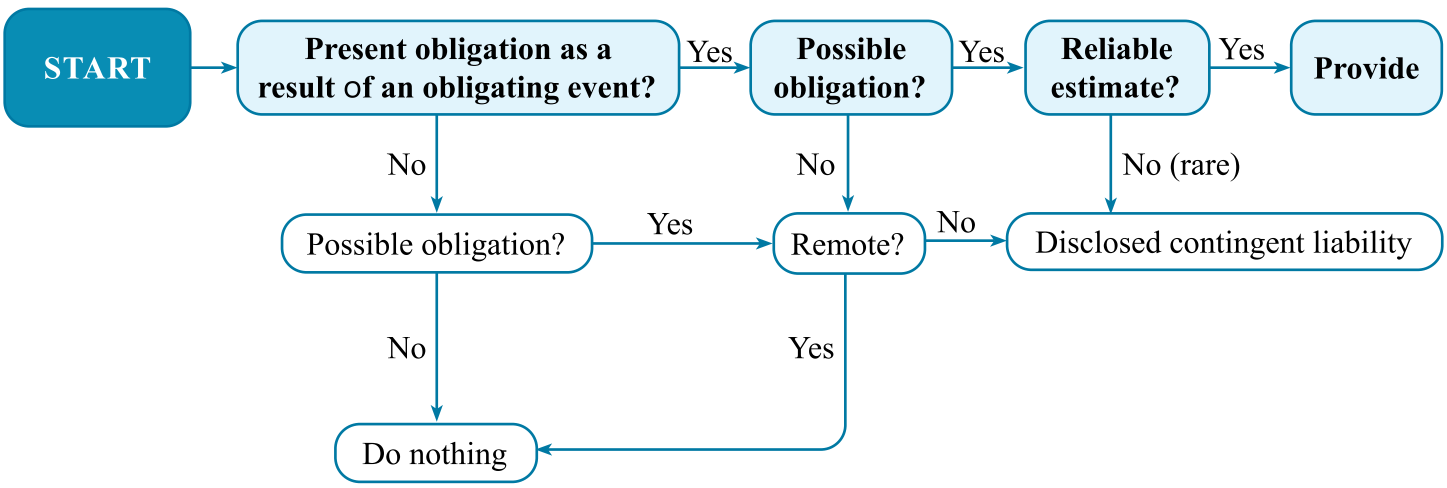
**Reimbursement**

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement should be recognised when, and only when, it is virtually certain that reimbursement will be received if the enterprise settles the obligation.

**Some or all of the expenditure formatting inconsistent to settle a provision is expected to be reimbursed by another party.**

| | | |
|---|---|---|
| **The enterprise has no obligation for the part of the expenditure to be reimbursed by the other party.** | The obligation for the amount expected to be reimbursed remains with the enterprise and it is certain that reimbursement will be received if the enterprise settles the provision. | The obligation for the amount expected to be reimbursed remains with the enterprise and it is certain that reimbursement will be received if the enterprise settles the provision |
| **The enterprise has no liability for the amount to be reimbursed.** | The reimbursement is recognised as a separate asset in the balance sheet and may be offset against the expense in the statement of Profit and Loss. The amount recognised for the expected reimbursement dose not exceed the liability | The expected reimbursement is not recognised as an asset. |
| **No disclosure is required.** | The reimbursement is disclosed together with the amount recognised for the reimbursement | The expected reimbursement is disclosed |

**Decision Tree**




**Changes In Provisions**

Provisions should be reviewed at each Balance sheet date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision should be reversed.

**Note:** As per the amendment made in AS 29 (Revised) pursuant to MCA notification dated 30 March 2016, effective from financial year 2016-17, all the existing provisions for decommissioning, restoration and similar liabilities should be discounted prospectively, with the corresponding effect to the related item of Property, Plant and Equipment.

**Use of Provisions**

A provision should be used only for expenditures for which the provision was originally recognised. Only expenditures that relate to the original provision are adjusted against it.

**Application of the Recognition and Measurement Rules**

**Future Operating Losses**

Future operating losses do not meet the definition of a liability and the genera) recognition criteria, therefore provisions should not be recognised for future operating losses.

**Restructuring**

**The following are examples of events that may fall under the definition of restructuring:**

- **Sale or termination of a line of business.**
- **Closure of business locations in a country or region or the relocation of business activities.**
- **Changes in management structure.**
- **Fundamental re-organisations that have a material effect on the nature and focus of the enterprise's operations.**

A provision for restructuring costs is recognised only when the recognition criteria for provisions are met. No obligation arises for the sale of an operation until the enterprise is committed to the sale, i.e., there is a binding sale agreement.

A restructuring provision should include only the direct expenditures arising from the restructuring, which are those that are both:

(a) Necessarily entailed by the restructuring, and

(b) Not associated with the ongoing activities of the enterprise.

Identifiable future operating losses up to the date of a restructuring are not included in a provision.

Gains on the expected disposal of assets are not taken into account in measuring a restructuring provision, even if the sale of assets is envisaged as part of the restructuring.

**Disclosure**

**For each class of provision, an enterprise should disclose:**

- **Carrying amount at the beginning and end of the period;**
- **Additional provisions made in the period, including increases to existing provisions;**
- **Amounts used (i.e. incurred and charged against the provision) during the period; and**
- **Unused amounts reversed during the period.**

**An enterprise should disclose for each class of provision:**

(a) A brief description of the nature of the obligation and the expected timing of any resulting outflows of economic benefits,

(b) An indication of the uncertainties about those outflows. Where necessary to provide adequate information, an enterprise should disclose the major assumptions made concerning future events, and

(c) The amount of any expected reimbursement, stating the amount of any asset that has been recognised for that expected reimbursement.

**Note:** SMCs are exempt from the above disclosure requirements.

**Unless the possibility of any outflow in settlement is remote, an enterprise should disclose for each class of contingent liability at the balance sheet date a brief description of the nature of the contingent liability and, where practicable:**

(a) An estimate of its financial effect,

(b) An indication of the uncertainties relating to any outflow; and

(c) The possibility of any reimbursement.

Where any of the information required by the standard is not disclosed because it is not practicable to do so, that fact should be stated.

## G. TWO SETS OF ACCOUNTING STANDARDS UNDER COMPANIES ACT

At present, **two different sets of Accounting Standards** are applicable in India under the **Companies Act**:

### a. ACCOUNTING STANDARDS (AS) – OLD SYSTEM

1. These are the **Traditional Accounting Standards**.
2. They are **notified under**:

   **Companies (Accounting Standards) Rules, 2006**.
3. Applicable to:

   Mainly **Small and Medium-sized Companies** (SMCs) and **non-Ind AS compliant companies**.
4. Includes: AS-1 to AS-5, AS-7, and AS-9 to AS-29 (AS-6 and AS-8 withdrawn).
5. Last major amendment: Notification dated **30th March, 2016**.

### b. INDIAN ACCOUNTING STANDARDS (IND AS) – NEW SYSTEM

1. These are **converged with International Financial Reporting Standards (IFRS)**.
2. Notified under: **Companies (Indian Accounting Standards) Rules, 2015**.
3. Applicable to:
   (a) Listed companies
   (b) Large unlisted companies
   (c) Voluntarily adopted companies
4. Includes: Ind AS-1 to Ind AS-41 and Ind AS-101 to Ind AS-116.
5. Amended by: Companies (Ind AS) Amendment Rules, **dated 30th March, 2016**.
6. These are prepared by the **Accounting Standards Board of ICAI**.

## H. NEED FOR CONVERGENCE WITH GLOBAL STANDARDS

### a. GLOBALIZATION OF BUSINESS

1. Companies today operate across many countries.
2. To **raise capital globally**, companies need to follow the accounting rules of those countries.
3. Different countries = Different accounting rules = Confusion & extra cost.

### b. NEED FOR UNIFORMITY AND COMPARABILITY

1. Investors, analysts, and regulators prefer **Financial Statements that follow the same rules**.
2. **Uniform Accounting Standards** = Easier comparison = Better investment decisions.
3. Without convergence, the **same transaction may be shown differently** in different countries — this causes **misinterpretation and fraud**.

### c. INCREASED INVESTOR CONFIDENCE

1. **Global standards like IFRS** create trust in the numbers presented.
2. They ensure **high quality, transparency, and accountability** in Financial Statements.
3. This boosts the confidence of **international investors**.

### d. REDUCTION IN COST AND COMPLEXITY

1. Without convergence, companies with international presence must **restate accounts** as per different country laws = **Time-consuming & expensive**.
2. Convergence reduces these costs and **operational difficulties**.

### e. BETTER REGULATORY OVERSIGHT

1. With a common set of rules, **regulators and auditors** can do their job better.
2. It also helps **accounting firms** by reducing the complexity of handling multiple Standards.

### f. ENHANCES GLOBAL INVESTMENT OPPORTUNITIES

1. Converged standards enable **cross-border listing** of companies (e.g., on NYSE, LSE).
2. It facilitates **smooth flow of capital** from one country to another.

## I. INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS) AS GLOBAL STANDARDS

### a. ORIGIN AND BACKGROUND

1. **Established in 1973** as the **International Accounting Standards Committee (IASC)**.
2. Purpose: To develop and publish **International Accounting Standards (IAS)**.
3. In **2001**, IASC was **restructured** into the **International Accounting Standards Board (IASB)** (based in London).

### b. FUNCTIONS OF IASB

1. Develop and issue **International Financial Reporting Standards (IFRS)**.
2. Promote **global acceptance and application** of these standards.
3. Ensure **consistency and comparability** in financial reporting across countries.

### c. WHAT IS INCLUDED UNDER IFRS?

The term **IFRS** includes:

1. **IFRS** issued by **IASB**
2. **IAS** (International Accounting Standards) issued earlier by **IASC**
3. **SIC Interpretations** (by Standards Interpretations Committee)
4. **IFRIC Interpretations** (by International Financial Reporting Interpretations Committee)

**All these together make up the complete set of IFRS.**

### d. GLOBAL ACCEPTANCE AND USE

1. **Many countries** now **adopt or converge** with IFRS, including India (through **Ind AS**).
2. Required by **stock exchanges**, **banks**, **insurance companies**, and **regulators**.
3. **Lenders and governments** are also relying on IFRS-based reports for licensing, financing, and other compliance purposes.

### e. WHY IS IFRS IMPORTANT?

1. Brings **uniformity** and **comparability** in Financial Statements globally.
2. Helps **multinational companies** in reporting and listing in different countries.
3. Builds **investor confidence** due to **high-quality and transparent standards**.

| |
|---|
| Total 16 International Financial Reporting Standards (IFRS) issued after 2001 by IASB. |
| Total 24 International Accounting Standards (IAS) issued before 2001 by IASC which are still valid. |
| Total 12 Interpretations issued by International Financial Reporting Interpretations Committee (IFRIC) after 2001. |
| Total 4 Interpretations issued by Standing Interpretations Committee (SIC) before 2001. |

## J. ADVANTAGES OF IFRS (INTERNATIONAL FINANCIAL REPORTING STANDARDS):

### a. IMPROVED COMPARABILITY

1. Enhances **comparability** of Financial Statements across **different countries**.
2. Helps investors, analysts, and other stakeholders to **compare performance** easily.

### b. GREATER TRANSPARENCY

1. Promotes **clear and honest financial reporting**.
2. Reduces chances of manipulation and increases **trust** in financial data.

### c. STANDARDIZED ACCOUNTING METHODS

1. Provides **uniform financial reporting practices** globally.
2. Makes it easier for **creditors and investors** to analyze businesses using **the same Standards**.

### d. FACILITATES GLOBAL CAPITAL FLOW

1. Encourages **international investments** by making Financial Statements easier to understand globally.
2. Helps companies access **foreign capital markets** more easily.

### e. BETTER INVESTMENT DECISIONS

1. Investors can **understand financial reports** of companies in any IFRS-compliant country.
2. Enhances ability to **assess and compare investment opportunities** internationally.

### f. PROFESSIONAL OPPORTUNITIES

1. Accounting professionals with IFRS knowledge can **work globally**.
2. Boosts **career scope** in multinational companies and global markets.

### g. IFRS CONVERGENCE IN INDIA

1. India has **converged its standards** with IFRS and introduced **Ind AS (Indian Accounting Standards)**.
2. This move benefits:
   (a) Companies (uniform reporting)
   (b) Investors (better analysis)
   (c) Regulators (consistent oversight)
   (d) Economy (global integration and growth)

## K. CONVERGENCE OF ACCOUNTING STANDARD WITH IFRS IN INDIA

### a. WHY IFRS?

The IFRSs are important because of their following features:

1. Single set of Accounting Standards would enable internationally to standardize and assure better quality on a global screen.

2. It would also permit international capital to flow more freely, enabling companies to develop consistent global practices on accounting problems.
3. It would be beneficial to the regulators too, as the complexity associated with needing to understand various reporting regimes would be reduced.
4. For investors, it gives a better understanding to the Financial Statements and assess the investment opportunities other than their Home Country.
5. It also benefits the accounting professionals in a way that they will be able to sell their services in the different parts of world.

## L. LIST OF IFRS

- IFRS 1 – First time Adoption of International Financial Reporting Standards
- IFRS 2 – Share Based Payments
- IFRS 3 – Business Combinations
- IFRS 4 – Insurance Contracts
- IFRS 5 – Non-current Assets Held for Sale and Discontinued operations
- IFRS 6 – Exploration for and Evaluation of Mineral Resources
- IFRS 7 – Financial Instruments: Disclosures
- IFRS 8 – Operating Segments
- IFRS 9 – Financial Instruments
- IFRS 10 – Consolidated Financial Statements
- IFRS 11 – Joint Arrangements
- IFRS 12 – Disclosure of Interests in other Entities
- IFRS 13 – Fair Value Measurement
- IFRS 14 – Regulatory Deferral Accounts
- IFRS 15 – Revenue from Contracts with Customers
- IFRS 16 – Leases

- IAS 1 – Presentation of Financial Statements
- IAS 2 – Inventories
- IAS 7 – Statement of Cash Flows
- IAS 8 – Accounting Policies, Change in Accounting estimates and Errors
- IAS 10 – Events after Balance sheet date
- IAS 12 – Income Taxes
- IAS 16 – Property, Plant and Equipments
- IAS 19 – Employee Benefits
- IAS 20 – Accounting for Govt. Grant and Disclosure of Govt. Assistance
- IAS 21 – The Effect of Changes in Forex Rates
- IAS 23 – Borrowing Costs
- IAS 24 – Related Party Disclosures
- IAS 26 – Accounting and reporting by retirement benefit plans
- IAS 27 – Separate Financial Statements
- IAS 28 – Investment in Associates and Joint Ventures
- IAS 29 – Financial Reporting in Hyper Inflationary Conditions
- IAS 32 – Financial Instruments – Presentation
- IAS 33 – Earnings Per Share
- IAS 34 – Interim Financial Reporting
- IAS 36 – Impairment of Assets

- IAS 37 – Provisions, Contingent Liabilities and Contingent Assets
- IAS 38 – Intangible Assets
- IAS 40 – Investment Property
- IAS 41 – Agriculture

## M. APPLICABILITY OF INDIAN ACCOUNTING STANDARDS (IND AS)

### a. BACKGROUND

1. **Notified by:** Ministry of Corporate Affairs (MCA) under **Companies (Ind AS) Rules, 2015**
2. **Purpose:** Phased adoption of Ind AS starting from the **financial year 2016-17**
3. **Amendments:** Issued in 2016, 2017, 2018, and 2019

### b. FOR COMPANIES (OTHER THAN BANKS, NBFCS, AND INSURANCE COMPANIES)

#### Phase 1: From 1st April 2016

**Applies to:**

1. Listed/to-be-listed companies (India or abroad) with **net worth ≥ ₹500 crore**
2. Unlisted companies with **net worth ≥ ₹500 crore**
3. **Holding, Subsidiary, JV, or Associate** of above companies

**Comparative Period**: FY ending **31st March 2016** or later

#### Phase 2: From 1st April 2017

**Applies to:**

1. Listed companies with **net worth < ₹500 crore**
2. Unlisted companies with **net worth ≥ ₹250 crore but < ₹500 crore**
3. **Holding, Subsidiary, JV, or Associate** of above companies

**Comparative Period**: FY ending **31st March 2017** or later

#### Important Points

1. Once adopted, **Ind AS becomes mandatory**, even if criteria not met in future.
2. **Voluntary adoption** allowed from **1st April 2015**, but **no rollback** to AS (2006).
3. **Net worth** to be calculated based on:
   (a) Audited financials as on **31st March 2014**, or
   (b) First audited financials **after 31st March 2014**
4. Ind AS applies to **both stand-alone and consolidated** financials.
5. Companies listed on **SME Exchanges** to continue using **AS (2006)**.

### c. FOR NBFCS (NON-BANKING FINANCIAL COMPANIES)

#### Phase 1: From 1st April 2018

**Applies to:**

1. NBFCs with **net worth ≥ ₹500 crore**
2. **Holding, Subsidiary, JV, or Associate** of such NBFCs

**Comparative Period**: FY ending **31st March 2018** or later

### Phase 2: From 1st April 2019

**Applies to:**

1. Listed NBFCs with **net worth < ₹500 crore**
2. Unlisted NBFCs with **net worth ≥ ₹250 crore but < ₹500 crore**
3. **Holding, Subsidiary, JV, or Associate** of such NBFCs

**Comparative Period**: FY ending **31st March 2019** or later

**Net Worth**: As per audited financials for FY ending **31st March 2016**, or later

## d. FOR SCHEDULED COMMERCIAL BANKS AND INSURANCE COMPANIES

From **1st April 2018**, Ind AS applies to:

1. Scheduled commercial banks (excluding **RRBs**)
2. All India term lending/refinancing institutions (Exim Bank, NHB, NABARD, SIDBI)
3. **Insurance companies**
4. Their **Holding, Subsidiary, JV, or Associate** companies

**Comparative Period**: FY ending **31st March 2018** or later

## N. OVERVIEW OF IND AS

| Ind AS | Deals with | Details |
|---|---|---|
| **Ind AS 101** | **First-time Adoption of Indian Accounting Standards** | The objective of this Indian Accounting Standard (Ind AS) is to ensure that an entity's first Ind-AS Financial Statements, and its interim financial reports for part of the period covered by those Financial Statements,contain high quality information that:<br>(a) Is transparent for users and comparable over all periods presented;<br>(b) Provides a suitable starting point for accounting in accordance with Ind ASs; and<br>(c) Can be generated at a cost that does not exceed the benefits.<br>An entity shall apply this Ind-AS in:<br>(a) Its first Ind-AS Financial Statements, and<br>(b) Each interim financial report, if any, that it presents in accordance with Ind AS 34 Interim Financial Reporting for part of the period covered by its first Ind-AS Financial Statements.<br>An entity's first Ind AS Financial Statements are the first annual Financial Statements in which the entity adopts Ind ASs according to the Ind ASs notified under the Companies Act, 2013 and makes an explicit and unreserved statement in those Financial Statements of compliance with Ind ASs. |
| **Ind AS 102** | **Share-based Payment** | The objective of this Standard is to specify the financial reporting by an entity when it undertakes a share-based payment transaction. In particular, it requires an entity to reflect in its Profit or Loss and financial position the effects of share based payment transactions, including expenses associated with transactions in which share options are granted to employees.<br>An entity shall apply this Standard in accounting for all share-based payment transactions, whether or not the entity can identify specifically some or all of the goods or services received, including: |

| | | |
|---|---|---|
| | | (a) Equity-settled share-based payment transactions,<br>(b) Cash-settled share-based payment transactions, and<br>(c) Transactions in which the entity receives or acquires goods or services and the terms of the arrangement provide either the entity or the supplier of those goods or services with a choice of whether the entity settles the transaction in cash (or other assets) or by issuing equity instruments.<br>A share based payment arrangement is an agreement between the entity (or another group entity or any shareholder of any group entity) and another party (including an employee) that entitles the other party to receive:<br>(a) Cash or other assets of the entity for amounts that are based on the price( or value) of equity instruments (including share or share options) of the entity or another group entity, or<br>(b) Equity instruments (including shares or share options) of the entity or another group entity. Provided that specified vesting conditions, if any, are met.<br>A share-based payment transaction is a transaction in which the entity:<br>(a) Receives goods or services from the supplier of those goads or services(including an employee) in a share based payment arrangement, or<br>(b) Incurs on obligation to settle the transaction with the supplier in a share based aayment arrangement when another group entity receives those goods or services. |
| **Ind AS 103** | **Business Combinations** | The objective of this Indian Accounting Standard is to improve the relevance, reliability and comparability of the information that a reporting entity provides in its Financial Statements about a business combination and its effects to accomplish that, this Indian Accounting Standard establishes principles and requirements for how the acquirer:<br>(a) Recognizes and measures in its Financial Statements the identifiable assets acquired, the liabilities assumed and any non-controling interest in the acquiree;<br>(b) Recognizes and measures the goodwill acquired in the business combination or a gain from a bargain purchase; and<br>(c) Determines what information to disclose to enable users of the Financial Statements to evaluate the nature and financial effects of the business combination.<br>This Indian Accounting Standard applies to a transaction or other event that meets the definition of a business combination. This Indian Accounting Standard does not apply to:<br>(a) The formation of a joint venture.<br>(b) The acquisition of an asset or a group of assets that does not constitute a business. In such cases the acquirer shall identify and recognize the individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, Intangible assets in Ind AS 38 Intangible Assets) and liabilities assumed. The cost of the group shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill.<br>(c) Appendix C deals with accounting for combination of entities or businesses under common control.<br>A business combination is a transaction or other event in which an acquirer obtains control of one or more businesses. Transactions sometimes referred to as ‘true mergers’ or ‘mergers of equals’ are also referred to as business combinations as that term is used in this Ind AS. |

| | | |
|---|---|---|
| **Ind AS 104** | **Insurance Contracts** | The objective of this Indian Accounting Standard is to specify the financial reporting for insurance contracts by any entity that issues such contracts (described in this Indian Accounting Standard as an insurer). In particular, this Indian Accounting Standard requires:<br>(a) Limited improvements to accounting by insurers for insurance contracts.<br>(b) Disclosure that identifies and explains the amounts in an insurer's Financial Statements arising from insurance contracts and helps users of those Financial Statements understand the amount, timing and uncertainty of future cash flows from insurance contracts.<br>An entity shall apply this Indian Accounting Standard to:<br>(a) Insurance contracts (including reinsurance contracts) that it issues, and reinsurance contracts that it holds.<br>(b) Financial instruments that it issues with a discretionary participation feature. Ind AS 107 Financial Instruments: Disclosures requires disclosure about financial instruments, including financial instruments that contain such features.<br>An insurance contract is a contract under which one party (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified future event (the insured event) adversely affects the policyholder. |
| **Ind AS 105** | **Non-Current Assets Held for Sale and Discontinued Operations** | The objective of this Indian Accounting Standard is to specify the accounting for assets held for sale, and the presentation and disclosure of discontinued operations. In particular, the Indian Accounting Standard requires:<br>(a) Assets that meet the criteria to be classified as held for sale to be measured at the lower of carrying amount and fair value less costs to sell, and depreciation on such assets to cease; and<br>(b) Assets that meet the criteria to be classified as held for sale to be presented separately in the balance sheet and the results of discontinued operations to be presented separately in the statement of profit and loss.<br>A discontinued operation is a component of an entity that either has been disposed of or is classified as held for sale and:<br>(a) Represents a separate major line of business or geographical area of operations, or<br>(b) Is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations, or<br>(c) Is a subsidiary acquired exclusively with a view to sale. |
| **Ind AS 106** | **Exploration for and Evaluation of Mineral Resources** | The objective of this Indian Accounting Standard is to specify the financial reporting for the exploration for and evaluation of mineral resources. In particular, the Indian Accounting Standard requires:<br>(a) Limited improvements to existing accounting practices for exploration and evaluation expenditures.<br>(b) Entities that recognize exploration and evaluation assets to assess such assets for impairment in accordance with this Indian Accounting Standard and measure any impairment in accordance with Ind AS 36 Impairment of Assets.<br>(c) Disclosures that identify and explain the amounts in the entity's Financial Statements arising from the exploration for and evaluation of mineral resources and help users of those Financial Statements understand the amount, timing and certainty of future cash flows from any exploration and evaluation assets recognized. |

| | | |
|---|---|---|
| | | Exploration for and evaluation of mineral resources is the search for mineral resources, including minerals, oil, natural gas and similar non-regenerative resources after the entity has obtained legal rights to explore in a specific area as well as the determination of the technical feasibility and commercial viability of extracting the mineral resources. |
| **Ind AS 107** | **Financial Instruments: Disclosures** | The objective of this Indian Accounting Standard is to require entities to provide disclosures in their Financial Statements that enable users to evaluate:<br>(a) The significance of financial instruments for the entity's financial position and performance; and<br>(b) The nature and extent of risks arising from financial instruments to which the entity is exposed during the period and at the end of the reporting period, and how the entity manages those risks.<br>The principles in this Indian Accounting Standard complement the principles for recognizing, measuring and presenting Financial Assets and Financial Liabilities In Ind AS 39 Financial Instruments: Recognition and Measurement and Ind AS 32 Financial Instruments: Presentation. |
| **Ind AS 108** | **Operating Segments** | An entity shall disclose Information to enable users of its Financial Statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates.<br>This Accounting Standard shall apply to companies to which Indian Accounting Standards (Ind AS) notified under the Companies Act apply.<br>If an entity that is not required to apply this Indian Accounting Standard chooses to disclose information about segments that does not comply with this Indian Accounting Standard, it shall not describe the information as segment information.<br>If a financial report contains both the consolidated Financial Statements of a parent that is within the scope of this Indian Accounting Standard as well as the parent's separate Financial Statements, segment information is required only in the consolidated Financial Statements.<br>An operating segment is a component of an entity:<br>(a) That engages in business activities for which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity),<br>(b) Whose operating results are regularly reviewed by the chief operating decision-maker to make decisions about resources to be allocated to the segment and assess its performance, and<br>(c) For which discrete financial information is available. |
| **Ind AS 109** | **Financial Instruments** | The objective of this Standard is to establish principles for the financial reporting of financial assets and financial liabilities that will present relevant and useful information to users of Financial Statements for their assessment of the amounts, timing and uncertainty of an entity's future cash flows. |
| **Ind AS 110** | **Consolidated Financial Statements** | The objective of this Indian Accounting Standard (Ind AS) is to establish principles for the presentation and preparation of consolidated Financial Statements when an entity controls one or more other entities.<br>Consolidated Financial Statements are the Financial Statements of a group in which the assets, liabilities, equity, expenses, income and cash flows of the parents and its subsidiaries are presented as those of a single economic entity. |

| | | |
|---|---|---|
| **Ind AS 111** | **Joint Arrangements** | The objective of this Indian Accounting Standard Ind AS is to establish principles for financial reporting by entities that have an interest in arrangements that are controlled jointly (i.e. joint arrangements).<br>To meet the objective, this Ind AS defines joint control and requires an entity that is a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and to account for those rights and obligations in accordance with that type of joint arrangement<br>This Ind AS shall be applied by all entities that are a party to a joint arrangement.<br>A joint arrangement is an arrangement is an arrangement of which two or more parties have joint control A joint arrangement has the following characteristics:<br>(a) The parties are bound by a contractual arrangement.<br>(b) The contractual arrangement gives two or more of those parties joint control of the arrangement a joint arrangement is either a joint operation or a joint venture. |
| **Ind AS 112** | **Disclosure of Interests in Other Entities** | The objective of this Indian Accounting Standard (Ind AS) is to require an entity to disclose information that enables users of its Financial Statements to evaluate:<br>(a) The nature of, and risks associated with, its interests in other entities; and<br>(b) The effects of those interests on its financial position, financial performance and cash flows.<br>Interest in another entity refers to contractual and non-contractual involvement that exposes an entity to variability of returns from the performance of the other entity. An interest in another entity can be evidenced by, but is not limited to, the holding of equity or debt instruments as well as other forms of involvement such as provision of funding. Liquidity support, credit enhancement and guarantees. It includes other means by which the entity has control or joint control of, or significant influence over another entity. An entity does not necessarily have an interest in another entity solely because of a typical customer supplier relationship. |
| **Ind AS 113** | **Fair Value Measurement** | This Ind AS:<br>(a) Defines fair value;<br>(b) Sets out in a single Ind AS a framework for measuring fair value; and<br>(c) Requires disclosures about fair value measurements.<br>Fair value is a market-based measurement, notan entity-specific measurement. For some Assets and Liabilities, observable market transactions or market information might be available. For other assets and liabilities, observable market transactions and market information might not be available. However, the objective of a fair value measurement in both cases is the same - to estimate the price at which an orderly transaction to sell the asset or to transfer the Liability would take place between market participants at the measurement date under current market conditions (i.e. an exit price at the measurement date from the perspective of a market participant that holds the asset or owes the liability).<br>Fair value is the price that would be received to sell an asset or paid to transfer a Liability in an orderly transaction between the market participants at the measurement date. |

| | | |
|---|---|---|
| **Ind AS 114** | **Regulatory Deferral Accounts** | The objective of this Standard is to specify the financial reporting requirements for regulatory deferral account balances that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.<br>An entity is permitted to apply the requirements of this Standard in its first Ind AS Financial Statements if and only if it (a) conducts rate-regulated activities; and (b) recognised amounts that qualify as regulatory deferral account balances in its Financial Statements in accordance with its previous GAAP.<br>A regulatory deferral account balance is a regulatory asset or a regulatory liability as defined in the Guidance Note on Accounting for Rate regulated activities. Rate regulated activities are the entity's activities that are subject to rate regulation. |
| **Ind AS 115** | **Revenue from Contracts with Customers** | The objective of this Standard is to establish the principles that an entity shall apply to report useful information to users of Financial Statements about the nature, amount timing and uncertainty of revenue and cash flows arising from a contract with a customer.<br>A contract is an agreement between two or more parties that creates enforceable rights and obligations. Revenue is the income arising in the course of an entity's ordinary activities. Income is increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than the contributions from equity participants. |
| **Ind AS 116** | **Leases** | The objective of this Ind AS is to set out the principles for recognition, measurement, presentation of disclosure of Leases so that the lessees and lessors provide the relevant information in a manner that faithfully represent those transactions. This information gives a basis tor users of Financial Statements to assess the effect that leases have on the financial position, financial performance and cash flows of an entity.<br>To apply this standard, an entity shall consider the terms and conditions ot contracts and all relevant facts and circumstances. An entity shall apply this Standard consistently to contracts with similar characteristics and in similar circumstances.<br>A lease is a contract, or part of a contract that conveys the right to use an asset (the underlying asset) for a period of time and exchange for consideration. |
| **Ind AS 1** | **Presentation of Financial Statements** | This Standard prescribes the basis for presentation of general purpose Financial Statements to ensure comparability both with the entity's Financial Statements of previous periods and with the Financial Statements of other entities. It sets out overall requirements for the presentation of Financial Statements, guidelines for their structure and minimum requirements for their contents.<br>An entity shall apply this Standard in preparing and presenting general purpose financial Statements in accordance with Ind AS.<br>General Purpose Financial Statements are those Financial Statements that are intended to meet the needs of users who are not in a position to require an entity to prepare reports tailored to their particular information needs. |

| | | |
|---|---|---|
| **Ind AS 2** | **Inventories** | The objective of this Standard is to prescribe the accounting treatment for inventories. A primary issue in accounting for inventories is the amount of cost to be recognized as an asset and carried forward until the related revenues are recognized. This Standard deals with the determination of cost and its subsequent recognition as an expense, including any write-down to net realizable value. It also deals with the cost formulas that are used to assign costs to inventories.<br>Inventories are assets:<br>(a) Held for sale in the ordinary course of business;<br>(b) In the process of production for such sale; or<br>(c) In the form of materials or supplies to be consumed in the production process or in the rendering of services. |
| **Ind AS 7** | **Statement of Cash Flows** | Information about the cash flows of an entity is useful in providing users of Financial Statements with a basis to assess the ability of the entity to generate cash and cash equivalents and the needs of the entity to utilize those cash flows. The economic decisions that are taken by users require an evaluation of the ability of an entity to generate cash and cash equivalents and the timing and certainty of their generation. The objective of this Standard is to require the provision of information about the historical changes in cash and cash equivalents of an entity by means of a statement of cash flows which classifies cash flows during the period from operating, investing and financing activities.<br>An entity shall prepare a statement of cash flows in accordance with the requirements of this Standard and shall present it as an integral part of its Financial Statements for each period for which Financial Statements are presented.<br>A statement showing cash flows is called a Statement ot Cash Flows. Cash flows are the inflows and outflows of cash and cash equivalents. Cash comprises cash on hand and demand deposits. Cash equivalents are short term, highly Liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. |
| **Ind AS 8** | **Accounting Policies, Changes in Accounting Estimates and Errors** | The objective of this Standard is to prescribe the criteria for selecting and changing accounting policies, together with the accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates and corrections of errors. The Standard is intended to enhance the relevance and reliability of an entity's Financial Statements and the comparability of those Financial Statements over time and with the Financial Statements of other entities. Disclosure requirements for accounting policies, except those for changes in accounting policies, are set out in Ind AS 1 Presentation of Financial Statements.<br>This Standard shall be applied in selecting and applying accounting policies, and accounting for changes in accounting policies, changes in accounting estimates and corrections of prior period errors.<br>Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting Financial Statements. A change in an accounting estimate is the adjustment in the carrying amount of an asset or a liability, or the amount of the periodic consumption of an asset that results from the assessment of the present status of, and expected future benefits and obligations with the asset or Liability. Changes in accounting estimates result from new estimates or new developments, and accordingly are not correction of errors. |

| | | |
|---|---|---|
| **Ind AS 10** | **Events after the Reporting Period** | The objective of this Standard is to prescribe:<br>(a) When an entity should adjust its Financial Statements for events after the reporting period; and<br>(b) The disclosures that an entity should give about the date when the Financial Statements were approved for issue and about events after the reporting period.<br>The Standard also requires that an entity should not prepare its Financial Statements on a going concern basis if events after the reporting period indicate that the going concern assumption is not appropriate.<br>This Standard shall be applied in the accounting for, and disclosure of, events after the reporting period. Events after the reporting period are those events, favourbale and unfavourable, that occurs between the end of the reporting period and that date when the Financial Statements are approved by the Board of Directors in the case of a company and by the corresponding approving authority in the case of any other entity for issue. |
| **Ind AS 12** | **Income Taxes** | The objective of this Standard is to prescribe the accounting treatment for income tax. The principal issue in accounting for income tax is how to account for the current and future tax consequences of:<br>(a) The future recovery (settlement) of the carrying amount of assets (Liabilities) that are recognized in an entity's Balance sheet; and<br>(b) Transactions and other events of the current period that are recognized in an entity's Financial Statements.<br>It is inherent in the recognition of an asset or liability that the reporting entity expects to recover or settle the carrying amount of that asset or liability. If it is probable that recovery or settlement of that carrying amount will make future tax payments larger (smaller) than they would be if such recovery or settlement were to have no tax consequences. This Standard requires an entity to recognize a deferred tax liability (deferred tax asset), with certain Limited exceptions. |
| **Ind AS 16** | **Property, Plant and Equipment** | The objective of this Standard is to prescribe the accounting treatment for property, plant and equipment so that users of the Financial Statements can discern information about an entity's investment in its property, plant and equipment and the changes in such investment. The principal issues in accounting for property, plant and equipment are the recognition of the assets, the determination of their carrying amounts, and the depreciation charges and impairment losses to be recognized in relation to them.<br>This Standard shall be applied in accounting for Property, Plant and Equipment except when another Standard requires or permits a different accounting treatment<br>Property, Plant and Equipment are tangible items that<br>(a) Are held for use in the production or supply of goods or services, for rental to others or for administrative purposes; and<br>(b) Are expected to be used during more than one period. |
| **Ind AS 19** | **Employee Benefits** | The objective of this Standard is to prescribe the accounting and disclosure for employee benefits. The Standard requires an entity to recognize:<br>(a) A liability when an employee has provided service in exchange for employee benefits to be paid in the future; and<br>(b) An expense when the entity consumes the economic benefit arising from the service provided by an employee in exchange for employee benefits.<br>Employee benefits are all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment |

| | | |
|---|---|---|
| **Ind AS 20** | **Accounting for Government Grants and Disclosure of Government Assistance** | This Standard shall be applied in accounting for, and in the disclosure of, government grants and in the disclosure of other forms of government assistance.<br>This Standard does not deal with:<br>(a) The special problems arising in accounting for government grants in Financial Statements reflecting the effects of changing prices or in supplementary information of a similar nature.<br>(b) Government assistance that is provided for an entity in the form of benefits that are available in determining taxable profit or tax loss, or are determined or limited on the basis of income tax Liability. Examples of such benefits are income tax holidays, investment tax credits, accelerated depreciation.<br>(c) Government participation in the ownership of the entity.<br>(d) Government grants covered by Ind AS-41, Agriculture.<br>(e) Government assistance is action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria. Government assistance does not include benefits provided only indirectly through actions affecting general trading conditions, such as the provision of infrastructure in development areas or the imposition of trading constraints on the competitors. Government grants are assistance by government in the form of transfer of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. Government grants exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with the government which cannot be distinguished from the trading transactions of the entity. |
| **Ind AS 21** | **The Effects of Changes in Foreign Exchange Rates** | An entity may carry on foreign activities in two ways. It may have transactions in foreign currencies or it may have foreign operations. In addition, an entity may present its Financial Statements in a foreign currency. The objective of this Standard is to prescribe how to include foreign currency transactions and foreign operations in the Financial Statements of an entity and how to translate Financial Statements into a presentation currency.<br>The principal issues are which exchange rate(s) to use and how to report the effects of changes in exchange rates in the Financial Statements. |
| **Ind AS 23** | **Borrowing Costs** | Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset. Other borrowing costs are recognized as an expense.<br>An entity shall apply this Standard in accounting for borrowing costs.<br>The Standard does not deal with the actual or imputed cost of equity, including preferred capital not classified as a Liability.<br>An entity is not required to apply the Standard to borrowing costs directly attributable to the acquisition, construction or production of:<br>(a) A qualifying asset measured at a fair value, for example, a biological asset; or<br>(b) Inventories that are manufactured or otherwise produced, in large quantities on a repetitive basis. |

| | | |
|---|---|---|
| **Ind AS 24** | **Related Party Disclosures** | The objective of this Standard is to ensure that an entity's Financial Statements contain the disclosures necessary to draw attention to the possibility that its financial position and Profit or Loss may have been affected by the existence of related parties and by transactions and outstanding balances, including commitments, with such parties.<br>This Standard shall be applied in:<br>(a) Identifying related party relationships and transactions;<br>(b) Identifying outstanding balances, including commitments, between an entity and its related parties;<br>(c) Identifying the circumstances in which disclosure of the items in (a) and (b) is required; and<br>(d) Determining the disclosures to be made about those items.<br>A related party is a person or entity that is related to the entity preparing its Financial Statements. A related party transaction is a transfer of resources, services or obligations between a reporting entity and a related party regardless of whether the price is charged. |
| **Ind AS 27** | **Separate Financial Statements** | The objective of this Standard is to prescribe the accounting and disclosure requirements for investments in subsidiaries, joint ventures and associates when an entity prepares separate Financial Statements.<br>This Standard shall be applied in accounting for investments in subsidiaries, joint ventures and associates when an entity elects, or is required by Law, to present separate Financial Statements.<br>This Standard does not mandate which entities produce separate Financial Statements. It applies when an entity prepares separate Financial Statements that comply with Indian Accounting Standards.<br>Separate Financial Statements are those presented by a parent (i.e. an investor with control of a subsidiary) or an investor with joint control of, or significant influence over, an investee, in which the investments are accounted for at cost or as per Ind AS 9 "Financial Instruments". |
| **Ind AS 28** | **Investments in Associates and Joint Ventures** | The objective of this Standard is to prescribe the accounting for investments in associates and to set out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.<br>This Standard shall be applied by all entities that are investors with joint control of, or significant influence over, an investee.<br>An associate is an entity over which the investor has significant influence. A joint venture is a joint arrangement whereby the parties that have the joint control of the arrangement has rights to the net assets of the arrangement. |
| **Ind AS 29** | **Financial Reporting in Hyperinflationary Economies** | This Standard shall be applied to the Financial Statements, including the consolidated Financial Statements, of any entity whose functional currency is the currency of a hyperinflationary economy.<br>In a hyperinflationary economy, reporting of operating results and financial position in the local currency without restatement is not useful. Money Loses purchasing power at such a rate that comparison of amounts from transactions and other events that have occurred at different times, even within the same accounting period, is misleading. |

| | | |
|---|---|---|
| **Ind AS 32** | **Financial Instruments: Presentation** | The objective of this Standard is to establish principles for presenting financial instruments as liabilities or equity and for offsetting financial assets and financial liabilities. It applies to the classification of financial instruments, from the perspective of the issuer, into financial assets, financial liabilities and equity instruments; the classification of related interest, dividends, losses and gains; and the circumstances in which financial assets and financial liabilities should be offset.<br>The principles in this Standard complement the principles for recognising and measuring financial assets and financial liabilities in Ind AS 39 Financial Instruments: Recognition and Measurement, and for disclosing information about them in Ind AS 107 Financial Instruments: Disclosures.<br>A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or an equity instrument of another entity. |
| **Ind AS 33** | **Earnings per Share** | The objective of this Standard is to prescribe principles for the determination and presentation of earnings per share, so as to improve performance comparisons between different entities in the same reporting period and between different reporting periods for the same entity. Even though earnings per share data have limitations because of the different accounting policies that may be used form determining 'earnings', a consistently determined denominator enhances financial reporting. The focus of this Standard is on the denominator of the earnings per share calculation.<br>An entity shall calculate basic earnings per share amounts for profit or Loss attributable to the ordinary equity holders of the parent entity and, if presented, profit or loss from continuing operations attributable to those equity holders. Basic earnings per share shall be calculated by dividing profit or loss attributable to the ordinary equity holders of the parent entity by the weighted average number of ordinary shares outstanding during the period.<br>An entity shall calculate diluted earnings per share amounts for Profit or loss attributable to the ordinary equity holders of the parent entity and, if presented, profit or loss from continuing operations attributable to those equity holders. For the purpose of calculating diluted earnings per share, an entity shall adjust profit or loss attributable to the ordinary equity holders of the parent entity and weighted average number of ordinary shares outstanding during the period, from the effects of all dilutive potential ordinary shares. |
| **Ind AS 34** | **Interim Financial Reporting** | The objective of this Standard is to prescribe the minimum content of an interim financial report and to prescribe the principles for recognition and measurement in complete or condensed Financial Statements for an interim period. Timely and reliable interim financial reporting improves the ability of investors, creditors, and others to understand an entity's capacity to generate earnings and cash flow and its financial condition and liquidity.<br>Interim financial report is a financial report containing either a complete set of Financial Statements or a set of condensed Financial Statements for an interim period. An interim period is a financial reporting period shorter than a full financial year. |

| | | |
|---|---|---|
| **Ind AS 36** | **Impairment of Assets** | The objective of this Standard is to prescribe the procedures that an entity applies to ensure that its assets are carried at no more than their recoverable amount. An asset is carried at more than its recoverable amount if its carrying amount exceeds the amount to be recovered through use or sale of the asset If this is the case, the asset is described as impaired and the Standard requires the entity to recognize an impairment loss. The Standard also specifies when an entity should reverse an impairment loss and prescribes disclosures.<br><br>An impairment loss is the amount by which the carrying amount of an asset or a cash generating unit exceeds its recoverable amount. Carrying amount is the amount at which an asset is reocgnized after deducting any accumulated depreciation (amortization) and any accumulated impairment losses thereon. A cash generating unit is the smallest identifiable group of assets that generates cash flows that are largely independent of the cash inflows from other assets or group of assets. |
| **Ind AS 37** | **Provisions, Contingent Liabilities and Contingent Assets** | The objective of this Standard is to ensure that appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities and contingent assets and that sufficient information is disclosed in the notes to enable users to understand their nature, timing and amount.<br><br>A provision is a liability of uncertain timing or amount. A Contingent Liability is:<br>(a) A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain events not wholly within the control of the entity; or<br>(b) A present obligation that arises from past events but is not reocgnized because:<br>i. It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or<br>ii. The amount of obligation cannot be measured with sufficient reliability.<br><br>A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain events not wholly within the control of the entity. |
| **Ind AS 38** | **Intangible Assets** | The objective of this Standard is to prescribe the accounting treatment for Intangible Assets that are not dealt with specifically in another Standard. This Standard requires an entity to recognize an intangible asset if, and only if, specified criteria are met. The Standard also specifies how to measure the carrying amount of intangible assets and requires specified disclosures about intangible assets.<br><br>An intangible asset is an identifiable non-monetary asset without physical substance. Monetary assets are money held and assets to be received in fixed or determinable amount of money. An intangible asset to be identifiable should be distinguishable from goodwill. An asset is identifiable if it either:<br>(a) Is separable, i.e., is capable of being separated or dividend from the entity and sold, transferred, licensed, rented or exchanged either individually or together with a related contract, identifiable asset or liability, regardless of whether the entity intends to do so; or<br>(b) Arises from contractual or other legal rights, regardless of whether those rights are transferable or separable form the entity or from other rights and obligations. |

| | | |
|---|---|---|
| **Ind AS 40** | **Investment Property** | The objective of this Standard is to prescribe the accounting treatment for investment property and related disclosure requirements.<br>This Standard shall be applied in the recognition, measurement and disclosure of investment property.<br>Among other things, this Standard applies to the measurement in a lessee's Financial Statements of investment property interests held under a lease accounted for as a finance lease and to the measurement in a lessor's Financial Statements of investment property provided to a lessee under an operating lease. This Standard does not deal with matters covered in Ind AS 17 Leases, including:<br>(a) Classification of leases as finance leases or operating leases;<br>(b) Recognition of lease income from investment property (see also Ind AS 18 Revenue);<br>(c) Measurement in a lessee's Financial Statements of property interests held under a lease accounted for as an operating lease;<br>(d) Measurement in a lessor's Financial Statements of its net investment;<br>(e) Accounting for sale and lease back transactions; and<br>(f) Disclosure about finance leases and operating leases.<br>Investment property is a property (i.e. Land or a building or part of a building or both) held (by the owner or a lessee as a right of use asset) to earn rentals, or for capital appreciation, or both rather than for:<br>(a) Use in the production or supply of goods or serviced or for administrative purposes; or<br>(b) Sale in the ordinary course of business. |
| **Ind AS 41** | **Agriculture** | The objective of this Standard is to prescribe the accounting treatment and disclosures related to agricultural activity. This Standard shall be applied to account for the following when they relate to agricultural activity:<br>(a) Biological assets;<br>(b) Agricultural produce at the point of harvest; and<br>(c) Government grants covered by paragraphs 34 and 35.<br>Agricultural activity is the management by an entity of the biological transformation and harvest of biological assets for sale or for conversion into agricultural produce or into additional biological assets. Agricultural produce is the harvested produce of the entity's biological asset A biological asset is a living animal or plant biological transformation comprises the processes of growth, degeneration, production, and procreation that cause qualitative or quantitative changes in a biological asset |

## O. IFRS VS IGAAP

Indian GAAP is a set of accounting standards that are specifically designed for the Indian context. GAAP stands for Generally Accepted Accounting Principles. Most Indian companies follow Indian GAAP while preparing their accounting records. When a company follows IFRS, it needs to provide a disclosure in the form of a note that it is complying with the IFRS. But for Indian GAAP, the disclosure of the statement isn't mandatory. When a company is said to follow the Indian GAAP, it's assumed that they're complying with the Indian GAAP to portray the true and fair view of their financial affairs.

| Basis | IFRS | IGAAP |
|---|---|---|
| First time adoption | Full retrospective application of IFRS to P&L Account and Balance Sheet.<br>Reconciliation of P&L Account and Balance Sheet with respect of last year's reported numbers under previous GAAP. | No needs to prepare reconciliation on first time adoption. |
| Components of Financial Statements | Comprises of Balance Sheet Profit and Loss A/c. Cash Flow Statement, changes in equity and accounting policy and notes to Accounts. | Comprises of Balance Sheet, Profit and Loss A/c. Cash Flow Statement (if applicable), and Notes to Accounts. |
| Balance Sheet | No particular format, a current/non current presentation of assets and liabilities is used. | As per Format Prescribed in Schedule III for Companies, adherence to Banking Regulation for Banks, etc. |
| Income Statement | No particular format prescribed (IAS-1). | As per Format Prescribed in Schedule III (AS-1). |
| Cash Flow Statements | Mandatory for all entities (IAS-7). | Level 3 entities are exempted (AS- 3). |
| Dividends | Liability to be recognized in the period when dividend is declared. (IAS-10). | Recognized as an appropriation against the profit, and recorded as liability at BS date even if declared subsequent to reporting period but before the approval of Financial Statements (AS-4). |
| Cost of major repairs and overhaul expenditure on fixed assets | Recognized in carrying amount of the assets (IAS-16). | Expensed off. Only expenses which increases the FEB are to be capitalized. (AS-10). |
| Re-evaluation | Re-evaluation (if done) to be updated periodically so that carrying amount does not differ from fair value at the end period. Re-evaluation to be done for entire class of assets (IAS-16). | No specific requirement for re-evaluation. Re-evaluation can be done on systematic basis like for one Location leaving aside the assets of other location. (AS-10). |
| Change in the method of depreciation | Considered as a change in accounting estimate. To Be applied prospectively. (IAS-16 and IAS 8). | Considered as change in accounting policy, retrospective computation and excess or deficit is adjusted in same period. Required to be disclosed (AS- 6). |
| Earnings Per Share | Disclosure to be made in only consolidated financials of the parent Company. (IAS-33). | Disclosure of EPS in both consolidated and separate financials (AS-20). |
| Component Accounting | Required each major part of No such requirement (AS-10).<br>PPE with a cost that is significant in relation to total cost should be depreciated separately (IAS-16). | No such requirement (AS-10). |
| Intangible Assets | Intangible assets can have indefinite useful life and hence such assets are tested for impairment and not amortized. | There is no concept of indefinite useful Life. Assets have definite life (usually 10 years). |

| | | |
|---|---|---|
| Reporting Currency | Requires the measurement of profit using the functional currency. Entities may, however, present Financial Statements in a different currency (IAS- 21). | Schedule III to the Companies Act, 2013 specifies Indian Rupees as the reporting currency (AS-11). |
| Key Management Personnel (KMP) | Includes Executive as well as non executive directors (IAS-24). | Excludes non-executive directors (AS-18). |
| Compensation to KMP | Disclosure to be made for total compensation such as short term employee benefits and post employment benefits. | AS-18 does not require the break- up of compensation cost. |
| Fringe Benefits Tax | Included as part of related expense (fringe benefit) which gives rise to incurrence of the tax. | Disclosed as a separate item after profit before tax on the face of the income statement. |
| Uniform Accounting Policies | Prepared using uniform accounting policies across all entities in a group. (IAS-27) | Policies may differ due to impracticability. (AS-21) |
| Disclosure of extra ordinary items | Prohibits such disclosure (IAS-1). No such term in IFRS. | Disclosure to be made in notes (AS-5). |

## P. COMPARISON OF INDIAN GAAP AND IND AS

The significant difference between the Indian GAAP (current Accounting Standards) converged Indian Accounting Standards (Ind AS) are discussed in detail in the following pages.

### a. COMPARISON OF IND AS 1 WITH EXISTING INDIAN GAAP 1

| Sr. No. | Basis of Comparison | Ind AS 1<br>Presentation of Financial Statements | AS 1<br>Disclosure of Accounting Policies |
|---|---|---|---|
| 1. | Presentation of Extraordinary Item | Prohibits presentation of any item as extraordinary item in the statement of profit and loss or in the notes | Allows for extraordinary items to be disclosed separately. |
| 2. | Disclosure of Critical Assumption | Requires disclosure of critical assumptions about the future and other sources of measurement uncertainty that can affect carrying amounts of assets and Liabilities within next financial year. | Does not require any such disclosure. |
| 3. | Classification of Expenses | Requires classification of expenses be presented on the basis of nature of expenses. | Does not require any such classification. |
| 4. | Reclassification | Reclassification of items, nature, amount and reason for reclassification are disclosed in notes to financial statement. | No such nature, amount and reason for reclassification are required to be disclosed. |
| 5. | Statement of changes in equity | Requires a statement of changes in equity including reconciliation between opening and closing balance for each component of equity. | Statement of changes in equity is not required. |

## b. COMPARISON OF IND AS 2 WITH EXISTING INDIAN GAAP 2

| Sr. No. | Basis of Comparison | Ind AS 2 Inventories | AS 2 Inventories |
|---|---|---|---|
| 1. | Reversal of Written down value to Net Realizable value | Provides for reversal of the write-down of inventories to net realizable value limited to the amount of original write-down, and requires recognition and disclosure thereof in the Financial Statements. | Does not provide any specific guidance on the same. |
| 2. | Exclusion | Excludes from its scope inventories held by commodity broker traders (who measure their inventories at a fair value minus costs to sell), producers of agricultural and forest products, agricultural produce after harvest, and minerals and mineral products. | Excludes from its scope only the measurement of such inventories. Further Ind AS 2 defines fair value and provides an explanation in respect of distinction between net realizable value and fair value. |
| 3. | Explanation | Provides explanation with regard to inventories of service providers | Does not contain such an explanation |
| 4. | Formula | Requires only the use of consistent cost formulas for all inventories having a similar nature and use to the entity | Specifically requires that the formula used in determining the cost of an item of inventory should reflect the fairest possible approximation to the cost incurred in bringing the items of inventory to their present location and condition. |

## c. COMPARISON OF IND AS 7 WITH EXISTING INDIAN GAAP 3

| S. No. | Bases of Comparison | Ind AS 7 "Statement of Cash Flows" | AS 3 "Cash Flow Statements" |
|---|---|---|---|
| 1. | Bank overdraft repayable on demand | Specifically provides that the bank borrowings are generally classified as financing activities. However, bank overdraft repayable on demand is treated as part of cash and cash equivalents. | As 3 is silent on this aspect. |
| 2. | Treatment of cash payments in specific cases | Provides for the treatment of cash payments to manufacture or acquire assets held for rental to others and subsequently held for sale in the ordinary course of business as cash flows from operating activities. Further, treatment of cash receipts from rent and subsequent sale of such assets as cash flow from operating activities is also provided. | AS 3 does not contain such requirements. |
| 3. | New examples of cash flows arising from financing activities | Ind AS 7 includes the following new examples of cash Rows arising from financing activities:<br>(a) Cash payments to owners to acquire or redeem the entity's shares;<br>(b) cash proceeds from mortgages;<br>(c) Cash payments by the lessee for the reduction of the outstanding liability relating to a finance lease. | AS 3 does not contain such examples. |

| | | | |
|---|---|---|---|
| 4. | Adjustments of the profit or loss for the effects of undistributed profits of the associates and non-controlling interests | Ind AS 7 specifically requires the adjustment of the profit or Loss for the effects of 'undistributed profits of associates and non-controlling interests' while determining the net cash flows from operating activities using the indirect method. | AS 3 does not contain such requirements. |
| 5. | Cash flows associated with extraordinary activities | Ind AS 7 does not contain this requirement | AS 3 requires cash flows associated with extraordinary activities to be separately classified as arising from, operating, investing and financing activities. |
| 6. | Classification as investing activities | Ind AS 3 requires that only the expenditures results in a recognized asset in the balance sheet are eligible for classification as investing activities. | AS 3 does not contain such requirements. |
| 7. | Disclosure of the amount of cash and cash equivalents in specific situations | Ind AS 7 requires and entity (except an investment entity) to disclose the amounts of cash and cash equivalents and other assets and liabilities in the subsidiaries or other businesses over which control is obtained or lost. It also requires to report the aggregate amount of cash paid or received as consideration for obtaining or losing control of such subsidiaries or other businesses in the Statement of Cash Flows, net of cash and cash equivalents acquired or disposed of as part of such transactions, events or changes in circumstances. | AS 3 does not contain such requirements. |
| 8. | Cash flows arising from changes in ownership interest in subsidiaries | Ind AS 7 requires classifying cash flows arising from changes in ownership interest in subsidiaries that do not result in a loss of control as cash flows from financing activities. | AS 3 does not contain such requirements. |
| 9. | Investments in subsidiaries associates and joint ventures (investees) | Ind AS 7 mentions the use of equity or cost method while accounting for an investment in an associate joint venture or a subsidiary. It also specifically deals with the reporting of interest in an associate or a joint venture using equity method. | AS 3 does not contain such requirements. |
| 10. | Use of different terminology and translation of cash flows of a foreign subsidiary | Ind AS uses the term 'functional currency' instead of 'reporting currency' (as in AS 3). It also deals with the translation of cash flows of a foreign subsidiary. | AS 3 uses the term 'reporting currency'. AS 3 does not deal with the translation of cash flows of a foreign subsidiary. |
| 11. | Disclosures | Ind AS 7 requires more disclosures as compared to AS 3. | As 3 requires Less disclosures as compared to Ind AS 7. |

## d. COMPARISON OF IND AS 8 WITH EXISTING INDIAN GAAP 5

| S. No. | Bases of Comparison | Ind AS 8 "Accounting Policies Changes in Accounting Estimates and Errors" | AS 5 "Net Profit or loss for the period, prior period and Changes in Accounting Policies" |
|---|---|---|---|
| 1. | Rectification of Prior period errors | Ind AS 8 requires rectification of prior period errors with retrospective effect subject to limited exceptions. | AS 5 requires the rectification of prior period items with prospective effect |
| 2. | Prior period items | Ind AS 8 defines the term errors as arising from a failure to use or misuse reliable information that was available when the Financial Statements of the prior periods were approved for issuance and could reasonably be expected to obtained and taken into account in the preparation and presentation of those Financial Statements. | Existing AS 5 defines prior period items as incomes or expenses which arise in the current period as a result of errors or omissions in the preparation of Financial Statements of one or more prior periods. |

## e. COMPARISON OF IND AS 12 WITH EXISTING INDIAN GAAP 22

| S. No. | Bases of Comparison | Ind AS 12 "Income Taxes" | AS 22 "Accounting for Taxes on Income" |
|---|---|---|---|
| 1. | Approach | Ind AS 12, in contracts, is based on balance sheet approach and recognizes tax consequences of differences between the carrying amounts of assets and liabilities and their tax base. | Existing AS 22, based on income statement approach, recognizes tax consequences of differences between taxable income and accounting income. |
| 2. | Recognizes | Ind AS 12 recognizes deferred tax assets for all deductible temporary difference to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized. | Existing AS 22 recognizes and carries forward deferred tax assets only to the extent where there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be utilized. |
| 3. | Recognize of Deferred Tax Assets in case of unused tax losses and unabsorbed depreciation | Under Ind AS 12, deferred tax assets in case of unused tax losses and unabsorbed depreciation are recognized only to the extent that the entity has sufficient taxable temporary differences, or there is convincing other evidence that sufficient taxable profit will be available against which the unused tax losses or unused tax credits can be utilized by the entity. | Under existing AS 22, deferred tax assets in case of unused tax Losses and unabsorbed depreciation is recognized to the extent that there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realized. |

## f. COMPARISON OF IND AS 16 WITH EXISTING INDIAN GAAP 10

| S. No. | Bases of comparison | Ind AS 16 Property, Plant and Equipments | AS 10 Property, Plant and Equipments |
|---|---|---|---|
| 1. | Property, Plant and Equipment retired from active use and held for sale | Ind AS 16 does not deal with the assets held for sale because the treatment of such assets is covered under Ind AS 105 "Non-current assets held for sale and Discontinued operations". | AS 10 deals with the accounting for items of fixed assets retired from active use and held for sale. |
| 2. | Stripping costs in the production phase of a surface mine | Ind AS 16 provides guidance on measuring the stripping cost in the production phase of a surface mine. | AS 10 does not contain this guidance. |

## g. COMPARISON OF IND AS 116 WITH EXISTING INDIAN GAAP 19

| Bases of comparison | Ind AS 116 Leases | AS 19 Leases |
|---|---|---|
| Coverage | Ind AS 116 deals with specific provisions related to Leases of Land and building. | AS 19 does not deal with all types of leases. |
| Residual value | Ind AS 116 does not define residual value. | AS 19 defines residual value. |
| Inception of lease and commencement of lease | Ind AS 116 defines and distinguishes between inception of lease and commencement of lease. | AS 19 neither defines nor distinguishes between the two. |
| Recognition of finance lease | As per Ind AS 116, lessee should recognize finance lease as assets and liabilities at the commencement of lease. | As per AS 19, the lessee should recognize the finance lease at the inception of lease. |
| Upward revision of unguaranteed residual value | Ind AS 116 permits the upward revision of unguaranteed residual value during the lease term. | AS 19 prohibits such upward revision. |
| Initial direct costs | Ind AS 116 provides that the initial direct costs incurred by the lessor in case of an operating lease should be included in the carrying amount of the leased asset and amortized as an expense over the lease term. | AS 19 provides that such costs should be charged off by the lessor or amortized over the lease term. |
| Sale and leaseback transactions n case of finance lease | Ind AS 116 also requires that the excess of sale proceeds over the carrying amount of the asset should be deferred and amortized but it does not specify the method of amortization. | AS 19 provides that the excess of sale proceeds over the carrying amount of the asset should be deferred and amortized over the lease term in proportion to depreciation of the leased asset |
| Single lease accounting model for Lessee | Ind AS 116 now has a single lease accounting model for the leassee by eliminating the difference between operating lease and finance lease i.e. the lessee has to recognize the lease liability with a corresponding 'right of use' asset | As 19 prescribes for the lessee lease accounting depending on the type of lease i.e. **Operating Lease and Finance Lease.** |

## h. COMPARISON BETWEEN IND AS 115 WITH EXISTING INDIAN GAAP AS 7 AND AS 9

| Bases of comparison | Ind AS 115<br>Revenue from Contracts with Customer | AS 7 and AS 9<br>Construction Contracts and Revenue Recognition |
|---|---|---|
| Framework of revenue recognition | Ind AS 115 gives a framework of revenue recognition within the standard. It specifies the core principle for revenue recognition which requires the revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. | AS 7 and AS 9 do not provide any such principle to fall upon in case of doubt. |
| Comprehensive guidance on recognition and measurement of multiple elements of contracts with a customer | Ind AS 115 provides comprehensive guidance on how to recognize and measure multiple elements of contracts with a customer. | AS 7 and AS 9 do not provide any such guidance on this aspect. |
| Coverage | Ind AS deals with all types of performance obligation contracts with customers. However, it does not deal with interest and dividend dealt with in the standard on financial instruments. | AS 7 deals only with the revenue from construction contracts which measures the revenue at the consideration received/ receivable. AS 9 deals with only the revenue from sale of goods, rendering of services and income form royalty, dividend and interests. |
| Measurement of Revenue | Ind AS 115 measures the revenue at the transaction price i.e. the consideration to which the entity expects to be entitled in exchange for the transfer of the promised goods or services, excluding the amounts collected on behalf of third parties. | AS 9 provides for the measurement of revenue at the amount of charges made to the customers or clients for the goods transferred or services supplied or the rewards arising from the use of resources by others.<br>AS 7 measures the revenue at the consideration received or receivable. |
| Recognition of revenue | Ind AS 115 provides that the revenue is recognized when the control is transferred to the customer. | AS 9 provides that revenue is recognized upon the transfer of significant risk as and rewards of ownership to the clients.<br>AS 7 provides that the revenue is recognized when the outcome of a construction contract can be reliably estimated. |
| Capitalization of costs | Ind AS 115 provides guidance on the recognition of costs to obtain and fulfill a contract as an asset | AS 7 and AS 9 do not deal with capitalization of such costs. |
| Guidance on service concession arrangements | Ind AS 115 gives guidance on service concession arrangements and disclosures thereof. | ASs do not provide such guidance. |
| Disclosure requirements | Ind AS 115 contains more disclosure requirements as compared to AS 7 and AS 9. | AS 7 and AS 9 contain very less disclosure requirements as compared to Ind AS 115. |

## i. COMPARISON OF IND AS 19 WITH EXISTING INDIAN GAAP 15

| Bases of comparison | Ind AS 19<br>Employee Benefits | AS 15<br>Employee Benefits |
|---|---|---|
| Constructive Obligation | Ind AS 19 covers employee benefits arising from constructive obligations. | Existing AS 15 is silent on the same. |
| Employee Includes | Ind AS 19 the term employee includes directors. | AS 15, the term employee includes whole time directors. |
| Scope Cover | Ind AS 19 in its scope covers situations of contractual agreement between a multi-employer plant and its participants that determines how the surplus in the plan will be distributed to the participants (or the deficit funded). | Existing AS 15 is silent on the same. |
| | Ind AS 19 defines the same as the total of (i) any cumulative unrecognized past service cost and (ii) the present value of economic benefits available in the form of refunds from the plan or reduction in future contributions to the plan. | Existing AS 15 defines the limit for asset ceiling as present value of economic benefits available in the form of refunds from the plant or reductions in future contributions to the plan. |

## j. COMPARISON OF IND AS 20 WITH EXISTING INDIAN GAAP 12

| Bases of comparison | Ind AS 20<br>Accounting for Government Grants and Disclosure of Government Assistance | AS 12<br>Government Grants |
|---|---|---|
| Government grants of the nature of promoters contribution | Ind AS 20 does not recognize government grants of such nature and accordingly recognize as income over the periods. | Existing AS 12 requires government grants of the nature of promoter's contribution to be credited directly to capital reserve and treated as a part of shareholders funds. |
| Non-Monetary Grants | Ind AS 20 value non-monetary grants at their fair value. | AS 12 which records it at nominal value. |
| Presentation | Ind AS 20 requires such grants to be presented as deferred income only. | Under existing AS 12, grants related to assets (including non-monetary grants) can be presented as deferred income or by deducting the grant from the gross value of asset concerned in arriving at its book value. |

## k. COMPARISON OF IND AS 21 WITH EXISTING INDIAN GAAP 11

| Bases of comparison | Ind AS 21<br>Effects of Change In Forex Rates | AS 11<br>Effects of Change In Foreign Exchange Rates |
|---|---|---|
| Forward exchange contracts and other similar financial instruments | Ind AS 21 excludes forward exchange contracts and other similar financial instruments (as it gets treated in accordance with Ind AS 39 Financial Instruments: Recognition and Measurement). | Existing AS 11 covers in its scope, forward exchange contracts and other similar financial instruments. |

| | | |
|---|---|---|
| Approach | Ind AS 21 is based on functional currency approach. | AS 11 is based on reporting currency approach. |
| Presentation currency | Ind AS 21 allows for presentation currency to be different from local currency. | Existing AS 11 does not allow it. |
| Recognizing of exchange differences arising on translation of certain Long-term monetary items from foreign currency to functional currency. | Ind AS 21 allows recognizing of exchange differences arising on translation of certain long-term monetary items from foreign currency to functional currency directly in equity and transferring the same to profit or loss over the term of such items in an appropriate manner. | Existing AS 11 permits such an option for items not related to acquisition of fixed assets up to 31st March 2011, where such items are related to acquisition of fixed assets, the foreign exchange differences can be recognized as part of the cost of the asset |

## l. COMPARISON OF IND AS 23 WITH EXISTING INDIAN GAAP 16

| Bases of comparison | Ind AS 23 Borrowing Costs | AS 16 Borrowing Costs |
|---|---|---|
| Borrowing cost exclusion | Ind AS 23 given an option to an entity to exclude from this standards, borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset measured at fair value. Further it also excludes application of this standard to borrowing costs directly attributable to the acquisition, construction or production of inventories that are manufactured, otherwise produced, in large quantities on a repetitive basis. | The same is not exists in AS 16. |

## m. COMPARISON OF IND AS 24 WITH EXISTING INDIAN GAAP 18

| Bases of comparison | Ind AS 24 Related Party Disclosure | AS 18 Related Party Disclosure |
|---|---|---|
| Scope of Definition of Relatives and additional disclosure | Under Ind AS 24, the scope and definition of relatives (or close members of the family) government enterprises, key management personnel (KMP) and joint ventures have been expanded. Further, Ind AS 24 requires additional disclosures in case of government related enterprises and compensation of KMP under different categories. | — |

## n. COMPARISON OF IND AS 27 WITH EXISTING INDIAN GAAP 21

| Bases of comparison | Ind AS 27 Consolidated and Separate Financial Statements | AS 21 Consolidated Financial Statement |
|---|---|---|
| Mandatory | Under Ind AS 27 preparation of consolidated Financial Statements is mandatory for a parent company. | This does not mandate the same. |
| Guidance | Ind AS 27 contains guidance regarding accounting for investments in subsidiaries, jointly controlled entities and associates in preparing the separate Financial Statements. | Under existing AS 21 there is no guidance regarding accounting for investments in subsidiaries, jointly controlled entities and associates in preparing the separate Financial Statements. |

| | | |
|---|---|---|
| Exemption | Ind AS 27 does not provide any such exemption from consolidation. | AS 21 provides for exclusion of subsidiary from consolidation under circumstances where control is intended to be temporary or when subsidiary operates under serve long term restrictions. |
| Effect of potential voting rights | Ind AS 27 takes into account existence and effect of potential voting rights that are currently exercisable or convertible while assessing the control of entity over the subsidiary. | AS 21 does not take into account potential equity shares of the investee held by investor for considering share ownership. |

## o. COMPARISON OF IND AS 28 WITH EXISTING INDIAN GAAP 23

| Bases of comparison | Ind AS 28<br>Investment in Associates and Joint Ventures | AS 23<br>Accounting for investment in Associates |
|---|---|---|
| Scope | Ind AS 28 excludes them from its scope as the same is included in Ind AS 39 (Financial Instruments : Recognition and Measurement) | Existing AS 23 includes in its scope, investments in associates held by venture capital organizations, mutual funds, unit trusts and similar entities including investment Linked insurance funds. |
| Potential voting rights | Ind AS 28 considers existence and effect of potential voting rights that are currently exercisable or convertible for assessing significant influence. | Existing AS 23 does not consider potential equity shares of the investee held by investor for determining significant influence. |
| Equity Method | Ind AS 28 requires application of equity method in financial statement, even if the entity does not have subsidiaries. | Existing AS 23 requires application of the equity method only in case of subsidiary consolidation. |
| Length of difference in the reporting dates of the investor and the parent | Ind AS 28, length of difference in the reporting dates of the investor and the parent should not be more than three months unless it is impractical. | Existing AS 23 specifies no maximum difference between the reporting date of the associate and that of the parent. |
| While both existing AS 23 and Ind AS 28 require uniform accounting policies for the preparation of investor's Financial Statements for a like transactions and events in similar circumstances, existing AS 23 provides exemption to the same, if it is not possible to make adjustments to the accounting policies of the associates. However, the fact needs to be disclosed along with a brief description of the differences between the accounting policies | | |

## p. COMPARISON OF IND AS 33 WITH EXISTING INDIAN GAAP 20

| Bases of comparison | Ind AS 33<br>Earnings Per Share | AS 20<br>Earnings Per Share |
|---|---|---|
| Options held by the entity | Ind AS 33 specifically deals with options held by the entity on its share. | Existing AS 20 does not deal with the same. |
| Presentation of basic and diluted EPS from continuing and discontinued operations | Ind AS 33 requires presentation of basic and diluted EPS from continuing and discontinued operations separately. | Existing AS 20 does not require the same. |

| | | |
|---|---|---|
| Presentation of EPS with and without extraordinary items | Ind AS 33 does not require the presentation of EPS with and without extraordinary items as Ind AS 1 (Presentation of Financial Statements) prohibits the disclosure of items as extraordinary. | Existing AS 20 requires the presentation of EPS with and without extraordinary items. |

## q. COMPARISON OF IND AS 34 WITH EXISTING INDIAN GAAP 25

| Bases of comparison | Ind AS 34 Interim Financial Reporting | AS 25 Interim Financial Reporting |
|---|---|---|
| Comply | Ind AS 34 requires such compliance only if the interim financial report is required to be prepared and presented in accordance with accounting standards. | Under existing AS 25, if an entity is required or elects to prepare and present an interim financial report, it should comply with that Standard. |
| Condensed statement of changes in equity | Ind AS 34, in addition, requires a condensed statement ot changes in equity for the period in addition to above requirements. | Existing AS 25 requires at a minimum condensed balance sheet, a condensed statement of profit and loss, c condensed cash flow statement and selected explanatory notes in the contents of an interim financial report |
| Preparation of both consolidated and separate Financial Statements, complete or condensed. | Ind AS 34 neither requires nor prohibits the inclusion of the parents' separate statements in the entity's interim report prepared on a consolidated basis. | AS 25 requires preparation of both consolidated and separate Financial Statements, complete or condensed. |
| Furnishing information of contingent liabilities and contingent assets | Ind AS 34 specifies that information, if significant, on both contingent Liabilities and contingent assets is required to be furnished. | Existing AS 25 requires furnishing of information on contingent Liabilities only. |

## r. COMPARISON OF IND AS 36 WITH EXISTING INDIAN GAAP 28

| Bases of comparison | Ind AS 36 Impairment of Assets | AS 28 Impairment of Assets |
|---|---|---|
| Frequency for Testing of intangibles | Ind AS 36 requires goodwill and other intangible assets to be tested for impairment at last annually. | Existing AS 28 does not require goodwill to be tested for impairment annually unless there is an indication of impairment. |
| Reversal of impairment Losses | Ind AS 36 prohibits reversal of impairment losses in a subsequent period. | Existing AS 28 allows for reversal of impairment losses on account of goodwill in a subsequent period if the loss was caused by a specific external event of an exceptional nature that is not expected to recur, and subsequent external events that would occur and reverse the effect of that event. |
| Bottom-up or top-down approach | Under Ind AS 36 there is no bottom-up or top-down approach for allocation of good will. Rather goodwill is allocated to CGUs that are expected to benefit from the synergies of the business combination from which it arose. | Existing AS 28 specifies bottom up or top-down approach for allocation of goodwill under which goodwill is tested for impairment by allocating its carrying amount to each CGU (cash generating unit) or the smallest CGU on a reasonable and consstent basis. |

## s. COMPARISON OF IND AS 37 WITH EXISTING INDIAN GAAP 29

| Bases of comparison | Ind AS 37<br>Provisions, Contingent Liabilities and Contingent Assets | AS 29<br>Provisions, Contingent Liabilities and Contingent Assets |
|---|---|---|
| Provisions for constructive obligations | Ind AS 37 requires creation of provisions in respect of constructive obligations. | Under existing AS 29 provisions are not recognized on constructive obligations. However, provisions may be created on account of obligations arising out of normal business practices, custom and a desire to maintain good business relations or to act in an equitable manner. |
| Discounting of Provision | Ind AS 37 requires discounting of the amount of provisions in cash effect of the time value of money is material. | The same is prohibited under AS 29. |
| Disclosure of Contingent Assets | Ind AS 37 requires disclosure of contingent assets, when the inflow of economic benefits is probable. | AS 29 does not require disclosure of contingent assets in the Financial Statements. |

## t. COMPARISON OF IND AS 38 WITH EXISTING INDIAN GAAP 26

| Bases of comparison | Ind AS 38<br>Intangible Assets | AS 26 Intangible Assets |
|---|---|---|
| Cost or Revaluation Model | Ind AS 38 permits revaluation model in addition to cost model. | Existing standard AS 26 allows for only the cost model as a part of accounting policy. |
| Useful life may be finite or indefinite | Ind AS 38 recognizes that useful life may be finite or indefinite subject towards fulfillment of certain conditions. | Under existing standard AS 26, useful life of an intangible asset is not always indefinite. It includes a rebuttable presumption that the useful life will not exceed ten years from the date the asset is available for use. |
| Recognize of Intangible Assets acquired in exchange of a non-monetary asset | Ind AS 38 requires such intangible asset to be recognized at the fair value of the asset given up unless<br>(a) The exchange transaction lacks commercial substance, or<br>(b) The fair value of neither the asset received nor the asset given is reliably measurable. | Under the existing standard AS 26, if an intangible asset is acquired in exchange of a non-monetary asset, its cost should be recognized with reference to the fair market value of the consideration given. |
| Deferment of payment | Ind AS 38 requires that in case of deferment of payment beyond normal credit terms in case of an intangible asset, the difference between this amount and the total payments is to be recognized as interest expense over the period of credit unless it is capitalized as per Ind AS 23. | Existing AS 26 is silent on this aspect. |

## u. COMPARISON OF IND AS 103 WITH EXISTING INDIAN GAAP 14

| Bases of comparison | Ind AS 103<br>Business Combination | AS 14<br>Accounting for Amalgamation |
|---|---|---|
| Scope | Ind AS 103 is much wider in scope as it deals with business combinations. | Existing AS 14 defines only amalgamations. |
| Method | Ind AS 103 allows for only acquisition method for each business combination. | Existing AS 14 allows pooling of interest method as well as purchase method for amalgamation. |
| Recognize at Book Value or Fair Value | Ind AS 103 requires the acquired identifiable assets liabilities and non-controlling interest to be recognized at a fair value under acquisition method. | Existing AS 14 requires that acquired assets and Liabilities are recognized at their existing book value or at the fair value under the purchase method. |
| Measure of Non Controlling interest | Ind AS 103 requires that for each business combination, the acquirer shall measure any non-controlling interest in the acquired at either<br>(a) A fair value, or<br>(b) The present ownership instruments' proportionate share in the recognized amount of the acquiree's identifiable net assets. | Existing AS 14 defines that the minority interest is the amount of equity attributable to minorities at the date on which investment in a subsidiary is made, and it is shown outside as shareholders equity. |
| Testing for impairment of Goodwill | Ind AS 103 requires goodwill to be tested for impairment on an annual basis in accordance with Ind AS 36. | Existing AS 14 requires amortization of goodwill arising on amalgamation in the nature of purchase. |
| Guidance on accounting for reverse acquisitions. | Ind AS 103 specifically provides guidance on accounting for reverse acquisitions. | Existing AS 14 is silent on the same. |
| Treatment of excess amount | Ind AS 103 requires bargain purchase gain arising on business combination to be recognized as other comprehensive income on the acquisition date and accumulation of the same in equity as capital reserve. | Existing AS 14 treats the excess amount as capital reserve. |

## v. COMPARISON OF IND AS 105 WITH EXISTING INDIAN GAAP 24

| Bases of comparison | Ind AS 105<br>Non-Current Assets Held for Sale and Discontinued Operations | AS 24<br>Discontinued Operations |
|---|---|---|
| Dealt with non-current assets held for sale | Ind AS 105 specifically deals with accounting for non-current assets held for sale. | Under existing AS 24, same is not dealt with. Rather it falls under the ambit of existing AS 10 (Accounting for Fixed Assets). |
| Measure of non-current assets held for sale | Under Ind AS 105 non-current assets held for sale are measured lower than the carrying amount, and fair value minus costs to sell. | Existing AS 24 follows the principles set out in existing AS 10 which requires fixed assets retired from active uses and held for sale to be stated at the lower of their net book value and net realizable value. |

| | | |
|---|---|---|
| Classification of discontinuing operation | Under Ind AS 105, an operation is classified as discontinued when either it has been disposed of, or is classified as held for sale. | Under AS 24, classification of discontinuing operation happens at the occurrence of one of the following:<br>(a) the enterprise has entered into a binding sale agreement for substantially all of the assets attributable to the discontinuing operation ; or<br>(b) the enterprise's Board of Directors er Similar governing body has both<br>(i) approved a detailed, formal plan for the discontinuance, and<br>(ii) mode an announcement of the plan. |

## w. COMPARISON OF IND AS 108 WITH EXISTING INDIAN GAAP 17

| Bases of comparison | Ind AS 108 Operating Segment | AS 17 Segment Reporting |
|---|---|---|
| Identification of Segment | Ind AS 108, on the contrary identifies segments based on internal reports regularly reviewed by the entity's chief operating decision maker so as to make decisions about resources to be allocated to the segment and assess its performance. | Existing AS 17 requires an enterprise to identify segments based on business products and geographical areas with internal financial reporting system serving only as the starting point for identifying those items that can be directly attributed, or reasonably allocated, to segments. |
| Measure of Segment | Ind AS 108 requires measurement basis for cash segment reported to be that used by the chief operating decision maker for the purposes of making decisions about allocating resources to the segment and assessing its performance. | Under existing AS 17 segment information is prepared in conformity with the accounting policies adopted for preparing and presenting the Financial Statements. |
| Aggregation criteria | Ind AS 103 specifically requires aggregation criteria for aggregation of two or mare segments. | AS 17 does not deal with the same. |
| Disclosure | Ind AS 108 requires disclosures of revenues from external customers for each product and service, or each group of similar products and services. With respect to geographical areas, disclosure is required for revenues from external customers (a) attributed to the entity's country of domicile and (b) attributed to all foreign countries in total from which the entity derives revenue. | Existing AS 17 requires disclosures based on the classification of the segments as primary or secondary segments. |

## TEST YOURSELF

1. Explain the critical need for the adoption of Accounting Standards in the corporate world. How do they influence the credibility and comparability of Financial Statements across industries and countries.
2. Discuss in detail the rationale behind the convergence of Indian Accounting Standards (Ind AS) with International Financial Reporting Standards (IFRS). What are the major challenges faced by India in this convergence process?
3. Compare and contrast the key differences between Indian GAAP (IGAAP) and Indian Accounting Standards (Ind AS). Provide examples of accounting treatments under both frameworks that highlight these differences.
4. Analyze the roadmap for the implementation of Indian Accounting Standards (Ind AS) to achieve full convergence with IFRS. Discuss the phased approach adopted by India, and the impact on various stakeholders such as companies, auditors, investors, and regulators.
5. Explain the importance of the relevance and reliability characteristics of financial information. Discuss how uniformity and transparency in financial reporting standards contribute to the credibility and comparability of Financial Statements across the global market.
6. Why are Accounting Standards necessary? What role do they play in ensuring comparability and transparency in financial reporting?
7. What is the need for India to align its Accounting Standards with IFRS? How does convergence help in enhancing the quality of financial reporting?
8. What are the main differences between Indian GAAP and Ind AS? Explain with examples.
9. What is the roadmap followed by India to implement Ind AS and achieve convergence with IFRS? What steps were taken to facilitate this process?
10. Why is it important for financial information to be relevant and reliable? How does uniformity and transparency in financial reporting standards help in ensuring the integrity of Financial Statements.

CHAPTER 4

# ACCOUNTING FOR SHARE CAPITAL

## A. INTRODUCTION OF SHARES

A share may be understood as an individual part or a singular unit into which the total share capital of a company is divided. Shares are used to raise the capital of a company and each share constitutes a unit of ownership which is offered for sale. A share represents a part of the share capital of the company.

**For example,** Company ABC has a share capital of Rs. 50,00,000 divided into 5,00,000 shares of Rs.10 each and Mr. Naveen is in possession of 6,000 shares, then he has a share of Rs. 60,000 in the share capital of the company.

### a. CONCEPT OF SHARE AND SHARE CAPITAL

The total capital of a company is split into small equal parts. Each part therefore represents a 'share of the ownership' of the company. Investors subscribing to the same becomes the owner of the company and is known as shareholders or members of the company. Each such part of capital is sold in form of a security or instrument known as Share and the capital procured in the process is called Share Capital.

Thus, Share refers to a financial instrument that is issued by a company to its owners. It represents the smallest unit of ownership of a company. As per Section 2(84) of the Act, **"share"** means a share in tire share capital of a company and includes stock.

**Note:** Stock represents aggregate of fully paid-up shares which are legally consolidated.

### b. FEATURES OF SHARES

Shares have the following features:

1. It represents the smallest unit of ownership.
2. Each share has a specific value representing the part of capital in value. Such value is called the face value or nominal value of share.
3. Shares of a specific series must have the same face value.
4. Share represents only a partial ownership of Share Capital of the company.
5. Shares arc transferable and thereby ensures perpetual succession of the company.
6. Each share has a distinct number.

### c. TYPES OF SHARES

On the basis of the rights enjoyed by the shareholders, shares can be divided into two categories as follows:

1. **Preference Shares:** These are shares in case of which the shareholders enjoy certain preferential right to receive dividend and repayment of capital in the event of liquidation of the company.
2. **Equity Share:** These are shares that arc not preference shares. In other words, here, the shareholders do not enjoy the above two preferential rights.

**Equity share capital may be: (As per Section 43 of the Companies Act 2023)**

(a) Equity share capital with voting rights or

(b) With differential rights as to dividend, voting or otherwise in accordance with such rules as may be prescribed

3. **Preference shares:** can further be classified into various types on different basis as shown below:

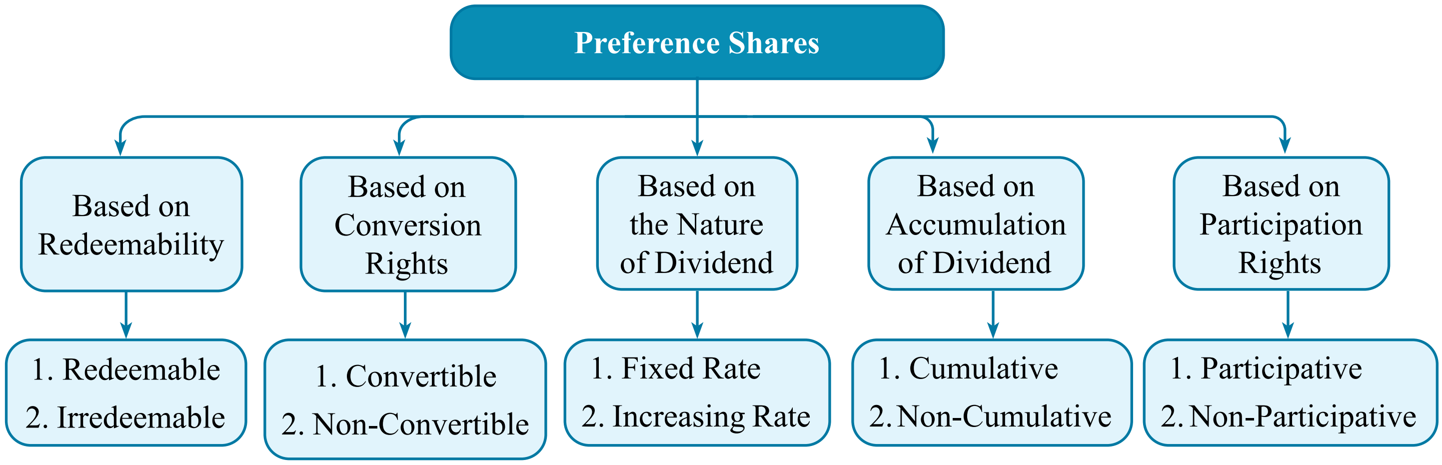



**Figure:** Different Types of Preference Shares

(a) **Redeemable vs. Irredeemable Preference Shares:** Redeemable preference shares arc such where the capital is repaid on a fixed date after a period of time. In ease of irredeemable preference shares, the capital is never repaid.

(b) **Convertible vs. Non-Convertible Preference Shares:** Convertible preference shares arc such which gives the preference shareholders to convert their shares into equity shares subject to the conditions specified In ease of non-convertible preference shares, the shareholders do not enjoy any such rights.

(c) **Fixed Rate vs. Increasing Rate Preference Shares:** In ease of fixed rate preference shares, the rate of dividend remain fixed throughout the term. However, in ease of increasing rate[1] preference shares, the dividend rate increases after a certain period of time.

(d) **Cumulative vs. Non-Cumulative Preference Shares:** Cumulative preference shares arc such which carry the right to accumulated dividend. Thus, if the dividend is not paid in any year, it accumulates and becomes payable on subsequent year. Non-cumulativc preference shares do not enjoy any such right.

(e) **Participative vs. Non-Participative Preference Shares:** Participatory preference shares arc such W'hcrc the holders have the right to participate (i.c., claim) into the residual distributable profit after paying equity dividend and to participate into the residual asset in the event of liquidation. This participatory right is in addition to their usual right to dividend and capital repayment. Non-participatory preference shares do not enjoy any such right.

## B. SHARE CAPITAL OF A COMPANY

Share capital means the capital raised by a company through issue of shares. It is the amount invested by the shareholders against the lace value of shares. It is basically a part of a company's 'net worth' or 'equity'.

**Types of Share Capital:** Based on the type of shares used to raise the capital, share capital can be either Preference Share Capital or Equity Share Capital.

Again, on the basis of disclosure in the Balance Sheet, Share Capital is categorized as follows:

a. **Authorized Share Capital:** It is the amount of share capital that a company is permitted to issue. It is mentioned in the Capital Clause of the Memorandum of Association of the company. Authorized Share Capital is also known as Nominal Capital.

b. **Issued Share Capital:** It represents the portion of the Authorized Capital that has been offered by a company for subscription.

c. **Subscribed Capital:** It is that part of the issued capital for which applications arc received from the public.

d. **Called up Capital:** It is that part of the subscribed capital that has been called up by the company for payment.

e. **Paid up Capital:** The part of the called-up capital which is offered and is actually paid by the members.

f. **Reserved Capital:** It is the portion of the uncalled capital of a company that is callcd-up for payment only in the event of liquidation of the company.

## C. REPORTING OF SHARE CAPITAL IN BALANCE SHEET

In the Balance Sheet of a company prepared under Schedule III, Share Capital is reported under the head Shareholders' Fund in the section Equity and Liabilities with details given under Notes to Balance Sheet as follows:

| Particulars | (₹) |
|---|---|
| Share Capital: | |
| Authorized Capital | |
| .....Equity Shares of ₹..... each | ***** |
| .....Preference Shares of ₹..... each | ***** |
| | **** |
| Issued and Subscribed Capital | |
| .....Equity Shares of ₹..... each | ***** |
| .....Preference Shares of ₹..... each | ***** |
| | **** |
| Callcd-up Capital | |
| .....Equity Shares of ₹..... each | ***** |

## D. THE IMPORTANT STEPS IN THE PROCEDURE OF SHARE ISSUE ARE

### a. ISSUE OF PROSPECTUS

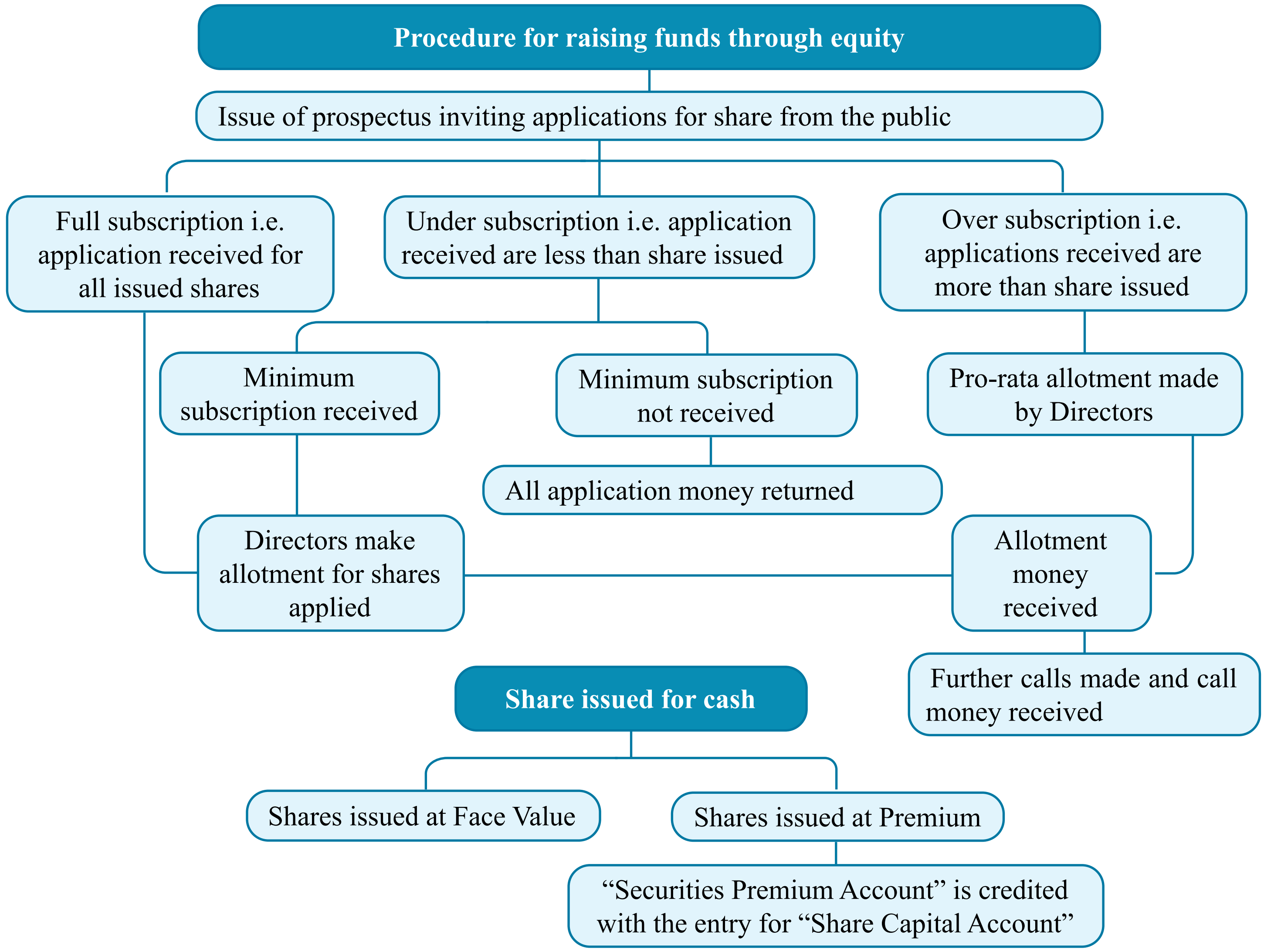
- The Company first issues the prospectus to the public. Prospectus is an invitation to the public that a new company has come into existence and it needs funds for doing business. It contains complete information about the company and the manner in which the money is to be collected from the prospective investors.

### b. RECEIPT OF APPLICATIONS

- When prospectus is issued to the public, prospective investors intending to subscribe the share capital of the company would make an application along with the application money and deposit the same with a scheduled bank as specified in the prospectus. The company has to get minimum subscription within 120 days from the date of the issue of the prospectus. If the company fails to receive the same within the said period, the company cannot proceed for the allotment of shares and application money should be returned within 130 days of the date of issue of prospectus.

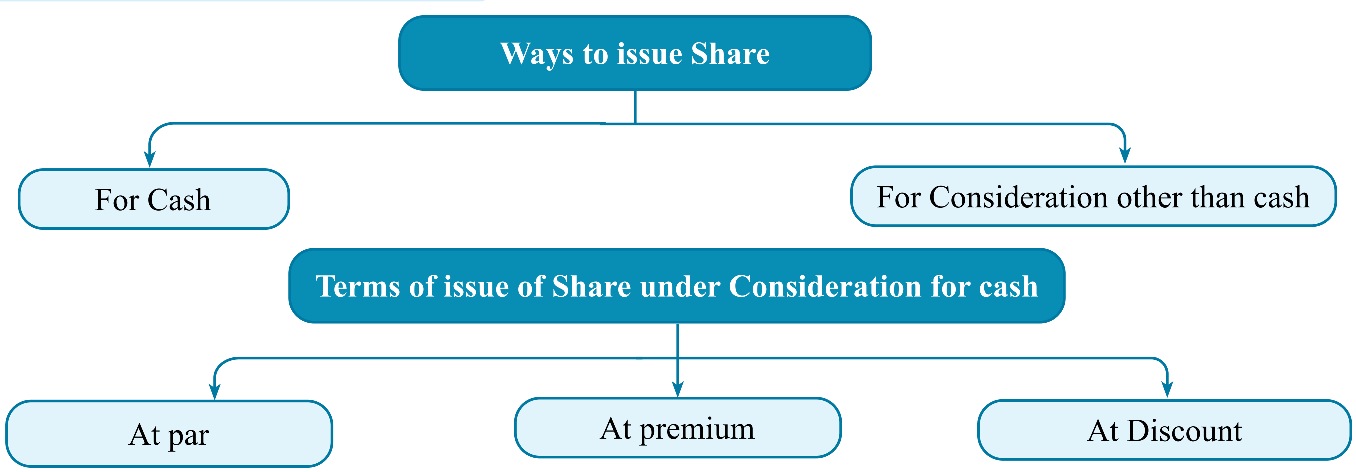
### c. ALLOTMENT OF SHARES

- If minimum subscription has been received, the company may proceed for the allotment of shares after fulfilling certain other legal formalities. Letters of allotment are sent to those whom the shares have been alloted, and letters of regret to those to whom no allotment has been made. When allotment is made, it results in a valid contract between the company and the applicants who now became the shareholders of the company




**Note:** As per Section 53 of Companies Act, 2013 a company cannot issue shares at discount except for in case of sweat equity shares and therefore any issue on discount by the company will be void with company being punishable with fine. Sweat equity shares means such equity shares as are issued by a company to its directors or employees at a discount or for consideration, other than cash, for providing their know-how or making available rights in the nature of intellectual property rights or value additions, by whatever name called.

## E. TERMS OF ISSUE OF SHARE



### Issue Price of Shares

The price at which the shares are offered for issue by a company may be either equal to, or above, or below' the face value. Accordingly, shares can be issued at par, or at a premium, or at a discount.

a. **Issue at Par:** When share is issued at a price equal to its face value, it is called issue at Par.
b. **Issue at a Premium:** When share is issued at a price higher than its face value, it is called issue at Premium.
c. **Issue at a Discount:** When share is issued at a price lower than its face value, it is called issue at Discount.

## a. ISSUE OF SHARES AT PAR

Shares are said to be issued at par when the issue price is equal to the face value or nominal value of the shares i.e., when the issue price is Rs. 10 and face value is also Rs. 10. When the shares are issued, the company may ask for the payment of the shares either payable in Lump sum/single instalment or in multiple installments.

1. ***When shares are Issued at par and are payable in full in a lump sum:***

**Accounting Treatment**

(a) On receipt of application money:

Bank A/c Dr. (With the amount received on application)
  To Share Application A/c
(Being application money received)

(b) On allotment of shares:

Share Application A/c Dr. (With the money received on the number of A/c shares allotted)
  To Share Capital
(Being application money transferred to share capital)

**Additional Points**

(i) Although shares may be of either kind, i.e., equity shares or preference shares, but if only the term shares is used it means equity shares.

(ii) Separate share application account will be opened for each class of shares, i.e., equity share application account/preference share application account and the like.

(iii) Unless shares are allotted by the company, the receipt of application money is simply on offer and cannot be credited to Share Capital Account.

(iv) Refund of application money: If the company falls to raise the minimum subscription, then no shares can be allotted and the application money has to be returned to the applicants. For this, the entry will be as follows:

Share Application and Allotment Dr. (With the application money received now refunded)
  To Bank

2. ***Shares Issued in Installments***

**(a) On receipt of application money**

Bank A/c ________________________________ Dr.
  To Share Application A/c

**(b) For excess share application money refunded**

Share Application A/c ________________________ Dr.
  To Bank A/c

**(c) For share application money transferred to share capital**

Share Application A/c ________________________ Dr.
  To Share Capital A/c

(d) **For share allotment money due**

Share Allotment A/c ________________________________ Dr.

To Share Capital A/c

(e) **For share allotment money received**

Bank A/c ____________________________________________ Dr.

To Share Allotment A/c

(f) **For share call money due**

Share Call A/c _______________________________________ Dr.

To Share Capital A/c

(g) **For share call money received**

Bank A/c ____________________________________________ Dr.

To Share Call A/c

**Example 01**

AK Ltd. made an issue of 10,00,000 equity shares of ₹10 each, payable fully on application. Subscriptions were received for 12,00,000 shares. Application money in respect of 2,00,000 shares was refunded and shares were duly allotted to the rest. Pass journal entries to give effect to these transactions.

**Solution:**

**In the books of AK Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ ('000) | Cr. ₹ ('000) |
|---|---|---|---|
| | Bank A/c ____________________ Dr.<br>To Share Application A/c<br>(Share application money on 12,00,000 shares @₹10 per share received.) | 12,000 | 12,000 |
| | Share Application A/c ____________________ Dr.<br>To Bank A/c<br>(Share application money on 2,00,000 shares @₹10 per share refunded) | 2,000 | 2,000 |
| | Share Application A/c ____________________ Dr.<br>To Share Capital A/c<br>(Share application money transferred to share capital account as per Board's resolution no __________ dated _____) | 10,000 | 10,000 |

**Example 02**

BK Ltd. made an issue of 10,00,000 equity shares of ₹ 10 each, payable @ ₹2 on application, ₹4 on Allotment and ₹4 on first and final call. Subscriptions were received for 12,00,000 shares. Application money in respect of 2.00.000 shares was refunded and shares were duly allotted to the rest. All the amounts were duly received. Pass journal entries to give effect to these transactions.

**Solution:**

**In the books of BK Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ ('000) | Cr. ₹ ('000) |
|---|---|---|---|
| | Bank A/c ______________________________ Dr.<br>To Share Application A/c<br>(Share application money on 12,00,000 shares @₹2 per share received.) | 2,400 | 2,400 |

| | | | |
|---|---|---|---|
| | Share Application A/c ____________________ Dr.<br>To Bank A/c<br>(Share application money on 2,00,000 shares @₹2 per share refunded) | 400 | 400 |
| | Share Application A/c ____________________ Dr.<br>To Share Capital A/c<br>(Share application money transferred to share capital account as per Board's resolution no _________ dated ____) | 2,000 | 2,000 |
| | Share Allotment A/c ______________________ Dr.<br>To Share Capital A/c<br>(Share allotment money due on 10,00,000 shares @₹4 per share as per Board's resolution no _________ dated ____) | 4,000 | 4,000 |
| | Bank A/c ________________________________ Dr.<br>To Share Allotment A/c<br>(Share allotment money received on 10,00,000 shares @₹4 per share) | 4,000 | 4,000 |
| | Share First and final Call A/c ______________ Dr.<br>To Share Capital A/c<br>(Share call money due on 10.00.000 shares @₹4 per share as per Board's resolution no _________dated ______) | 4,000 | 4,000 |
| | Bank A/c ________________________________ Dr.<br>To Share First and final Call A/c A/c<br>(Share call money received on 10,00,000 shares @₹4 per share) | 4,000 | 4,000 |

## b. ISSUE OF SHARES AT PREMIUM

A company may issue shares at a premium, i.e., at a value greater than its face value. The power to issue shares at a premium need not be given in the Articles of Association. Premium so received shall be credited to a separate account called Securities Premium Account.

Section 52 of the Companies Act, 2013 gives the purposes for which share premium account may be applied by the company. These are:

- For the issue of fully paid bonus shares to the members of the company;
- For waiting off preliminary expenses of the company;
- For writing off the expenses of the commission paid or discount allowed on any issue of shares or debentures of the company; and
- For providing premium payable on the redemption of any redeemable preference shares or debentures of the company.
- For the purchase of its own shares or other securities u/s 68.

When shares are issued at premium, the journal entries for transactions relating to share issue will be as follows:

**Shares issued in lump sum**

1. **On receipt of application money (entire amount is received on application)**

   Bank A/c ___________________________________ Dr.

   To Share Application A/c

2. **For excess share application money refunded**

   Share Application A/c ________________________ Dr.

   To Bank A/c

**3. On allotment of shares**

Share Application A/c ________________________ Dr.

To Share Capital A/c (Face Value x no. of shares allotted)

To Securities Premium A/c (Premium x no. of shares allotted)

**Example 03:**

Jupiter Company Limited issued 35,000 equity shares of Rs. 10 each at a premium of Rs.2 payable as follows:

On Application Rs. 3

On Allotment Rs. 5 (including premium)

Balance on First and Final Call

The issue was fully subscribed. All the money was duly received. Record journal entries in the books of the Company.

**Solution:**

**Books of Jupiter Company Limited**
**Journal Entry**

| Date | Particulars | L.F. | Debit Amount (Rs.) | Credit Amount (Rs.) |
|---|---|---|---|---|
| | Bank A/c Dr.<br>To Equity Share Application A/c<br>(Money received on applications for 35,000 shares @ Rs. 3 per share) | | 1,05,000 | 1,05,000 |
| | Equity Share Application A/c Dr.<br>To Equity Share Capital A/c<br>(Transfer of application money on allotment to shore capital) | | 1,05,000 | 1,05,000 |
| | Equity Share Allotment A/c Dr.<br>To Equity Share Capital A/c<br>To Securities Premium A/c<br>(Amount due on allotment of 35,000 shares @ Rs. 5 per share including premium) | | 1,75,000 | 1,05,000<br>70,000 |
| | Bank A/c Dr.<br>To Equity Share Allotment A/c<br>(Money received including premium ) | | 1,75,000 | 1,75,000 |
| | Equity Share First and Final Call A/c Dr.<br>To Equity Share Capital A/c<br>(Amount due on First and Final Call of Rs. 4 per share on 35,000 shares) | | 1,40,000 | 1,40,000 |
| | Bank A/c Dr.<br>To Equity Share First and Final Call A/c<br>(Money received on First and Final Call) | | 1,40,000 | 1,40,000 |

## c. ISSUE OF SHARES AT DISCOUNT

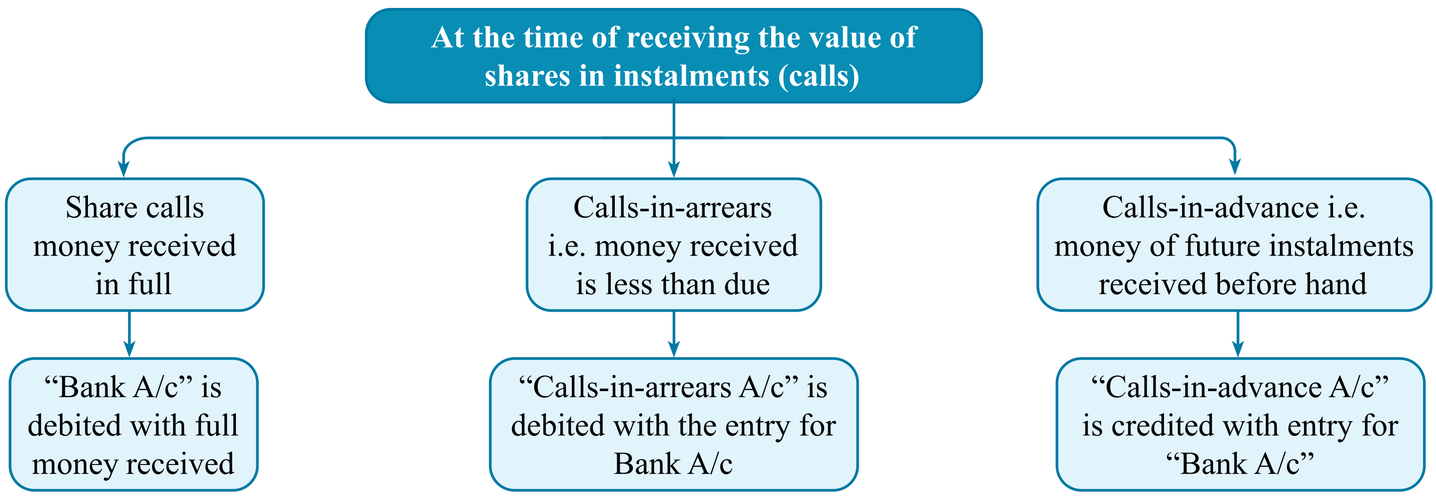
When the issue price of a shore is less than its face value, it is said to have been issued at a discount.

**For example,** if a company issues shares of Rs. 10 each at Rs. 9 each, the shares are said to be issued at a discount. The amount of discount would be to Rs. 1 per share (i.e. Rs. 10 - Rs. 9) in this case. Discount on shares is a loss to the company.

**Prohibition on the issue of Shares on Discount:** As per Section 53 of Companies Act. 2013, a company shall not issue shares at a discount except as provided in Section 54 for issue of sweat equity shares. Any share issued by a company at a discounted price shall be void.

Further **Section 53(3) of Companies Act, 2013 mentions of the penalty provisions which reads as:** Where any company fails to comply with the provisions of this section, such company and every officer who is in default shall be liable to a penalty which may extend to an amount equal to the amount raised through the issue of shares at a discount or five lakh rupees, whichever is less, and the company shall also be liable to refund all monies received with interest at the rate of 12% per annum from the date of issue of such shares to the persons to whom such shares have been issued.

# F. CALLS-IN-ARREARS AND CALLS-IN-ADVANCE




## a. INTEREST ON ARREARS

Interest on calls-in-arrear may be collected by the directors from the shareholders, if the Articles of Association so permit. In the absence of any specification, the company needs to follow 'Table F'according to which interest @10% p.a. from the due date to the date of actual payment is payable by the shareholders unless the same is waived by the Board.

The accounting entries for the same are as follows:

1. **For interest due**

   Shareholders A/c ______________________________ Dr.

   To Interest on Calls-in-Arrear A/c

2. On realization of interest

   Bank A/c ___________________________________ Dr.

   To Shareholders A/c

3. **For transferring interest to Profit and Loss Account**

   Interest on Calls-in-Arrear A/c __________________ Dr.

   To Profit and Loss A/c

## b. INTEREST ON CALLS-IN-ADVANCE

Interest may be paid by a company on calls-in-advance is the Articles of Association so provide. In the absence of any specification, the company needs to follow 'Table F' according to which interest @ 12% p.a. from the date of receipt to the due date of the concerned installment is payable.

The accounting entries for the same are as follows:

1. **For interest due on calls-in-advance**

   Interest on Calls-in-Arrear A/c ____________________ Dr.

   To Shareholders A/c

2. **On payment of interest**

   Shareholders A/c _________________________________ Dr.

   To Bank A/c

3. **For transferring interest to Profit and Loss Account**

   Profit and Loss A/c ______________________________ Dr.

   To Interest on Calls-in-Arrear A/c

**Example 01:** EF & Co. Ltd. issued 5,00,00,000 Equity shares of ₹10 each at a premium of ₹4 per share payable ₹1 per share on application. ₹6 per share on allotment (including premium), ₹3 on first call and the balance on final call. The shares were all subscribed and all money due was received except the first call money on 1,00,000 shares and the Final call money on 1,50,000 shares. Give the Journal entries to record the above transactions.

**Solution:**

**In the books of EF & Co. Ltd.**

**Dr.** **Cash Book** **Cr.**

| | ₹ In Lakh | | ₹ In Lakh |
|---|---|---|---|
| To Equity Share Application | 500 | | |
| To Equity Share Allotment | 3,000 | | |
| To Equity Share 1st Call | 1,497 | | 6,991 |
| To Equity Share Final Call | 1,994 | By Balance c/d | |
| | 6,991 | | 6,991 |

**Journal**

| Particulars | Dr. ₹ In Lakh | Cr. ₹ In Lakh |
|---|---|---|
| Equity Share Application A/c | 500 | |
| To Equity Share Capital A/c | | 500 |
| (Share application money transferred to share capital account as per Board's resolution no _____ dated ___) | | |
| Equity Share Allotment A/c | 3,000 | |
| To Equity Share Capital A/c | | 1,000 |
| To Securities Premium A/c | | 2,000 |
| (Share allotment money including premium due as per Board's resolution no. dated ...) | | |

| | | |
|---|---|---|
| Equity Share First Call A/c<br>To Equity Share Capital A/c<br>(Share first call money due as per Board's resolution no ____ dated ___) | 1,500 | 1,500 |
| Equity Share Final Call A/c<br>To Equity Share Capital A/c<br>(Share final call money due as per Board's resolution no ____ dated ___) | 2,000 | 2,000 |

**Example 02:** Ltd. issued 5,000 Equity shares of ₹10 each at par, payable ₹2 per share on application, ₹4 per share on allotment, ₹4 on first call and final call. The shares were all subscribed and all money due was received. One shareholder holding 200 shares paid the call money along with the allotment money. The amount was subsequently adjusted. Give the Journal entries to record the above transactions.

**Solution:**

**In the books of GH & Co. Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | C r. ₹ |
|---|---|---|---|
| | Bank A/c ____________________ Dr.<br>To Share Application A/c | 10,000 | 10,000 |
| | Share Application A/c ______________ Dr.<br>To Share Capital A/c | 10,000 | 10,000 |
| | Share Allotment A/c Dr. ____________ Dr.<br>To Share Capital A/c | 20,000 | 20,000 |
| | Bank A/c ____________________ Dr.<br>To Share Allotment A/c | 20,000 | 20,000 |
| | Bank A/c ____________________ Dr.<br>To Calls-in-Advance A/c | 800 | 800 |
| | Share 1st and Final Call A/c __________ Dr.<br>To Share Capital A/c | 20,000 | 20,000 |
| | Bank A/c ____________________ Dr.<br>Calls-in-Advance A/c. ______________ Dr.<br>To Share 1st and Final Call A/c | 19,200<br>800 | 20,000 |

**Example 03:** B Ltd issued 2,000 shares of ₹100 each at a premium of 10% payable as follows:

On application ₹20 (1st April 2023). On allotment ₹40 (including premium) (1st June 2023). On First Call ₹30 (1st July 2023). On Second & Final call ₹20 (1st Aug 2023).

Applications were received for 1,800 shares and the directors made allotment in full. One shareholder to whom 40 shares were allotted paid the entire balance on his share holdings with allotment money and another share holder did not pay allotment and 1st call money on his 60 shares but which he paid with final call. Interest should be received @ 5% p.a. on calls-in-arrears and interest should be paid @ 6% p.a. on calls in Advance (as per Articles of the company).

**Required:** Calculated the amount of interest paid and received on calls-in-advance and calls in arrears respectively on 1st Aug. 2023.

**Solution:**

Calculation of Interest on Calls-in-advance

| | |
|---|---|
| On ₹1200 (i.e. 40 × ₹30) for 1 months @ 6% p.a. | ₹6 |
| On 800 (i.e. 40 × ₹20) for 2 months @ 6% p.a. | ₹8 |
| | ₹14 |

Calculation of Interest on Calls-in-arrears

| | |
|---|---|
| On 2400 (i.e. 60 × ₹40) for 2 months @ 5% p.a. | ₹20 |
| On 1800 (i.e. 60 × ₹30) for 1 months @ 5% p.a. | ₹7.5 |
| | ₹27.5 |

## G. SUBSCRIPTION

**Minimum Subscription-** It is the minimum amount which has been mentioned in the prospectus that must be subscribed by the public before an allotment of any security can be made. Any company does not receive application equal to the number of shares offered for subscription and there may be either of the following two situations:


| Under Subscription | Over Subscription |
|---|---|
| The issue is said to have been under subscribed when the company receives applications for less number of shares than offered to the public for subscription. In this case company does not face any problem regarding allotment since every applicant will be allotted the shares applied for. and the company can proceed with allotment provided the minimum subscription for shares is met. | In case a company receives applications for more number of shares than the number of shares offered to the public for subscription, it is a case of over subscription. A company cannot allot more shares than what it has offered. |

In case of over subscription company has the following options:

### OPTION A

1. **Rejection of Excess Applications and Money Returned**

   The company may reject the applications for shares which are received in excess of the shares offered and a letter of rejection is sent to such applicants. In this case the application money received from these applicants is refunded to them in full.

   **The journal entry is as follows:**

**Journal Entry**

| | | |
|---|---|---|
| Share Application A/c | Dr. | (with Excess application money) |
| To Bank A/c | | |
| (Application money on ... shares refunded to the applicants) | | |

2. **Excess application money adjusted towards sums due on allotment**

**Journal Entry**

| | | |
|---|---|---|
| Share Application A/c | Dr. | (with Excess application money) |
| To Share Allotment A/c | | |

(Excess application money adjusted towards sums due on allotment)

If the application money received on partially accepted applications is more than the amount required for adjustment towards allotment money, the excess money is refunded. However, if the Articles of the company so authorize the directors may retain the excess money as calls in advance to be adjusted against the call/ calls falling due at a later date. The consent of the applicant has to be taken either by a separate letter or by inserting a clause in the company's prospectus.

The company con retain the calls in advance at maximum to the amount as is sufficient to make the allotted shares fully paid up ultimately. The following entry is made:

**Journal Entry**

| | | |
|---|---|---|
| Share Application A/c | Dr. | (with Excess application money left over the amount due on application and allotment) |
| To Call-in-advance A/c | | |

(The adjustment of excess share application money retained as call-in advance in respect of... shares)

## OPTION B

**Partial acceptance of Applications (Pro-rata acceptance):**

In some cases, the company accepts the applications for subscription partially. It means that the company does not allot the full number of shares that are applied for. The shares are accepted in a ratio, as determined, this is known as pro-rata acceptance.

**For example,** if an applicant has applied for 5000 shares and is allotted only 2000 shares, then his application is said to has been partially accepted. The company may evolve some formula of accepting applications partially or making proportionate allotment/ the Pro-rata allotment means that the applicants are allotted shares proportionately such that no applicant is refused of shares and no applicant allotted shares in full.

In such a case, the company adjusts the excess share money received on application towards share allotment money due on partially accepted applications.

The journal entry recording the adjustment of application money towards share allotment money, is as under:

**Journal Entry**

| | | |
|---|---|---|
| Share Application A/c | Dr. | (with Excess application money) |
| To Share Capital Account | | |

(Share application money transferred to Share Allotment Account in respect of ... shares)

**Example 04:** Pant Ltd. invited applications for ₹50,000 equity shares at ₹50 each, which are payable as on application ₹20, on allotment ₹10 and on first and final call ₹20. The company received applications for 60,000 shares. The directors accepted application for 50,000 shares and rejected the rest. Show Journal entries if company refunded the application money to rejected applicants and allotment money was received for 45,000 shares.

**Solution**

**Pant Ltd.**

**Journal**

| | | ₹ | ₹ |
|---|---|---|---|
| Bank A/c | Dr. | 12,00,000 | |
| To Equity Share Application A/c | | | 12,00,000 |
| (Being the application money received for 60,000 shares at ₹20 per share) | | | |
| Equity Share Application A/c | Dr. | 12,00,000 | |
| To Equity Share Capital A/c | | | 10,00,000 |
| To Bank A/c | | | 2,00,000 |
| (Being share allotment made for 50,000 shares and excess refunded.) | | | |
| Equity Share Allotment A/c | Dr. | 5,00,000 | |
| To Equity Share Capital A/c | | | 5,00,000 |
| (Being allotment amount due on 50,000 equity shares at ₹10 per share as per Directors' resolution no. _____ dated ___) | | | |
| Bank A/c | Dr. | 4,50,000 | |
| Calls in Arrears A/c | Dr. | 50,000 | |
| To Equity Share Allotment A/c | | | 5,00,000 |
| (Being allotment money received for 45,000 shares at ₹10 per share.) | | | |

## H. ISSUE OF SHARES FOR CONSIDERATION OTHER THAN CASH

There are instances where a company enters into an arrangement with the vendors from whom it has purchased assets, whereby the latter agrees to accept, the payment in the form of fully paid shares of the company issued to them. Normally, no such cash is received for issue of shares. These shares can also be issued either at par, at premium or at discount, and the number of shares to be issued will depend upon the price at which the shares are issued and the amount payable to the vendor.

**Case a:** In some cases, shares are issued to the promoters of the company in lieu of the services provided by them during the incorporation of the company. This would generate good will.

**Journal Entries**

(1) During incorporation of Company

Goodwill A/c Dr. (with the fair value of services, as agreed)

To Share Capital A/c

**Case b:** In case a company does not have sufficient funds for the purchase of fixed assets or for payment to creditors, it may offer and allot its shares to vendors/creditors in lieu of cash. Such shares may be issued by the vendors either (i) at par, or (ii) at a premium.

**Journal Entries**

1. When assets are acquired from the vendors -

   Sundry Assets A/c ( individually) Dr. (with the purchase price payable for the assets acquired)

   To Vendors A/c

2. When fully paid shares are issued to vendors at par -

   Vendors A/c Dr. (with the nominal value of the shares allotted)

   To Share Capital A/c

3. When fully paid shares are issued to vendors at a premium -

| | | |
|---|---|---|
| Vendors | Dr. | (with the purchase price) |
| To Share Capital A/c | | (with the nominal value of the shares allotted) |
| To Securities Premium A/c | | (with the amount of premium) |

**Case c:** Shares are also issued/ exchanged during a business purchase or merger of the companies. In such a situation, following entries are to be passed:

**Journal Entries**

1. When purchase consideration is more than net assets acquired -

| | | |
|---|---|---|
| Sundry Assets A/c (individually) | Dr. | (at agreed purchase price) |
| Goodwill A/c (B/F) | Dr. | (at purchase price less net assets acquired) |
| To Sundry Liabilities A/c | | |
| To Vendor A/c | | |

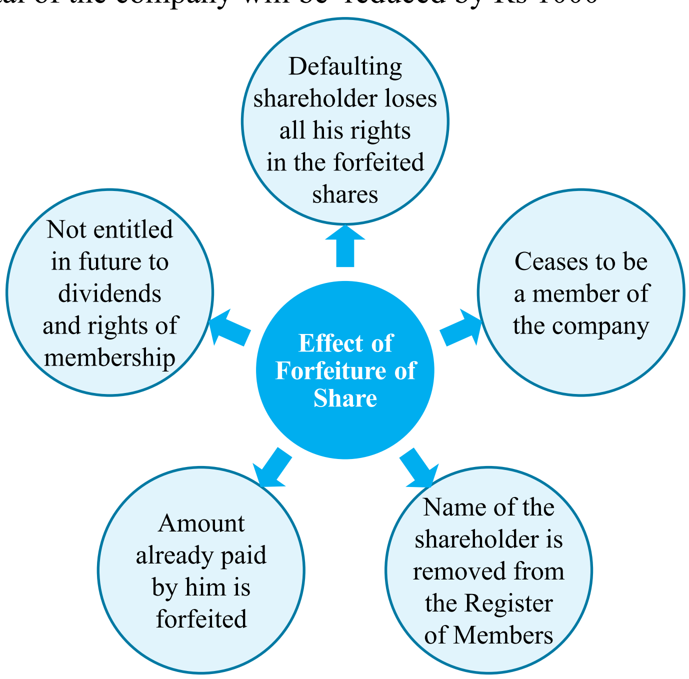
2. When purchase consideration is less than net assets acquired -

| | | |
|---|---|---|
| Sundry Assets A/c ( individually) | Dr. | (at agreed price) To Sundry Liabilities A/c |
| To Vendor | | (at agreed price) |
| To Capital Reserve (B/F) | | (at difference of Purchase price &net assets acquired) |

## I. FORFEITURE OF SHARES

In case where a shareholder fails to pay the allotment money and/or calls made on him, his shares are liable to be forfeited. Forfeiture of shares may be said to be the compulsory termination of his membership by way of penalty for non-payment of allotment and/or any call money. Articles of Association of the Company provide the authority to forfeit shares to the Board of Directors.

**Example:** S.K. Ltd. issued 100000 shares of Rs. 10 each payable as Rs. 2 on application, Rs. 2 on allotment, Rs. 3 on first call and Rs. 3 on second and final call Mr. Harish, the allottee of 100 shares, fails to pay the second and final call money made by the company. In this case If the Board of Directors decides to forfeit his shares, his membership will be cancelled and the amount of Rs 700 paid by him (on 100 shares Rs. 2 on application, Rs 2 on allotment and Rs.3 on first call per shore) will be forfeited. Now Mr. Harish will no longer be the member of the company and the issued capital of the company will be reduced by Rs 1000’



**Procedure for Forfeiture of Shares**

The Board has to give at least 14 days' notice to the defaulting members calling upon them to pay outstanding amount, with or without interest as the case may be, before the specified date.

↓

The notice must also state that if the shareholders fail to remit the amount mentioned therein within the stipulated period, their shares will be forfeited.

↓

If they still fail to pay the amount within the specified period of time, the Board of Directors of the company may decide to forfeit such shares by passing a resolution.

↓

The decision regarding the forfeiture of shares should be communicated to the concerned allottees.

**Disclosure:** Forfeited shares account is to be shown in the balance sheet by way of addition to the paid-up share capital on the liabilities' side, until the concerned shares are reissued.

### Accounting Treatment for Forfeiture of Share

- **Issued at Par**
  - Unpaid calls already transferred to Calls in Arrears & call accounts have been closed
  - Unpaid calls not yet transferred to Calls in Arrears
- **Issued at Premium**
  - Originally issued at premium & premium was paid
  - Originally issued at premium & premium was unpaid

## a. FORFEITURE OF SHARES ISSUED AT PAR

The forfeiture of shares can be recorded in following two ways:

1. Where the unpaid calls have already been transferred to Calls-in Arrear A/c and the respective call accounts have been closed:

| | | |
|---|---|---|
| Share Capital A/c | Dr. | (with the amount of called up value of shares forfeited i.e. no. of shares forfeited x the called up value per share.) |
| To Shares Forfeited A/c | | (with the amount already paid-up by the shareholders on the shares forfeited.) |
| To Calls-in-Arrear A/c | | (with the amount of unpaid calls.) OR |

2. Where the unpaid calls have not been transferred to Calls-in-Arrear A/c and the respective call accounts are showing balances representing unpaid amounts:

| | | |
|---|---|---|
| Share Capital A/c | Dr. | (with the amount of called up value of shares forfeited i.e., no. of shares forfeited x the called up value per share.) |
| To Shares Forfeited A/c | | (with the amount already paid up by the shareholders on the shares forfeited.) |
| To Share Allotment A/c | | (with the amount failed on allotment, if any.) |
| To Share First Call A/c | | (with the amount failed on first call, if any.) |
| To Share Final Call A/c | | (with the amount failed on final call, if any.) |

## b. FORFEITURE OF SHARES ISSUED AT PREMIUM

**Case 1:** Where shares to be forfeited were issued at a premium and the premium money remained unpaid: In such a case, the credit already given to the 'Securities Premium A/c' will be cancelled at the time of forfeiture of the shares by debiting the "Securities Premium A/c".

**Journal Entries**

| | | |
|---|---|---|
| Share Capital A/c | Dr | with the amount of called up value of shares forfeited, i.e.. no. of shares forfeited x called up value per share, (excluding premium). |
| Securities Premium A/c | Dr | (with the amount of premium money remaining unpaid on shares forfeited.) |
| To Shares Forfeited A/c | | (with the amount already paid by the share holders on the shares forfeited.) |
| To Calls-in-Arrear A/c | | (with the amount unpaid on calls.) |
| OR | | |
| Share Capital A/c | Dr | with the amount of called up value of shares for feited, i.e. no. of shares forfeited × called up value per share, (excluding premium). |
| Securities Premium A/c | Dr. | (with the amount of premium money remainingunpaid on shares forfeited.) |
| To Shares Forfeited A/c | | (with the amount already paid by the share holders on the shares forfeited.) |
| To Share Allotment A/c | | (with the amount foiled on allotment, if any.) |
| To Share First Call A/c | | (with the amount foiled on first call, if any.) |
| To Share Final Call A/c | | (with the amount failed on final call, if any .) |

**Case 2:** Where shares to be forfeited were issued at a premium and the premium money was duly received for the shares to be forfeited: If the amount of premium on shares forfeited has been received by the company prior to the forfeiture. Securities Premium Account shall not be affected. In this case, Securities Premium Account is already credited at the time of making the call and will not be cancelled when the shares are forfeited. In such a case, the accounting entry on forfeiture will be the same as the one passed In case of shares issued at par.

**Journal Entry**

| | | |
|---|---|---|
| Share Capital A/c | Dr. | (with the amount of called up value of shares forfeited i.e. no. of shares forfeited × the called up value per shore.) |
| To Shares Forfeited A/c | | (with the amount already paid-up by the shareholders on the shares forfeited.) |
| To Calls-in-Arrear A/c | | (with the amount of unpaid calls.) |

**Example 01:** M/s Herbal Teo Plantations Ltd. was registered with a capital of Rs 1 crore divided into equity shares of Rs 100 each. The company offered to public 50000 shares at a premium of Rs 20 per share. The amount on shares wos payable as:

Rs 25 on application

Rs 50 (including Rs 20 premium} on allotment

Rs 20 on first call and Rs 25 on final call

Applications were received for 75000 shares. Shares were alloted to the applicants on prorata basis. Kanti Bhai who was allotted 500 shares did not pay the allotment money. He also failed to pay the first call His shares were forfeited Sheetal was holding 200 shares did not pay the first call Final call was not mode

Make journal entries in the books of the company.

**Solution:**

**M/s Herbal Tea Plantations Ltd.**

**Journal**

| Date | Particulars | | Amount (Dr.) | Amount (Cr.) |
|---|---|---|---|---|
| 1 | Bank A/c | Dr. | 18,75,000 | |
| | To Share Application A/c | | | 18,75,000 |
| | (Being application money received on 75000 shares @Rs 25 per share) | | | |
| 2 | Share Application A/c | Dr. | 18,75,000 | |
| | To Share Capital A/c | | | 12,50,000 |
| | To Share Allotment A/c | | | 6,25,000 |
| | (Application money of 50000 share transferred to share Capital A/c on their allotment and remaining adjusted towards shares allotment) | | | |
| 3 | Share Allotment A/c | Dr. | 25,00,000 | |
| | To Share Capital A/c | | | 15,00,000 |
| | To Securities premium A/c | | | 10,00,000 |
| | (Allotment money due including premium) | | | |
| 4 | Bank A/c | Dr. | 18,56,250 | |
| | Call in Arrear A/c | Dr. | 18,750 | |
| | To Share Allotment A/c | | | 18,75,000 |
| | (Allotment money received) | | | |
| 5 | Share First Call A/c | Dr. | 10,00,000 | |
| | To Share Capital A/c (First Call money due) | | | 10,00,000 |
| 6 | Bank A c | Dr. | 9,86,000 | |
| | Calls - in - Arrears | Dr. | 4,000 | |
| | To Share First Call A/c | | | 9,90,000 |
| | (First call money received of 49300 shares, and shares debited to Calls in Arrears) | | | |
| 7 | Share capital Ac | Dr. | 37,500 | |
| | Securities premium A/c | Dr. | 10,000 | |
| | To Call in Arrear A/c | | | 28,750 |
| | To Share Forfeited A/c | | | 18,750 |
| | (Forfeiture of 500 shares on non- payment of allotment and call money) | | | |

**Working Notes:**

Shares applied for 75,000; Share Allotted 50.000 Ratio = 3 : 2

Kanti Bhai Number of shares holding = 500 Number of shares applied = 750

Excess application money received = 250 × 25 = Rs. 6,250 Share allotment money due = 500 × Rs. 50 = 25,000

Net Amount due after adjustment of excess application money = Rs. 25,000 – Rs. 6,250 = Rs 18,750

| | |
|---|---|
| Total allotment money due | Rs. 25,00,000 |
| Less excess application money adjusted | (Rs. 625,000) |
| Less Kanti Bhai's amount due on allotment | (Rs. 18,750) |
| **Net Amount Received** | **Rs. 18,56,250** |

**Example 02:** Ganga Limited issued 10,000 equity shares of 100 each payable as follows: Rs. 20 on application. Rs. 30 on allotment. Rs. 20 on first call and Rs. 30 on second and final calls 10,000 shares were applied for and allotted.

All money due was received with the exception of both calls on 300 shares held by Supriya. These shares were forfeited. Give necessary journal entries relating to Forfeiture of Shares.

**Solution:**

**Books of Ganga Limited**

**Journal Entries**

| Date | Particulars | | Amount (Dr.) | Amount (Cr.) |
|---|---|---|---|---|
| 1 | Alternative-1 (Call in Arrear not open] | | | |
| | Share Capital A/c | Dr. | 30,000 | |
| | To Equity Share First Call A/c | | | 6,000 |
| | To Equity Share Second and Final Call A/c | | | 9,000 |
| | To Share Forfeiture A/c | | | 15,000 |
| | (300 shares forfeited) | | | |
| 2 | Alternative-2 [Call in Arrear open] | | | |
| | Share Capital A/c | Dr. | 30,000 | |
| | To Call in Arrear | | | 15,000 |
| | To Share Forfeiture A/c | | | 15,000 |
| | (300 shares forfeited) | | | |

**Example 03:** A Ltd forfeited 30,000 equity shares of ₹10 fully called-up, held by Mr. X for non-payment of final call @ ₹4 each. However, he paid application money @ ₹2 per share and allotment money @ ₹4 per share. These shares were originally issued at par. Give Journal Entry for the forfeiture.

**Solution**

**In the books of A Ltd.**

**Journal**

| Date | Particulars | | ₹ | ₹ |
|---|---|---|---|---|
| | Equity Share Capital A/c (30,000 × 10) | Dr. | 3,00,000 | |
| | To Equity Share Final Call A/c (30,000 × ₹4) | | | 1,20,000 |
| | To Forfeited Shares A/c (30,000 × 6) | | | 1,80,000 |
| | (Being the forfeiture of 30,000 equity shares of 10 each fully called-up for non-payment of final call money @ 4 each as per Board's Resolution No. _____ dated _____) | | | |

**Example 04:** X Ltd forfeited 20,000 equity shares of ₹10 each, ₹8 called-up, for non-payment of first call money @ ₹2 each. Application money @ ₹2 per share and allotment money @ ₹4 per share have already been received by the company. Give Journal Entry for the forfeiture (assume that all money due is transferred to Calls-in-Arrears Account).

**Solution**

**In the books of X Ltd**

**Journal**

| Date | Particulars | | ₹ | ₹ |
|---|---|---|---|---|
| | Equity Share Capital A/c (20,000 × ₹8) | Dr. | 1,60,000 | |
| | To Calls-in-Arrears A/c (20,000 × ₹2) | | | 40,000 |
| | To Forfeited Shares A/c (20,000 × ₹6) | | | 1,20,000 |
| | (Being the forfeiture of 20,000 equity shares of ₹10 each, ₹8 called-up for non-payment of first call money @ ₹2 each as per Board's Resolution No. _____ dated _____) | | | |

**Example 05:** X Ltd. forfeited 5,000 equity shares of ₹100 each fully called-up which were issued at a premium of 20%. Amount payable on shares were: on application ₹20; on allotment ₹50 (including premium); on First and Final call ₹50. Only application money was paid by the shareholders in respect of these shares. Pass Journal Entries for the forfeiture.

**Solution**

**In the books of X Ltd.**

**Journal**

| Date | Particulars | | ₹ | ₹ |
|---|---|---|---|---|
| | Equity Share Capital A/c (5,000 × ₹100) | Dr. | 5,00,000 | |
| | Securities Premium A/c (See Note) | Dr. | 1,00,000 | |
| | To Equity Share Allotment A/c (5,000 × ₹50) | | | 2,50,000 |
| | To Equity Share First and Final Call A/c (5000 × ₹50) | | | 2,50,000 |
| | To Forfeited Shares A/c (5000 × ₹20) | | | 1,00,000 |
| | (Being the forfeiture of 5,000 equity shares of ₹100 each fully called-up, issued at a premium of 20%, for non-payment of allotment and call money as per Board's Resolution No dated _____) | | | |

**Tutorial Note:** Share premium @ ₹20 on 5,000 shares has not been received by the company. Therefore, at the time of forfeiture, Securities Premium Account will be debited to cancel it (because Securities Premium Account was credited at the time of allotment).

**Also, in case of pro-rata allotment where shares are issued at premium, the excess money received on application will be first adjusted to capital account and then for securities premium.**

**Example 06:** B Ltd purchase the assets of ₹10,80,000 from C Ltd. The consideration was payable in fully paid equity shares of ₹100 each.

Required: Show the necessary journal entries in books of B Ltd. assuming that -

**(a) Such shares are issued at par**

**(b) Such shares are issued at premium of 20%**

**Solution:**

**In the books of B Ltd.**

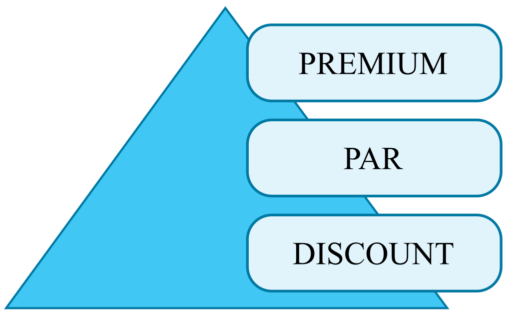
**Journal**

| Particulars | | Dr. (₹) | Cr. (₹) |
|---|---|---|---|
| Entry in all cases | | | |
| Sundry Assets A/c | Dr. | 10,80,000 | |
| To C Ltd. | | | 10,80,000 |
| [Being the purchase of assets from Y Ltd. as per agreement dated _____) | | | |
| Case (a) When Shares are issued at par | | | |
| C Ltd. | Dr. | 10,80,000 | |
| To Equity Share Capital A/c | | | 10,80,000 |
| (Being the issue of 10,800 shares at par to C Ltd. as per agreement dated _____) | | | |

| | | |
|---|---|---|
| Case (b) When Shares are issued at a premium of 20% | | |
| C Ltd. Dr. | 10,80,000 | |
| To Equity Share Capital A/c | | 9,00,000 |
| To Securities Premium A/c | | 1,80,000 |
| (Being the issue of 9,000 shares at 20% premium to C Ltd. as per Board's Resolution no _____ dated _____) | | |

## J. RE-ISSUE OF FORFEITED SHARES

The board of directors can either cancel or re issue the forefeited shares. In most cases, they reissue such shares which may be at par. at premium or at o discount Forfeited shares may be reissued as fully paid at a par, premium, discount In this context, it may be noted that the amount of discount allowed cannot exceed the amount that hod been received or forfeited shares at the time of initial issue, and that the discount allowed on reissue of forfeited shares should be debited to the 'Forfeited Share Account'. The balance, if any. left in the Share-Forfeited Account relating to reissued Shares, should be treated as capital profit and transferred to Capital Reserve Account




### a. RE-ISSUE OF FORFEITED SHARES - AT PAR

In one of the cases, forfeited shares con be re-issued at par. In such a case, the entire amount standing to the credit of Shares Forfeited Account for those shares would be treated as net gain and transferred to Capital Reserve Account.

**Journal entries**

1. On re-issue of shares:

   Bank A/c Dr. (with the amount received on reissue Le. no. of shares
   
   To Share Capital A/c re-issued × amount received per share.)

2. On transfer of Shares Forfeited Account to Capital Reserve Account

   Shares Forfeited A/c Dr. (with the forfeited amount on shares re-issued.)
   
   To Capital Reserve A/c

### b. RE ISSUE OF FORFEITED SHARES - AT A PREMIUM

If forfeited shares ore re-issued at a premium, the amount of such premium should be credited to Securities Premium Account Also. in such a case, the entire amount standing to the credit of Shares Forfeited Account would be treated as net gain and transferred to Capital Reserve Account.

**Journal entries**

1. On Re-issue of shares:

   Bank A/c Dr (with the total amount received on re-issue.)
   
   To Share Capital A/c (with nominal value or paid-up value of shares.)
   
   To Securities Premium A/c (with the premium amount received.)

2. On transfer of Shares Forfeited A/c to Capital Reserve A/c:
   Shares Forfeited A/c Dr. (with the forfeited amount on shares re-issued)
   To Capital Reserve A/c

**Note:** There may arise a situation when only part of shares forfeited be re-issued. In such o case, only the respective proportionate amount which represents the net gain on shares that are re-issued shall be transferred to the Capital Reserve Account and the remaining amount (balance) which represents the amount that is received on the forfeited shares, not yet re-issued, must be left m Shares Forfeited Account itself.

**Disclosure:** This amount is disclosed as addition to the paid up share capital on liabilities side of the balance sheet

## c. FORFEITURE AND RE-ISSUE OF SHARES ALLOTTED ON PRO-RATA BASIS IN CASE OF OVER-SUBSCRIPTION

In case where the shares of a Company are oversubscribed, it is not possible for the company to satisfy the demand of all the applicants. In such a case allotment may be mode on a pro-rata basis. I.e, proportionately.

**Example 01:** Company A allots 10,000 shares on pro-rata basis among the applicants for 12.000 shares. In this case, the ratio between allotment of shares and application for shares will be 10.000: 12.000 or 5: 6. i.e, those applying for every 6 shares will be allotted 5 shares If shares are allotted on pro-rata basis, the excess application money received on shares allotted will be retained by the company and may be adjusted subsequently against allotment money and/or call money.

If such shares are subsequently forfeited for nonpayment of allotment money and/or call money, the entries shall remain the same, but it may involve some difficulty in calculation In such a case, it Is to be noted carefully that if there is any excess amount received along with the application and It is adjusted against the allotment money which is failed by the shareholder, such amount should be deducted from the amount due on allotment to arrive at the net amount defaulted by the shareholder.

The net profit on forfeiture and re-issue of shares can be calculated as shown in the following statement.

| | |
|---|---|
| Profit on forfeiture $\frac{\text{Total Profit on Forfeiture of Shares}}{\text{No. of Shares reissued}} \times$ No. of Shares Forfeited | *** |
| Less: Discount on re-issue | *** |
| Net profit to be transferred to Capital Reserve | *** |

**Example 02:** The board of director of Poly Plastic Limited resolved that 200 equity shares of Rs. 100 each be forfeited for non-payment of the second and final call of Rs.30 per shore. Out of these, 150 shares were re-issued at Rs.60 per share to Mohit. Show the necessary journal entries.

**Solution:**

**Books of Poly Plastic Limited**

**Journal Entries**

| Date | Particulars | | | Amount (Dr.) | Amount (Cr.) |
|---|---|---|---|---|---|
| | Share Capital A/c | Dr | | 20,000 | |
| | To Share Second and Final Call A/c/Call In Arrear | | | | 6,000 |
| | To Shares Forfeiture A/c | | | | 14,000 |
| | (200 shares forfeited for non-payment of final call at Rs.30 per share) | | | | |
| | Bank A/c | Dr. | | 9,000 | |
| | Shares Forfeiture A/c | Dr. | | 6,000 | |
| | To Share Capital A/c | | | | 15,000 |
| | (Reissue of 150 shares of Rs 100 each, Issued as fully paid for Rs.60 each) | | | | |

| | | | | |
|---|---|---|---|---|
| | Shares Forfeiture A/c Dr.<br>To Capital Reserve A/c<br>(Profit on reissue of 150 forfeited shares transferred to capital reserve) | | 4,500 | <br>4,500 |

**Working Notes:**

Total amount forfeited on 200 shares = 14,000 (200 shares × Rs. 70)

Amount forfeited on 150 shares = 10,500 (150 shares × Rs. 70)

Amount of loss on reissue of 150 shares = 6,000 (150 shares × Rs. 40)

Amount of profit on reissued shares transferred to capital reserve = 4,500 (Rs. 10,500 – Rs. 6,000)

Amount forfeited on 50 shares = 3,500 (50 shares × Rs 70)

Balance Left in share forfeited account = 3,500 (Rs.14,000 – Rs. 6,000 – Rs. 4,500)

(equal to amount forfeited on 50 shares)

## K. BUY BACK OF SECURITIES (SECTION 62)

Buy back of securities means the company **buys its own shares and extinguishes the same** before the name of the company is entered in its register of members.

### a. ADVANTAGE OF BUY BACK

1. It is an alternative mode of reduction in capital without requiring approval of the Court/NCLT,
2. To improve the earnings per share;
3. To improve return on capital, return on net worth and to enhance the long-term shareholders value;
4. To provide an additional exit route to shareholders when shares are undervalued or thinly traded;
5. To enhance consolidation of stake in the company;
6. To prevent unwelcome takeover bids;
7. To return surplus cash to shareholders;
8. To achieve optimum capital structure;—
9. To support share price during periods of sluggish market condition;
10. To serve the equity more efficiently.

### b. SOURCES OF BUY BACK

A company may purchase its own securities out of;

1. Its free reserves; or
2. The securities premium account; or
3. The proceeds of any shares or other specified securities.

### c. AUTHORITY

1. Buy back of securities shall be primarily authorised by the articles of association of the company.
2. Buy-back can be made with the approval of the Board of directors at a board meeting and/or bu a special resolution passed bu shareholders in a general meeting, depending on the quantum of buy back.
3. In case of a listed company, approval of shareholders shall be obtained only by postal ballot.

## d. QUANTUM OF BUY BACK

1. Board of directors can approve buy-back up to 10% of the total paid-up equity capital and free reserves of the company.
2. Shareholders by a special resolution can approve buy-bock up to 25% of the total paid-up capital and free reserves of the company. However, in case of buy back of equity shares the limit of 25% of paid up capital shall be construed as 25% of Equity paid up capital.
3. In respect of any financial year, the shareholders can approve by special resolution upto **25%** of total equity capital in that year.

Further, given below is a table for relevant sections and their applicability:

| | |
|---|---|
| **For Unlisted Public and Private Companies** | ✦ Section 68,69 and 70 of Companies Act, 2013<br>✦ Rule 17 of Companies (Share Capital and Debentures) Rules, 2014 |
| **For Listed Companies** | ✦ Section 68, 69 and 70 of Companies Act, 2013<br>✦ Rule 17 of Companies (Share Capital and Debentures) Rules, 2014<br>✦ Securities and Exchange Board of India (Buy-back of Securities) Regulations, 1998 and Securities and Exchange Board of India (Buy-back of Securities) (Amendment) Regulations, 2013 |

## e. RELEVANT EXTRACTS FOR SECTIONS 68, 69 AND 70 OF COMPANIES ACT, 2013 FOR BUY-BACK OF SHARES

1. **Purchase can be made out of: According to section 68(1) of the Companies Act 2013. a company may purchase its own shares or other specified securities (referred to as buy-back) out of -**
   (a) Its free reserves;
   (b) The securities premium account; or
   (c) The proceeds of the issue of any shares or other specified securities:

   However, no buy-back of any kind of shares or other specified securities shall be made out of the proceeds of an earlier issue of the same kind of shares or some kind of other specified securities.
2. **Preliminary Conditions for buy-back: According to section 68(2). following conditions must be satisfied in order to buy-back the shares:**
   (a) Must be authorized by its articles:
   (b) A special resolution has been passed at a general meeting of a company authorizing the buyback. but
   (c) The same is not required when:
      (i) The buy-back is 10% or less of the total paid-up equity capital and free reserves of the company; and
      (ii) Such buy-back has been authorized by the Board by means of a resolution passed at its meeting.
   (d) The buy-back is 25% or less of the aggregate of paid-up capital and free reserves of the company But in case of Equity Shares, the same shall be taken as 25% of paid up equity capital only;
   (e) Debt equity ratio should be 2:1, where debt is the aggregate of secured and unsecured debts owed by the company after buy-back and Equity is the aggregate of the paid-up capital and its free reserves;

   Provided that the Central Government may. By order, notify a higher ratio of the debt to capital and free reserves for a class or classes of companies;
   (f) All the shares or other specified securities for buy-back are fully paid-up.
   (g) If shares or securities are listed, buy-back will be in accordance with the regulations made by the Securities and Exchange Board in this behalf, and

(h) The buy-back In respect of unlisted shares or other specified securities is in accordance with such Rules as may be prescribed.
(i) No offer of buy-back shall be mode within a period of one year from the date of the closure of the preceding offer of buy-back, if any.

3. **Explanatory Statement**

Section 68(3) spells out additional requirements that the notice of the meeting at which the special resolution is proposed to be passed shall be accompanied by an explanatory statement stating:

(a) A full and complete disclosure of all material facts;
(b) The necessity for the buy-back
(c) The class of shares or securities intended to be purchased under the buy-back;
(d) The amount to be invested under the buy-back; and
(e) The time-limit for completion of buy-back.

As per the rules, following more details are to be included in the Explanatory Statement:

(a) The date of the board meeting at which the proposal for buy-back was approved by the board of directors of the company;
(b) The number of securities that the company proposes to buy-back;
(c) The method to be adopted for the buy-back;
(d) The price at which the buy-back of shares or other securities shall be made;
(e) The basis of arriving at the buy-back price;
(f) The maximum amount to be paid for the buy-back and the sources of funds from which the buyback would be financed;
(g) Shareholding
    (i) The aggregate shareholding of the promoters and directors, where the promoter is a company, and of the directors and key managerial personnel as on the date of the notice convening the general meeting;
    (ii) The aggregate number of equity shares purchased or sold by persons mentioned in the sub-clause during a period of twelve months preceding the date of the board meeting at which the buy-back was approved and from that date till the date of notice convening the general meeting;
    (iii) The maximum and minimum price at which purchases and soles referred to in sub-clause (ii) were made along with the relevant date.
(h) If the persons mentioned in L (i) intend to tender their shares for buy-back -
    (i) The quantum of shares proposed to be tendered;
    (ii) The details of their transactions and their holdings for the last twelve months prior to the date of the board meeting at which the buy-back was approved including information of number of shares acquired, the price and the date of acquisition.
(i) A confirmation that there are no defaults subsisting in repayment of deposits, interest payment thereon, redemption of debentures or payment of interest thereon, or redemption of preference shares or payment of dividend due to any shareholder, or repayment of any term loans, or interest payable thereon to any financial institution or banking company;
(j) A confirmation:
    (i) That the Board of Directors have made a full enquiry into the affairs and prospects of the company and that they hove formed the opinion- general meeting is convened that there shall be no grounds on which the company could be found unable to pay its debts:
    (ii) That the company's prospect for the year immediately following that date and its financial resources be available to meet its liabilities as and when they fall due, and the company shall not be rendered insolvent within a period of one year from that date: and
    (iii) The directors have already taken into account the liabilities (including prospective and contingent liabilities), as If the company were being wound up under the provisions of the Companies Act 2013.

(k) A report addressed to the Board of Directors by the company's auditors stating that-

(i) They have inquired into the company's state of affairs;

(ii) The amount of permissible capital payment for the securities in question Is In their view properly determined;

(iii) That the audited accounts on the basis of which calculation with reference to buy-bock is done Is not more than six months old from the date of offer document; and

(iv) The Board of Directors have formed the opinion as specified in point 'o' on reasonable grounds and that the company, with regard to its state of affairs, shall not be rendered Insolvent within a period of one year from that dote.

## f. TRANSFER OF CERTAIN SUMS TO CAPITAL REDEMPTION RESERVES ACCOUNT [SECTION 69]

**Capital Redemption Reserves:** Where a company purchases its own shares out of free reserves or securities premium account, a sum equal to the nominal value of the shares so purchased shall be transferred to the capital redemption reserves account and details of such transfer shall be disclosed in the balance sheet.

**Utilization:** The capitol redemption reserve account may be applied by the company, in paying up unissued shares of the company to be issued to its members as fully paid bonus shares.

**Prohibitions:** No company shall directly or indirectly, purchase its own shares or other specified securities in case such company has not complied with the provisions of;

- Section 92: Annual Return
- Section 123: Declaration and Payment of Dividend
- Section 127: Failure to pay Dividend
- Section 129: Failure to give True and Fair Statement

## g. COMPANIES (SHARE CAPITAL AND DEBENTURES) RULES, 2014 FOR BUY-BACK

**Rule 17: Buy-back of shares or other securities:**

Unless stated otherwise, the following norms shall be complied with by the Private companies and Unlisted public companies for buy-back of their securities.

- Information disclosure in Explanatory Statement to be annexed with Special Resolution and Notice of General Meeting
- File letter of offer with ROC in Form SH-8
- File declaration of solvency in Form SH-9 along with Form SH-8
- Circulate among the shareholders in 20 days from filing with ROC
- Offer period between 15-30 days from the date of circulation

Acceptance on proportionate basis

Verification by the company

Opening of separate bank account

Make payment or return share certificates

Other restrictions

Maintain register of buy-back in Form SH-10

File return of buy-back in Form SH-11

File compliance certificate in Form SH-15 along with Form SH-11

## h. ACCOUNTING ENTRIES

1. In case investments are sold for buying back own shares

| | | |
|---|---|---|
| Bank A/c | Dr. | |
| To Investment A/c | | |

2. In case the proceeds of fresh issues are used for buy-back purpose

| | | |
|---|---|---|
| Bank A/c | Dr. | |
| To debentures/other Investment A/c | | |
| To Securities Premium A/c (if any) | | |

3. For buying back of shares:

| | | |
|---|---|---|
| Equity Shareholders A/c | Dr. | |
| To Bank A/c (With the amount paid) | | |

4. For cancellation of shares bought back:

| | | |
|---|---|---|
| Equity Share Capital A/c | Dr. | (with the nominal value of shares bought back) |
| Free reserves/Securities Premium A/c | Dr. | (with the excess amount/premium paid over nominal value) |
| To Equity Shareholders A/c | | (with the amount payable) |

5. In case the shares are bought back at discount:

| | | |
|---|---|---|
| Equity Share Capital A/c | Dr. | (with the nominal value) |
| To Equity shareholders A/c | | (with the amount paid) |
| To Capital Reserves A/c | | (with the amount of discount on buy-back) |

6. For transfer of nominal value of shares purchased out of free reserves/securities premium to Capital Redemption Reserves Account:

| | | |
|---|---|---|
| Free Reserves A/c | Dr. | (with the amount transferred) |
| Securities Premium A/c | Dr. | (with the amount transferred) |
| To Capital Redemption Reserves A/c | | (with the nominal value of shares bought back) |

7. For expenses incurred in buy-back of shares:

   Buy-back Expenses A/c Dr.

   To Bank A/c

8. For transfer of buy-back expenses:

   Profit and Loss A/c Dr.

   To buy-back Expenses A/c

**Example 01: ALLUWALIA Ltd.**

**Balance Sheet as at 31st March, 2023**

| **I. EQUITIES AND LIABILITIES** | | |
|---|---|---|
| 1. Shareholders' funds | | |
| (a) Share Capital | 1 | 10,00,000 |
| (b) Reserve & Surplus | 2 | 7,05,000 |
| 2. Non-Current Liability | | |
| Long-term borrowings | | 4,00,000 |
| 3. Current Liability | | |
| Trade payables | 3 | 60,000 |
| **TOTAL** | | **21,65,000** |
| **II. ASSETS** | | |
| 1. Non-current assets | | |
| (a) Fixed Assets | | |
| (i) Tangible fixed assets | 4 | 13,30,000 |
| (b) Non-Current Investment | | 1,50,000 |
| 2. Current Assets | | |
| Inventories | 1,00,000 | |
| Trade receivables | 1,00,000 | |
| Cash and cash equivalents Balance | 4,85,000 | 6,85,000 |
| **TOTAL** | | **21,65,000** |
| **Notes** | | |
| **1.** Share Capital | | |
| Authorized Share Capital | | |
| Issued, Subscribed Called-up and Paid-Up Share Capital:- | | |
| 1,00,000 shares of Rs. 10 each fully paid-up | | 10,00,000 |
| **2.** Reserve and Surplus | | |
| Securities Premium | 2,00,000 | |
| General Reserve | 5,05,000 | 7,05,000 |
| **3.** Long-term borrowings | | 4,00,000 |
| 14% Debentures | | |
| **4.** Tangible Fixed assets | | |
| Land-building | 9,30,000 | |
| Plant and machinery | 3,50,000 | |
| Furniture and fitting | 50,000 | 13,30,000 |

On 1st April. 2023 the shareholders of the company have approved the scheme of buy-back of equity shares as under:

(i) 5% of the equity shares would be bought back at Rs 15.

(ii) 12% Debentures to be issued for Rs 10,000 to finance for the buy-back, and balance from the Genera reserve may be utilized for this purpose.

(iii) Premium paid on buy-back of shares should be met from securities premium account

(iv) Investments would be sold for Rs 275.000.

Pass journal entries to record the above transactions and prepare the balance sheet of the company immediately after the buy-back of shares.

**Solution:**

**ALLUWALIA Ltd.**

**Journal Entries**

| Particulars | | Dr. (Rs) | Cr. (Rs) |
|---|---|---|---|
| Bank A/c | Dr. | 275,000 | |
| To Investments A/c | | | 150,000 |
| To Profit and Loss A/c | | | 125,000 |
| (Sale of investments, the profit being transferred to profit and loss account as per shareholders special resolution) | | | |
| Shareholders A/c | Dr | 75,000 | |
| To Bank A/c | | | 75,000 |
| (Purchase of 5.000 of own shares <3 Rs 15 each) | | | |
| Equity Share Capital A/c | Dr. | 50,000 | |
| Securities Premium A/c | Dr | 25,000 | |
| To Shareholders A/c | | | 75,000 |
| (Cancellation of 5,000 equity shares bought back, and securities premium utilized as per shareholders' special resolution) | | | |
| General Reserve A/c | Dr | 40,000 | |
| To Capital Redemption Reserve A/c | | | 40,000 |
| (Transfer of general reserve utilized to the extent of nominal value of shares bought back) | | | |
| Bank A/c | Dr. | 10,000 | |
| To 12% Debentures A/c | | | 10,000 |
| (Issue of 12% Debentures to partly finance the buy back) | | | |

**ALLUWALIA Ltd.**

**Balance Sheet (After Buy-back) as at 1st April, 2023**

| | | |
|---|---|---|
| **I. EQUITIES AND LIABILITIES** | | |
| 1. Shareholders' funds | | 950,000 |
| (a) Share Capital | | |
| (b) Reserve & Surplus | | 805,000 |
| 2. Non-Current Liability (Long-term borrowings) | | 410,000 |
| 3. Current Liability (Trade payables) | | 60,000 |
| **TOTAL** | | 22,25,000 |

| | | |
|---|---|---|
| **II. ASSETS** | | |
| 1. Non-current assets | | |
| (a) Fixed assets | | |
| (i) Tangible fixed assets | | 13,30,000 |
| 2. Current Assets (Stock) | 1,00,000 | |
| Sundry debtors | 1,00,000 | |
| Cash and Cash equivalents | 6,95,000 | 8,95,000 |
| **TOTAL** | | 22,25,000 |
| **Notes** | | |
| 1. Share Capital | | |
| Authorized Share Capital | | |
| Issued, Subscribed Called Up and Paid-up Share Capital | | |
| 95,000 shares of Rs/10 each fully paid up | | 9,50,000 |
| 2. Reserve and Surplus | | |
| Securities Premium | 1,75,000 | |
| General Reserve | 4,65,000 | |
| Capital Redemption Reserve | 40,000 | |
| Profit and Loss Account | 1,25,000 | 8,05,000 |
| 3. Long-term borrowings | | |
| 14% Debentures - | 400,000 | |
| 12%Debentures- | 10,000 | 4,10,000 |

**Note:** The debt-equity ratio of the company after buy-back of shares:

Debt-equity ratio = Debt/Equity (Capital and free reserves)

= (410000 + 60000)/(950,000 + 175.000 + 465,000 + 125,000)

= 0.274 :1

The debt equity ratio is within the limit.

## L. ISSUE OF BONUS SHARES [SECTION 63]

A company may issue fully paid up bonus shares to its members, in any manner out of -

- Its free reserves or
- Securities premium account or
- Capital redemption reserve account

However, no issue of bonus shares shell be mode bg capitalizing reserves created by the revaluation of assets.

No company shall capitalize its profits or reserves for the purpose of issuing fully paid up bonus shares under above, unless

- It is authorized by its articles;
- It has, on the recommendation of the Board, been authorized in the general meeting of the company;
- It has not defaulted in payment of interest or principal in respect of fixed deposits or debt securities issued by it;

It has not defaulted in respect of the payment of statutory dues of the employees, such as contribution to provident fund, gratuity and bonus;

The partly paid up shares, if any outstanding on the date of allotment, are made fully paid up;

The company which has once announced the decision of its Board recommending a bonus issue, shall not subsequently withdraw the same. [Rule 14 of Companies (Share Capital and Debentures) Rules, 2014]

**Note:** The bonus shares shall not be issued in lieu of dividend.

**Journal Entries for Issue of Bonus Shares**

**a. On capitalization of reserve for the issue of shares**

| | |
|---|---|
| Profit & Loss A/c | Dr. |
| General Reserve A/c | Dr. |
| Capital Reserve A/c (realised in cash only) | Dr. |
| Securities Premium A/c | Dr. |
| Capital Redemption Reserve A/c | Dr. |
| To Bonus Shareholders A/c | |

**b. On issue of Bonus share**

| | |
|---|---|
| Bonus to Shareholders A/c | Dr. |
| To Share Capital A/c. | |

**Note:** If some shares are party paid up, first the shares are to be mode fully paid up. Journal entries are as follows:

**c. Capitalization of Reserve for Issue of Shares**

| | |
|---|---|
| Profit & loss A/C | Dr. |
| General Reserve A/c | Dr. |
| Capital Reserve Account (realized in cash only) | Dr. |
| To Bonus Shareholders A/c | |

**d. On making the final call due**

| | |
|---|---|
| Share Final Call Account | Dr. |
| To Share Capital Account | |

**e. On adjustment of final call**

| | |
|---|---|
| Bonus Shareholders A/c | Dr. |
| To Share Final Call A/c | |

**Example 01:** The share capital of Beta Co. Ltd consists of 1,00,000 equity shares of ₹10 each, and 25,000 preference shares of ₹100 each, fully called up. Its securities premium account shows a balance of ₹40,000 and general reserve of ₹7,00,000. The company decides to buy-back 20,000 equity shares of ₹12 each.

Pass the necessary journal entries.

**Solution:**

**In the Books of Beta Co. Ltd.**

**Journal**

| Date | Particulars | | Dr. (₹) | Cr. (₹) |
|---|---|---|---|---|
| | Equity Share Capital A/c | Dr. | 2,00,000 | |
| | Securities Premium A/c | | 40,000 | |
| | To Equity Shareholders A/c | Dr. | | 2,40,000 |
| | (Amount due to equity shareholders for buying-back of 20,000 equity shares) | | | |
| | Equity Shareholders A/c | Dr. | 2,40,000 | |
| | To Bank A/c | | | 2,40,000 |
| | (Payment to shareholders on account of buy-back) | | | |
| | General Reserve A/c | Dr. | 2,00,000 | |
| | To Capital Redemption Reserve A/c | | | 2,00,000 |
| | (Transfer of nominal amount of equity shares Bought back.) | | | |

**Example 02:** Technocrats Ltd. invited applications for 1,00,000 equity shares of ₹ 30 each. The shares were issued at a premium of ₹15 per share, payable as follows :

On Application and Allotment : ₹ 24 per share (incl. premium of ₹ 9)

On first and final call: Balance including remaining premium

Applications for 1,50,000 shares were received. Applicants of 10,000 shares were rejected on allotment, and pro-rata allotment was made to remaining applicants as follows :

Category A — Applicants for 80,000 shares were allotted 60,000 shares

Category B — Applicants for 60,000 shares were allotted 40,000 shares

Mr. X, who belonged to A category, was allotted 300 shares. He failed to pay the call money. Mr. Y, who belonged to B category and applied for 300 shares, also failed to pay the call money.

These shares were forfeited and reissued as fully paid @ ₹36 per share. Assume that the excess received on application is to be adjusted towards share capital account first. You are required :

(a) Pass the necessary journal entries to record the above transactions.

(b) Assuming opening bank balance of ₹1,25,000, prepare the Bank account of the company in the light of above transactions.

(c) What are the restrictions on use of Securities Premium Account as per provisions of the Companies Act, 2013? What is the implication if a company violates these provisions?

**Solution: (a) When excess application money utilized for payment of Share Capital**

| Date | Particulars | | L.F. | Amount Dr (Rs.) | Amount. Cr. (Rs.) |
|---|---|---|---|---|---|
| | Bank A/c | Dr. | | 36,00,000 | |
| | To Share Application and Allotment A/c | | | | 36,00,000 |
| | (Being amount received on application) | | | | |
| | Share Application and Allot. A/c | Dr. | | 26,40,000 | |
| | To Share Capital A/c | | | | 15,00,000 |
| | To Securities Premium A/c | | | | 9,00,000 |
| | To Bank A/c | | | | 2,40,000 |

| | | | | |
|---|---|---|---|---|
| | (Being application and allotment amount relating to 1,00,000 shares transferred to Share Capital account and Securities Premium account and application money on rejected applications returned back) | | | |
| | Equity Share first and Final Call A/c Dr.<br>To Share Capital A/c<br>To Securities Premium A/c<br>(Being call money due on I.00.000 shares) | | 21,00,000 | <br>15,00,000<br>6,00,000 |
| | Bank A/c Dr.<br>Share Application and Allot. A/c Dr.<br>To Equit/ Share first and Final Call A/c<br>(Being Call money received and excess application and allotment money adjusted) | | 11,34,300<br>9,60,000 | <br><br>20,94,300 |
| | Equity Share Capital A/c Dr.<br>Securities Premium A/c Dr.<br>To Equity Share first and Final Call A/c<br>To Share Forfeited A/c<br>(Being shares issued to X and Y forfeited for non-payment of call money and Calls in arrears account closed) | | 15,000<br>3,000 | <br><br>5,700<br>12,300 |
| | Bank A/c<br>To Equity Share Capital A/c<br>To Securities Premium A/c<br>(Being forfeited shares reissued @) Rs. 36 each and relevant amounts transferred to Share Capital and Securities Premiums Accounts) | | 18,000 | <br>15,000<br>3,000 |
| | Share Forfeited A/c<br>To Capital Reserve A/c<br>(Being unused Securities Premium Account transferred to Capital Reserve Account) | | 12,300 | <br>12,300 |

**Working Notes:**

(1) Calculation of Calls in Arrears:

(i) On Mr. X's Shares: Amount due on call = 300 × 21 = Rs. 6300
Amount Adjusted through Application and Allotment Money
(80000 × 300/60000) – 300 or (400 – 300) × Rs.24 Rs. 2400
Call in Arrears Rs. 3900

(ii) On Mr. Y's Shares: Amount due on call = 200 × 21 = Rs. 4200
Amount Adjusted through Application and Allotment Money
(20000 x 300/60000) × Rs.24 Rs. 2400
Call in Arrears Rs. 1800
Total Calls in arrears = 3900 + 1800 = Rs. 5700

(2) Amount Received on Call = (100000 × Rs.21) – 960000 (Excess of Application Money 40000 × 24) – 5700 (Calls in Arrears) = Rs. 11,34,300.

**(b)**

**Bank Account of the Company**

| Date | Particular | J.F. | Amt Dr. (Rs.) | Date | Particular | J.F. | Amt. Cr (Rs.) |
|---|---|---|---|---|---|---|---|
| | To Balance b/d | | 1,25,000 | | By Share Application and Allotment A/c | | 2,40,000 |
| | To Share Application and Allotment A/c | | 36,00,000 | | By Balance c/d | | 46,37,300 |
| | To Equity Share first and Final Call A/c | | 11,34,300 | | | | |
| | To Equity Share Capital A/c | | 15,000 | | | | |
| | To Securities Premium A/c | | 3,000 | | | | |
| | **Total** | | **48,77,300** | | **Total** | | **48,77,300** |

**(c)**

As per the provisions of the Companies Act, 2013, amount of premium received on issue of shares is a capital receipt and is to be transferred to a separate account called "Securities Premium Account". According to the Companies Act. 2013, "Securities Premium Account" can be used only for the following purposes:

1. Towards the issue of unissued shares to the members of the company as fully paid bonus shares.
2. In writing-off the preliminary expenses of the company.
3. In writing-off the expenses of or the commission paid or discount allowed on any issue of shares or debentures of the company.
4. In providing for any premium payable on redemption of any redeemable preference shares or any debentures of the company, or
5. For purchase of its own shares or other securities u/s 68.

If the company contravenes the above provisions and utilizes the amount of securities premium except for the modes specified above, it will attract the provisions relating to reduction of share capital of a company u/s 66 of the Companies Act, 2013.

**Example 03:** Zedux Ltd. decided to issue 60,000 shares of ₹10 each at a premium of ₹2 per share. The amount on shares was payable as follows

| | |
|---|---|
| On application | ₹2.00 |
| On allotment | ₹5.00 (Including premium) |
| First Call | ₹2.00 |
| Final Call | ₹3.00 |

Applications were received for 1,00,000 shares. Shares were allotted on a pro rata basis. Walter was allotted 1,000 shares. Walter did not pay the allotment money and subsequent calls. Walter's shares were forfeited.

Pass the necessary journal entries.

| Date | Particulars | | Dr. (in ₹) | Cr. (in ₹) |
|---|---|---|---|---|
| 1. | Bank A/c | Dr. | 2,00,000 | |
| | To Share Application A/c | | | 2,00,000 |
| | **(Being Share application money received on 1,00,000 shares)** | | | |

| | | | | |
|---|---|---|---|---|
| 2. | Share Application A/c | Dr. | 2,00,000 | |
| | To Share Capital A/c | | | 1,20,000 |
| | To Share Allotment A/c | | | 80,000 |
| | **(Being application money for 60,000 shares transferred to Share Capital A/c on allotment and remaining adjusted towards allotment)** | | | |
| 3. | Share Allotment A/c | Dr. | 3,00,000 | |
| | To Share Capital A/c | | | 1,80,000 |
| | To Share Premium A/c | | | 1,20,000 |
| | **(Being allotment money due including premium)** | | | |
| 4. | Bank A/c | Dr. | 2,16,333 | |
| | To Share Allotment A/c | | | 2,16,333 |
| | **(Being allotment money received)** | | | |
| 5. | Share First Call A/c | Dr. | 1,20,000 | |
| | To Share Capital A/c | | | 1,20,000 |
| | **(Being first call amount transfer to share capital a/c)** | | | |
| 6. | Bank A/c | Dr. | 1,18,000 | |
| | To Share First Call A/c | | | 1,18,000 |
| | **(Being first call money received)** | | | |
| 7. | Final Call A/c | Dr. | 1,80,000 | |
| | To Share Capital A/c | | | 1,80,000 |
| | **(Being final call transfer to share capital a/c)** | | | |
| 8. | Share Capital A/c | Dr. | 10,000 | |
| | Share premium A/c | Dr. | 2,000 | 3,333* |
| | To Share Forfeited A/c | | | 3,667* |
| | To Share Allotment A/c | | | 2,000 |
| | To First Call A/c | | | 3,000 |
| | To Final Call A/c | | | |
| | **(Being Forfeiture of 1000 shares For non-payment of allotment and call money)** | | | |

**(*Since Fractional shares cannot be applied/allotted, the amount in Share Forfeiture A/c and Share Allotment A/c may vary by ± 1)**

**Workings:**

**Note: 1**

| | | Share Capital | Share Allotment | Share Premium | |
|---|---|---|---|---|---|
| Share Application | 1,00,000 × 2 = ₹ 2,00,000 | | | | |
| Share Allotment | 60,000 × 5 = ₹ 3,00,000 | 60,000 × 2 = ₹ 1,20,000 | 2,00,000 – 1,20,000 = ₹ 80,000 | | |

| | | | | | |
|---|---|---|---|---|---|
| Allotment money to be received | | 60,000 x 3 = ₹ 1,80,000 | | 60,000 × 2 = ₹ 1,20,000 | |
| Allotment money received | | | | | 2,16,333 (Note 2) |
| First Call money to be received | 60,000 × 2 = ₹1,20,000 | | | | |
| First Call money received | | | | | ₹ 1,18,000 |
| Final Call money to be received | 60,000 × 3 = ₹ 1,80,000 | | | | |
| Final Call money received | | | | | ₹ 1,77,000 |

**Note-2**

**Allotment Money Received**

| Share allotment money received | In ₹ |
|---|---|
| Shares allotted | 60,000 |
| Allotment call | 5 |
| Allotment amount | 3,00,030 |
| Allotment advance | 80,000 |
| Net allotment | 2,20,000 |
| Due From Walter on allotment call | –5,000 |
| Excess Walter | 1,333 |
| Net amount received | **2,16,333** |

## M. ISSUE OF SWEAT EQUITY SHARES (SECTION 54)

Sweat equity shares refer to equity shares which are given to the company's employees on favourable terms, in recognition of their work. Sweat equity shares are one of the modes of making share-based payments to employees. Sweat equity shares rewards the beneficiaries by giving them incentives in lieu of their contribution towards development of the company. Further, sweat equity shares facilitate greater employee stakes as well as interest in company's growth and encourages employees to add more value towards the company.

**Sweat Equity Shares:** As per Section 2(88) of the Companies Act, 2013 "sweat equity shares" means such equity shares as are issued by a company to its directors or employees at a discount or for consideration, other than cash, for providing their know-how or making available rights in the nature of intellectual property rights or value additions, by whatever name called.

| | |
|---|---|
| **"Employee" means**<br>(a) A permanent employee of the company who has been working in India or outside India; or<br>(b) A director of the company, whether a whole time director or not; or<br>(c) An employee or a director as defined in sub-clauses (a) or (b) above of a subsidiary, in India or outside India, or of a holding company of the company. | ' Value additions' means actual or anticipated economic benefits derived or to be derived by the company from an expert or a professional for providing know-how or making available rights in the nature of intellectual properly rights, by such person to whom sweat equity Is being issued for which the consideration is not paid or included in the normal remuneration payable under the contract of employment, in the cose of an employee. |

**Conditions for Issue of Sweat Equity Shares**

- The issue is authorized by a special resolution passed by the company;
- The resolution specifies the number of shares, the current market price, consideration, if any, and the class or classes of directors or employees to whom such equity shares are to be issued;
- The special resolution authorizing the issue of sweat equity shares shall be valid for making the allotment within a period of not more than twelve months from the date of passing of the special resolution.
- The sweat equity shares issued to directors or employees shall be locked in/non-transferable for a period of three years from the date of allotment and the fact that the share certificates are under lock-in and the period of expiry of lock-in shall be stamped in bold or mentioned in any other prominent manner on the share certificate.
- Where the equity shares of the company are listed on a recognized stock exchange, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with the Companies (Share Capital and Debentures) Rules, 2014

## a. QUANTUM OF SWEAT EQUITY SHARE

The company shall not issue sweat equity shares for more than fifteen percent of the existing paid up equity share capital in a year or shares of the issue value of rupees five crores, whichever is higher.

Provided that the issuance of sweat equity shares in the company shall not exceed twenty five percent, of the paid up equity capital of the company at any time.

Provided further that a startup company may issue sweat equity shares not exceeding fifty percent of its paid up capital upto five years from the date of its incorporation or registration.

## b. PRICING OF SWEAT EQUITY SHARE

- Price determined by a registered valuer as the fair price giving justification for such valuation.
- The valuation of intellectual property rights or of know how or value additions for which sweat equity shares are to be issued, shall be carried out by a registered valuer, who shall provide a proper report addressed to the Board of Directors with justification for such valuation.
- A copy of gist along with critical elements of the valuation report obtained under clause (1) and clause (2) shall be sent to the shareholders with the notice of the general meeting.

## c. DISCLOSURE IN THE DIRECTORS' REPORT IN RESPECT OF SWEAT EQUITY SHARE

- The class of director or employee to whom sweat equity shares were issued;
- The class of shares issued as Sweat Equity Shares;

The number of sweat equity shares issued to the directors, key managerial personnel or other employees showing separately the number of such shares issued to them, if any, for consideration other than cash and the individual names of allottees holding one percent or more of the issued share capital;

The reasons or justification for the issue;

The principal terms and conditions for the issue of sweat equity shares, including pricing formula;

The total number of shares arising as a result of issuing of sweat equity shares; the percentage of the sweat equity shares of the total post issued and paid up share capital;

The consideration (including consideration other than cash) received or benefit accrued to the company from the issue of sweat equity shares;

The diluted Earnings Per Share (EPS) pursuant to issuance of sweat equity shares.

### d. ACCOUNTING TREATMENT OF SWEAT EQUITY SHARE

1. Where sweat equity shares are issued for a non-cash consideration on the basis of a valuation report in respect thereof obtained from the registered valuer, such non-cash consideration shall be treated in the following manner in the books of account of the company:
   (a) Where the non-cash consideration takes the form of a depreciable or amortizable asset, it shall be carried to the balance sheet of the company in accordance with the accounting standards; or
   (b) Where clause (a) is not applicable, it shall be expensed as provided in the accounting standards.
2. The amount of sweat equity shares issued shall be treated as part of managerial remuneration for the purposes of sections 197 and 198 of the Act. If the following conditions ore fulfilled
   (i) The sweat equity shares are issued to any director or manager; and
   (ii) They are issued for consideration other than cash, which does not take the form of an asset which can be carried to the balance sheet of the company in accordance with the applicable accounting standards.
3. In respect of sweat equity shares issued during an accounting period, the accounting value of sweat equity shares shall be treated as a form of compensation to the employee or the director in the financial statements of the company, if the sweat equity shares are not issued as pursuant to the acquisition of an asset.
4. If the shares are issued as pursuant to the acquisition of an asset, the value of the asset, as determined by the valuation report, shall be carried In the balance sheet as per the Accounting Standards, and such amount of the accounting value of the sweat equity shares that is in excess of the value of the asset acquired, as per the valuation report, shall be treated as a form of compensation to the employee or the director in the financial statements of the company.

**Explanation:** Accounting value shall be the fair value of the sweat equity shares as determined by a registered valuer under Rule 8(6) of the Companies (Share Capital and Debentures) Rules, 2014

## N. ISSUE OF RIGHT SHARES

### MEANING

Right issue means offering shares to existing members in proportion to their existing shareholding

1. Where at any time, a company having a shore capital proposes to increase its subscribed capital by the issuing further shares, such shares shall be offered -
   (a) To persons who. at the dote of the offer, are holders of equity shares of the company in proportion, as nearly as circumstances admit, to the paid up share capital on those shares by sending a letter of offer subject to the following conditions:
      (i) The offer shall be made by notice specifying the number of shares offered and limiting a time not being less than fifteen days and not exceeding thirty days from the date of the offer within which the offer, if not accepted, shall be deemed to have been declined;
      (ii) Unless the articles of the company otherwise provide, the offer aforesaid shall be deemed to include a right exercisable by the person concerned to renounce the shares offered to him or any of them in favour of any other person; and the notice referred to in clause (i) shall contain a statement about this right;
   (b) To employees under o scheme of employees' stock option, subject to special resolution passed by company and subject to such conditions as may be prescribed; or
   (c) To any persons, if it is authorized by a special resolution, whether or not those persons include the persons referred to in clause (a) or clause (b). either for cash or for a consideration other than cash, if the price of such shares is determined by the valuation report of a registered valuer subject to such conditions as may be prescribed
2. The notice referred to in sub-clause 1(a)(i) above shall be dispatched through registered post or speed post or through electronic mode to all the existing shareholders at least three days before the opening of the issue.
3. Nothing in this section shall apply to the Increase of the subscribed capital of a company caused by the exercise of on option as a term attached to the debentures issued or loan raised by the company to convert such debentures or loans into shares in the company.

Provided that the terms of issue of such debentures or loans containing such an option have been approved before the issue of such debentures or the raising of loans by a special resolution passed by the company in the general body meeting.

## O. REDEMPTION OF PREFERENCE SHARES

A company which is limited by shares, if the articles so authorize, can issue preference shares liable to be redeemed within a period not exceeding twenty years from the date of their issue under section 55 of the Companies Act. 2013. No company limited by shares shall issue any irredeemable preference shares.

A company may issue preference shares for a period exceeding 20 years but not beyond 30 years for infrastructure projects (Specified in Schedule VI). However, the redemption is subject to minimum 10% of such preference shares per year from the twenty-first year onwards or earlier, on proportionate basis, at the option of the preference shareholders.

The preference shares can be redeemed only when they are fully paid up -

- Out of the profits of the company which would otherwise be available for dividend, or
- Out of the proceeds of a fresh issue of shares made for the purposes of such redemption.

**Methods of redemption of Preference shares**

- (a) By fresh issue of shares
- (b) By capitalisation of undistributed profits
- (c) By combination of (a) and (b)

Section 52 of the Companies Act, 2013 provides that the securities premium account may be applied by the company:

**[NOTE:** Certain class of Companies whose financial statements comply with the Accounting Standards as prescribed under Section 133 of the Companies Act, 2013, can't apply the securities premium account for the purposes (b) and (d)]

(a) Towards issue of un-issued shares of the company to be issued to members of the company as fully paid bonus securities

(b) To write off preliminary expenses of the company

(c) To write off the expenses of, or commission paid, or discount allowed on any of the securities or debentures of the company

(d) To provide for premium on the redemption of redeemable preference shares or debentures of the company.

(e) For the purchase of its own shares or other securities.

## a. CAPITAL REDEMPTION RESERVE ACCOUNT

If preference shares are to be redeemed out of the profits of a company, a sum equal to nominal amount of shares that are to be redeemed, shall be transferred to a reserve called Capital Redemption Reserve Account out of profits of the company and provisions of this Act relating to reduction of share capital of a company shall apply as if the Capital Redemption Reserve Account were paid up share capital of the company.

The capital redemption reserve account may be used by the company, in paying up of unissued shares of the company to be issued to members of the company as fully paid bonus shares.

## b. PREMIUM ON REDEMPTION OF PREFERENCE SHARES

- For the companies whose financial statements comply with the accounting standards as prescribed in section 133. the premium payable on redemption shall be provided out of the profits of the company, before the shares are redeemed.
- For redemption of any preference shares issued on or before the commencement of Companies Act, 2013, the premium payable on redemption shall be provided out of the profits of the company, or out of the company's securities premium account, before such shares are redeemed.
- For companies whose financial statements need not comply with the accounting standards as under section 133, the premium payable on redemption shall be provided out of the profits of the company, or out of the company's securities premium account. before such shares are redeemed

**Case 1:** Redemption of preference shares out of the profits of the company which would otherwise be available for dividend

In case redeemable preference shares are redeemed out of company profits, which are otherwise available for dividend, the "Capital Redemption Reserve Account" Is to be created that will represent the redeemable preference shares in the balance sheet after redemption This capital redemption reserve should be equivalent to the amount of Preference Shares which are to be redeemed. The profits available for dividend have to be transferred to Capital Redemption Reserve Account.

**Journal Entries**

(a) Transfer profits available for dividend to Capital Redemption Reserve Account

| | | |
|---|---|---|
| General Reserve Account | Dr. | as the case may be |
| Profit and Loss A/c | Dr. | |
| Dividend Equalization Account | Dr. | |
| To Capital Redemption Reserve A/c | | with the nominal value of the shares to be redeemed |

(b) If current assets are realized to provide cosh for redemption of preference shares:

| | | |
|---|---|---|
| Bank A/c | Dr. | |
| To Respective Assets Account | | with the realized value of assets |

(c) On transfer of redeemable preference share-capital to be redeemed to Preference Shareholders Account

| | | |
|---|---|---|
| Redeemable Preference Share-Capital A/c | Dr. | with the nominal value of the shares to be redeemed |
| To Preference Shareholders A/c | | |

(d) If preference shares are redeemed at a premium:

| | | |
|---|---|---|
| Redeemable Preference Share-Capital A/c | Dr. | |
| Premium on Redemption of Preference Shares | Dr. | with the amount of premium payable |
| To Preference Shareholders A/c | | |

(e) For providing premium on redemption of preference shares:

| | | |
|---|---|---|
| Profit and Loss A/c | Dr. | |
| To Premium on Redemption of Preference Shares Account | | |

(f) On redemption of preference shares:

| | | |
|---|---|---|
| Preference Shareholders Account | Dr. | with the amount paid |
| To Bank A/c | | |

**Example 01:**

Hello Ltd. had an issue of 2,000, 10% Redeemable Preference Shares of Rs 100 each, repayable at a premium of 10%. These shares are to be redeemed out of the accumulated reserves, which are more than the necessary sum required for redemption. Show the necessary entries in the books of the company, assuming that the premium on redemption of shares has to be written off against the company's Securities Premium Reserves.

**Solution:**

**Journal**

| Particulars | | Dr. (Rs.) | Cr. (Rs.) |
|---|---|---|---|
| 10% Redeemable Preference Share Capital A/c | Dr. | 2,00,000 | |
| Premium on Redemption of Preference Shares A/c | Dr. | 20,000 | |
| To Preference Shareholders A/c | | | 2,20,000 |
| (Amount payable to 10% preference shareholders on redemption of 10% preference shares at a premium of 10%) | | | |
| Profit & Loss A/c | Dr. | 20,000 | |
| To Premium on Redemption of Preference Share A/c | | | 20,000 |
| (Application of Securities Premium Account to write off premium on Redemption of Preference Shares) | | | |
| Preference Shareholders A/c | Dr. | 2,20,000 | |
| To Bank A/c | | | 2,20,000 |
| (Amount due to preference shareholders on redemption paid) | | | |
| General Reserve Account | Dr. | 2,00,000 | |
| To Capital Redemption Reserve A/c | | | 2,00,000 |
| (Transfer of reserves to Capital Redemption Reserve Account on Redemption of Redeemable Preference Shares) | | | |

**Note:** Capital Redemption Reserve Account replaces the 10% Redeemable Preference Shares Capital Account and the capital structure of the company remains unchanged.

**Case 2:** If the redeemable preference shares are redeemed out of the proceeds of a fresh issue of shares made for the purpose of redemption:

In a case where redeemable preference shares are redeemed out of proceeds received from fresh issue of shares, the Share Capital Account raised by fresh issue shall take the place of Redeemable Preference Share Capital Account after redemption. Thus, in such a case, new Share Capital Account (Equity or Preference) must be equal to the redeemable preference shares redeemed.

First of all, entries for fresh issue of shares will be passed. Then entries for redemption passed as has been given in the previous case.

**Example 02:** Diamond Ltd. has part of Its shore capital consisting of 20000,12% Redeemable Preference Shares of Rs. 10 each. repayable at o premium of 5%. The shares have now become ready for redemption. It is decided that the whole amount will be redeemed out of a fresh issue of 20,000 equity shares of Rs. 10 each at Rs. 15 each. The whole amount is received in cash and the 12% preference shares ore redeemed for the relevant portion.

Show the necessary journal entries in the books of the company.

**Solution:**

**Journal**

| Particulars | | Dr. (Rs) | Cr. (Rs) |
|---|---|---|---|
| Bank | Dr. | 3,00,000 | 3,00,000 |
| To Equity Share Application and Allotment A/c | | | |
| (Application money on 20,000 equity shares a Rs 15 per share including a premium of Rs 5 per share) | | | |
| Equity Share Application and Allotment A/c | Dr. | 3,00,000 | 200,000 |
| To Equity Share Capital A/c | | | 100,000 |
| To Securities Premium A/c | | | |
| (Allotment of 20.000 equity shares Rs 10 each issued at a premium of 5 per share as per Board's Resolution dated.) | | | |
| Redeemable Preference Share Capital A/c | Dr. | 2,00,000 | 2,10,000 |
| Premium on Redemption of Preference Share A/c | Dr. | 10,000 | |
| To Preference Shareholders A/c | | | |
| (Amount due to 12% preference shareholders on redemption of 8% preference shares at a premium of 5%) | | | |
| Profit & Loss A/c | Dr. | 10,000 | 10,000 |
| To Premium on Redemption of Preference Shares A/c | | | |
| (Application of Securities Premium Account to write off Premium on Redemption of Preference Shares) | | | |
| Preference Shareholders A/c | Dr. | 2,10,000 | |
| To Bank A/c | | | 2,10,000 |
| (Amount due to 12% preference shareholders on redemption paid) | | | |

**Case 3:** If the redeemable preference shares are redeemed partly out of the profits of the company which would otherwise be available for dividend and partly out of the proceeds of a fresh issue of shares made for the purpose of redemption:

In such o case, the Capital Redemption Reserve Account and the new Share Capital Account taken together will replace the Redeemable Preference Share Capital redeemed.

Thus, Redeemable Preference Share Capital redeemed = Capital Redemption Reserve Account + New Share Capital Account (Equity or Preference).

Here, all the entries shown under Case (i) and Case (ii) have to be passed. But there are certain common entries which con be combined together.

**Example 03:**

**Jumpers Ltd**

**Balance Sheet as at 31st March, 2022**

| **I. EQUITY AND LIABILITIES** | | | |
|---|---|---|---|
| 1. Shareholders' funds | | | |
| (a) Share Capital | 1 | | 350,000 |
| (b) Reserve & Surplus | 2 | | 64,000 |
| 2. Current Liabilities | | | |
| Trade Payable | | 23,700 | |
| Short term provisions | | 38,500 | 62,200 |
| **TOTAL** | | | **4,76,200** |
| **II. ASSETS** | | | |
| 1. Non-current assets | | | |
| (a) Property Planted Equipment | | | 2,25,000 |
| (b) Non-Current Investments | | | 60,000 |
| 2. Current Assets | | | |
| Inventories | | 1,30,500 | |
| Trode receivable | | 49,550 | |
| Cash and cash equivalents | | 9,950 | |
| Other current assets | | 1,200 | 1,91,200 |
| **TOTAL** | | | **4,76,200** |

**Notes**

| | |
|---|---|
| 1. Share capital | |
| Authorized Share Capital | |
| 40,000 equity shares of Rs 10 each fully paid up | 4,00,000 |
| 1000,8% preference shares of Rs 100 each | 1,00,000 |
| | **5,00,000** |
| Issued. Subscribed Called Up And Paid up Share Capital | |
| 1000,8% Preference shares of Rs 100 each fully paid up | 1,00,000 |
| 25,000 equity shares of Rs 10 each fully paid up | 2.50,000 |
| | **3,50.000** |
| 2. Reserve and Surplus | |
| Securities Premium Reserves | 9,000 |
| Surplus Account | 55,000 |
| | **64.000** |

In order to redeem its preference shares, the company issued 5,000 equity shares of Rs.10 each at a Premium of 10% and sold its investment of Rs. 70,800. Preference shares were redeemed at a premium of 10%.

Show the necessary journal entries in the books of the company.

**Solution:**

| Particulars | | Dr. (Rs) | Cr. (Rs) |
|---|---|---|---|
| Bank A/c | Dr. | 55,000 | 55,000 |
| To Equity Share Application and Allotment A/c | | | |
| (Application money received on 5,000 equity shares of Rs. 10 at a premium of 10%). | | | |
| Equity Share Application and Allotment A/c | Dr. | 55,000 | 50,000 |
| To Equity Share Capital A/c | | | 5,000 |
| To Securities Premium A/c | | | |
| (Allotment of 5000 equity shares of Rs 10 each issued at a premium of 10% as per Board's resolution dated.) | | | |
| Bank A/c | Dr. | 70,800 | 60,000 |
| To Investments A/c | | | 10,800 |
| To Surplus A/c | | | |
| (Sale on Investments at a profit and transfer of profit on sale to Profit and Loss A/c) | | | |
| 8% Redeemable Preference Share Capital A/c | Dr. | 1,00,000 | 1,10,000 |
| Premium on Redemption of Preference Shares A/c | | 10,000 | |
| To Preference Shareholders A/c | | | |
| (Amount due to preference shareholders on redemption) | | | |
| Surplus A/c | Dr. | 10,000 | 10,000 |
| To Premium on Redemption of Preference Shares A/c | | | |
| (Application of securities premium to write off premium on redemption of preference shares) | | | |
| Preference Shareholders A/c | Dr. | 1,10,000 | 1,10,000 |
| To Bank A/c | | | |
| (Amount due to Preference Shareholders on redemption paid) | | | |
| Surplus A/c | Dr. | 50,000 | 50,000 |
| To Capital Redemption Reserve A/c | | | |
| (Transfer of the balance amount of the nominal value preference shares to be redeemed not covered by fresh issue, i.e.. Rs 1,00,000 – 50,000 on redemption to Capital Redemption Reserve A/c) | | | |

**Note:** in the above example, the capital structure of the company remains unchanged, as seen by fact -the Equity Share Capital is issued at Rs 50,000 and Capital Redemption Reserve is at Rs 50,000. which jointly replaces 8% Redeemable Preference Share Capital Rs 1,00,000.

**Example 04:** Rainbow Ltd. has issued 10,000, 12% redeemable preference shares (Face value ₹1,000 each).

The shares are to be redeemed at a premium of 20%. The redemption proceeds will be raised through issue of equity share capital. Number of equity shares to be issued are 50,000 shares of 10 each at ₹240 a share.

The whole amount is received and paid out towards redemption of preference share capital.

Pass the necessary journal entries.

| Particulars | | Dr. (in ₹) | Cr. (in ₹) |
|---|---|---|---|
| Bank A/c | Dr. | 1,20,00,000 | |
| To Equity Share Application and Allotment A/c | | | 1,20,00,000 |
| **(Being application of 50,000 equity shares at ₹240 a share including premium of ₹230 per share)** | | | |
| Equity Share Application and Allotment A/c | Dr. | 1,20,00,000 | |
| To Equity Share Application A/c | | | 5,00,000 |
| To Securities Premium Reserves A/c | | | 1,15,00,000 |
| **(Being allotment of 50,000 equity shares of ₹10 each issued at a premium of ₹230 per share)** | | | |
| 12% redeemable preference share capital A/c | Dr. | 1,00,00,000 | |
| Premium on redemption of preference share capital A/c | Dr. | 20,00,000 | 1,20,00,000 |
| To 12% Preference Shareholders A/c | | | |
| **(Being amount due on redemption of preference shares)** | | | |
| Securities Premium Reserves A/c | Dr. | 20,00,000 | |
| To Premium on redemption of preference share capital A/c | | | 20,00,000 |
| **(Being application of securities premium account to write off premium on redemption of preference shares)** | | | |
| 12% Preference Shareholders A/c | Dr. | 1,20,00,000 | |
| To Bank A/c | | | 1,20,00,000 |
| **(Being amount paid to 12% preference shareholders)** | | | |

**Example 05:** On 1st April, 2022, the following balances were extracted from the ledger of X Limited :

| | | (₹) |
|---|---|---|
| (i) | 10% redeemable preference share capital amount | |
| | 5,000 shares of ₹100 each, fully called up | 5,00,000 |
| (ii) | Securities premium account | 14,000 |
| (iii) | General Reserve | 1,60,000 |
| (iv) | Profit and loss account | 1,18,540 |

The company redeemed all the preference shares at a premium of 5% and for the purpose, it issued equity shares of ₹10 each at a premium of ₹ 1 for such an amount as was necessary for the purpose after utilizing the available profits to the maximum possible extent.

You are required to pass the necessary journal entries for above mentioned transactions.

**Solution:**

| Date | Particular | | L.F. | Amount Dr. (Rs.) | Amount Cr. (Rs.) |
|---|---|---|---|---|---|
| | Bank A/c | Dr. | | 2,43,606 | |
| | To Equity share capital A/c | | | | 2,21,460 |
| | To Securities premium A/c | | | | 22,146 |
| | (Allotment of 22,146 equity shares of Rs. 10 each at a premium of Rs. 1 Per share) | | | | |

| | | | | |
|---|---|---|---|---|
| | Securities premium A/c/P&L Dr.<br>To Premium on redemption of<br>Preference shares A/c<br>(Utilization of securities premium account for meeting the premium payable on redemption of preference shares) | | 25,000 | 25,000 |
| | General reserve A/c Dr.<br>Profit and loss A/c Dr.<br>To Capital redemption reserve account<br>(Creation of capital redemption reserve account out of divisible profits for redemption of preference shares. | | 1,60,000<br>1,18,540 | 2,78,540 |
| | 10% redeemable pref, share capital A/c Dr.<br>Premium on redemption of pref, shares A/c Dr.<br>To Preference shareholders A/c<br>(Amount payable to preference shareholders on redemption of preference shares at a premium of 5%) | | 5,00,000<br>25,000 | 5,25,000 |
| | Preference shareholder's A/c Dr.<br>To Bank A/c<br>(Payment made to preference shareholders to redeem all the preference shares at a premium of 5%) | | 5,25,000 | 5,25,000 |

**Working Note:**

Divisible profits available = Rs 1,60,000 + 1,18,540 = Rs. 2,78,540

Face value of the Preference share to be redeemed = Rs. 5,00,000

Minimum amount of new issue = Rs. 5,00,000 – Rs. 2,78,540 = Rs 2,21,460

Securities premium to be received = 10% of Rs. 2,21,460 = Rs. 22,146.

Total securities premium Rs. 14,000 + Rs 22,146 = 36,146

Premium payable on redemption of preference shares Rs. 5/100 × 5,00,000 = Rs. 25,000

As the total share premium after new issue would be sufficient to take care of the premium Payable on redemption of preference shares, the company can proceed to redeem the preference shares by issuing 22,146 new equity shares of rupees 10 each.

**Example 06:** The Summary Balance Sheet of ABC Ltd. as on 31st March, 2023 read as under :

| Liabilities | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|
| Share Capital: | | Freehold property | 1,15,000 |
| Authorized share Capital: | | Stock | 1,35,000 |
| 40,000 Equity Shares of | | Trade receivables | 75,000 |
| ₹10 each | 4,00,000 | Cash | 30,000 |
| Issued and Subscribed: | | Balance at Bank | 2,00,000 |
| 20,000 Equity Shares of | | | |
| ₹10 each fully paid. | 2,00,000 | | |
| Securities Premium | 30,000 | | |
| Statement of Profit and | | | |
| Loss | 90,000 | | |

| | | | |
|---|---|---|---|
| 12% Debentures | 1,20,000 | | |
| Trade payables | 1,15,000 | | |
| | 5,55,000 | | 5,55,000 |

The Annual General Meeting of ABC Ltd., it was resolved that :

(i) To issue one bonus share for every four shares held.

(ii) To repay the debentures at a premium of 3%.

Record the above transactions in the books of ABC Ltd. to meet the above resolutions.

**Solution:**

**Journal of ABC Ltd. as on 31st March. 2023**

| Particular | | L.F. | Amount Dr. (Rs.) | Amount Cr. (Rs.) |
|---|---|---|---|---|
| Securities Premium A/c | Dr. | | 30,000 | 50,000 |
| P&L A/c | Dr. | | 20,000 | |
| To Bonus to Shareholders A/c | | | | |
| (Amount transferred for issue of bonus shares to existing shareholders in the ratio of 1:4) | | | | |
| Bonus to Shareholders A/c | Dr. | | 50,000 | 50,000 |
| To Equity Share Capital A/c | | | | |
| (Issue of bonus shares in the ratio of 1:4) | | | | |
| 12% Debentures A/c | Dr. | | 1,20,000 | 1,23,600 |
| Premium Payable on Redemption of deb. A/c @ 3% | Dr. | | 3,600 | |
| To Debenture holders A/c | | | | |
| (Amount payable to debentures holders) | | | | |
| P&L A/c | Dr. | | 3,600 | 3,600 |
| To Premium Payable on Redemption of deb. A/c | | | | |
| (Premium payable on redemption charged to surplus A/c) | | | | |
| Debenture holders A/c | Dr. | | 1,23,600 | 1,23,600 |
| To Bank A/c | | | | |
| (Amount paid to debenture holders on redemption) | | | | |

**Example 07:** Campa Ltd. issued 4,00,000 shares of T 50 each at a premium of T 15 per share. Application for 4,50,000 shares was received. The amount was payable as follows :

On Application ₹15

On Allotment ₹16 (including premium ₹6)

On First Call ₹20 (including premium ₹5)

On Final Call ₹14 (including premium ₹4)

(1) Alpha, who was allotted 6000 shares did not pay allotment and first call and thereafter his shares were forfeited.

(2) Beta, who was allotted 4000 shares did not pay first call and thereafter his shares were forfeited.

(3) Gama, who was allotted 15000 shares did not pay final call and thereafter his shares were forfeited.

Half of the shares of Alpha and Beta were reissued at ₹42

You are required to pass journal entries for the forfeiture and reissue of shares.

**Solution:**

**Campa Ltd.**

**Journal Entries**

| Date | Particulars | | Amount ₹ (Dr.) | Amount ₹ (Cr.) |
|---|---|---|---|---|
| | Share Capital A/c (6000 × 40) | Dr. | 240,000 | |
| | Securities Premium A/c (6000 × 11) | Dr. | 66,000 | |
| | To Shares Forfeiture A/c (6000 × 15) | | | 90,000 |
| | To Share Allotment A/c (6000 × 16) | | | 96,000 |
| | To Share First Call A/c (6000 × 20) | | | 120,000 |
| | (6000 shares of Alpha were forfeited for nonpayment of allotment and first call) | | | |
| | Share Capital A/c (4000 × 40) | Dr. | 160,000 | |
| | Securities Premium A/c (4000 × 5) | Dr. | 20,000 | |
| | To Shares Forfeiture A/c (4000 × 25) | | | 100,000 |
| | To Share First Call A/c (4000 × 20) (4000 shares of Beta were forfeited for nonpayment of first call) | | | 80,000 |
| | Share Capital Account (15000 × 50) | Dr. | 750,000 | |
| | Securities Premium Account (15000 × 4) | Dr. | 60,000 | |
| | To Shares Forfeiture A/c (15000 × 40) | | | 600,000 |
| | To Share Final Call A/c (15000 × 14) | | | 210,000 |
| | (15000 shares of Gama were forfeited for nonpayment of final call) | | | |
| | Bank A/c (5000 × 42) | Dr. | 210,000 | |
| | Share Forfeiture A/c (5000 × 8) | Dr. | 40,000 | |
| | To Share Capital A/c (5000 × 50) | | | 250,000 |
| | (Reissue of 5000 shares of ₹ 50 each, issued as fully paid up at a discount ₹8 per share) | | | |
| | Share Forfeiture A/c | Dr. | 55,000 | |
| | To Capital Reserve | | | 55,000 |
| | (Profit on reissue of 5000 forfeited shares transferred to capital reserve) | | | |

**Working Note: Calculation of the amount transferred to Capital Reserve**

| | | |
|---|---|---|
| 50% of Alpha's forfeited share (50% of 90,000) | = | ₹45000 |
| 50% of Beta's forfeited share (50% of 1,00,000) | = | ₹50000 |
| | = | ₹95,000 |
| Less: loss on reissue | = | ₹40.000 |
| Capital Reserve | = | ₹55,000 |

**Example 08: Super Star Ltd.**

**Balance Sheet as at March 31, 2024**

| Particulars | Amount (₹) | Amount (₹) |
|---|---|---|
| **I. Equities and Liabilities** | | |
| 1. Shareholder's funds | | |
| Share Capital Divided in five lakh shares of 10/-each | 50,00,000 | |
| Reserves & Surplus | 35,25,000 | 85,25,000 |

| | | |
|---|---|---|
| 2. Long Term Borrowings | | 20,00,000 |
| 3. Current Liability: Trade Payables | | 3,00,000 |
| | | 1,08,25,000 |
| **II. Assets** | | |
| 1. Fixed Assets | | 66,50,000 |
| 2. Non-Current Investment | | 7,50,000 |
| 3. Current Assets | | |
| Trade Receivables | 5,00,000 | |
| Inventories | 5,00,000 | |
| Cash and Cash Equivalents | 24,25,000 | 34,25,000 |
| | | 1,08,25,000 |
| Reserves and Surplus include securities premium of ₹10,00,000/- | | |

On April 1, 2024 – shareholders of the company authorized buyback as under

(i) 10% of equity shares would be bought back at ₹17/- per share.

(ii) 12% debentures to be issued for ₹1,00,000/- to finance the buyback and balance from general reserve to be utilized for this purpose.

(iii) Premium on buyback to be met from securities premium account.

(iv) Investments would be sold for ₹11,75,000/-.

**Solution:**

Pass necessary journal entries to record above transactions.

**Super Star Ltd.**

**Journal Entries**

| Particulars | | Amount ₹ | Amount ₹ |
|---|---|---|---|
| Share Capital A/c<br>Share premium A/c<br>To Shareholders A/c<br>(Being 50,000 equity shares bought back @ Rs. 17 per share and premium on buyback adjusted against existing securities premium account) | Dr.<br>Dr. | 5,00,000<br>3,50,000 | <br><br>8,50,000 |
| Bank A/c<br>To 12% Debentures A/c<br>(Being issue of debentures for partial financing of buyback) Dr. | Dr. | 1,00,000 | <br>1,00,000 |
| Bank A/c<br>To Investments A/c<br>To Profit & Loss A/c<br>(Being sale of investments and profit transferred to Profit & Loss A/c) | Dr. | 11,75,000 | <br>7,50,000<br>4,25,000 |
| General Reserve A/s<br>To Capital Redemption Reserve A/c<br>(Being transfer of general reserve utilized to the extent of nominal values of shares bought back) | Dr. | 4,00,000 | <br>4,00,000 |
| Shareholders A/c<br>To Bank A/c | Dr. | 8,50,000 | <br>8,50,000 |

## TEST YOURSELF

1. Girish Limited issued 30,000 equity shares of Rs.100 each payable at Rs.30 on application, Rs.50 on allotment and Rs.20 on 1st and final call. All money was duly received. Record these transactions in the journal of the company.
2. The Ashish Control Device Ltd, was registered with the authorised capital of Rs.3,00,000 divided into 30,000 shares of Rs.10 each, which were offered to the public. Amount payable as Rs.3 per share on application, Rs.4 per share on allotment and Rs.3 per share on first and final call. These shares were fully subscribed and all money was dully received. Prepare journal and Cash Book.
3. Tally Software Solution India Ltd, invited applications for 20,000 equity shares of Rs.100 each, payable Rs.40 on application, Rs.30 on allotment and Rs.30 on first and final call. The company received applications for 32,000 shares. Application for 2,000 shares were rejected and money returned to applicants. Applications for 10,000 shares were accepted in full and applicants for 20,000 shares allotted half of the number of shares applied and excess application money adjusted into allotment. All money due on allotment and call was received. Prepare journal and cash book.
4. Sushil Consulting Ltd, issued 10,000 shares of Rs.100 each payable Rs.20 per share on application, Rs.30 per share on allotment and balance in two calls of Rs.25 per share. The application and allotment money were duly received. On first call, all members paid their dues except one member holding 200 shares, while another member holding 500 shares paid for the balance due in full. Final call was not made. Give journal entries and prepare cash book.
5. Shashi Glass Ltd, issued 20,000 shares of Rs.100 each at Rs.110 per share, payable Rs.30 on application, Rs.40 on allotment (including Premium), Rs. 20 on first call and Rs.20 on final call. The applications were received for 24,000 shares and allotted 20,000 shares and rejected 4,000 shares and amount returned thereon. The money was duly received. Give journal entries.
6. X Ltd. invited applications for 10 lakhs shares of ₹100 each payable as follows :

| | ₹ |
|---|---|
| On Application | 20 |
| On Allotment (on 1st May, 2022) | 30 |
| On First Call (on 1st Oct., 2022) | 30 |
| On Final Call (on 1st Feb., 2023) | 20 |

   All the shares were applied for and allotted. A shareholder holding 20,000 shares paid the whole of the amount due along with allotment. Journalise the transactions, assuming all sums due were received. Interest was paid to the shareholder concerned on 1st February, 2023.
7. A limited Company, with an authorized capital of ₹20,00,000 divided into shares of ₹100 each, issued for subscription 10,000 shares payable at ₹25 per share on application, ₹30 per share on allotment, ₹20 per share on first call three months after allotment and the balance as and when required.

   The subscription list closed on January 31, 2022 when application money on 10,000 shares was duly received and allotment was made on March 1, 2022. All amounts due were received within one month of the date they were called.

   The allotment amount was received in full but, when the first call was made, one shareholder failed to pay the amount on 1,000 shares held by him and another shareholder with 500 shares paid the entire amount on his shares.

   Give journal entries in the books of the Company to record these share capital transactions.
8. A Ltd. forfeits 100 shares of Rs. 10 each fully called upon. The shareholder failed to pay the first call money of Rs. 4 per share and the second and final Call Money of Rs. 4 per share. Give journal entry to show the effect of this transaction.

9. B Ltd. issued 20,000 equity shares of ₹100 each at a premium of ₹20 per share payable as follows: on application ₹50; on allotment ₹50 (including premium); on final call ₹20. Applications were received for 24,000 shares. Letters of regret were issued to applicants for 4,000 shares and shares were allotted to all the other applicants. Mr. A, the holder of 150 shares, failed to pay the allotment and call money, the shares were forfeited. Show the Journal Entries and Cash Book in the books of B Ltd.

10. Hinduja Company Ltd. had 5,000, 8% Redeemable Preference Shares of ₹100 each, fully paid up. The company decided to redeem these preference shares at par by the issue of sufficient number of equity shares of f 10 each fully paid up at par. You are required to pass necessary Journal Entries including cash transactions in the books of the company.

11. C Ltd. had 10,000, 10% Redeemable Preference Shares of ₹100 each, fully paid up. The company decided to redeem these preference shares at par, by issue of sufficient number of equity shares of ₹10 each at a premium of ₹2 per share as fully paid up. You are required to pass necessary Journal Entries including cash transactions in the books of the company.

12. The Board of Directors of a Company decided to issue minimum number of equity shares of ₹9 to redeem ₹5,00,000 preference shares. The maximum amount of divisible profits available for redemption is ₹3,00,000. Calculate the number of shares to be issued by the company to ensure that the provisions of Section 55 are not violated. Also determine the number of shares if the company decides to issue shares in multiples of 50 only.

13. X Ltd. gives you the following information as at 31 st March, 2026:

| | Particulars | ₹ |
|---|---|---|
| | **EQUITY AND LIABILITIES** | |
| **1.** | **Shareholders' funds** | |
| | (a) Share capital | 2,90,000 |
| | (b) Reserves and Surplus | 48,000 |
| **2.** | **Current liabilities** | |
| | Trade Payables | 56,500 |
| **1.** | **ASSETS** | |
| **2.** | **Property, Plant and Equipment** | 3,45,000 |
| **3.** | **Non-current investments** | 18,500 |
| | **Current Assets** | |
| | Cash and cash equivalents (bank) | 31,000 |

The share capital of the company consists of ₹50 each equity shares of ₹2,25,000 and ₹700 each Preference shares of ₹65,000(issued on 1.04.2024). Reserves and Surplus comprises Profit and Loss Account only.

In order to facilitate the redemption of preference shares at a premium of 10%, the Company decided:

(a) To sell all the investments for ₹15,000.

(b) To finance part of redemption from company funds, subject to, leaving a bank balance of ₹72,000.

(c) To issue minimum equity share of ₹50 each share to raise the balance of funds required.

You are required to pass the necessary Journal Entries to record the above transactions.

14. The following are the extracts from the Balance Sheet of ABC Ltd. as on 31st December, 2026.

Share capital: 40,000 Equity shares of ₹10 each fully paid - ₹4,00,000; 1,000 10% Redeemable preference shares of ₹100 each fully paid – ₹1,00,000.

Reserve & Surplus: Capital reserve – ₹50,000; Securities premium – ₹50,000; General reserve – ₹75,000; Profit and Loss Account – ₹35,000

On 1st January 2023, the Board of Directors decided to redeem the preference shares at par by utilisation of reserve.

You are required to pass necessary Journal Entries including cash transactions in the books of the company.

**15.** The Balance Sheet of XYZ Ltd. as at 31st March, 2025 inter alia includes the following information:

| | ₹ |
|---|---|
| 50,000, 8% Preference Shares of ₹100 each, 770 paid up | 35,00,000 |
| 1,00,000 Equity Shares of ₹100 each fully paid up | 1,00,00,000 |
| Securities Premium | 5,00,000 |
| Capital Redemption Reserve | 20,00,000 |
| General Reserve | 50,00,000 |
| Bank | 15,00,000 |

Under the terms of their issue, the preference shares are redeemable on 31st March, 2026 at 5% premium. In order to finance the redemption, the company makes a rights issue of 50,000 equity shares of ₹100 each at ₹110 per share, ₹20 being payable on application, ₹35 (including premium) on allotment and the balance on 1st January, 2023. The issue was fully subscribed and allotment made on 1st March, 2026. The money due on allotment were duly received by 31st March, 2026. The preference shares were redeemed after fulfilling the necessary conditions of Section 55 of the Companies Act, 2013.

You are asked to pass the necessary Journal Entries. (Ignore date column)

CHAPTER 5

# ACCOUNTING FOR DEBENTURES

## A. DEBENTURES

The word **'debenture'** has been derived from a Latin word 'debere' which means to borrow. Debenture is a written instrument acknowledging a debt under the common seal of the company. It contains a contract for repayment of principal after a specified period or at intervals or at the option of the company and for payment of interest at a fixed rate payable usually either half-yearly or yearly on fixed dates. Debentures are part of loan capital and the company is liable to pay interest thereon whether it earns profit or not.

According to section 2(30) of The Companies Act, 2013 'Debenture' includes Debenture Inventory, Bonds and any other securities of a company whether constituting a charge on the assets of the company or not.

**Types of Debentures**

- Security
  - Secured Debentures
  - Unsecured Debentures
- Convertibility
  - Convertible Debentures
  - Non-convertible Debentures
- Permanence
  - Redeemable Debentures
  - Irredeemable Debentures
- Negotiability
  - Registered Debentures
  - Bearer Debentures
- Priority
  - First Mortgage Debentures
  - Second Mortgage Debentures

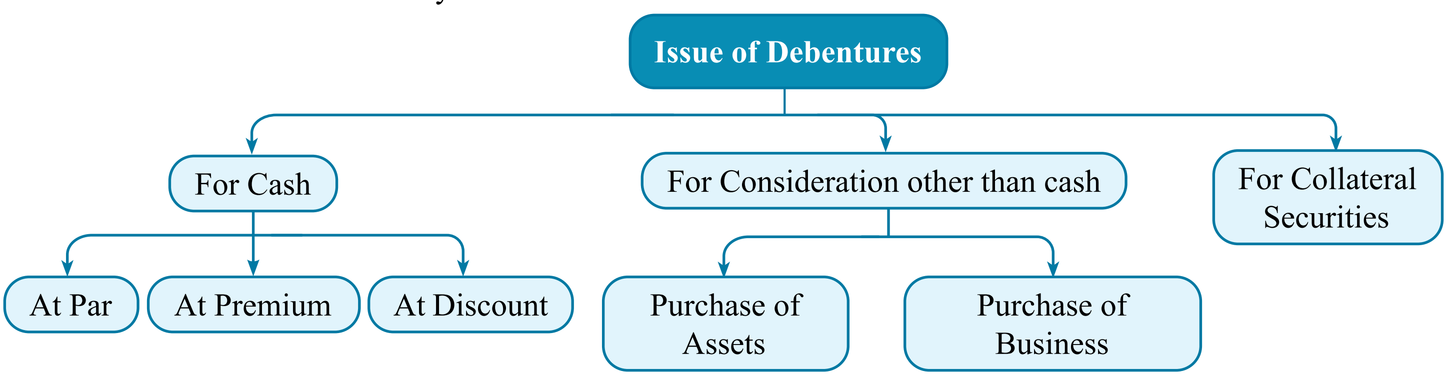
## B. DISTINCTION BETWEEN DEBENTURES AND SHARES

| Debentures | Shares |
|---|---|
| Debenture holders are the creditors of the company. | Shareholders are the owners of the company. |
| Debenture holders have no voting rights and consequently do not pose any threat to the existing control of the company. | Shareholders have voting rights and consequently control the total affairs of the company. |
| Debenture interest is generally paid at a pre-determined fixed rate. It is payable, whether there is any profit or not. Debentures rank ahead of all types of shares for payment of the interest due on them. | Dividend on equity shares is paid at a variable rate which is vastly affected by the profits of the company **(however, dividend on preference shares is paid at a fixed rate)**. |
| Interest on debentures are the charges against profits and they are deductible as an expense in determining taxable profit of the company. | Dividends are appropriation of profit and these are not deductible in determining taxable profit of the company. |

| | |
|---|---|
| There are different kinds of debentures, such as Secured/Unsecured; Redeemable/Irredeemable; Registered/Bearer; Convertible/ Non-convertible, etc. | There are only two kinds of shares- Equity Shares and Preference Shares. |
| In the Company's Balance Sheet, Debentures are shown under "Long Term Borrowings'. | In the Company's Balance Sheet, shares are shown under **"Shareholder's Fund"** detailed in **'Share Capital'** of Notes to Accounts. |
| Debentures can be converted into other debentures or shares as per the terms of issue of debentures. | Shares cannot be converted into other shares in any circumstances. |
| Debentures cannot be forfeited for nonpayment of call moneys. | Shares can be forfeited for non-payment of allotment and call moneys. |
| At maturity, debenture holders get back their money as per the terms and conditions of redemption. | Equity shareholders cannot get back their money before the liquidation of the company **(however, preference shareholders can get back their money before liquidation).** |

## C. ISSUE OF DEBENTURES

The procedure for the issue of debentures is the same as that for the issue of shares. The intending investors apply for debentures on the basis of the prospectus issued by the company. The company may either ask for the entire amount to be paid on application or by means of instalments on application, on allotment and on various calls. Debentures can be issued at par, at a premium or at a discount. They can also be issued for consideration other than cash or as a collateral security.




### a. DEBENTURES ISSUED IN LUMP SUM

1. **On receipt of application money**

   Bank A/c ____________________ Dr.

   To Debenture Application A/c

2. **For excess debenture application money refunded**

   Debenture Application A/c ____________________ Dr.

   To Bank A/c

3. **On allotment of debentures**

   Debenture Application A/c ____________________ Dr.

   Discount on Issue of Debentures A/c ____________________ Dr. (if issued at discount)

   To Debentures A/c

   To Securities Premium A/c (if issued at premium)

## b. DEBENTURES ISSUED IN INSTALMENTS

1. **On receipt of application money**

   Bank A/c ______________________________ Dr.

   To Debenture Application A/c

2. **For excess debenture application money refunded**

   Debenture Application A/c ______________________________ Dr.

   To Bank A/c

3. **For debenture application money transferred to share capital**

   Debenture Application A/c ______________________________ Dr.

   To Share Capital A/c

4. **For debenture allotment money due**

   Debenture Allotment A/c ______________________________ Dr.

   Discount on Issue of Debentures A/c ______________________________ Dr. (if issued at discount)

   To Debenture Capital A/c

   To Securities Premium A/c (if issued at premium)

5. For debenture allotment money received

   Bank A/c ______________ ______________________________ Dr.

   To Debenture Allotment A/c

6. **For debenture call money due**

   Debenture Call A/c ______________________________ Dr.

   To Share Capital A/c

7. **For debenture call money received**

   Bank A/c ______________________________ Dr.

   To Debenture Call A/c

**Note:** In case of issue of debentures at discount, the Discount will always be accounted in allotment. However, premium will be accounted with the instalment in which it is included. If nothing is mentioned specifically, it is accounted with allotment money.

## c. OVER SUBSCRIPTION

The excess application money may be retained for adjustment towards allotment and particular calls similar to share application money. But money received from applicants to whom no debenture has been allotted will be refunded to them. The following Journal entry is made in this regard:

Debenture Application A/c ______________________ Dr

To Bank A/c

**Example 01:** ABC Ltd. made an issue of 50,00012% Debentures of Rs 100 each, payable as follows: Rs. 25 on Application Rs. 50 on Allotment

Rs. 25 on First and Final Call.

Applications were received for 52,000 debentures and the directors allotted 50,000 debentures rejecting applications for 2,000 debentures. The application money received for 2,000 rejected debentures was duly refunded All the calls were mode and the moneys duly received.

Show the Journal Entries to record the above transactions and prepare the Balance Sheet of the company.

**Solution:**

**ABC Ltd.**

**Journal Entries**

| S. No. | Particulars | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|
| (i) | Bank A/c Dr.<br>To 12% Debenture Application A/c<br>(Being application money of Rs 25 each on 52,000 debentures received) | 13,00,000 | <br>13,00,000 |
| (ii) | 12% Debenture Application A/c Dr.<br>To 12% Debentures A/c<br>To Bank A/c<br>(Being allotment of 50,000 debentures as per board's resolutiondated and 2,000 debentures rejected and refunded) | 13,00,000 | <br>12,50,000<br>50,000 |
| (iii) | 12% Debenture Allotment A/c Dr.<br>To 12% Debentures A/c<br>(Being allotment money due or 50,000 debentures a Rs 50 each) | 25,00,000 | <br>25,00,000 |
| (iv) | Bank A/c Dr.<br>To 12% Debenture Allotment A/c<br>(Being allotment money received) | 25,00,000 | <br>25,00,000 |
| (v) | 12% Debenture First and Final call A/c Dr.<br>To 12% Debentures A/c<br>(Being call money due on 50,000 debentures @ Rs 25 each) | 12,50,000 | <br>12,50,000 |
| (vi) | Bank A/c<br>To 12% Debenture First and Final call A/c<br>(Being the call money received) | 12,50,000 | <br>12,50,000 |

**ABC Ltd.**

**Balance Sheet as on __________**

| Particulars | Note | Rs. |
|---|---|---|
| **EQUITYAND LIABILITIES**<br>Non Current Liabilities Long Term Borrowings | 1 | 50,00,000 |
| **ASSETS**<br>Cash and cash equivalent | 2 | 50,00,000 |

**Notes to A/c**

| | Particulars | Note | Rs. |
|---|---|---|---|
| 1. | Long Term Borrowings<br>12% Debentures | 1 | 50,00,000 |
| 2. | Cash and Cash Equivalent<br>Cash at Bank | 2 | 50,00,000 |

**Example 02:** X Limited Issued 10,000, 12% debentures of Rs. 100 each payable Rs. 40 on application and Rs. 60 on allotment. The public applied for 14,000 debentures. Applications for 9,000 debentures were accepted in full; applications for 2,000 debentures were allotted 1,000 debentures and the remaining applications. were rejected. All money was duly received. Journalise the transactions.

**Solution:**

**Books of X Limited**

**Journal Entries**

| S. No. | Particulars | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|
| | Bank A/c Dr.<br>To 12% Debenture Application A/c<br>(Receipt of application money on 14,000 debentures) | 5,60,000 | <br>5,60,000 |
| | 12% Debenture Application A/c Dr.<br>To 12% Debentures A/c<br>To Debentures Allotment A/c<br>To Bank A/c<br>(Debenture Application money transferred to Debenture A/c, Excess application money credited to Debenture Allotment account and money refunded on rejected application) | 5,60,000 | <br>4,00,000<br>40,000<br>1,20,000 |
| | 12% Debenture Allotment A/c Dr.<br>To 12% Debentures A/c<br>(Amount due on allotment on 10,000 debentures) | 6,00,000 | <br>6,00,000 |
| | Bank A/c Dr.<br>To Debenture Allotment A/c<br>(Allotment money received) | 5,60,000 | <br>5,60,000 |

**Example 02:** Z Ltd. issued 2,500, 10% Debentures of Rs.100 each, a premium of 10% payable as Rs. 20on application. Rs.50 on allotment (including the premium) and the balance on first £ final call The public applied for 3,500 debentures. Applications for 2,280 debentures were accepted in full, applicants for 500 were allotted 250 debentures, and remaining applications were rejected. All money was duly received.

Journalize these transactions.

**Solution:**

**Z Ltd,**

**Journal Entries**

| | Particulars | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|
| (i) | Bank A/c Dr.<br>To Debenture Application A/c<br>(Being application money received on 3,500 debentures) | 70,000 | <br>70,000 |
| (ii) | Debentures Application A/c Dr.<br>To 10% Debentures A/c<br>To Debentures Allotment A/c<br>To Bank A/c<br>(Being the application money adjusted and the surplus refunded) | 70,000 | <br>50,000<br>5,000<br>15,000 |
| (iii) | Debenture Allotment A/c Dr.<br>To 10% Debentures A/c<br>To Securities Premium A/c<br>(Being the Amount due on allotment @ Rs. 50 on 2,500 debentures) | 1,25,000 | <br>1,00,000<br>25,000 |

| | | | |
|---|---|---|---|
| (iv) | Bank A/c Dr.<br>To Debentures Allotment A/c<br>(Being the Balance of the amount due on allotment received) | 1,20,000 | 120,000 |
| (v) | Debentures Call A/c Dr.<br>To 10% Debentures A/c<br>(Being the Amount due on Call @ Rs. 40 on 2,500 debentures) | 1,00,000 | 1,00,000 |
| (vi) | Bank A/c Dr.<br>To Debentures Call A/c<br>(Being the Amount due on call received) | 1,00,000 | 1,00,000 |

## d. ISSUE OF DEBENTURES AT DISCOUNT

If the debentures are issued at a price Lower than the nominal value of the debentures, the debentures are said to be issued at a discount The difference between the nominal value and the issue price is regarded as the discount. Such a discount the issue of debentures may either be written off against revenue profit or capital profits of the company.

When debentures are issued at o discount, the Debentures Account should be credited with the nominal value of the debentures and the discount allowed on issue of debentures. It being a capital loss should be debited to **'Discount on issue of Debentures Account'**

**Accounting Treatment**

| | | |
|---|---|---|
| Debentures Allotment *Ale* | Dr. | (with the amount due on allotment) |
| Discount on issue of Debentures A/c | Dr. | (with the amount of discount) |
| To Debentures A/c | | (with the total) |

**Example 03:**

*Z* Ltd. issued 5,000,14% debentures of Rs 100 each at a discount of 5%. the discount being adjustable on allotment. The debentures were payable as follows:

On Application – Rs. 20

On Allotment – Rs 25

On First and Final Call – Rs. 50

The debentures were fully subscribed and the money was duly received.

Show the Cash Journal entries and prepare the balance sheet of the company.

**Solution:**

**Dr. Cash Book (Bank Column) Cr.**

| Particulars | Amount (Rs.) | Particulars | Amount (Rs.) |
|---|---|---|---|
| To 14% Debenture Application A/c<br>(Application money on 5,000 debentures @ Rs 20 per debenture) | 1,00,000 | By Balance c/d | 4,75,000 |
| To 14% Debenture Allotment A/c<br>(Allotment money on 5,000 debentures @ Rs.25 per debenture) | 1,25,000 | | |
| To 14% Debenture First and Final Call A/c<br>(First and final call money on 5,000 debentures @ Rs.50 per debenture) | 2,50,000 | | |
| | 4,75,000 | | 4,75,00 |

**Z Ltd**

**Journal Entries**

| S. No. | Particulars | | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|---|
| (i) | 14% Debenture Application A/c | Dr. | 1,00,000 | |
| | 14% Debenture Allotment A/c | Dr. | 1,25,000 | |
| | Discount on issue or Debentures A/c | Dr. | 25,000 | |
| | To 14% Debentures A/c | | | 2,50,000 |
| | (Allotment of 5,000 14% debentures of Rs 100 each issued at a discount of 5% and allotment money due an 5,000 debentures @ Rs 25 per debenture as per Board's resolution dated) | | | |
| (ii) | 14% Debenture first and Final Call A/c | Dr. | 2,50,000 | |
| | To 14% Debentures A/c | | | 2,50,000 |
| | (First and final call money due on 5,000 debentures @ Rs 50 perdebentures as per Board's resolution doted.) | | | |

**Z Ltd.**

**Balance Sheet as on __________**

| Particulars | Note | Rs. |
|---|---|---|
| EQUITY AND LIABILITIES | | |
| **Non-Current Liabilities** | | |
| Long-Term Borrowings | 1 | 5,00,000 |
| ASSETS | 2 | |
| **Non-current assets** | | |
| Other non-current assets | | 25,000 |
| **Current Assets** | | |
| Cash and cash equivalent | | 4,75,000 |

**Notes to A/c**

| | | | |
|---|---|---|---|
| 1 | Long-Term Borrowings<br>14% Debentures | 1 | 50,00,000 |
| 2 | Other non-current assets<br>Discount on the issue of debentures | 2 | 25,000 |

## e. ISSUE OF DEBENTURES IN CONSIDERATION OTHER THAN FOR CASH

Just like shares, debentures can also be issued for consideration other than for cash, such as for purchase of land, machinery, etc. In this case, the following entries are passed:

| | | | |
|---|---|---|---|
| (i) | Sundry Assets Account | Dr. | [Assets taken over] |
| | To Sundry Liabilities Account | | [Liabilities assumed] |
| | To Vendors Account | | [Purchase consideration] |
| | (Being the assets and liabilities taken over) | | |
| (ii) | Vendors Account | Dr. | |
| | To Debentures Account | | |
| | (Being the issue of....debentures to satisfy purchase consideration) | | |

Further it should be noted that these debentures can be issued at par, premium and at discount. In each case the second entry for issue of debentures would be done accordingly.

Number of debentures to be issued is calculated as follows:

1. **When debentures are issued at par**

   $$\textbf{No. of Debentures} = \frac{\textbf{Purchase Consideration}}{\textbf{Par Value}}$$

2. **When debentures are issued at premium**

   $$\textbf{No. of Debentures} = \frac{\textbf{Purchase Consideration}}{\textbf{Par Value + Premium}}$$

3. **When debentures are issued at discount**

   $$\textbf{No. of Debentures} = \frac{\textbf{Purchase Consideration}}{\textbf{Par Value – Discount}}$$

**Example 05:** Z Ltd. took over the assets of ₹6,00,000 and liabilities of ₹80,000 of C Ltd. for an agreed purchase consideration of ₹5,40,000 to be satisfied by the issue of 10% Debentures of ₹1,000 each.

Required: Show the necessary journal entries in the books of Z Ltd, assuming that—

**Case (a)** Such Debentures arc issued at par;

**Case (b)** Such Debentures arc issued at 20% premium; and

**Case (c)** Such Debentures arc issued at 10% discount;

**Solution:**

**In the Books of Z Ltd.**

**Journal**

| Particulars | | Dr. (₹) | Cr. (₹) |
|---|---|---|---|
| **Entry in all cases** | | | |
| Sundry Assets A/c | Dr. | 6,00,000 | |
| Goodwill A/c | Dr. | 20,000 | |
| To Sundry Liabilities A/c | | | 80,000 |
| To C Ltd. A/c | | | 5,40,000 |
| (Being the purchase of assets and liabilities from B Ltd. as per agreement dated ____) | | | |
| **Case (a) If Debentures are issued at par** | | | |
| C Ltd. A/c | Dr. | 5,40,000 | |
| To 15% Debentures A/c | | | 5,40,000 |
| (Being the issue of 5,400 debentures at par to B Ltd. as per Board's resolution dated ____) | | | |
| **Case (b) If Debentures are issued at 20% premium** | | | |
| C Ltd. A/c | Dr. | 5,40,000 | |
| To 10% Debentures A/c | | | 4,50,000 |
| To Securities Premium A/c | | | 90,000 |
| (Being the issue of 4,500 debentures at a premium of 20% to B Ltd. as per Board's resolution dated...) | | | |
| **Case (c) If Debentures are issued at 10% discount** | | | |
| C Ltd. A/c | Dr. | 5,40,000 | |
| Discount on Issue of Debentures A/c | Dr. | 60,000 | |
| To 10% Debentures A/c | | | 6,00,000 |
| (Being the issue of 6,000 debentures at a discount of 10% to B Ltd. as per Board's resolution dated...) | | | |

**Working Notes:**

(i) The amount by which the purchase consideration exceeds the value of the net assets (i.e. the difference between the agreed value of the assets taken over and the agreed amount of liabilities taken over) has been debited to Goodwill Account.

(ii) Calculation of No. of Debentures to be issued in each case.

| Particulars | 1 (a) At par 1 | (b) At 20% Premium 1 | (c) At 10% Discount 1 |
|---|---|---|---|
| (a) Issue Price per Debenture (₹) | 100 | 120 | 90 |
| (b) Purchase Consideration (₹) | 5,40,000 | 5,40,000 | 5,40,000 |
| (c) No. of Debentures to be issued (B/A) | 5,400 | 4,500 | 6,000 |

**Example 06:** Radha Ltd. purchased machinery worth Rs.1,20,000 and building worth Rs. 2,00,000 from Deepa Ltd. for an agreed purchase consideration of Rs. 3,00,000 to be satisfied by the issue of 3,000, 12% debentures of Rs. 100 each. Show the necessary journal entries in the books of Radha Ltd.

**Solution:**

**Radha Ltd.**

**Journal Entries**

| S. No. | Particulars | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|
| 1. | Building A/c Dr. | 2,00,000 | |
| | Plant and Machinery A/c Dr. | 1,20,000 | |
| | To Deepa Ltd. | | 3,00,000 |
| | To Capital Reserve A/c | | 20,000 |
| | (Purchase of sundry assets and transfer of capital profits asper agreement with the vendor dated.) | | |
| 2 | Deepa Ltd. Dr. | 3,00,000 | |
| | To 12% Debentures A/c | | 3,00,000 |
| | (Being 3,000, 12% Debentures of Rs 100 each allotted tovendors for consideration other than cash as per Board's resolution dated.) | | |

**Example 07:** Rai Company purchased assets of the book value of Rs. 2,20,000 from another company and agreed to make the payment of purchase consideration by issuing 2,000, 10% debentures of Rs. 100 each at a premium of 10%.

Record necessary journal entries.

**Solution:**

**Books of Rai Company Limited**

**Journal Entries**

| S. No | Particulars | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|
| 1 | Sundry Assets A/c Dr. | 2,20,000 | |
| | To Vendors | | 2,20,000 |
| | (Assets purchased from vendors) | | |
| 2 | Vendors Dr. | 2,20,000 | |
| | To 10% Debentures A/c | | 2,00,000 |
| | To Securities Premium Reserve A/c | | 20,000 |
| | (Allotment of 2,000 debentures of Rs. 100 each at a premium of 10% as purchase consideration) | | |

## F. ISSUE OF DEBENTURES AS COLLATERAL SECURITY

Collateral security means secondary or supporting security for a loan, which can be realised by the lender in the event of the original loan not being repaid on the due date. Under this arrangement, the borrower agrees that a particular asset or a group of assets will be realized and the proceeds there from will be applied to repay the loan in the event that the amount due, cannot be paid.

Sometimes companies issue their own debentures as collateral security for a loan or a fluctuating overdraft. When the loan is repaid on the due date, these debentures are at once released with the main security. In case, the company cannot repay its loan and the interest thereon on the due date, the lender becomes the debenture holder who can exercise all the rights of a debenture holder.

***In such cases, the holder of such debentures is entitled to interest only on the amount of loan, but not on the debentures.***

**Accounting treatment**

There are two methods of showing these types of debentures in the accounts of a company.

***Method 1***

Under this method, no entry is made in the books of account of the company at the time of making issue of such debentures. In the **'Notes to Accounts'** of Balance Sheet, the fact of the debentures being issued and outstanding is shown by a note under the liability secured.

**Example 08:** X Ltd. obtains a loan from IDBI of ₹1,00,00,000, giving as collateral security of ₹1,50,00,000 (of ₹10 each), 14%, First Mortgage Debentures.

**Solution:**

In the Notes to Accounts of Balance Sheet of X Ltd., it is shown as follows:

**Notes to A/c of X Limited as at...(includes)**

| ***Long Term Borrowings*** | ₹ |
|---|---|
| Secured Loan<br>IDBI Loan<br>(Collaterally secured by issue of ₹1,50,00,000 14% First Mortgage Debentures) | 1,00,00,000 |

***Method 2***

| | |
|---|---|
| Under this method, the following entry is made to record the issue of such debentures:<br>Debentures Suspense Account Dr.<br>To % Debentures Account<br>(Being the issue of ___ debentures collaterally as per<br>Board's Resolution No _____ dated _____)<br>The Debentures Suspense Account will appear on the assets side of the Balance Sheet under Other Non- Current Assets and Debentures on the liabilities side of the Balance Sheet. When the loan is repaid, the entry is reversed in order to cancel it. | |

**Example 09:** *Taking the same information of the Example 8, the entry on issue will be as follows*

**In the Books of X Ltd**

**Journal**

| Date | Particulars | ₹ | ₹ |
|---|---|---|---|
| | Debentures Suspense A/c Dr.<br>To 14% First Mortgage Debentures A/c<br>(Being the issue of ₹15,00,000 debentures @ ₹10 collaterally as per Board's Resolution No. _____ dated _____ ) | 1,50,00,000 | 1,50,00,000 |

**Balance Sheet of X Limited as at....(Extracts)**

| Particulars | Notes No. | ₹ | ₹ |
|---|---|---|---|
| **EQUITY AND LIABILITIES** | | | |
| **1. Non-Current Liabilities** | | | |
| Long Term Borrowings | 1 | 1,00,00,000 | |
| Total | | 1,00,00,000 | |
| **ASSETS** | | | |
| **2. Non-current Assets** | | | |
| Other non-current asset | | | |
| **3. Current Assets** | | | |
| Cash and cash equivalent | | 1,00,00,000 | |
| Total | | 1,00,00,000 | |
| **Notes to accounts** | | ₹ | ₹ |
| **1. Long Term Borrowings** | | | |
| Secured Loan | | | |
| IDBI Loan | | | 1,00,00,000 |
| 14% First Mortgage Debentures | | 1,50,00,000 | |
| Debenture Suspense Account | | 1,50,00,000 | |
| (issue of ₹15,00,000 14% First Debentures as collateral security as per contra) | | | |

## D. DEBENTURE INTEREST

When a company issues debentures, it is under an obligation to pay interest thereon at fixed percentage {naif yearly) periodic oily until debentures are repaid. This percentage is usually as port at the name at debentures like debentures, 10% debentures, etc, and Interest payable is calculated at the nominal value of debentures. Interest an debenture is a charge against the profit of the company and must be paid whether the company has earned any profit or not.

According to Income Tax Act 1961, a company must deduct income tax at a prescribed rate from the interest payable on debentures if it exceeds the prescribed limit It is called **Tax Deducted at Source** (TDS) and is to be deposited with the tow authorities. Of course, the debenture holders can adjust this amount against the tax due from therm.

**Accounting Treatment**

**(i) On interest becoming due**

| | | |
|---|---|---|
| Debenture Interest A/c | Dr. | (with the gross interest due) |
| To Income-tax Payable A/c or | | |
| Tax Deducted at Source | | (with the amount of Income-tax to be deducted at source) |
| To Debenture holders' A/c | | (with the net amount payable after deduction of income-tax) |

**(ii) On payment of interest to the debenture holders**

| | | |
|---|---|---|
| Debenture holders' A/c | Dr. | (with the net amount of paid interest) |
| To Bank A/c | | |

**(iii) On payment of income-tax to the Government**

| | | |
|---|---|---|
| Income-tax Payable A/c | Dr. | (with the amount of income-tax deducted at source and deposited with the Government) |
| To Bank A/c | | |

**(iv) On transfer of Debenture Interest to Profit and Loss Account at the end of the year**

| | | |
|---|---|---|
| Profit and Loss A/c | Dr. | (with the gross amount of interest on debentures) |
| To Debenture Interest A/c | | |

**Example 10:** M Ltd. had issued Rs. 5,00,000, 10% debentures on which interest was payable half-yearly on 30th September and 31st March. Show the necessary journal entries relating to debenture interest for the year ended 31st March, 2022 assuming that all moneys were duly paid by the company. Tax deducted at source is 10%.

**Solution:**

**M Ltd.**

**Journal Entries**

| Date | Particulars | | Debt (Rs.) | Credit (Rs.) |
|---|---|---|---|---|
| 2021 Sep, 30 | Debenture interest A/c | Dr. | 25,000 | |
| | To Income-tax Payable A/c | | | 2,500 |
| | To Debenture-holders A/c | | | 22,500 |
| | (Interest due on Rs S,00,000. 10% debentures for 6 months and income-tax deducted at source thereon @ 10%) | | | |
| Sep, 30 | Debenture-holders' A/c | Dr. | 22,500 | |
| | To Bank A/c | | | 22,500 |
| | (Payment of interest to debenture-holders) | | | |
| Sep, 30 | Income-tax Payable A/c | Dr. | 2,500 | |
| | To Bank A/c | | | 2,500 |
| | (Deposit of income-tax deducted at source from Debenture Interest with the Government) | | | |
| 2022 March, 31 | Debenture Interest A/c | Dr. | 25,000 | |
| | To Income-tax Payable A/c | | | 2,500 |
| | To Debenture-holders A/c | | | 22,500 |
| | (Interest due on Rs 5,00,000, 10% debentures for 6 months and income-tax deducted at source thereon @ 10%) | | | |
| 2022 March, 31 | Debenture-holders' A/c | Dr. | 22,500 | |
| | To Bank A/c | | | 22,500 |
| | (Payment of interest to debenture-holders) | | | |

| | | | |
|---|---|---|---|
| March, 31 | Income-tax Payable A/c Dr.<br>To Bank A/c<br>(Deposit of income-tax deducted at source from Debenture Interest with the Government) | 2,500 | 2,500 |
| March, 31 | Profit and Loss A/c Dr.<br>To Debenture Interest A/c<br>(Transfer of Debenture Interest to Profit and Loss A/c) | 50,000 | 50,000 |

## E. ISSUE OF REDEEMABLE DEBENTURES

### a. REDEMPTION OF DEBENTURES

| Section 71 (1) of the Companies Act. 2013 | Section 71 (2) of the Companies Act. 2013 | Section 71 (4) of the Companies Act. 2013 |
|---|---|---|
| Company may issue debentures with on option to convert such debentures into shares, either wholly or partly at the time of redemption. Provided that the issue of debentures with an option to convert such debentures into shares, wholly or partly, should be approved by a special resolution passed at a duly convened general meeting | No company can issue any debentures which carry any voting rights. | Where debentures are issued by a company, the company should create a debenture redemption reserve account out of the profits of the company available for payment of dividend ond the amount credited to such account should not be utilized by the company for any purpose other than the redemption of debentures. |

### b. ACCOUNTING TREATMENT FOR ISSUE OF REDEEMABLE DEBENTURES

The issue of redeemable debentures can be categorized into the following:

1. Debentures issued at a par and redeemable at par or at a discount;
2. Debentures issued at a discount and redeemable at par or at discount;
3. Debentures issued at premium and redeemable at par or at discount;
4. Debentures issued at par and redeemable at premium;
5. Debentures issued at a discount and redeemable at premium.
6. Debentures issued at premium and redeemable at premium.

**Note:** Redemption at a discount may be a rare circumstance in practical life.

#### Journal Entries in each of the above Cases are Discussed Below

1. **Debentures issued at par redeemable at par:** When debenture are issued at par, the issue price is equal to par value, in this regard the following entries are recorded:

| | | |
|---|---|---|
| (a) | For receipt of application money: | |
| | Bank A/c | Dr. |
| | To Debenture Application A/c | |
| (b) | For transfer of application money to debentures account: | |
| | Debenture Application A/c | Dr. |
| | To ...% Debenture A/c | |

**Example 01:** *Amol Ltd. issued 40,00,000, 9% debentures of ₹ 50 each, payable on application as per term mentioned in the prospectus and redeemable at par any time after 3 years from the date of issue. Record necessary entries for issue of debentures in the books of Amol Ltd.*

**Solution**

**Books of Amol Ltd**

**Journal**

| Date | Particulars | L.F. | Debit Amount (₹) | Credit Amount (₹) |
|---|---|---|---|---|
| | Bank A/c Dr.<br>To Debenture Application A/c<br>(Debenture application money received) | | 20,00,00,000 | 20,00,00,000 |
| | Debenture Application A/c Dr.<br>To 9% Debentures A/c<br>(Application money transferred to 9% debentures account consequent upon allotment) | | 20,00,00,000 | 20,00,00,000 |

2. **Debentures issued at Discount and Redeemable at par or at discount :** When debentures are issued at discount, issue price will be less than par value. The difference between the two is considered as loss on issue on debentures and is to be written-off over the life of debentures. The entries with regards to issue are given below:

(a) For receipt of application money
Bank A/c Dr.
To Debenture Application A/c
(b) At the time of making allotment
(i) Debenture Application A/c Dr.
Discount on issue of debentures A/c Dr.
To ...% Debentures A/c

**Example 02:** *Atul Ltd. issued 1,00,00,000, 8% debenture of 1100 each at a discount of 10% redeemable at par at the end of 10th year. Money was payable as follows:*

₹ *30 on application*

₹ 60 on *allotment*

*Record necessary journal entries regarding issue of debenture.*

**Solution**

**Books of Atul Ltd.**

**Journal**

| Date | Particulars | L.F. | Debit | Credit |
|---|---|---|---|---|
| | | | (₹) | (₹) |
| | Bank A/C<br>To Debenture Application A/c<br>(Debenture application money received) | Dr. | 30,00,00,000 | 30,00,00,000 |
| | Debenture Application A/c<br>To 8% Debentures A/c<br>(Application money transferred to 8% debentures account consequent upon allotment) | Dr. | 30,00,00,000 | 30,00,00,000 |

| | | | | |
|---|---|---|---|---|
| | Debenture allotment A/c | Dr. | 60,00,00,000 | |
| | Discount on issue of debentures A/c | Dr. | 10,00,00,000 | |
| | To 8% Debentures A/c | | | 70,00,00,000 |
| | (Amount due on allotment) | | | |
| | Bank A/c | Dr. | 60,00,00,000 | |
| | To Debenture Allotment A/c | | | 60,00,00,000 |
| | (Money received consequent allotment) | | | |

3. **Debentures Issued at Premium and Redeemable at par or at discount**

   When debenture are issued at premium, the issue price is more than the par value. The premium is transferred to securities premium account In this regard, the following journal entries are recorded:

(a) When premium amount is received at the time of application;
For receipt of application money
Bank A/c Dr.
(b) To Debenture Application A/c
For transfer of application of money at the time of allotment
Debenture application A/c Dr.
To...% Debentures A/c
To Securities Premium A/c

When debentures are issued at par or premium value but redeemed at discount, then it means that the company will gain by paying less. This gain will not be recognised in the books at the time of issue of debentures as per the conservatism concept. The utilisation of premium on debentures shall be based on the provisions of Section 52 of Companies Act, 2013,

**Example 03:** *Koinal Chemicals Ltd. issued 15,00,000, 10% debenture of ₹50 each at premium of 10%, payable as ₹20 on application and balance on allotment. Debentures are redeemable at par after 6 years. All the money due on allotment was called up and received. Record necessary entries when premium money is included in application money.*

**Solution:**

**Books of Koinal Chemicals Ltd.**

**Journal**

When premium money is received along with application money:

| Date | Particulars | | Debit Amount (T) | Credit Amount (T) |
|---|---|---|---|---|
| | Bank A/c | Dr. | 3,00,00,000 | |
| | To Debenture Application A/c (Debenture application money received) | | | 3,00,00,000 |
| | Debentures Application A/c | Dr. | 3,00,00,000 | |
| | To 10% Debentures A/c | | | 2,25,00,000 |
| | To Securities Premium A/c | | | 75,00,000 |
| | (Application money transferred to 10% debentures account and securities premium account consequent upon allotment) | | | |

| | | | | |
|---|---|---|---|---|
| | Debenture Allotment A/c<br>To 10% Debentures A/c<br>(Call made consequent upon allotment) | Dr. | 5,25,00,000 | 5,25,00,000 |
| | Bank A/c<br>To Debenture Allotment A/c<br>(Call made consequent upon allotment money received) | Dr. | 5,25,00,000 | 5,25,00,000 |

**4. Debentures issued at par and redeemable at a premium**

Where debentures are to be redeemed at premium, an extra entry is to be made at the time of issue and allotment of debentures. This extra entry is to be passed for providing premium payable on redemption. Debenture Redemption Premium Account is a personal account which represents a liability of the company in respect of premium payable on redemption.

In this case, the issue price is same as par value but the redemption value is more than the par value, therefore redemption premium is recorded as a loss on issue of debentures at the time of allotment of debentures. Following journal entries are recorded in this regard:

(a) For receipt of application money
Bank A/c Dr.
To Debenture application A/c

(b) At the time of making allotment
(i) Transfer of application money to debenture account
Debenture Application A/c Dr.
To ...% Debenture A/c
(ii) Call made consequent upon allotment
Debenture Allotment A/c Dr.
Loss on issue of debenture A/c Dr. [Equal to Debenture Redemption Premium]
To ...% Debenture A/c
To Debenture redemption premium A/c

Students can note that instead of passing the separate entries, a compound entry can be passed:
Bank A/c Dr.
Loss on issue of debenture A/c Dr.
To...% Debenture A/c
To Debenture redemption premium A/c

**Example 04:** Modern Equipments Ltd. issued 4,00,000, 12% debentures of ₹100 payable as follows:

On application ₹30 On allotment ₹70

The debenture were fully subscribed and all the money was duly received. As per the terms of issue, debentures are redeemable at ₹110 per debenture. Record necessary entries regarding issue of debentures.

**Solution:**

**Books of Modern Equipments Ltd**

**Journal**

| Date | Particulars | | Debit Amount (₹ Lakhs) | Credit Amount (₹ Lakhs) |
|---|---|---|---|---|
| | Bank A/c<br>To Debentures application A/c<br>(Debenture application money received) | Dr. | 120 | 120 |

| | | | | |
|---|---|---|---|---|
| | Debentures Application A/c<br>To 12% Debentures A/c<br>(Application money transferred to 12% debentures account consequent to allotment) | Dr. | 120 | 120 |
| | Debentures Allotment A/c<br>Loss on issue of Debentures A/c<br>To 12% Debentures A/c<br>To Debenture redemption premium A/c<br>(Call made on allotment of debentures at par and entry for debentures redeemable at premium) | Dr.<br>Dr. | 280<br>40 | 280<br>40 |
| | Bank A/c<br>To Debentures allotment A/c<br>(Call made consequent upon allotment money received) | Dr. | 280 | 280 |

**5. Debentures Issued at discount and redeemable at premium**

In this situation the issue price is less than par value but redemption value is more than par value. The difference between the redemption price and the issue price is treated as discount/loss on issue of debentures. Suppose, a 10% debentures of ₹1,000 is issued at a discount of ₹100 and redeemable at a premium of ₹5 per debenture, the amount of loss will be equal to ₹ 1,005 – ₹ 900 = ₹105. This is to be treated as loss on issue. It is to be noted that premium on redemption of debentures is also credited by ₹5.

**(a) For the receipt of application money**

Bank A/c Dr.

To Debenture Application A/c

**(b) At the time of making allotment**

(i) Transfer of application money to debenture account

Debenture Application A/c

To % Debentures A/c Dr.

(ii) Call made consequent upon allotment of debentures at discount and redeemable at premium

Debenture Allotment A/c Dr.

Discount on issue of debenture A/c Dr. [Amount equal to the discount on issue of debenture]

Loss on issue of Debentures A/c Dr. [Amount equal to premium on redemption of debenture]

To...% Debenture A/c

To Debenture redemption premium A/c

Alternatively, the discount on issue of debentures can be combined with loss on issue of debentures A/c as both discount and premium on redemption represent loss to the company. In that case, the journal entry will be

Debenture Allotment A/c Dr.

Discount/Loss on issue of debenture A/c Dr. [Amount equal to the discount on issue of debenture plus premium on redemption of debenture]

To...% Debenture A/c

To Debenture redemption premium A/c

(c) **For receipt of call made on allotment**

Bank A/c Dr.

Discount on issue of debenture A/c Dr.

Loss on issue of Debentures A/c Dr.

To Debenture Allotment A/c

To Debenture redemption premium A/c

Alternatively, the discount on issue of debentures can be combined with loss on issue of debentures A/c as both discount and premium on redemption represent loss to the company. In that case, the journal entry will be

Bank A/c Dr.

Discount/Loss on issue of debentures A/c Dr.

To...% Debentures A/c

To Debenture redemption premium A/c

**Example 05:** Agrotech Ltd. issued 150 lakh 9% debentures of ₹100 each at a discount of 6%, redeemable at a premium of 5% after 3 years payable as: ₹50 on application and ₹44 on allotment. Record necessary journal entries for issue of debentures.

**Solution:**

**Books of Agrotech Ltd.**

**Journal**

| Date | Particulars | L.F. | Debit Amount (₹ Lakhs) | Credit Amount (₹ Lakhs) |
|---|---|---|---|---|
| | Bank A/c | Dr. | 7,500 | |
| | To Debenture Application A/c | | | 7,500 |
| | (Debentures application money received) | | | |
| | Debenture Application A/c | Dr. | 7,500 | |
| | To 9% Debentures A/c | | | 7,500 |
| | (Application money transferred to 9% debentures account) | | | |
| | Debenture Allotment A/c | Dr. | 6,600 | |
| | Discount on issue of debentures | Dr | 900 | |
| | Loss on issue of debenture A/c | Dr. | 750 | |
| | To 9% Debentures A/c | | | 7,500 |
| | To Debenture redemption premium A/c | | | 750 |
| | (Call made consequent upon allotment of debentures issued at discount and redeemable at premium) | | | |
| | Bank A/c | Dr. | 6,600 | |
| | To Debenture Allotment A/c | | | 6,600 |
| | (Allotment amount received) | | | |

**Working Notes:**

Amount of discount on issue = 150 Lakhs × ₹100 × 6% = ₹900 lakhs

Loss on issue of debentures = 150 Lakhs × ₹100 × 5% = ₹750 Lakhs

Alternatively, the discount on issue of debentures can be combined with loss on issue of debentures A/c as both discount and premium on redemption represent loss to the company. In that case, the journal entries will be

**Books of Agrotech Ltd.**

**Journal**

| Date | Particulars | | Debit Amount (₹ Lakhs) | Credit Amount (₹ Lakhs) |
|---|---|---|---|---|
| | Bank A/c | Dr. | 7,500 | |
| | To Debenture Application A/c | | | 7,500 |
| | (Debentures application money received) | | | |
| | Debenture Application A/c | Dr. | 7,500 | |
| | To 9% Debentures A/c | | | 7,500 |
| | (Application money transferred to 9% debentures account) | | | |
| | Debenture Allotment A/c | Dr. | 6,600 | |
| | Loss on issue of debenture A/c | Dr. | 1,650 | |
| | To 9% Debentures A/c | | | 7,500 |
| | To Debenture redemption premium A/c | | | 7,50 |
| | (Call made consequent upon allotment of debentures issued at discount and redeemable at premium) | | | |
| | Bank A/c | Dr. | 6,600 | |
| | To Debenture Allotment A/c | | | 6,600 |
| | (Allotment amount received) | | | |

**Working Notes:**

Loss on issue of debentures =

(Amount of discount on issue + Premium payable on redemption) × No. of Debentures

= (6% of ₹100 + 5% of ₹100) × 150 lakh

= (₹6 + ₹5) × 150 lakh

= ₹1,650 lakh

6. **Debentures Issued at premium and redeemable at premium**

In this situation, the issue price is more than par value and also redemption value is more than par value. The premium received at the time of issue of debentures is credited to Securities premium account and premium paid at the time of redemption is a loss to be provided at the time of issue of debentures. Suppose, a 10% debenture of ₹1,000 is issued at a premium of ₹100 and redeemable at a premium of ₹50 per debenture. In the given case ₹100 is to be credited to Securities premium account and ₹50 will be the loss to be provided at the time of issue of debentures. It is to be noted that premium on redemption of debentures is also credited by ₹50.

**(a) For the receipt of application money**

Bank A/c Dr.

To Debenture Application A/c

**(b) At the time of making allotment**

(i) Transfer of application money to debenture account

Debenture Application A/c Dr.

To % Debentures A/c

(ii) Call made consequent upon allotment of debenture at premium and Redeemable at premium

| | | |
|---|---|---|
| Debenture Allotment A/c | Dr. | |
| Loss on issue of debenture A/c | Dr. | [Amount equal to the premium on redemption] |
| To...% Debenture A/c | | |
| To Securities Premium A/c | | [Amount equal to premium on issue] |
| To Premium on Redemption of Debentures | | [Amount equal to premium on Debentures A/c redemption] |

Students can note that instead of passing the separate entries, a compound entry can be passed:

| | |
|---|---|
| Bank A/c | Dr. |
| Loss on issue of Debentures A/c | Dr. |
| To ...% Debentures A/c | |
| To Securities Premium A/c | |
| To Premium on redemption of debentures A/c | |

The Debenture Application A/c and Debenture allotment A/c are closed after the allotment of debentures. The net effect of the above 6 situations can be summarised as given below:

| Condition under which debentures are issued | Debenture issued at par or discount or premium | Debenture redemption at premium |
|---|---|---|
| Debentures issued at par | Bank A/c Dr.<br>To Debentures A/c (Face value) | Bank A/c Dr.<br>Loss on issue of Debentures A/c Dr.<br>To Debentures A/c (Face value)<br>To Premium on Redemption of Debentures A/c |
| Debentures issued at premium | Bank A/c Dr.<br>To Debentures A/c (Face value)<br>To Securities premium (premium) | Bank A/c Dr.<br>Loss on issue of Debentures A/c Dr.<br>To Debentures A/c (Face value)<br>To Securities premium (premium)<br>To Premium on Redemption of Debentures A/c |
| Debentures issued at Discount | Bank A/c Dr.<br>Discount on issue of debentures A/c Dr.<br>To Debentures A/c (Face value) | Bank A/c Dr.<br>Discount on issue of Debentures A/c Dr.<br>Loss on issue of Debentures A/c Dr.<br>To Debentures A/c (Face value)<br>To Premium on Redemption of Debentures A/c<br>or<br>Bank A/c Dr.<br>Loss on issue of Debentures A/c Dr.<br>To Debentures A/c (Face value)<br>To Premium on Redemption of Debentures A/c |

When the debentures are redeemed at a premium (as per terms and conditions of issue), the premium payable on redemption should be recognised at the time of issue of debenture itself considering the principle of conservatism or prudence.

This recognition involves loss on issue of debentures A/c (i.e. discount on issue of debentures) and Premium on redemption A/c.

*Alternatively, the discount on issue of debentures, can be combined with loss on issue of debentures A/c as both discount and redemption premium represent loss to the company.

## F. TREATMENT OF DISCOUNT/LOSS ON ISSUE OF DEBENTURES

The discount on issue of debentures is amortised' over a period between the issuance date and redemption date. It should be written-off in the following manner depending upon the terms of redemption:

a. If the debentures are redeemable after a certain period of time, say at the end of 5 years, the total amount of discount should be written-off equally throughout the life of the debentures (applying the straight line method). The main advantage of this method is that it spreads the burden of discount equally over the years.

b. If the debentures are redeemable at different dates, the total amount of discount should be written-off in the ratio of debenture amount outstanding in each year. This method is suitable when debentures are redeemed by unequal instalments.

> The accounting entries would be as follows:
>
> Profit and Loss Account Dr.
>
> To Discount on Issue of Debentures Account
>
> (Being the amount of discount on issue of debentures written-off)

Loss on issue of debentures is also a capital loss and should be written off in a similar manner as discount on debentures issued. In the balance sheet both the items (Discount and Loss) are shown as Non-current/current assets depending upon the period for which it has to be written off.

**Example 01:** HDC Ltd issues 1,00,000, 12% Debentures of ₹100 each at ₹94 on 1st January, 2022. Under the terms of issue, the debentures are redeemable at the end of 5 years from the date of the issue. Calculate the amount of discount to be written-off in each of the 5 years.

**Solution:**

Total amount of discount comes to ₹ 6,00,000 (₹6 × 1,00,000). The amount of discount to be written-off in each year is calculated as under:

| Year end | Debentures outstanding | Ratio in which discount to be written-off | Amount of discount to be written-off |
|---|---|---|---|
| 1st | ₹ 1,00,00,000 | 1/5 | 1/5th of ₹ 6,00,000 = ₹ 1,20,000 |
| 2nd | ₹ 1,00,00,000 | 1/5 | 1/5th of ₹ 6,00,000 = ₹ 1,20,000 |
| 3rd | ₹ 1,00,00,000 | 1/5 | 1/5th of ₹ 6,00,000 = ₹ 1,20,000 |
| 4th | ₹ 1,00,00,000 | 1/5 | 1/5th of ₹ 6,00,000 = ₹ 1,20,000 |
| 5th | ₹ 1,00,00,000 | 1/5 | 1/5th of ₹ 6,00,000 = ₹ 1,20,000 |

**Example 02:** HDC Ltd. issues 2,00,000, 12% Debentures of ₹10 each at ₹9.40 on 1st January, 2022. Under the terms of issue, 1/5th of the debentures are annually redeemable by drawings, the first redemption occurring on 31st December, 2022. Calculate the amount of discount to be written-off from 2022 to 2026.

**Solution:**

**Calculation of amount of discount to be written-off**

| At the Year end | Debentures Outstanding before redemption | Ratio of benefit Derived | Amount of discount to be written-off |
|---|---|---|---|
| 2022 | ₹ 20,00,000 | 5 | 5/15th of ₹ 1,20,000 = ₹ 40,000 |
| 2023 | ₹ 16,00,000 | 4 | 4/15th of ₹ 1,20,000 = ₹ 32,000 |
| 2024 | ₹ 12,00,000 | 3 | 3/15th of ₹ 1,20,000 = ₹ 24,000 |
| 2025 | ₹ 8,00,000 | 2 | 2/15th of ₹ 1,20,000 = ₹ 16,000 |
| 2026 | ₹ 4,00,000 | 1 | 1/15th of ₹ 1,20,000 = ₹ 8,000 |
| | TOTAL | 15 | ₹ 1,20,000 |

## G. CREATION OF DEBENTURE REDEMPTION RESERVE

Section 71(4) of the Companies Act, 2013, read with Rule 18(7) of the Companies (Share Capital And Debentures) Rules, 2014, requires every company issuing redeemable non-convertible debentures to create a **Debenture Redemption Reserve** (DRR) occount of at least a certain percentage of the total outstanding value of the issued debentures (described below), out of the profits of the company available for the payment of dividend ond the amount credited to such account shall only be used for the redemption of debentures This effort is to protect the debenture holders from the possibility of the company defaulting on repayments, as DRR ensures that enough funds are available to meet the obligations of the debenture holders

Let us assume that on unlisted company issues ₹10 crore worth of debentures in January 2022 with a maturity date of January 2032, In this case, the company has to create ₹1 crore (representing 10% of the total outstanding of the issued debentures, i.e,, ₹10 crore) as DRR before the maturity date.

### a. ADEQUACY OF DEBENTURE REDEMPTION RESERVE (DRR)

The Debenture Redemption Reserve shall be created out of the profits of the company available for payment of dividend; the limits with respect to adequacy of DRR and investment or deposits, as the cose may be, shall be as under.

| Sr. No. | Debentures Issued By | Adequacy of Debenture Redemption Reserve (DRR) |
|---|---|---|
| 1 | All India Financial Institutions (AlFIs) regulated by Reserve Bank of India and Banking Companies for both public as well as privately placed debentures | No DRR is required |
| 2 | Other Financial Institutions (FIs) within the meaning of clause (72) of section 2 of the Companies Act 2013 | DRR will be as applicable to NBFCs registered with RBI (as per (3) below) |
| 3 | For listed companies (other than AlFIs and Banking Companies as specified in Sr. No 1 above): | |
| | a. All listed NBFCs (registered with RBI under section 45-IA of the RBI Act.) and listed HFCs (Housing Finance Companies registered with National Housing Bank) for both public as well as privately placed debentures | No DRR is required |
| | b. Other listed companies for both public as well as privately placed debentures | No DRR is required |
| 4 | For unlisted companies (other than AlFIs and Banking Companies os specified in Sr. No. 1 above | |
| | a. All unlisted NBFCs (registered with RBI under section 45-IA of the RBI (Amendment) Act, 1997) and unlisted HFCs (Housing Finance Companies registered with National Housing Bank) for privately ploced debentures | No DRR is required |
| | b. Other unlisted companies | DRR shall be 10% of the value of the outstanding debentures issued |

### b. INVESTMENT OF DEBENTURE REDEMPTION RESERVE (DRR) AMOUNT

As per Rule 18 (7) of the Companies (Share Capital and Debentures) Amendment Rules, 2019, following companies:

(a) All listed NBFCs

(b) All listed HFCs

(c) All other Listed companies (other than AlFIs, Banking Companies ond Other FIs); and

(d) All unlisted companies which are not NBFCs and HFCs

Sholl on or before the 30th day of April in eoch year, in respect of debentures issued, deposit or invest, as the case may be, a sum which should not be less than 15% of the amount of Its debentures maturing during the year ending on the 31st day of March of next year, in any one or more of the following methods, namely:

(a) In deposits with any scheduled bank, free from charge or lien;

(b) In unencumbered securities of the Central Government or of any State Government;

(c) In unencumbered securities mentioned in clauses (a) to (d) and (ee) of Section 20 of the Indian Trusts Act 1882:

(d) In unencumbered bonds issued by any other company which is notified under clause (f) of Section 20 of the Indian Trusts Act 1882.

## C. IMPORTANT POINT

- The amount deposited or invested, as the case may be. above should not be utilised for any purpose other than for the redemption of debentures maturing during the year referred to above.

  Provided that the amount remaining deposited or invested, as the case may be. shall not at any time fall below 15% of the amount of debentures maturing during the 31" day of March of that year
- In case of partly convertible debentures. DRR sholl be created in respect of non-convertible portion of debenture issue.
- The amount credited to DRR shall not be utilised by the company except for the purpose of redemption of debentures.
- It should be noted that appropriation to DRR con be made any time before redemption and Investments in specified securities as mentioned above con be done before 30th April for the debentures maturing that year, however, for the sake of simplicity and ease, it is advisable to make the appropriation and investment Immediately after the debentures are allotted assuming that the company has sufficient amount of profits (issued if allotment date is not given in the question} Also, in some coses, the date of allotment could be missing, in such cases the appropriation and Investments should be done on the first day of that year for which ledgers accounts are to be drafted

**Journal Entries**

| Date | Particular | L.F. | Amount (Dr.) | Amount (Cr.) |
|---|---|---|---|---|
| | **(a) For setting aside the fixed amount of profit for redemption** | | | |
| | Profit and Loss A/c Dr. | | | |
| | To Debenture Redemption Reserve A/c | | | |
| | **(b) For investing the amount set aside for redemption** | | | |
| | Debenture Redemption Reserve Investment A/c Dr. | | | |
| | To Bank A/c | | | |
| | **(c) For receipt of interest on Debenture Redemption Reserve Investments** | | | |
| | Bank A/c Dr. | | | |
| | To Interest on Debenture Redemption Reserve Investment A/c | | | |
| | **(d) For transfer of Interest on Debenture Redemption Reserve Investments (DRRI)** | | | |
| | Interest on Debenture Redemption Reserve Investment A/c Dr | | | |
| | To Profit and loss A/c‘ | | | |

| | | | | |
|---|---|---|---|---|
| | **At the time of redemption of debentures**<br>**(a) For encashment of Debenture Redemption Reserve Investments**<br>Bank A/c Dr.<br>To Debenture Redemption Reserve Investment A/c<br>**(b) For amount due to debenture holders on redemption**<br>Debentures A/c Dr.<br>To Debenture holders A/c<br>**(c) For payment to debenture holders**<br>Debenture holders A/c<br>To Bank A/c Dr.<br>After redemption of debentures, DRR should be transferred to general reserve<br>DRR A/c Dr.<br>To General Reserve | | | |

Considering the fact that interest is received each year through cash/bank account and it is not re-invested. In the illustrations given in the chapter, the same has been considered and hence interest on DRR investment is not credited to DRR A/c but taken to P&L A/c.

## d. BY PAYMENT IN LUMPSUM

Under payment in lumpsum method, at maturity or at the expiry of a specified period of debenture the payment of entire debenture is made in one lot or even before the expiry of the specified period.

## e. PAYMENT IN INSTALMENTS

Under payment in instalments method, the payment of specified portion of debenture is mode in instalments at specified intervals.

## f. PURCHASE OF DEBENTURES IN OPEN MARKET

Debentures sometimes are purchased in open market This is not covered in the chapter os it has been specifically excluded from the syllabus at Foundation level.

The accounting process, in this case, is as follows:

| To Interest is earned on the Nominal Investment | Journal Entry | Remarks |
|---|---|---|
| In the year of Debenture issue | | |
| Annual contribution | Surplus A/c ...Dr.<br>To Sinking Fund A/c | Annual Contribution is calculated with the help of the annuity Table. |
| Investment of the amount | Sinking Fund Investment A/c ...Dr.<br>To Bank A/c | Either equal to or less the amount of contribution. |
| In all subsequent years (except the last year) | | |
| Receipt of Interest on Bank A/c | Bank A/c ...Dr.<br>To Interest on Sinking Fund Investment A/c | To Interest is earned on the "Nominal Investment |

**Example 01:** P Ltd. had issued ₹15,00,000, 10% Debentures which arc due to be redeemed out of profits on Nov. 1,2023 at a premium of 5%. The company had a Debenture Redemption Reserve of ₹6,21,000. It was decided to invest the required amount in Debenture Redemption Investment on 15.4.2023. Pass necessary journal entries for recording the transactions relating to redemption of debentures.

**Solution:**

**In the books of P Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| 31.03.23 | Surplus A/c __________ Dr. | 8,79,000 | |
| | To Debenture Redemption Reserve Ac | | 8,79,000 |
| | (Being amount of profits transferred to DRR as per Board's Resolution no. _____ Dated _____) | | |
| 15.04.23 | Debenture Redemption Investment A/c ______________ Dr. | 2,25,000 | |
| | To Bank A/c (15,00,000 × 15%) | | 2,25,000 |
| | (Being statutory minimum investment made in DRI) | | |
| 01.11.23 | Bank A/c ______________ Dr. | 2,25,000 | |
| | To DRI A/c | | 2,25,000 |
| | (Being amount encashed from DRI for redemption | | |
| 01.11.23 | 10% Debentures A/c ______________ Dr. | 15,00,000 | |
| | Premium on Redemption of Debentures A/c ______________Dr. | 75,000 | |
| | To 10% Debenture-holders A/c | | 15,75,000 |
| | (Being amount due on redemption.) | | |
| 01.11.23 | 10% Debenture-holders A/c | 15,75,000 | |
| | To Bank A/c | | 15,75,000 |
| | (Being payment made.) | | |
| 01.11.23 | DRR A/c ______________ Dr. | 15,75,000 | |
| | To General Reserve A/c | | 15,75,000 |
| | (Being DRR transferred on redemption.) | | |

**Working Note:**

Transfer of profits to DRR = Face value of debentures redeemed – Existing DRR

= 15,00,000 – 6,21,000 = ₹8,79,000

**Example 02: (Redemption partly out of profit and partly out of capital)**

The Balance Sheet of AB Ltd. as on March 31,2022 reflected 10,000, 12% Debentures of ₹ 100 each outstanding. These debentures were due for redemption on July 31, 2023. The company decided to transfer ₹5,00,000 to Debenture Redemption Reserve on March 31,2023 and invest ₹1,50,000 in fixed deposits w ith Bank of India on April 8, 2023. The investment was encashed as the debentures were redeemed on due date. Pass journal entries to record the above transactions (Ignore transactions relating to interest on debentures).

**Solution:**

**In the books of AB Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| 31.03.2023 | Surplus A/c __________ Dr.<br>To Debenture Redemption Reserve A/c<br>(Being amount of profits transferred to DRR as per Board's Resolution no. ______ Dated ______) | 5,00,000 | <br>5,00,000 |
| 08.04.2023 | Debenture Redemption Investment A/c __________ Dr.<br>To Bank A/c<br>(Being statutory minimum investment made in DRI) | 1,50,000 | <br>1,50,000 |
| 31.07.2023 | Bank A/c __________ Dr.<br>To DRI A/c<br>(Being amount encashed from DRI for redemption) | 1,50,000 | <br>1,50,000 |
| 31.07.2023 | 12% Debentures A/c __________ Dr.<br>To 12% Debenture-holders A/c<br>(Being amount due on redemption.) | 10,00,000 | <br>10,00,000 |
| 31.07.2023 | 12% Debenture-holders A/c<br>To Bank A/c<br>(Being payment made.) | 10,00,000 | <br>10,00,000 |
| 31.07.2023 | DRR A/c __________ Dr.<br>To General Reserve A/c<br>(Being DRR transferred on redemption.) | 5,00,000 | <br>5,00,000 |

**Example 03: (Issue and Redemption at premium. Redemption partly out of profit and partly out of capital)**

K Ltd. issued ₹6,00,000,13% Debentures of ₹100 each on April 1, 2019 at a premium of 6% redeemable at a premium of 10% on March 31, 2023. The debentures were redeemed on due date. Assume that the required minimum investment was made by the company in 10% Government Securities on the last due date meant for the purpose of this redemption. Pass journal entries to record the issue and redemption of debentures. (Ignore transactions relating to interest on debentures and writing-off 'loss on issue of debentures).

**In the books of K Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| 01.04.2019 | Bank A/c ______________ Dr.<br>Loss on Issue of Debentures A/c<br>To 13% Debentures A/c<br>To Securities Premium A/c (600000 × 6%)<br>To Premium on Redemption of Debentures A/c<br>(Being issue of debentures at premium and premium on redemption is provided for.) | 6,36,000<br>60,000 | <br><br>6,00,000<br>36,000<br>60,000 |

| | | | |
|---|---|---|---|
| 30.04.2022 | Debenture Redemption Investment A/c _____________ Dr.<br>To Bank A/c<br>(Being statutory minimum investment made in DRI) | 90,000 | <br>90,000 |
| 31.03.2023 | Surplus A/c _____________ Dr.<br>To Debenture Redemption Reserve A/c<br>(Being amount of profits transferred to DRR as per Board's Resolution no. _____ Dated _____) | 60,000 | <br>60,000 |
| 31.03.2023 | Bank A/c _____________ Dr.<br>To DRI A/c<br>To Interest on DRI A/c (90000 × 10% × 11/12)<br>(Being amount encashed from DRI for redemption) | 98,250 | <br>90,000<br>8,250 |
| 31.03.2023 | 13% Debentures A/c _____________ Dr.<br>Premium on Redemption of Debentures A/c _____________ Dr.<br>To 13% Debenture-holders A/c<br>(Being amount due on redemption.) | 6,00,000<br>60,000 | <br><br>6,60,000 |
| 31.03.2023 | 13% Debenture-holders A/c<br>To Bank A/c<br>(Being payment made.) | 6,60,000 | <br>6,60,000 |
| 31.03.2023 | DRR A/c _____________ Dr.<br>To General Reserve A/c<br>(Being DRR transferred on redemption.) | 60,000 | <br>60,000 |
| 31.03.2023 | Interest on DRI A/c _____________ Dr.<br>To Profit and Loss A/c<br>(Being interest on DRI transferred.) | 8,250 | <br>8,250 |

**Example 04: (Redemption at lump-sum with Sinking Fund)**

On 1st April 2019. H Ltd. issued 442. 10% Debentures of ₹1000 each at a discount of 10% redeemable at a premium of 5% after 4 years. It was decided to create a Sinking Fund for the purposes of accumulating sufficient funds to redeem the Debentures and to invest in some radily convertible securities yielding 10% interest p.a. Reference to the table shows that ₹1,00 p.a. at 10% compound interest amounts to ₹4,641 in 4 years. Investments arc to be made in the Bonds of ₹1000 each available at par.

On 31st March 2023, the investments realised ₹3,40,000 and debentures were redeemed. The bank balance as on that date was ₹50,000.

**Required:** Prepare Debenture Redemption Fund Account and Debenture Redemption Fund Investments Account for 4 years.

**Solution:**

DRF = Debenture Redemption Fund, DRF1 = Debenture Redemption Fund Investment

**Debenture Redemption Fund Account**

**Dr.** **Cr.**

| Date | Particulars | ₹ | Date | Particulars | ₹ |
|---|---|---|---|---|---|
| 31.03.2020 | To Balance c/d | 1,00,000 | 31.03.2020 | By P & L App A/c | 1,00,000 |
| 31.03.2021 | To Balance c/d | 2,10,000 | 01.04.2020 | By Balance b/d | 1,00,000 |
| | | | 31.03.2021 | By Interest on DRF1 A/c | 10,000 |
| | | | | By P & L App. A/c | 1,00,000 |

| | | | | | |
|---|---|---|---|---|---|
| | | **2,10,000** | | | **2,10,000** |
| 31.03.2022 | To Balance c/d | 3,31,000 | 01.04.2021 | By Balance b/d | 2,10,000 |
| | | | 31.03.2022 | By Interest on DRF1 A/c | 21,000 |
| | | | 31.03.2022 | By P & L App. A/c | 1,00,000 |
| | | **331,000** | | | **3,31,000** |
| 31.03.2023 | To Loss on issue of Debentures/Premium on redemption of Debentures A/c | 22,100 | 01.04.2022 | By Balance b/d | 3,31,000 |
| | To Debenture Redemption Reserve A/c | 4,51,000 | 31.03.2023 | By Interest on DRF1 A/c | 33,100 |
| | | | 31.03.2023 | By P & L App. A/c | 1,00,000 |
| | | | | By Debenture Redemption Fund Investment A/c (Profit) | |
| | | **4,73,100** | | | **4,73,100** |

**Debentures Redemption Fund Investment (DRF1) A/c**

**Dr.** **Cr.**

| Date | Particulars | ₹ | Date | Particulars | ₹ |
|---|---|---|---|---|---|
| 31.03.2020 | To Bank A/c | 1,00,000 | 31.03.2020 | By Balance c/d | 1,00,000 |
| 01.04.2020 | To Balance b/d | 1,00,000 | 31.03.2021 | By Balance c/d | 2,10,000 |
| 31.03.2021 | To Bank A/c | 1,10,000 | | | |
| | | **2,10,000** | | | **2,10,000** |
| 01.04.2021 | To Balance b/d | 2,10,000 | 31.03.2022 | By Balance c/d | 3,31,000 |
| 31.03.2022 | T Bank A/c | 1,21,000 | | | |
| | | **3,31,000** | | | **3,31,000** |
| 01.04.2022 | To Balance b/d | 3,31,000 | 31.03.2023 | By Bank A/c (Sales) | 3,40,000 |
| 31.03.2023 | To Debenture Redemption Fund A/c (Profit) | 9,000 | | | |
| | | **3,40,000** | | | **3,40,000** |

**Working Note:**

**(i) Calculation of the amount of profit set aside** **₹**

| | | |
|---|---|---|
| (a) | Face Value of Debentures | 4,42,000 |
| (b) | Premium Premium Payable on Redemption | 22,100 |
| (c) | Depreciable Cost (a) + (b) | 4,64,100 |
| (d) | Value of annuity per ₹1 | 4,641 |
| (e) | Annual amount to be charged $\frac{(c)}{(d)}$ | 1,00,000 |

**(ii) Calculation of the amount of investments and interest**

| Year a | Opening Balance b | Interest c = b × 10/100 | Saving d | Investments e = c + d | (losing Balance f = b + e |
|---|---|---|---|---|---|
| 2019-20 | — | — | 1,00,000 | 1,00,000 | 1,00,000 |
| 2020-21 | 1,00,000 | 10.000 | 1,00,000 | 1,10,000 | 2,10,000 |
| 2021-22 | 2,10,000 | 21,000 | 1,00,000 | 1,21,000 | 3,31,000 |
| 2022-23 | 3,31,000 | 33,100 | 1,00,000 | — | — |

Or. Calculate the interest on opening balance of DRFI A/c.

**II. Redemption of Debentures in Instalments by Drawing Lots**

Under this method redemption is done in parts. When it is done in every year, it is called Redemption by Annual Drawing. Redemption may be done at par. at premium or at discount.

Under this approach, the statutory requirements arc exactly similar to that discussed under lump-sum method. The recording of transactions is also similar to that explained under lump-sum method.

Consider the following illustration.

**Example 05:** X Ltd., a pharmaceutical company, has 20,000, 9% Debentures of ₹100 each outstanding. These arc due for redemption in lots as follows:

On March 31,2021 – 4,000 debentures; On March 31,2022 – 6,000 debentures; On March 31,2023 Balance debentures.

You arc required to ascertain the amount of balance that is required to be maintained in DRR AJc for each redemption. Also state the balance required to be transferred from DRR to General Reserve after each redemption.

**Solution:**

X Ltd., assuming an eligible unlisted company, is mandated ly required, to create Debenture Redemption Reserve (DRR) as per See, 71(4) of Companies Act, 2013. A company is required to create DRR of an amount equal to at least 10% of the nominal (face) value of the debentures issued. In this ease, face value of outstanding 9% Debentures = 20,000 × ₹100 = ₹20,00,000.

| Date | Time limit for creating DRR | Minimum DRR required | Number of debentures redeemed | Transfer of DRR to General Reserve |
|---|---|---|---|---|
| On 31.3.21 | Before 31.3.21 | 20,000 × ₹100 × 10% = ₹2,00,000 | 4,000 debentures [Given] | ₹40,000 (2,00,000 × 4,000 – 20,000) |
| On 31.3.22 | Before 31.3.22 | (20,000 – 4,000) × ₹100 × 10% = ₹1,60,000 | 6,000 debentures [Given] | ₹60,000 (2,00,000 × 6,000/20,000) |
| On 31.3.23 | Before 31.3. 21 | (16,000 – 6,000) × ₹100 × 10% = ₹ 1,00,000 | 10,000 debentures [20,000 – 4,000 – 6,000] | ₹1,00,000 (2,00,000 × 10,000/20,000) |

**Note:** Alternatively, entire balance of Debenture Redemption Reserve A/c (₹2,00,000) may be transferred to General Reserve after all the debentures have been redeemed i.c.. after 31.3.2023.

**Note:** For each debenture redemption, the entries to be passed arc:

a. Creation of DRR
b. Creation of DRI
c. Realization of DRI
d. Redemption due entry
e. Redemption payment entry
f. Transfer of DRR to General Rosen e

**III. Redemption of Debentures by Conversion**

Under this method debentures arc converted into new debentures or equity shares or preference shares. However, in most of the eases, they arc convertible into equity shares. Debentures may be fully convertible or partly convertible. New securities may be issued at par. at premium or at discount.

Since, DRR is required only for non-convertible debentures or non-convertible part of partly convertible debentures, under this method the provisions for DRR and DRI arc not applicable.

The accounting entries arc as follows:

| Particulars | Journal Entry | Remarks |
|---|---|---|
| Redemption due entry | Debentures A/c ________ Dr.<br>Prem, on redemption of Debentures A/c _________ Dr.<br>To Debenture-holders A/c | Face value<br>Premium payable, if any<br>Total amount due |
| On issue of new securities 'at Par' | Debenture-holders A/c __________ Dr.<br>To Eq. Shares/Pref. Shares/Debentures A/c | Total amount redeemed<br>FV of new securities issued |

| | | |
|---|---|---|
| On issue of new securities 'at a premium' | Debenture-holders A/c ______ Dr.<br>To Eq. Shares/Pref. Shares/Debentures A/c<br>To Securities Premium A/c | Total amount redeemed<br>FV of new securities issued<br>Premium on issue |
| On issue of new debentures 'at a discount' | Debenture-holders A/c _______ Dr.<br>Discount on issue of Debentures A/c ___________ Dr.<br>To (New) Debentures A/c | Total amount redeemed<br>Discount on issue<br>FV of new securities issued |

**Example 06:** B Ltd. issued notice of its intention to redeem its outstanding ₹12,00,000, 8% Debentures at 102% and offered the holders the following options to apply for the redemption moneys:

(i) 6% Cumulative Preference shares of ₹20 each at ₹22.50 per share; and

(ii) 10% Debentures of ₹100 each at ₹96.

The holders of ₹4,80,000 debentures accepted proposal (i), and ₹720,000 debenture-holders accepted proposal (ii). Pass necessary journal entries to record the above-mentioned transactions.

**Solution:**

**In the books of B Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| | 8% Debentures A/c ______ Dr<br>Premium on Redemption of Debentures A/c _______ Dr<br>To 8% Debenture-holders A/c [12,00,000 × 102%]<br>(Being amount due to 8% Debenture-holders on redemption at 2% premium) | 12,00,000<br>24,000 | <br><br>12,24,000 |
| | 8% Debenture-holders A/c _______ Dr.<br>To 6% Cumulative Preference Share Capital A/c [21,760 × 20]<br>To Securities Premium A/c [21,760 × 2.50]<br>(Being holders of ₹4,80,000, 8% Debentures discharged by issue of 21,760, 6% Cumulative Preference Shares of ₹20 each, at ₹22.50 per share) | 4,89,600 | <br>4,35,200<br>54,400 |
| | 8% Debenture-holders A/c _______ Dr.<br>Discount on issue of Debentures A/c [7,650 × 4] _______ Dr.<br>To 10% Debentures [7,650 × 100]<br>(Being holders of ₹7,20,000, 8% Debentures discharged by issue of 7,650, 10% Debentures of ₹100 each, at ₹96 per debenture)<br>10% Debentures of ₹100 each, at ₹96 per debenture) | 7,34,400<br>30,600 | <br><br>7,65,000 |

**Working Notes:**

1. Conversion of ₹4,80,000, 8% Debentures into 6% Cumulative Preference shares

   Face value of 8% Debentures opting for Proposal (i) = ₹4,80,000 (Given)

   Amount due on redemption – ₹4,80,000 × 102% = ₹4,89,600.

   Value of each 6% Cumulative Preference share issued on conversion = ₹22.50 (Given)

   No. of 6% Cumulative Preference shares issued on conversion = 4,89.600/22.5 = 21,760 shares.

2. Conversion of ₹7,20,000, 8% Debentures into 10% Debentures

   Face value of 9% Debentures opting for Proposal (ii) = ₹7,20,000 (Given)

   Amount due on redemption = 7,20,000 × 102% = ₹7,34,400.

   Value of each 6% Cumulative Preference share issued on conversion = ₹96 (Given)

   No. of 6% Cumulative Preference shares issued on conversion = 734.400/96 = 7,650 debentures.

   **Note:** In the absence of specific information, accounting regarding writing off amount of Premium on Redemption of Debentures A/c has been ignored.

## IV. Redemption of Debentures by Purchase in the Open Market

A company may redeem the debentures by buying them form the open market (i.c.. from the existing debenture holders). The debentures so purchased may be immediately cancelled or may be held as investment and cancelled later. In the former, the debentures arc immediately redeemed while in ease of the latter they arc redeemed after some time. Till the redemption, the debentures arc considered as Investment.

If debentures arc redeemed under this method. Debenture Redemption Investment (DRI). proportionate to the number of debentures purchased should be encashed. On cancellation of own debentures, minimum DRR associated with number of debentures cancelled should be transferred to General Reserve.

**Note: Ex-interest and Cum-interest purchase price**

If price quotation in the open market is available in form of ex-interest or cum-interest and debentures arc purchased by the company on dates othcr than the interest date, consideration paid on purchase shall be segregated into price and interest and shall be recorded accordingly.

The accounting entries will be as follows.

**(a) When own debentures are purchased and immediately cancelled**

**(i) Own debentures purchased and cancelled**

Debentures A/c _______________ Dr.

Loss on Cancellation of Debentures A/c...Dr. (if there is a loss)

To Bank A/c

To Profit on Cancellation of Debentures A/c (if there is a profit)

**(ii) Transfer of profit or loss on cancellation**

Profit on Cancellation of Debentures A/c _______________ Dr.

To Capital Reserve A/c

Or

Profit and Loss A/c _______________ Dr.

To Loss on Cancellation of Debentures A/c

**Note:** Profit or loss on cancellation is the difference between the face value of debentures cancelled and the purchase price of the debentures.

**(b) When own debentures are purchased and held as investment**

**(i) Purchase of own debentures**

Investment in Own Debentures A/c _______________ Dr.

To Bank A/c

**(ii) Interest payment on debentures including own debentures**

Debenture Interest A/c _______________ Dr.

To Bank A/c

To Interest on Own Debentures A/c

**(iii) Resale of own debentures held as investment**

Bank A/c _______________ Dr.

Loss on Sale of Own Debentures A/c _______________ Dr.

To Investment in Own Debentures A/c

To Profit on Sale of Own Debentures A/c

**(iv) Cancellation of own debentures**

Debentures A/c ______________ Dr.

Loss on Cancellation of Debentures A/c ______________ Dr.

To Investment in Own Debentures A/c

To Profit on Cancellation of Own Debentures A/c

**(v) Transfer of profit or loss on cancellation**

Profit on Cancellation of Debentures A/c ______________ Dr.

To Capital Reserve A/c

Or

Profit and Loss A/c ______________ Dr.

To Loss on Cancellation of Debentures A/c

**Note:** When the company maintains a sinking fund for redemption of debentures

A company which maintains a sinking fund and investment the proceeds to a Sinking Fund Investment may consider its own debentures as an investment avenue. The own debentures purchased may again be either retained as investment or cancelled immediately.

**Example 06: (Purchase of own debentures and immediate cancellation)**

A company purchased its own 12% Debentures in the open market for ₹25,00,000 (cum-interest). The interest amount included in the purchase price is ₹75,000. The face value of the debentures purchased is ₹26,00,000. The company immediately cancelled the debentures so purchased. Pass journal entries to record the purchase and immediate cancellation (ignoring transactions relating to Debenture Redemption Reserve and Debenture Redemption Investment).

**Solution:**

**In the books of_______**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| | Debenture Interest A/c ____ Dr. | 75,000 | |
| | To Bank A/c | | 75,000 |
| | (Being debenture interest paid) | | |
| | 12 % Debentures A/c ____ Dr. | 26,00,000 | |
| | To Bank A/c (25,00,000 – 75,000) | | 24,25,000 |
| | To Profit on Cancellation of Debentures A/c [Bal. Fig.] | | 1,75,000 |
| | (Being ₹26,00,000 own 12% Debentures purchased (@ ₹24,25,000 for immediate cancellation and profit on cancellation recognized) | | |
| | Profit on Cancellation of Debentures A/c ____ Dr. | 1,75,000 | |
| | To Capital Reserve A/c | | 1,75.000 |
| | (Being profit on cancellation of debentures transferred to Capital Reserve) | | |

**Example 07: (Purchase of own debentures and cancellation on a later date)**

Draft journal entries in respect of the following since March 1, 2023:

In 2014 XY Ltd had issued 5,000, 7.5% Debentures of ₹100 each. On 1st March. 2020. The company purchased 500 of its own 7.5% Debentures at ₹47,500 cum-intcrcst.

The debentures were held as investment until 30th June. 2023 when it was decided to cancel them. Interest is payable half yearly on 30th June and 31st December and the books arc closed on 30th June each year. Assume absence of sinking fund.

**Solution:**

**In the books of XY Ltd.**

**Journal**

| Date | Particulars | | Dr. ₹ | Cr. ₹ |
|---|---|---|---|---|
| | Investment in Own Debentures A/c (Note 1) | Dr. | 46,875 | |
| | Debenture Interest A/c | Dr. | 625 | |
| | To Bank A/c | | | 47,500 |
| | (Being the purchase of 500 debentures for ₹47,500 cum-interest which will be held as investment) | | | |
| | Debenture Interest A/c (Note 2) | Dr. | 16,875 | |
| | To Bank A/c | | | 16,875 |
| | (Being interest paid to outside debenture-holders for 4,500 debentures for 6 months) | | | |
| | Debenture Interest A/c | Dr. | 1,250 | |
| | To Interest on Own Debentures A/c | | | 1,250 |
| | (Being adjustment for interest on 500 own debentures for 4 months) | | | |
| | 7.5% Debentures A/c | Dr. | 50,000 | |
| | To Investment in Own Debentures A/c | | | 46,875 |
| | To Profit on Cancellation of Debentures A/c | | | 3,125 |
| | (Being cancellation of 500 own debentures) | | | |
| | Profit on Cancellation of Debentures A/c | Dr. | 3,125 | |
| | To Capital Reserve A/c | | | 3,125 |
| | (Being profit on cancellation of debentures transferred to capital reserve) | | | |
| | Profit and Loss A/c | Dr. | 18,750 | |
| | To Debenture Interest A/c | | | 18,750 |
| | (Being debenture's interest transferred to Statement of Profit and Loss) | | | |
| | Interest on Own Debentures A/c | Dr. | 1,250 | |
| | To Profit and Loss A/c | | | 1,250 |
| | (Being interest on own debentures transferred to Statement of Profit and Loss) | | | |
| | Profit and Loss A/c | Dr. | 50,000 | |
| | To General Reserve A/c | | | 50,000 |
| | (Being the amount equal to the face value of debentures transferred to general reserve) | | | |

**Working Notes:**

(1) Total amount paid ₹47,500; Less Interest for 2 months ₹625, Therefore, amount to be debited to Own Debentures Account = ₹46,875.

(2) Interest payable to outside Debenture-holders = ₹4,50,000 × 7.5/100 × ½ = ₹16,875.

**Example 08:** The following balances appeared in the books of a company (unlisted company other than AIFI, Banking company, NBFC and HFC) as on December 31, 2022: 6% Mortgage 10,000 debentures of Rs. 10 each; Debenture Redemption Reserve (for redemption of debentures) Rs. 5,000; Investments in deposits with a scheduled bank, free from any charge or lien Rs. 15,000 at interest 4% p.a. receivable on 31st December every year. Bank balance with the company is Rs. 90,000.

The Interest on debentures had been paid up to December 31, 2022.

On February 28, 2023, the investments were realised at par and the debentures were paid off at 10.1, together with accrued interest.

Write up the concerned ledger accounts (excluding bank transactions).

**Solution:**

**6% Mortgage Debentures A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Feb. 28, 2023 | To Debenture-holders A/c | | 1,00,000 | Jan. 1, 2023 | By Balance b/d | | 1,00,000 |

**Debentures Redemption Reserve Investment A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Jan. 1, 2023 | To Balance b/d | | 15,000 | Feb. 28, 2023 | By Bank | | 15,000 |

**Debenture Interest A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Feb. 28, 2023 | To Bank (10,000 × 10 × 6% × 2/12) | | 1,000 | Feb. 28, 2023 | By Profit & Loss A/c | | 1,000 |

**Bank A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Jan 01, 2023 | To Balance b/d | | 90,000 | Feb. 28, 2023 | By Debenture- holders (10,000 × 101) | | 1,01,000 |
| Feb. 28, 2023 | To Interest on Debentures Redemption Investments (15,000 × 4% × 2/12) | | 1,00 | | By Debenture Interest A/c | | 1,000 |
| | To Debentures Redemption Reserve investment A/c | | 15,000 | | By Balance c/d | | 3,100 |
| | | | 1,05,100 | | | | 1,05,100 |

**Debenture Redemption Reserve A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Feb. 28, 2023 | To General Reserve-(note) | | 10,000 | Jan.1, 2023 | By Balance b/d | | 5,000 |
| | | | | Jan.1, 2023 | By Profit & Loss (b/f) | | 5,000 |
| | | | 10,000 | | | | 10,000 |

**Note:** Amount to be transferred to DRR before the redemption - Rs. 10,000 [l.e. 10% of (10,000 X 10)].

**Example 09:** The following bolonces oppeared in the books of Apple Ltd (unlisted company other than AIFI, Banking company. NBFC and HFC) as on 1-4-2022

(I) 12 % Debentures Rs. 75,000

(II) Balance of DRR Rs. 25,000

(III) DRR Investment Rs. 11,250 represented by 10% 1,125 Secured Bonds of the Government of India of Rs. 10 each.

Annuol contribution to the DRR was made on 31st March every year. On 31-3-2023. balance at bank was Rs. 75,000 before receipt of interest. The investment were realised at par for redemption of debentures at a premium of 10% on the above date.

You are required to prepare the following accounts for the year ended 31st March. 2023:

(1) Debentures Account

(2) DRR Account

(3) DRR Investment Account

(4) Bank Account

(5) Debenture Holders Account

**Solution:**

**12% Debentures A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Mar 31, 2023 | To Debenture-holders A/c | | 75,000 | April 1, 2022 | By Balance b/d | | 75,000 |

**10% Secured Bonds of Govt. (DRR Investment) A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Apr. 1, 2022 | To Balance b/d | | 11,250 | Mar. 31, 2023 | By Bank | | 11,250 |

**Bank A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Apr 01, 2022 | To Balance b/d | | 75,000 | Mar 31, 2023 | By Debenture-holders | | 82,500 |
| Mar 31, 2023 | To Interest on Debentures Redemption Investments (11250 × 10%) | | 11,25 | | By Debenture Interest A/c | | |
| | To Debentures Redemption Reserve investment A/c | | 11,250 | | By Balance c/d | | 48,75 |
| | | | 87,375 | | | | 87,375 |

**Debenture Redemption Reserve A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Mar 31, 2023 | To General Reserve-(note) | | 75,00 | Apr. 1, 2022 | By Balance b/d | | 2,500 |
| | | | | Apr. 1, 2022 | By Profit & Loss (b/f) | | 5,000 |
| | | | 7500 | | | | 7,500 |

**Note:** Calculation of DRR before redemption = 10% of Rs. 75,000 = 7500

Available balance = 2500

DRR required = 7500 – 2500 = 5000.

**Debenture Holder A/c**

| Date | Particulars | J.F. | Amount | Date | Particulars | J.F. | Amount |
|---|---|---|---|---|---|---|---|
| Mar 31, 2023 | To Bank A/c | | 82,500 | Apr. 1, 2022 | By 12% Debenture | | 75,000 |
| | | | | Apr. 1. 2022 | By Premium on redemption of debentures (75000 × 10%) | | 75,00 |
| | | | 82,500 | | | | 82,500 |

**Example 10:**

**(Purchase of debentures for immediate cancellation)**

XYZ Ltd. has 5000,10% debentures of Rs.100 each. The interest on these debentures is paid half yearly on June 30, and December 31 every year. The company is not maintaining any sinking fund On 01-04-2022. The company purchased 500 debentures at Rs. 95 each cum - interest for immediate cancellation On 01-10-2022. The company purchased 600 debentures at Rs. 90 each ex-interest for immediate cancellation. Journalize.

**Solution:**

**XYZ Ltd.**

**Journal Entries**

| Date | Particulars | | Debit (Rs.) | Credit (Rs.) |
|---|---|---|---|---|
| 2022 April 1 | 10% Debentures A/c | Dr. | 50,000 | |
| | Debenture Interest A/c | Dr. | 1,250 | |
| | To Bank A/c | | | 47,500 |
| | To Profit on cancellation of debentures A/c | | | 3,750 |
| | (Purchase of debentures-cum-interest for immediate cancellation) | | | |
| June 30 | Debenture Interest A/c | Dr. | 22,500 | |
| | To Bank A/c | | | 22,500 |
| | (Payment of interest on Rs 4,50,000 debentures for six months) | | | |
| October 1 | 10% Debentures A/c | Dr. | 60,000 | |
| | Debenture Interest A/c | Dr. | 1,500 | |
| | To Bank A/c | | | 55,500 |
| | To Profit on cancellation of debentures A/c | | | 6,000 |
| | (Purchase of debentures ex-interest for immediate cancellation) | | | |
| December 31 | Debenture Interest A/c | Dr. | 19,500 | |
| | To Bank A/c | | | 19,500 |
| | (Payment of interest on Rs 3,90,000 debentures for six months) | | | |
| December 31 | Profit & Loss A/c | Dr. | 44,750 | |
| | To Debenture interest A/c | | | 44,750 |
| | (Transfer of debenture interest to P&L A/c) | | | |

| | | | |
|---|---|---|---|
| December 31 | Profit on cancellation of Debentures A/c Dr.<br>To Capital Reserve A/c<br>(Profit on cancellation transferred to Capital Reserve) | 9,750 | 9,750 |
| December 31 | Surplus A/c Dr.<br>To Debenture Redemption Reserve A/c<br>(Transfer to DRR) | 1,10,000 | 1,10,000 |

**Example 11:**

(i) The following balances appeared in the books of a Company as on 1st April, 2022:

Sinking Fund for Redemption of Debentures ₹5,50,000;

Sinking Fund Investments ₹3,44,325;

7% Debentures ₹10,00,000.

In order to redeem these debentures, the company sold the Sinking Fund Investments and realized 3,45,000.

You are required to pass journal entry for the accounting treatment of profit/loss on sale of Sinking Fund Investment.

(ii) Out of ₹10,00,000 6% Debentures outstanding on 1st April, 2022, ₹5,00,000. Debentures were redeemed on 31st October, 2022. The balance of Debenture Sinking Fund Account on 1st April, 2022 was ₹10,00,000. Interest on debenture is paid on 31st March, 2022.

How will you deal with the balance of Debenture Sinking Fund Account at the time of its redemption? You are required to pass necessary journal entry in this regard.

What will be the amount of interest paid on these debentures at the time of redemption ?

**Solution:**

(i) Sale Price of Investments Rs. 3,45,000

Less: Book Value of Investments Sold Rs. 3,44,325

Profit on Sale of Investments Rs. 675

Journal Entry:

Debenture Sinking Fund Investments A/c Dr. 675

To Debenture Sinking Fund A/c / P&L 675

(Profit on Sale of Investments transferred to Sinking Fund Account)

(ii) On 31st October, 2022, redemption of Debenture of Rs. 5,00,000. The following entry are passed.

Debenture Sinking Fund A/c Dr. 5,00,000

To General Reserve A/c 5,00,000

(Amount transferred on redemption of debenture)

The interest on debentures is paid each year on 31st March, the interest paid on redeemed debentures from 1st April, 2022 to 31st October, 2022 i.e. for 7 months @ 6% per annum is calculated as under:

Amount of Interest = 5,00,000 × 7 × 6%/12 = Rs. 17,500

**Example 12:** An unlisted company -other than AIFI, Bank, NBFC and HFC has debentures on its balance sheet as on 31st March, 2022. Balances are as follows:

| Particulars | Amount (₹) |
|---|---|
| 10% mortgage debentures of ₹10 each Number 25,00,000 | 2,50,00,000 |
| Debenture Redemption Reserve (DRR) | 1,25,00,000 |
| Unencumbered Investments in Fixed deposits of Scheduled Commercial Banks (Interest @ 7%) | 37,50,000 |
| Bank Balance | 3,25,00,000 |

The interest on debentures is paid until 31st March, 2022.

The debentures were repaid on 30th June, 2022 at 10% premium. The investments were realized at par.

Prepare the following ledgers :

- Debenture Account, Debenture Interest Account and Debentures Redemption Reserve Investment Account.
- Debenture Redemption Reserve Account.
- Extract of bank account relating to above transactions.

**Solution:**

**10% Mortgage Debentures A/c**

| Date | Particulars | Amount (₹) | Date | Particulars | Amount (₹) |
|---|---|---|---|---|---|
| 30th June 2022 | Tc Debenture Holders A/c | 2,50,00,000 | 1st April 2022 | By balance b/d | 2,50,00,000 |

**Debentures Redemption Reserve**

| Date | Particulars | Amount (₹) | Date | Particulars | Amount (₹) |
|---|---|---|---|---|---|
| 1st April 2022 | To balance b/d | 37,50,000 | 30th June 2022 | By Bank | 37,50,000 |
| Debenture Interest Account | | | | | |

**(DRR) Investment A/c**

| Date | Particulars | Amount (₹) | Date | Particulars | Amount (₹) |
|---|---|---|---|---|---|
| 30th June 2022 | To Debenture holder A/c (2,50,00,000 x 10% x 3/12) | 6,25,000 | 30th June 2022 | By Profit and Loss A/c | 6,25,000 |

**Debentures Redemption Reserve (DRR) A/c**

| Date | Particulars | Amount (₹) | Date | Particulars | Amount (₹) |
|---|---|---|---|---|---|
| 30th June 2022 | To General Reserve | 2,50,00,000 | 1st April 2022 | By Balance b/d | 1,25,00,000 |
| | | | 1st April 2022 | By Profit and Loss A/c | 1,25,00,000 |

**Bank A/c**

| Date | Particulars | Amount (₹) | Date | Particulars | Amount (₹) |
|---|---|---|---|---|---|
| 1st April 2022 | To Balance b/d | 3,25,00,000 | 30th June 2022 | By Debenture Holders A/c | 2,81,25,000 |
| 30th June 2022 | To Interest on DRR Investment A/c 37,50,000 × 7% × 3/12) | 65,525 | | | |
| 30th June 2022 | To DRR Investment A/c | 37,50,000 | 30th June 2022 | By Balance c/f | 81,90,625 |
| | | 3,63,15,625 | | | 3,63,15,625 |

**Example 13:** Micro Swift Ltd. issued 20,000 8% debentures of ₹100 each as per follows :

(1) Series A of ₹5,00,000 (Nominal) for cash at a premium of 20%

(2) Series B of ₹5,00,000 (Nominal) for cash at 90%

(3) Series C of ₹5,00,000 (Nominal) to Bharat Bank against a loan of ₹4,00,000 as collateral security.

(4) Series D of ₹5,00,000 to creditor for ₹4,50,000 on account of capital expenditure in satisfaction of his claim

Pass Journal Entries. (Ignore writing off discount on issue of debentures)

**Journal Entries**

| Series | Particulars | | Amount ₹ (Dr.) | Amount₹ (Cr.) |
|---|---|---|---|---|
| A | Bank A/c | Dr. | 6,00,000 | |
| | To Debenture Application and Allotment A/c | | | 6,00,000 |
| | (Application money received on 5000 8% debenture at a premium of 20%) | | | |
| | Debenture Application and Allotment A/c | Dr. | 6,00,000 | |
| | To 8% Debentures A/c | | | 5,00,000 |
| | To Securities Premium Account | | | 1,00,000 |
| | (Transfer of application money) | | | |
| B | Bank A/c | Dr. | 4,50,000 | |
| | To Debenture Application and Allotment A/c | | | 4,50,000 |
| | (Application money received on 5000 debentures at a discount of 10%) | | | |
| | Debenture Application ana Allotment A/c | Dr. | 4,50,000 | |
| | Discount on issue of Debentures A/c | Dr. | 50,000 | |
| | To 8% Debentures A/c | | | 5,00,000 |
| | (Transfer of application money) | | | |
| C | Bank A/c | Dr. | 4,00,000 | |
| | To Bharat Bank Loan A/c | | | 4,00,000 |
| | (Bank Loan secured by issue of debentures) | | | |
| | Debenture Suspense A/c | Dr. | 5,00,000 | |
| | To 8% Debentures A/c | | | 5,00,000 |
| | (Issue of debentures as collateral security) | | | |
| D | Fixed Assets A/c | Dr. | 4,50,000 | |
| | To Vendor A/c | | | 4,50,000 |
| | (Capital expenditure made for the purpose of fixed assets] | | | |
| | Vendor A/c | Dr. | 4,50,000 | |
| | Discount on issue of Debentures A/c | Dr. | 50,000 | |
| | To 8% Debentures A/c | | | 5,00,000 |
| | (Issue of debentures to fixed assets vendor) | | | |

**Example 14:** Rama Ltd. issued 5,000, 8% debentures of 1,000/- each at a discount of 5% on April 1, 2020. The debentures are repayable by equal annual drawings in four years.

You are required to show the amount of discount to be written off every year.

**Solution:**

**Repayment Schedule**

| Date | Debentures Issued | Face Value | Outstanding Value at beginning of year | Repayment at end of year |
|---|---|---|---|---|
| 01 April 2020 | 5000 | ₹ 1000/- | ₹50,00,000 | ₹12,50,000 |
| 01 April 2021 | | | ₹37,50,000 | ₹12,50,000 |
| 01 April 2022 | | | ₹25,00,000 | ₹12,50,000 |
| 01 April 2023 | | | ₹12,50,000 | ₹12,50,000 |

The total discount on issue of debentures will be written off in proportion to the debentures outstanding at the beginning of each year.

| Discount on issue | ₹ 50,00,000 | 5% | ₹ 2,50,000 |
|---|---|---|---|
| | Outstanding value at beginning of year | | Discount to be written off at end of the year |
| 01 April 2020 | ₹50,00,000 | 0.40 | ₹1,00,000 |
| 01 April 2021 | ₹37,50,000 | 0.30 | ₹75,000 |
| 01 April 2022 | ₹25,00,000 | 0.20 | ₹50,000 |
| 01 April 2023 | ₹12,50,000 | 0.10 | ₹25,000 |

## TEST YOURSELF

1. The following balances appeared in the books of P Ltd. As on 31.03.2022:

   13% Debentures Account ₹14,00,000

   Debenture Redemption Fund Account ₹10,00,000

   13% Debenture Redemption Fund Investment Account (Nominal = Cost) ₹10,00,000

   The annual contribution to the Debenture Redemption Fund was ₹1,40,000. the company sold its investments for ₹14,00,000 and redeemed the debentures on 31.03.2023.

   **Prepare 13% Debentures Account, Debenture Redemption Fund Account and Debenture Redemption Fund Investment Account up to 31.03.2023.**

   **(Answer: Transfer to General Reserve ₹16,70,000; Profit on sale on DRFI ₹4,00,000]**

2. Country Crafts Ltd. issued 1,00,000, 8% debentures of ₹100 each at premium of 5% payable fully on application and redeemable at premium of ₹ 10 Pass necessary journal entries at the time of issue.

3. Koinal Chemicals Ltd. issued 20,00,000, 10% debentures of ₹50 each at premium of 10%. payable as ₹20 on application and balance on allotment. Debentures are redeemable at par after 6 years. All the money due on allotment was called up and received. Record necessary entries when premium money is included in allotment money.

4. Kapil Ltd. issued 50,000, 12% Debentures of ₹100 each at a premium of 10% payable in full on application by 1st March. 2022. The issue was fully subscribed and debentures were allotted on 9th March, 2022.

   **Pass necessary Journal Entries (including cash transactions).**

5. On 1st April 2022 Sheru Ltd. issued 1,00,000 12% debentures of ₹100 each at a discount of 5%, redeemable on 31st March. 2027. Issue was oversubscribed by 20,000 debentures, who were refunded their money. Interest is paid annually on 31" March. You are required to prepare:

   (a) Journal Entries at the time of issue of debentures.

   (b) Discount on issue of Debenture Account

   (c) Interest account and Debenture holder Account assuming TDS is deducted @ 10%.

6. A Limited issued 14% Debentures of the nominal value of ₹10 each as follows:

   (a) To sundry persons 1,00,000 Debentures for cash at 10% discount.

   (b) To a vendor for purchase of inventory worth f ₹ 1,00,000, 8.000 debentures at 25% premium.

   (c) To the banker as collateral security for a loan of ₹ 1,00,000 – ₹ 7,50,000 nominal value.

   **Pass necessary Journal Entries.**

7. Divya Ltd. purchased machinery worth ₹ 1,20,000 and building worth ₹ 2,00,000 from Tara Ltd. for consideration other than cash at an agreed purchase consideration of ₹ 3,00,000 to be satisfied by the issue of 3,000, 12% debentures of ₹ 100 each.

   **Show the necessary journal entries in the books of Divya Ltd.**

8. Shiv Shakti Ltd. issued 20.000, 13%, Convertible Debentures of ₹ 100 each on 1st April, 2024. The debentures arc due for redemption on 1st July, 2024. The terms of issue of debentures provided that they were redeemable at a premium of 5% and also conferred an option to the dcbcnturcholdcrs to convert 20% of their holding into equity shares having a nominal value of ₹ 10 per share at a price of ₹ 15 per share. Debentureholders holding 2,500 debentures did not exercise the option.

   **Calculate the number of equity shares to be allotted to the Dcbcnturcholdcrs exercising the option to the maximum.**

CHAPTER 6

# RELATED ASPECTS OF COMPANY ACCOUNTS

## A. EMPLOYEE STOCK OPTION PLAN (ESOP)

Now-a-days established companies, in order to retain quality human resources in the organisation, offer innovative compensation strategics to their employees including directors. One of such categories of innovative strategics involve paying compensation the value which is based on the value of the company's stock (i.e., bundle of shares). This category of compensation scheme is popularly known as Stock Based Employee Benefit Schcmc/Plan. The most common form of Stock Based Employee Benefit Schcmc/Plans arc (a) **Employee Stock Option Plan/ Scheme** (ESOP/ESOS) and (b) **Employee Stock Purchase Plan/Scheme** (ESPP/ESPS).

### MEANING EMPLOYEE STOCK OPTION PLAN/SCHEME (ESOP/ESOS)

As per section 2(37) of the Companies Act, 2013, **"employees' stock option"** means the option given to the Directors, officers or employees of a company or of its holding company or subsidiary company or companies, if any, which gives such Directors, officers or employees, the benefit or right to purchase, or to subscribe for, the shares of the company at a future date at a pre-determined price.

The **general features** of ESOP are as follows:

- It is an innovative tool for employee compensation.
- It is an employee stock-based benefit schcme/plan.
- It provides the employees a right to acquire company's stock at a predetermined price.
- It is exercised on a future date.
- It ensures employee participation in profits.

#### 1. Important Terminologies

(a) **Option:** A right (but not the obligation) which is granted to an employee pursuant to an ESOP to buy company's shares on the future date at a predetermined price.

(b) **Grant:** It refers to the issuance of option to the employee under an ESOP.

(c) **Vesting:** It refers to the requirement to be satisfied by the employee to apply the right to exercise the option. Conditions may include certain period of service, meeting any performance standard etc.

(d) **Vesting Period:** It is the period during which the vesting has been granted to the employee under the ESOP.

(e) **Exercise:** It is the act of subscribing the shares under ESOP.

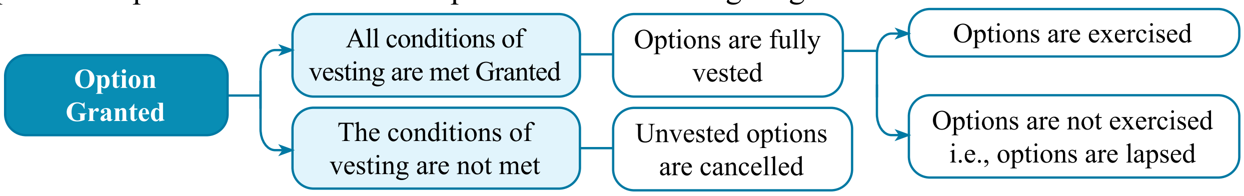
(f) **Exercise Period:** The time period within which the option shall be exercised.

(g) **Exercise Price:** It is the price payable to subscribe the shares under ESOP.

(h) **Intrinsic Value:** It is the excess of market price over the exercise price of shares.

## 2. ESOP Process Flow

The sequential steps under an ESOP arc depicted in the following diagram.




As explained in the above diagram, a company initially grants the eligible employees the option to buy a stated number of shares/stocks for a pre-determined price at a future date. After granting the options are vested over a period of time or once the specific performance goal is achieved. If all the conditions are satisfied, the options are fully vested and the employee becomes eligible to exercise the option. Otherwise, the unvested options are cancelled at once. The employees get a maximum period for exercising the option. This is known as the exercise period. If the employee exercise ethe option, he or she get the share/stock at the predetermined price even if the actual market is much higher on such date of exercise. If the employee does not exercise the option, it is lapsed.

## 3. Provisions Regarding Employee Stock Option Plan

The statutory provisions relating to ESOP are governed by Section 62(1)(b) of the Companies Act, 2013 and Rule 12 of the Companies (Share Capital and Debentures) Rules, 2014.

According to Section 62(1)(b) of the Companies Act, 2013, any company having a share capital may proposes to increase its subscribed capital by the issue of further shares to employees under a scheme of employees' stock option, subject to special resolution passed by company and subject to such conditions as may be prescribed. In addition, Rule 12 of the Companies (Share Capital and Debentures) Rules, 2014 provides the terms and conditions subject to which an unlisted company can issue shares to its employees under ESOP. Additionally, SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 provides terms and conditions for a number of share-based employee benefit schemes including ESOP and ESPP and also for issue of sweat equity shares by listed companies.

## 4. Accounting for ESOP

The accounting for ESOP (and also for ESPP discussed later in this Module) is guided by the Guidance Note on Accounting for Employee Share-based Payments issued by The Institute of Chartered Accountants of India.

The accounting entries at various stages of implementing the ESOP are as follows:

| Stage | Accounting Entries |
|---|---|
| **(a) Granting of Stock Option**<br>At the end of every year the company will estimate the number of options to be granted to the employees. | At this stage no accounting entry is required. |
| **(b) Recognition of ESOP Expense**<br>This further involves the following steps:<br>(i) Determination of Intrinsic Value<br>Intrinsic Value = Market price per share – Exercise price per share<br>(ii) Determination of Gross Value of employee compensation expenses<br>**GV No. of options expected to vest × Intrinsic Value** $\times \dfrac{\textbf{Expired Period}}{\textbf{Total Vesting Period}}$<br>(iii) Determine expenses to be recognized Expenses to be recognized = GV Cumulative expenses recognized up to earlier accounting period | ✦ On recognition of Stock Option Expenses Employee Stock Option Expenses A/c ______________ Dr.<br>To Employee Stock Option Outstanding A/c<br>✦ On transfer at the end of the period Profit and Loss A/c ________________ Dr.<br>To Employee Stock Option Expenses A/c |

| | |
|---|---|
| **(c) Cancellation of options during the vesting period** | ✦ If cumulative expenses recognized up to earlier accounting period < GV<br>No Journal Entry is required<br>✦ If cumulative expenses recognized up to earlier accounting period > GV<br>Employee Stock Option Outstanding A/c ___ Dr.<br>To Employee Stock Option Expenses A/c ________<br>Employee Stock Option Expenses A/c ___ Dr.<br>To Profit and Loss A/c |
| **(d) Exercising of Stock Options** | Bank A/c ___________________ Dr.<br>To Employee Stock Option Outstanding A/c __________<br>Employee Stock Option Outstanding A/c _________ Dr.<br>To Equity Share Capital A/c<br>To Securities Premium A/c |
| **(e) Lapse of unexercised option** | Employee Stock Option Outstanding A/c ...Dr.<br>To General Reserve A/c |

**Note:**

(1) The amount of Employees Stock Option Expenses will be reflected under the sub-head Employee Benefit Expenses in the Statement of Profit and Loss.

(2) Balance of Employee Stock Option Outstanding A/c should be shown under Reserve and Surplus in the Balance Sheet.

(3) Upon exercise of the stock options, the shares issued under ESOP should be included in the Share Capital in the Balance Sheet and securities premium thereon should be included in Securities Premium.

(4) The Notes to Accounts must provide the details of ESOP.

Consider the following Illustrations.

**Example 01:** ABC Ltd., a listed company, granted 2,000 options on 01.04.2020 at an exercise price of ₹50 per share. The market price at that time was of ₹100 per option (face value of each share being ₹10). The maximum exercise period and the vesting period are 1 year and 2 years respectively. On 01.04.2021, 600 unvested options were lapsed while 1,200 options were exercised on 30.06.2022. The remaining options were lapsed at the end of the exercise period. Show the journal entries to record the above transactions.

**Solution:**

**In the books of ABC Ltd.**

**Journal**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| 31.03.2021 | Employees Stock Option Expenses A/c ___________ Dr. | 1,00,000 | |
| | To Employees Stock Option Outstanding A/c | | 1,00,000 |
| | (Being expenses on 2,000 stock options recognized) | | |

| | | | |
|---|---|---|---|
| 31.03.2021 | Profit and Loss A/c ____________________________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P/LA/c) | 1,00,000 | <br>1,00,000 |
| 31.03.2022 | Employees Stock Option Expenses A/c ____________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being expenses on 1400 stock options recognized) | 40,000 | <br>40,000 |
| 31.03.2022 | Profit and Loss A/c ____________________________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P/LA/c) | 40,000 | <br>40,000 |
| 30.06.2022 | Bank A/c [1200 x 50] __________________________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being amount received on 1200 stock options at ₹50 each) | 60,000 | <br>60,000 |
| 30.06.2022 | Employees Stock Option Outstanding A/c [1200 x 150] ____ Dr.<br>To Equity Share Capital A/c [1200 x 10]<br>To Securities Premium A/c [1200 x (150 – 10)]<br>(Being 1200 options having market value of ₹150, exercised at ₹50 each) | 1,80,000 | <br>12,000<br>1,68,000 |
| 31.03.2023 | Employees Stock Option Outstanding A/c [200 × 100] ______ Dr.<br>To General Reserve A/c<br>(Being 200 options lapsed at the end of exercisable period) | 20,000 | <br>20,000 |

**Working Notes:**

**Employee Compensation Expenses to be recognized:**

| Particulars | 2020-21 (₹) | 2021-22 (₹) |
|---|---|---|
| Gross Value of employee compensation expenses | 1,00,000 | 1,40,000 |
| [No. of options expected to be vest × Fair value × Expired Period/ Vesting period] | [2,000 × 100 × 1/2] | [(2,000 – 600) × 100 × 2/2] |
| Less: Expenses already recognized up to preceding accounting period | — | 1,00,000 |
| Expenses to be recognized | 1,00,000 | 40,000 |

**Example 02:** K Ltd. granted option for 16,000 equity shares on 01.10.17 at ₹80 when the market price was ₹170. The vesting period is 4½ years. 8,000 unvested options lapsed on 01.12.2022. 6,000 options are exercised on 30.09.22 and 2,000 vested options lapsed at the end of the exercise period. Pass journal entries to record the above transactions.

**Solution:**

**In the books of K Ltd.**

**Journal**

| Date | Particulars | Dr.<br>₹ | Cr.<br>₹ |
|---|---|---|---|
| 31.03.18 | Employees Stock Option Expenses A/c _______________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being expenses on 16,000 stock options recognized) | 1,60,000 | <br>1,60,000 |

| | | | |
|---|---|---|---|
| 31.03.18 | Profit and Loss A/c Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P/ L A/c) | 1,60,000 | 1,60,000 |
| 31.03.19 | Employees Stock Option Expenses A/c _______________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being expenses on 16,000 stock options recognized) | 3,20,000 | 3,20,000 |
| 31.03.19 | Profit and Loss A/c _______________________________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P/ L A/c) | 3,20,000 | 3,20,000 |
| 31.03.20 | Employees Stock Option Outstanding A/c _____________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being expenses on 8,000 stock options recognized) | 80,000 | 80,000 |
| 31.03.20 | Employees Stock Option Expenses A/c _______________ Dr.<br>To Profit and Loss A/c<br>(Being Employees Stock Options Expenses transferred to P L A/c) | 80,000 | 80,000 |
| 31.03.21 | Employees Stock Option Expenses A/c ______ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being expenses on 8,000 stock options recognized) | 1,60,000 | 1,60,000 |
| 31.03.21 | Profit and Loss A/c ______________________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P L A/c) | 1,60,000 | 1,60,000 |
| 31.03.22 | Employees Stock Option Expenses A/c ________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being expenses on 8,000 stock options recognized) | 1,60,000 | 1,60,000 |
| 31.03.22 | Profit and Loss A/c ________________________ Dr.<br>To Employees Stock Option Expenses A/c<br>(Being Employees Stock Options Expenses transferred to P L A/c) | 1,60,000 | 1,60,000 |
| 30.09.22 | Bank A/c [6000 x 80] ______________________ Dr.<br>To Employees Stock Option Outstanding A/c<br>(Being amount received on 6000 stock options at ₹80 each) | 4,80,000 | 4,80,000 |
| 30.09.22 | Employees Stock Option Outstanding A/c [6000 × 170] _____ Dr.<br>To Equity Share Capital A/c [6000 × 10]<br>To Securities Premium A/c [6000 × (170-10)]<br>(Being 6000 options having market value of ₹170, exercised at ₹80 each) | 10,20,000 | 60,000<br>9,60,000 |
| 31.03.23 | Employees Stock Option Outstanding A/c [2000 × 90] ______ Dr.<br>To General Reserve A/c<br>(Being 200 options lapsed at the end of exercisable period) | 1,80,000 | 1,80,000 |

**Working Notes:**

**Employee Compensation Expenses to be recognized:**

| Particulars | 2017-18 (₹) | 2018-19 (3) | 2019-20 (₹) | 2020-21 (₹) | 2021-22 (₹) |
|---|---|---|---|---|---|
| Gross Value of employee compensation expenses | 1,60,000 | 4,80,000 | 4,00,000 | 5,60,000 | 7,20,000 |
| [No. of options expected to be vest x Fair value × Expired Period/Vesting period] | [16,000 × 90 × 0.5/4.5] | [16,000 × 90 × 1.5/4.5] | [(16,000 – 8,000) × 90 2.5/4.5] | [(16,000 – 8,000) × 90 x 3.5/4.5] | [(16,000 – 8,000) × 90 × 4.5/4.5] |
| Less: Expenses already recognized up to preceding accounting period | – | 1,60,000 | 4,80,000 | 4,00,000 | 5,60,000 |
| Expenses to be recognized | 1,60,000 | 3,20,000 | (80,000) | 1,60,000 | 1,60,000 |

**Example 03:** A Company has its share capital divided into shares of Rs. 10 each. On 1st April, 20X1 it granted 10,000 employees' stock options at Rs. 40, when the market price was Rs. 130. The options were to be exercised between 15th March, 20X2 and 31st March, 20X2. The employees exercised their options for 9,500 shares only; the remaining options lapsed. The company closes its books on 31st March every year. Show Journal Entries.

**Solution:**

**Journal Entries**

| Date | Particulars | Dr. ₹ | Cr. ₹ |
|---|---|---|---|
| 15th March 20X2 to 31st March 20X2 | Bank A/c (9,500 × 40) Dr.<br>Employee compensation expense A/c [9,500 × (130 – 40) Dr.<br>To Equity share capital A/c (9,500 × 10)<br>To Securities premium A/c [9,500 × (130 – 10)]<br>(Being allotment to employees of 9,500 equity shares of ₹10 each at a premium of ₹120 per share in exercise of stock options by employees) | 3,80,000<br>8,55,000 | 95,000<br>11,40,000 |
| 31st March 20X2 | Profit and Loss A/c Dr.<br>To Employee compensation expense A/c<br>(Being transfer of employee compensation expense to profit and loss account) | 8,55,000 | 8,55,000 |

**Example 04:** ABC Ltd. grants 1,000 employees stock options on 1.4.20XO at Rs. 40, when the market price is Rs. 160. The vesting period is 2½ years and the maximum exercise period is one year. 300 unvested options lapse on 1.5.20X2. 600 options are exercised on 30.6.20X3. 100 vested options lapse at the end of the exercise period. Pass Journal Entries giving suitable narrations.

**Solution:**

**In the books of ABC Ltd.**

**Journal Entries**

| Date | Particulars | Dr. (₹) | Cr. (₹) |
|---|---|---|---|
| 31.3.20X1 | Employees compensation expense account Dr.<br>To Employee stock option outstanding account<br>(Being compensation expenses recognized in respect of the employee stock option i.e. 1,000 options granted to employees at a discount of ₹120 each, amortized on straight line basis over 2% years)<br>**(1,000 stock options × ₹120/2.5 years)** | 48,000 | 48,000 |

| | | | |
|---|---|---|---|
| | Profit and loss account Dr.<br>To Employees compensation expenses account<br>(Being expenses transferred to profit and loss account at year end) | 48,000 | 48,000 |
| 31.3.20X2 | Employees compensation expenses account Dr.<br>To Employee stock option outstanding account<br>(Being compensation expense recognized in respect of the employee stock option i.e. 1,000 options granted to employees at a discount of ₹120 each, amortized on straight line basis over 2½ years)<br>**(1,000 stock options × ₹120/2.5 years)** | 48,000 | 48,000 |
| | Profit and loss account Dr<br>To Employees compensation expenses account<br>(Being expenses transferred to profit and loss account at year end) | 48,000 | 48,000 |
| 31.3.20X3 | Employee stock option outstanding account (W.N.1) Dr.<br>To General Reserve account (W.N.1)<br>(Being excess of employees compensation expenses transferred to general reserve account) | 12,000 | 12,000 |
| 30.6.20X3 | Bank A/c (600 × ₹40) Dr.<br>Employee stock option outstanding account (600 × ₹120) Dr.<br>To Equity share capital account (600 × ₹10)<br>To Securities premium account (600 × ₹150)<br>(Being 600 employee stock option exercised at an exercise price of ₹40 each) | 24,000<br>72,000 | <br><br>6,000<br>90,000 |
| 01.10.20X3 | Employee stock option outstanding account (W.N.2) Dr.<br>To General reserve account (W.N.2)<br>(Being ESOS outstanding A/c on lapse of 100 options at the end of exercise of option period transferred to General Reserve A/c) | 12,000 | 12,000 |

**Working Notes:**

1. On 31.3.20X3, ABC Ltd. will examine its actual forfeitures and make necessary adjustments, if any, to reflect expenses for the number of options that actually vested. Considering that 700 stock options have completed 2.5 years vesting period, the expense to be recognized during the year is in negative i.e.

| | |
|---|---|
| No. of options actually vested (700 × 120) | ₹84,000 |
| Less: Expenses recognized ₹ (48,000 + 48,000) | (₹96,000) |
| Excess expense transferred to general reserve | ₹12,000 |

2. Similarly, on 1.10.20X3, Employee Stock Option Outstanding Account will be

| | |
|---|---|
| No. of options actually vested (600 × 120) | ₹72,000 |
| Less: Expenses recognized | (₹84,000) |
| Excess expense transferred to general reserve | ₹12,000 |

Employee Stock Options Outstanding will appear in the Balance Sheet under a separate heading between 'Share Capital' and 'Reserves and Surplus'.

**Example 05:** P Ltd. granted option for 8,000 equity shares of nominal value of Rs. 10 on 1st October, 20X0 at Rs. 80 when the market price was Rs. 170. The vesting period is 4½ years, 4,000 unvested options lapsed on 1st December, 20X2, 3,000 options were exercised on 30th September, 20X5 and 1,000 vested options lapsed at the end of the exercise period. Pass Journal Entries for above transactions.

**Solution:**

**In the books of P Ltd.**

**Journal Entries**

| Date | Particulars | (₹) | (₹) |
|---|---|---|---|
| 31.3.20X1 | Employees compensation expense account Dr.<br>To Employee stock option outstandingaccount<br>(Being compensation expenses for 6 months recognized in respect of the employee stock options i.e. 8,000 options granted to employees at a discount of ₹90 (170 – 80) each, amortized on straight line basis over 4½ years [(8,000 stock options × 90)/4.5 years] × 0.5) (W.N.1) | 80,000 | 80,000 |
| | Profit and loss account Dr.<br>To Employees compensation expenses account<br>(Being expenses transferred to profit and loss account at the year end) | 80,000 | 80,000 |
| 31.3.20X2 | Employees compensation expense account Dr.<br>To Employee stock option outstanding account<br>(Being compensation expense recognized in respect of the employee stock option i.e. 8,000 options granted to employees at a discount of ₹90 each, amortized on straight line basis over 4% years 2<br>(8,000 stock options × ₹90)/4.5 years) × 1 year) | 1,60,000 | 1,60,000 |
| | Profit and loss account Dr.<br>To Employees compensation expense account<br>(Being expenses transferred to profit and loss account at year end) | 1,60,000 | 1,60,000 |
| 31.3.20X3 | Employee stock option outstanding account (W.N.2) Dr.<br>To General Reserve account (W.N.2)<br>(Being excess of employees compensation expenses transferred to general reserve account) | 40,000 | 40,000 |
| 31.3.20X4 | Employees compensation expense account Dr.<br>To Employee stock option outstanding account<br>(Being compensation expenses recognized in respect of the employee stock option i.e. 4,000 options at a discount of ₹90 each, amortized on straight line basis over 4½ years)<br>(4,000 stock options × ₹90)/4.5 years) | 80,000 | 80,000 |
| | Profit and loss account Dr.<br>To Employees compensation expenses account<br>(Being expenses transferred to profit and loss account at year end) | 80,000 | 80,000 |

| | | | |
|---|---|---|---|
| 31.3.20X5 | Employees compensation expense account Dr.<br>To Employee stock option outstanding account<br>(Being compensation expenses recognized in respect of the employee stock option i.e. 4,000 options at a discount of ₹90 each, amortised on straight line basis over 4½ years)<br>[(4,000 stock options × ₹90) / 4.5 years)] | 80,000 | <br>80,000 |
| | Profit and loss account Dr.<br>To Employees compensation expense account<br>(Being expenses transferred to profit and loss account at year end) | 80,000 | <br>80,000 |
| 30.9.20X5 | Bank A/c (3,000 × ₹80) Dr.<br>Employee stock option outstanding Dr.<br>To Equity share capital account (3,000 × ₹10)<br>To Securities premium (170 – ₹10) × 3,000<br>(Being 3,000 employee stock option exercised at an exercise price of ₹80 each) | 2,40,000<br>2,70,000 | <br><br>30,000<br>4,80,000 |
| | Employee stock option outstanding account (W.N.3) Dr.<br>To General reserve account (W.N.3)<br>(Being ESOS outstanding A/c transferred to General Reserve A/c on lapse of 1000 vested options at the end of the exercise period) | 90,000 | <br>90,000 |

**Working Notes:**

1. Fair value = subsetneq ₹170 – ₹80 = ₹90
2. At 1.12.X3, 4,000 unvested option lapsed on which till date expenses recognized to be transferred to general reserve = $\left(4000 \times 90 \times \frac{2.5}{4.5}\right) - 2,40,000 = 40,000$
3. Expenses charged on lapsed vested options transferred to general reserve = 1000 × ₹90 = ₹90,000

## B. BUY-BACK OF SHARES

Buy back of share already cover in **Accounting for Share Capital Chapter 4.**

## C. ESCROW ACCOUNT

Regulation 9(xi) of SEBI (Buy back of Securities) Regulations, 2018 provides that a company shall, as and by way of security for performance of its obligations under the regulations, on or before the opening of the offer, deposit in an escrow account such sum as specified below:

The escrow amount shall be payable in the following manner:

a. If the consideration payable does not exceed Rupees 100 crores; 25 per cent of the consideration payable;
b. If the consideration payable exceeds Rupees 100 crores; 25 per cent upto Rupees 100 crores and 10 percent thereafter.

The escrow account referred to in this regulation shall consist of,

1. Cash deposited with a scheduled commercial bank, or
2. Bank guarantee in favour of the merchant banker, or
3. Deposit of acceptable securities with appropriate margin, with the merchant banker, or
4. A combination of 1, 2 and 3 above.

## D. EQUITY SHARES WITH DIFFERENTIAL RIGHTS

According to Section 43 of the Companies Act, 2013, Equity share capital may be Equity Share Capital with voting right or Equity Share Capital with differential right as to dividend, voting or otherwise.

Rule 4 of the Companies (Share Capital and Debentures) Rules 2014 deals with equity shares with differential rights.

**Which Company may issue:**

A company limited by shares shall issue equity shares with differential rights as to dividend, voting or otherwise, when it complies with the following conditions:

a. The articles of association of the company authorize the issue of shares with differential rights.

b. The issue of shares is authorized by an ordinary resolution passed at a general meeting of the shareholders. Where the equity shares of a company are listed on a recognized stock exchange, the issue of such shares shall be approved by the shareholders through postal ballot.

c. The voting power in respect of shares with differential rights of the company shall not exceed seventy four per.

d. Cent of total voting power including voting power in respect of equity shares with differential rights issued at any point of time.

e. The company has not defaulted in filing financial statements and annual returns for three financial years immediately preceding the financial year in which it is decided to issue such shares.

f. The company has no subsisting default in the payment of a declared dividend to its shareholders or repayment of its matured deposits, or redemption of its preference shares, or debentures that have become due for redemption, or payment of interest on such deposits, or debentures or payment of dividend.

g. The company has not defaulted in payment of the dividend on preference shares or repayment of any term loan from a public financial institution, or State level financial institution, or scheduled Bank that has become repayable or interest payable thereon, or dues with respect to statutory payments relating to its employees to any authority or default in crediting the amount in Investor Education and Protection Fund to the Central Government. Provided that a company may issue equity shares with differential rights upon expiry of five years from the end of the financial Year in which such default was made good.

h. The company has not been penalized by Court or Tribunal during the last three years of any offence under the Reserve Bank of India Act, 1934, the Securities and Exchange Board of India Act, 1992, the Securities Contracts Regulation Act, 1956, the Foreign Exchange Management Act, 1999 or any other special Act, under which such companies being regulated by sectoral regulators.

This may be noted here that the, penalty by regulators itself causes no disqualification.

## E. EXPLANATORY STATEMENT ANNEXED TO NOTICE

### a. THE EXPLANATORY STATEMENT TO BE ANNEXED TO THE NOTICE OF THE GENERAL MEETING OR OF A POSTAL BALLOT SHALL CONTAIN THE FOLLOWING PARTICULARS, NAMELY

1. The total number of shares to be issued with differential rights;
2. The details of the differential rights;
3. The percentage of the shares with differential rights to the total post-issue paid up equity share capital, including equity shares with differential rights issued at any point of time;
4. The reasons or justification for the issue;
5. The price at which such shares are proposed to be issued either at par or at a premium;
6. The basis on which the price has been arrived at;

7. In case of:
   (a) Private placement or preferential issue-
      (i) Details of total number of shares proposed to be allotted to promoters, directors and key managerial personnel;
      (ii) Details of total number of shares proposed to be allotted to persons other than the promoters, directors and key managerial personnel, and their relationship, if any, with any of the promoters, director or key managerial personnel;
   (b) Public issue-
   Reservation, if any, for different classes of applicants including promoters, directors or key managerial personnel;
8. The percentage of voting right which the equity share capital with differential voting right shall carry to the total voting right of the aggregate equity share capital;
9. The scale or proportion in which the voting rights of such class or type of shares shall vary;
10. The change in control, if any, in the company that may occur consequent to the issue of equity shares with differential voting rights;
11. The diluted earnings per Share (EPS) pursuant to the issue of such shares, calculated in accordance with the applicable accounting standards;
12. The pre- and post-issue shareholding pattern along with voting rights as per clouse 35 of the listing agreement issued by Security Exchange Board of India from time to time.

    Please note here, Clause 35 is specially made applicable to the company issuing equity shares with differential rights for the purpose of these sub-rules.

## b. NO CONVERSION

The company shall not convert its existing equity share capital with voting rights into equity share capital carrying differential voting rights and vice versa.

## c. ISCLOSURE REQUIREMENT IN BOARD'S REPORTS

The Board of Directors shall, inter alia, disclose the following details in the Board's Report for the financial year in which the issue of equity shares with differential rights was completed,

- The total number of shares allotted with differential rights;
- The details of the differential rights relating to voting rights and dividends;
- The percentage of the shares with differential rights to the total post-issue equity share capital with differential rights issued at any point of time and percentage of voting rights which the equity share capital with differential voting right shall carry to the total voting right of the aggregate equity share capital;
- The price at which such shares have been issued;
- The particulars of promoters, directors or key managerial personnel to whom such shares are issued;
- The change in control, if any, in the company resolution from the issue of equity shares with differential voting rights;

The diluted Earning per Share (EPS) pursuant to the issue of each class of shares, calculated in accordance with the applicable accounting standards;

The pre and post issue shareholdings pattern along with voting rights in the format specified under sub-rule (2) of rule 4.

## d. GENERAL RIGHTS AVAILABLE

The holders of the equity shares with differential rights shall enjoy all other rights such as bonus shares, and rights shares etc., which the holders of equity shares are entitled to, subject to the differential rights with which such shares have been issued.

## e. ENTRY IN REGISTER OF MEMBERS

Where a company issues equity shares with differential rights, the Register of Members maintained under Section 88 shall contain all the relevant particulars of the shares so issued along with details of the shareholders.

However, according to the Companies (Share Capital and Debentures) Amendment Rules, 2014 of 18th June 2014, it is hereby clarified that equity shares with differential rights issued by any company under the provisions of the Companies Act, 1956 (1 of 1956) and the rules made thereunder, shall continue to be regulated under such provisions and rules. This means provisions of earlier Act shall continue to apply.

**Example 06:** M2 Ltd. is a company and has an ESOP programme, for the following ESOP related exercise:

| Date | |
|---|---|
| 1st Apirl 2018 | 10,000 options were granted at 400 each when market price was ₹1,000.<br>Vesting period was three years<br>Maximum exercise period was one year |
| 31st March, 2021 | 2,000 unvested options lapsed |
| 31st March, 2021 | 7,000 options were exercised |
| 31st March, 2022 | 1,000 options lapsed. |

Assume face value of share is ₹10. Company follows April-March year end.

You are required to pass necessary journal entries.

**Solution:**

| Date | Particulars | Amount (in ₹) | Amount (in ₹) |
|---|---|---|---|
| 1st April 2018 | Deferred Employee Compensation Expense A/c Dr.<br>To Employee Stock Options Outstanding A/c<br>**[Being grant of 10,000 stock options at a discount of ₹600 (1,000 – 400)]** | 60,00,000 | <br>60,00,000 |
| 31st March 2019 | Employee Compensation Expense A/c Dr.<br>To Deferred Employee Compensation Expense A/c<br>**(Being amortization of Deferred Compensation i.e. ₹60,00,000/3)** | 20,00,000 | <br>20,00,000 |
| 31st March 2020 | Employee Compensation Expense A/c Dr.<br>To Deferred Employee Compensation Expense A/c<br>**(Being amortization of Deferred Compensation i.e. ₹60,00,000/3)** | 20,00,000 | <br>20,00,000 |

| | | | |
|---|---|---|---|
| 31st March 2021 | Employee Stock Options Outstanding A/c Dr.<br>To Employee Compensation Expense A/c<br>(2,000 × ₹600) × 2/3<br>To Deferred Employee Compensation Expense A/c<br>**(Being reversal of 2,000 unvested options lapsed)** | 12,00,000 | <br>8,00,000<br>4,00,000 |
| 31st March 2021 | Employee Compensation Expense A/c Dr.<br>To Deferred Employee Compensation Expense A/c<br>**(Being amortization of Deferred Compensation i.e 8000 × ₹600/3)** | 16,00,000 | <br>16,00,000 |
| 31st March 2021 | Bank A/c (7,000 × 400) Dr.<br>Employee Stock Options Outstanding A/c Dr.<br>To Share Capital A/c<br>To Securities Premium A/c<br>**(Being exercise of 7,000 options at an exercise price of ₹400/-)** | 28,00,000<br>42,00,000 | <br><br>70,000<br>69,30,000 |
| 31st March 2022 | Employee Stock Options Outstanding A/c Dr.<br>To Employee Compensation Expense A/c<br>**(Being reversal of lapse of vested options – 1,000 × ₹600)** | 6,00,000 | <br>6,00,000 |

## F. UNDERWRITING OF SHARES/DEBENTURES

A company issuing securities to the potential investors cannot completely rule out the possibility of an under-subscription where the number of shares applied falls short of the shares offered for issue. Whatever be the cause, this may lead to serious consequences for the company as its plan of raising capital may be jeopardized. Thus, companies, while issuing securities, often take help of a specialized service providers who guarantee that no security remains unsubscribed. These service providers are known as Underwriters and their service is termed as Underwriting of Securities.

Underwriting of securities is an agreement, entered into by a company (issuing the security) with a financial agency to ensure that the entire issue of securities (shares, debentures etc.) gets fully subscribed. The concerned financial agency is known as 'underwriter'. The underwriters provide their services against certain fees known as 'underwriting commission'.

### a. TYPES OF UNDERWRITING

Underwriting agreements can be classified into various types on different basis. These are:

1. **Based on the extent of underwriting**

   Based on the extent, underwriting can be of two types full underwriting and partial underwriting.

   When the entire issue is underwritten by the underwriters, it is called Full Underwriting or Complete Underwriting. On the other hand, when only a part of the total issue is underwritten by the underwriters, it is called partial underwriting. Here, the issuing company needs to take the responsibility of the remaining securities.

2. **Based on the number of underwriters**

   Based on the number of underwriters involved, underwriting can be of two types - single underwriting and multiple underwriting.

   When the entire issue is underwritten by a single underwriter, it is called a Single Underwriting. On the other hand, when entire issue is underwritten jointly by more than one financial agency, it is referred to as syndicate or Multiple Underwriting.

3. **Based on the Degree of Commitment**

Based on the commitment of underwriters, underwriting can be of two types-firm underwriting and regular underwriting.

In case of firm underwriting, the underwriter gives a specific commitment to take a specified number of shares, irrespective of the number of shares subscribed by the public. On the other hand, regular underwriting refers to the usual underwriting agreement in which the underwriters would be liable to take up the securities in the event of under-subscription.

**Note:** Sub-underwriting

In order to spread the risk of under-subscription, the principal underwriters may enter into subsidiary agreements in which the underwriter further gets a part of his commitment underwritten by another agency. This is known as Sub-underwriting. Such agreements are made between the underwriters alone, with the company not being a party thereto. As per agreement, the company pays commission at a prescribed rate to the principal underwriters, who in turn, disburse commission to the sub-underwriters. Sometimes an additional commission is paid to the principal underwriters to encourage sub-underwriting. This is known as over-riding commission. The payment of an over-riding commission enables the company to deal with one or two underwriters instead of a number of them. Sub-underwriting is not a separate type of underwriting but rather an extension of an existing underwriting arrangement.

## b. MARKED VS. UNMARKED APPLICATIONS

'Marked' applications are those applications which bear the stamp of an underwriter. If the issue is not fully subscribed, 'marked' applications shall be applied in reduction of underwriter's liability.

The 'unmarked' applications are those applications which bear no stamp of an underwriter. These applications are received by the company directly from the public. The distinction between marked and unmarked applications becomes immaterial when the whole issue is subscribed by only one underwriter. When there is more than one underwriter, the unmarked applications are divided amongst underwriters. Again, when the issue is fully subscribed, the distinction between marked and unmarked applications becomes immaterial.

## c. UNDERWRITER'S LIABILITY

The liability of an underwriter is the number of securities that has to be taken up by him.

This liability may be of two types - Gross Liability and Net Liability.

Gross Liability refers to the total commitment of the underwriter as per the underwriting agreement.

Net Liability refers to the liability of taking up the unsubscribed securities after taking into consideration the gross liability as per the agreement of underwriting and applications received (both, marked applications and unmarked applications).

Thus, Net Liability Gross Liability (Marked applications + Proportion of Unmarked applications for which the underwriter has been given credit).

## d. UNDERWRITING COMMISSION

The price charged by the underwriter for his underwriting services rendered to the issuer company is called Underwriting Commission. It is payable to the underwriter for bearing the risk of under subscription, and not for subscribing the unsubscribed shares. The securities are eventually issued at the same price at which they are issued to other shareholders. This is why, the underwriters are entitled to commission even when the issue is fully subscribed by the public. The commission may be paid in cash or in fully paid-up shares or debentures or a combination of all these.

Underwriting commission is calculated on their total commitment, also known as gross liability, based on the issue price of the securities to the public. Accordingly,

Underwriting Commission = [Gross Liability (in no.) x Issue Price per security] x Rate of Commission.

## e. FULL AND PARTIAL UNDERWRITING

When the whole issue is underwritten by the underwriter(s) it is called full underwriting. When a part (say 75%) of the whole issue is underwritten by the underwriter(s) it is called partial underwriting. In this case the company is treated as having underwritten the balance of shares.

## f. ACCOUNTING ENTRIES

1. **For Commission/brokerage due:**

   Commission/Brokerage A/c    Dr.

   To Underwriter Account

   To Broker Account

2. **For payment of Commission/brokerage**

   Underwriter Account    Dr.

   Broker Account    Dr.

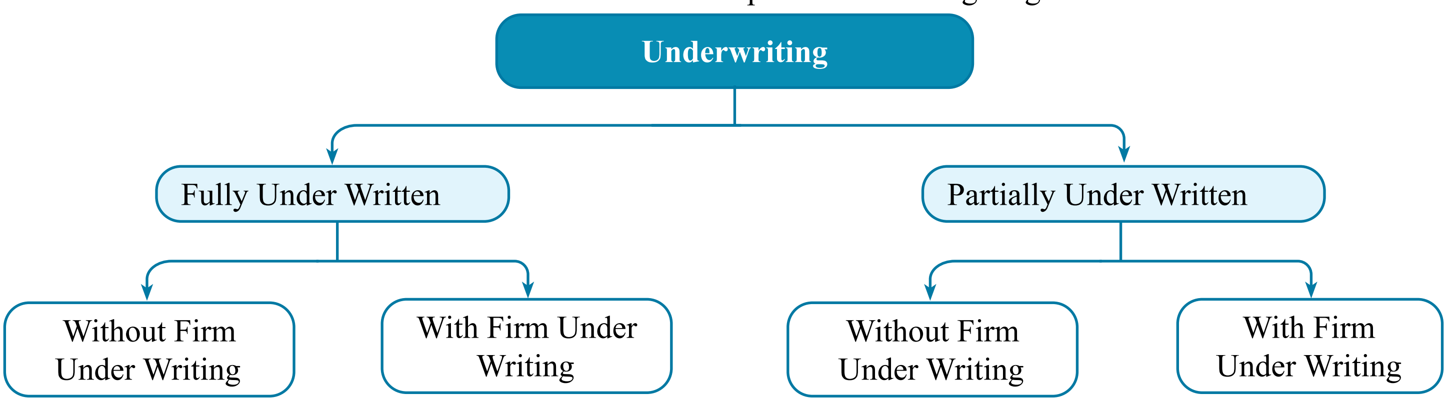
   To Bank Account [Cheque]

   To Share Capital Account [Shares)

   To Debentures Account (Debentures]

## g. DETERMINATION OF LIABILITY IN RESPECT OF UNDERWRITING CONTRACT

The nature of underwriting contract determines the liability of the underwriter. The different types of underwriting contract with their subdivisions can be shown with the help of the following diagram:




**Case 1: When the Issue is fully underwritten [without Firm Underwriting]**

If the entire issue has been underwritten by one underwriter, the determination of his liability is very simple. The total number of applications (both marked and unmarked) are deducted from the number of shares underwritten and the resultant figure is treated as a liability of the underwriter. For example, X Ltd. issued 1,00,000 equity shares of Rs. 10 each. The issue was fully underwritten by A. However, the company received applications for 80,000 shares which includes marked applications for 60,000 shares.

Here, A's liability will be 1,00,000 – 60,000 – 20,000 = 20,000 shares. A would get full credit for the unmarked 20,000 applications.

**Case 2: If the entire issue has been underwritten by a number of underwriters, certain difficulties may arise in respect of division of unmarked applications.**

The unmarked applications can be divided between the underwriters in the following two ways.

**Method 1**

Under this method, all unmarked applications are divided between the underwriters in the ratio of gross liability of individual underwriter. For determining the liability of individual underwriter, the following steps are followed:

**Step 1** Compute gross liability (if it has not been given) of individual underwriter on the basis of agreed ratio. **For example,** X Ltd. issued 1,00,000 Equity shares of Rs. 10 each. The issue was underwritten as: A-30%; B-40% and C-30%. Here the gross liability will be: A-30% of 1,00,000= 30,000 Shares; B-40% of 1,00,000=40,000 shares C-30% of 1,00,000=30,000 shares.

**Step 2** Subtract marked applications from gross liability of respective underwriters.

**Step 3** Determine the number of unmarked applications. (Unmarked application = Total applications received less marked applications). Divide unmarked applications between different underwriters in the ratio of gross liability, as per our example, in the ratio of 3:4:3. If the resultant figures are all positive or zero, then stop here. Now these figures represent the net liability of each underwriter. If some of the resultant figures are negative, then continue to Step 4.

**Step 4** Add all negative figures and divide the resultant ones between the underwriters having positive figures in the ratio of gross liability inter se (for details see Illustration 3). Repeat Step 4 unless all figures are non-negative. Now these figures represent the net liability of each underwriter.

**Method 2**

Under this method, all unmarked applications are divided between the underwriters in the ratio of gross liability less marked applications. For determining the liability of individual underwriter following steps are followed:

**Step 1** Compute gross liability in the usual manner (if it has not been given).

**Step 2** Subtract marked applications from gross liability of respective underwriters. If some of the resultant figures are negative, add all negative figures and divide their sum in the ratio of gross liability inter se.

**Step 3** Determine the number of unmarked applications. Divide unmarked applications between different underwriters in the ratio of gross liability less marked applications, i.e., the resultant figures of Step 2. If the resultant figures of Step 3 are all positive or zero, stop here. Now these figures represent the net liability of each underwriter.

If some of the resultant figures are negative, then continue to Step 4

**Step 4** Add all negative figures and divide their sum between the underwriters having positive figures in the same ratio of Step 3. Repeat Step 4 unless all figures are non-negative. Now these figures represent the net liability.

**Case 3: If a part of the issue of shares or debentures is underwritten only by one underwriter:**

In such a case, only a part of the whole issue, say 60% or 70% is underwritten only by one underwriter and so far as the balance 40% or 30% of the issue is concerned, the company itself is said to have underwritten the same. As such, the unmarked applications are treated as marked as far as the company is concerned.

In such a case, the gross liability of the underwriter will be that part of the issue of shares or debentures which is underwritten, say 60% or 70% and the net liability will be determined by deducting the marked applications (the applications sent through him) from the gross liability. Thus, the net liability will be determined as follows:

Net liability Gross liability (say 60% or 70% of the issue) - Marked applications.

It is to be noted here that if the marked applications exceed or equal the number of shares or debentures underwritten, the underwriter is free from his liability and cannot be called upon to take up any shares or debentures of the company. Similarly, if all the shares or debentures are subscribed, the underwriter is free from his liability in spite of the fact the marked applications are less than the number of shares or debentures underwritten.

**Case 4: If the part of the issue of shares or debentures is underwritten by a number of underwriters:**

In such a case only a part of the whole issue, say 60% or 70% or 80% is underwritten by a number of underwriters and so far as the balance 40% or 30% or 20% is concerned, the company itself is said to have underwritten the same. As such, the unmarked applications are treated as marked so far as the company is concerned. In such a case, the method of determining the net liability of the respective underwriters is similar to the method discussed above.

## h. FIRM UNDERWRITING

In the case of 'firm underwriting', the underwriters take up the agreed number of shares or debentures 'firm underwritten' in addition to unsubscribed shares or debentures, if any. In such an instance, an underwriter is not allowed to set off his firm underwriting against his liability otherwise determined, that he will have to subscribe both for shares/debentures 'underwritten firm' and for shares which he has to take under the underwriting contract, ignoring firm underwriting.

While computing the individual liability of the underwriters, the 'firm underwriting' can be dealt with in any of the following manner in the absence of any specific instructions:

1. The **'firm underwriting'** may be adjusted against the individual liability of each underwriter separately or may be treated at par with marked applications.

   When firm underwriting is treated at par with marked applications. In such a case, the statement of liability of underwriters will be as under:

   Gross Liability (agreed ratio-total shares underwritten) ____________

   **Less:** Marked applications including firm underwriting. ____________

   Balance left

   **Less:** Unmarked application (ratio of Gross liability) ____________

   Net liability

   **Add:** Firm underwriting. ____________

   Total Liability. ____________

2. The benefit of **'firm underwriting'** may be shared by all underwriters or firm underwriting may be treated at par with unmarked applications. In such case, the shares/debentures underwritten firm will be included in the unmarked forms. In such case, the state of liability of underwriters will appear as shown above except that shares/debentures underwritten firm by each underwriter will not be specifically adjusted against his individual liability but will be included in the total unmarked forms to be distributed amongst all underwriters in the ratio of their gross liability.

**Example 01:** Sunflow Ltd. issued 50,000 equity shares. The whole of the issue was underwritten as follows: Red 40%; White 30%; Blue 30%

Applications for 40,000 shares were received in all, out of which applications for 10,000 shares had the stamp of Red; those for 5,000 shares that of White and those for 10,000 shares that of Blue. The remaining applications for 15,000 shares did not bear any stamp.

Determine the liability of the underwriters.

**Solution:**

**Net Liability of Underwriters**

| Particulars | Red (40%) Shares | White (30%) Shares | Blue (30%) Shares |
|---|---|---|---|
| Gross liability in the agreed ratio of 40:30:30 | 20,000 | 15,000 | 15,000 |
| **Less:** Marked applications | 10,000 | 5,000 | 10,000 |
| Balance left | 10,000 | 10,000 | 5,000 |
| **Less:** Unmarked applications in the ratio of gross liability, Ie., 40:30:30 | 6,000 | 4,500 | 4,500 |
| Net liability | 4,000 | 5,500 | 500 |

**Example 02:** Monlit Ltd., issued 50,000 equity, shares of which only 60% was underwritten by Green. Applications for 45,000 shares were received in all out of which application for 26,000 were marked.

Determine the liability of Green.

**Solution:**

Gross liability of Green being 60% of 50,000 shares,

i.e., 60/100 × 50,000 = 30,000 shares

**Less:** Marked applications = 26,000 shares

Net liability of Green = 4,000 shares

**Notes:**

(1) If the marked applications were for 30,000 shares or more, Green would have had no liability at all.

(2) If the applications received by the company were for all the 50,000 shares, Green would have no liability at all even though the marked applications were for 26,000 shares.

(3) If the applications received by the company were for 48,000 shares, Green's liability would have been restricted to (50,000 – 48,000) = 2,000 shares, even though the marked applications were for 26,000 shares.

Sometimes, it may so happen that the information as to the marked applications and unmarked applications may not be given in the problem. In such a case, it has to be assumed that out of the total applications received by the company, the number of applications proportionate to that part of the issue underwritten have been received through the underwriters.

**Example 03:** Goods Earths Ltd., issued 30,000 6% Debentures of ₹100 each. 60% of the issue was underwritten by Black. Applications for 28,000 debentures were by the company.

Debentures the liability of Black.

**Solution:**

Gross liability of Black being 60% of 30,000

debentures i.e., 60/100 × 30,000 = 18,000 debentures

**Less:** Marked applications assumed 60% of

28,000 i.e., 60/100 × 28,000 = 16,800 debentures

Net liability of Black = 1,200 debentures

Alternatively, Black's liability can be determined in the following way:

Number of debentures not subscribed for by the public = (30,000 – 28,000)

= 2,000 debentures

Black's liability = 60% of 2,000 debentures

= 60/100 × 2,000 = 1,200 debentures

**Example 04:** Satellite Ltd., issued 12% 10,000 Preference Shares of ₹10 each. The issue was underwritten as follows: Apple 30%, Mango 30%, Orange 20%.

Application for 8,000 shares were received by the company in all. Determine the liability of the respective underwriters.

**Solution:**

| Particulars | Apple (30%) Shares | Mango (30%) Shares | Orange (20%) Shares |
|---|---|---|---|
| Gross liability in the agreed ratio 30: 30:20 | 3,000 | 3,000 | 2,000 |
| **Less:** Marked application, i.e., 8,000 application in the ratio of 3/8: 3/8: 2/8 | 2,400 | 2,400 | 1,600 |
| Net liability | 600 | 600 | 400 |

Alternatively, the liability of the respective underwriters can also be determined in the following manner.

| | |
|---|---|
| Shares issued | 10,000 |
| Less: Applications received | 8,000 |
| Unsubscribed shares | 2,000 |
| Apple's liability | = 30% of 2,000 = 600 shares |
| Mango's liability | = 30% of 2,000 = 600 shares |
| Orange's liability | = 20% of 2,000 = 400 shares |
| Total liability of Apple, Mango and Orange | = 600 + 600 + 400 = 1,600 shares. |

which represent 80% of the total issue underwritten. The balance (2,000 – 1,600) = 400 shares representing 20% of the issue not underwritten will remain as unissued.

**Example 05:** Emess Ltd. issued 40,000 shares which were underwritten as:

P: 24,000 shares Q: 10,000 shares and R: 6,000 shares. The underwriters made applications for firm underwriting as under.

P: 3,200 shares; Q: 1,200 shares; and R: 4,000 shares. The total subscriptions excluding firm underwriting (including marked applications) were 20,000 shares.

The marked applications were - P: 4,000 shares; Q: 8,000 shares; and R: 2,000 shares.

Prepare a statement showing the net liability of underwriters.

**Solution:**

**Statement of Underwriters' Liability**

**(Firm underwriting shares are treated as unmarked applications)**

**(Shares)**

| Particulars | P | Q | R | Total |
|---|---|---|---|---|
| Gross Liability | 24,000 | 10,000 | 6,000 | 40,000 |
| **Less:** Marked applications | 4,000 | 8,000 | 2,000 | 14,000 |
| Balance | 20,000 | 2,000 | 4,000 | 26,000 |
| **Less:** Unmarked applications in the ratio of gross liability (12:5:3) | 8,640 | 3,600 | 2,160 | 14,400 |
| Balance | 11,360 | (–1,600) | 1,840 | 11,600 |
| Credit of Q's over subscription to | | | | |

| | | | | |
|---|---|---|---|---|
| P & R in the ratio of 12:3 | (1,280) | +1,600 | (320) | – |
| Net Liability | 10,080 | – | 1,520 | 11,600 |
| **Add:** Firm underwriting | 3,200 | 1,200 | 4,000 | 8,400 |
| Total Liability | 13,280 | 1,200 | 5,520 | 20,000 |

**Alternate Answer**

**Statement of Underwriters' Liability**

**(Firm underwriting shares are treated as marked applications)**

**(Shares)**

| Particulars | P | Q | R | Total |
|---|---|---|---|---|
| Gross Liability | 24,000 | 10,000 | 6,000 | 40,000 |
| **Less:** Unmarked applications 6,000 in ratio of gross liability (12:5:3) | 3,600 | 1,500 | 900 | 6,000 |
| Balance | 20,400 | 8,500 | 5,100 | 34,000 |
| **Less:** Marked application plus shares underwritten firm | 7,200 | 9,200 | 6,000 | 22,400 |
| Balance | 13,200 | –700 | – 900 | 11,600 |
| Credit for Q's and R'sover subscription | – 1,600 | +700 | +900 | = |
| Net Liability | 11,600 | – | – | 11,600 |
| **Add:** Firm Underwriting | 3,200 | 1,200 | 4,000 | 8,400 |
| Total Liability | 14,800 | 1,200 | 4,000 | 20,000 |

**Example 06:** Sam Limited invited applications from public for 1,00,000 equity shares of 10 each at a premium of Rs. 5 per share. The entire issue was underwritten by the underwriters A, B, C and D to the extent of 30%, 30%, 20% and 20% respectively with the provision of firm underwriting of 3,000, 2,000, 1,000 and 1,000 shares respectively. The underwriters were entitled to the maximum commission permitted by law.

The company received applications for 70,000 shares from public out of which applications for 19,000, 10,000, 21,000 and 8,000 shares were marked in favour of A, B, C and D respectively.

Calculate the liability of each one of the underwriters. Also ascertain the underwriting commission @ 2.5% payable to the different underwriters.

**Solution:**

**Liability of Underwriters (No. of shares)**

| | Total | A | B | C | D |
|---|---|---|---|---|---|
| **Less:** Unmarked Applications | 12,000 | 3,600 | 3,600 | 2,400 | 2,400 |
| Balance | 88,000 | 26,400 | 26,400 | 17,600 | 17,600 |
| **Less:** Marked Applications | 58,000 | 19,000 | 10,000 | 21,000 | 8,000 |
| Balance | 30,000 | 7,400 | 16,400 | –3,400 | 9,600 |
| **Less:** Firm Underwriting | 7,000 | 3,000 | 2,000 | 1,000 | 1,000 |
| Balance | 23,000 | 4,400 | 14,400 | –4,400 | 8,600 |
| Adjustment | – | –1,650 | –1,650 | +4,400 | –1,100 |
| Net Liability | 23,000 | 2,750 | 12,750 | – | 7,500 |
| Total Liability includingfirm underwriting | 30,000 | 5,750 | 14,750 | 1,000 | 8,500 |

**Note:** The above answer is arrived at by treating 'firm underwriting shares' on par with marked applications. Alternatively, the 'firm underwriting shares' may be treated on par with un-marked applications. Then, the answer will be as follows:

| | | Shares |
|---|---|---|
| Applications received including firm underwriting | 77,000 | (70,000 + 7,000) |
| **Less:** Marked Applications | 58,000 | |
| Un-marked Applications | 19,000 | |

**Liabilities of Underwriters (No. of shares)**

| Particulars | Total | A | B | C | D |
|---|---|---|---|---|---|
| Gross Liability | 1,00,000 | 30,000 | 30,000 | 20,000 | 20,000 |
| **Less:** Unmarked Applications | 19,000 | 5,700 | 5,700 | 3,800 | 3,800 |
| Balance | 81,000 | 24,300 | 24,300 | 16,200 | 16,200 |
| **Less:** Marked Applications | 58,000 | 19,000 | 10,000 | 21,000 | 8,000 |
| Balance | 23,000 | 5,300 | 14,300 | –4,800 | 8,200 |
| Adjustment | – | –1,800 | –1,800 | +4,800 | 1,200 |
| Net Liability | 23,000 | 3,500 | 12,500 | – | 7,000 |
| **Add:** Firm Underwriting | 7,000 | 3,000 | 2,000 | 1,000 | 1,000 |
| Total Liability | 30,000 | 6,500 | 14,500 | 1,000 | 8,000 |

**Example 07:** XYZ Ltd. incorporated on 1st April, 2023 issued a prospectus inviting applications for 5,00,000 equity shares of ₹10 each. The whole issue was fully underwritten by K, B, D, and M as follows:

K - 2,00,000 Shares,

B - 1,50,000 Shares,

D - 1,00,000 Shares,

M - 50,000 Shares.

The applications were received for 4,50,000 shares of which marked applications were as follows:

K - 2,20,000 Shares,

B - 90,000 Shares,

D - 1,10,000 Shares,

M - 10,000 Shares,

Calculate the liability of individual underwriters

**Solution:**

**Statement showing underwriters liability**

| Particular | K | B | D | M |
|---|---|---|---|---|
| **Gross Liability:** | 20,00,00 | 15,00,00 | 10,00,00 | 50,000 |
| **Less:** Unmarked application allocated in the ratio of 4:3:2:1 (450000 – 430000) | (8,000) | (6,000) | (4,000) | (2,000) |

| | | | | |
|---|---|---|---|---|
| | 19,20,00 | 14,40,00 | 96,000 | 48,000 |
| **Less:** Marked application | 22,00,00 | 90,000 | 11,00,00 | 10,000 |
| | –28,000 | 54,000 | –14,000 | 38,000 |
| **Less:** On surplus of K & D allocated to B & M in the ratio of 3:1 | +28,000 | –31,500 | +14,000 | –10,500 |
| **Net Liability** | **NIL** | **22,500** | **NIL** | **27,500** |

**Example 08:** New Ltd. issued 1,00,000 shares which were underwritten as under :

| | Number of shares underwritten | Applications for firm underwriting | Marked applications |
|---|---|---|---|
| Underwriter A | 60,000 | 8,000 | 10,000 |
| Underwriter B | 25,000 | 3,000 | 20,000 |
| Underwriter C | 15,000 | 10,000 | 5,000 |

Total subscriptions excluding firm underwriting (including market applications) were 50,000 shares. Prepare a statement calculating net underwriter liability. Consider firm underwriting shares are treated as unmarked applications.

**Solution:**

**Calculation of unmarked applications**

| | Shares |
|---|---|
| Total Subscriptions | 50,000 |
| **Less:** Marked Applications | 35,000 |
| | 15,000 |
| Firm Underwriting | 21,000 |
| | **36,000** |

**Statement to Underwriters Liability**

| Particulars | A | B | C | Total |
|---|---|---|---|---|
| Gross Liability | 60,000 | 25,000 | 15,000 | 1,00,000 |
| **Less:** Marked Applications | 10,000 | 20,000 | 5,000 | 35,000 |
| Balance | 50,000 | 5,000 | 10,000 | 65,000 |
| **Less:** Unmarked applications (Distributed in ratio of gross liability) | 21,600 | 9,000 | 5,400 | 36,000 |
| Balance | 28,400 | –4,000 | 4,600 | 29,000 |
| Credit of B's Subscription in 60:15 ratio | –3,200 | 4,000 | –800 | – |
| **Net Liability** | **25,200** | – | **3,800** | **29,000** |
| **Add:** Firm Underwriting | 8,000 | 3,000 | 10,000 | 21,000 |
| **Total Liability** | **33,200** | **3,000** | **13,800** | **50,000** |

## TEST YOURSELF

1. M Ltd. furnishes the following Balance Sheet as at 31st March, 20X1:

| | | Particulars | Notes | ₹ (in 000) |
|---|---|---|---|---|
| | | **Equity and Liabilities** | | |
| 1 | | **Shareholders' funds** | | |
| | A | Share capital | 1 | 5,000 |
| | B | Reserves and Surplus | 2 | 6,310 |
| 2 | | **Non-current liabilities** | | |
| | | Long term borrowings | 3 | 400 |
| 3 | | **Current liabilities** | | |
| | A | Trade Payables | | 40 |
| | | Total | | 11,750 |
| | | **Assets** | | |
| 1 | | **Non-current assets** | | |
| | A | Property, plant and Equipment | 4 | 2,750 |
| | B | Non-Current Investments (at cost) | | 5,000 |
| 2 | | **Current assets** | | |
| | A | Inventories | | 1,000 |
| | B | Trade receivables | | 2,000 |
| | C | Cash and Cash equivalents | | 1,000 |
| | | Total | | 11,750 |

**Notes to accounts**

| No. | Particulars | | ₹ in (000) |
|---|---|---|---|
| 1 | **Share Capital** | | 3,000 |
| | Authorized, Issued and Subscribed Capital: 3,00,000 Equity shares of ₹10 each fully paid up | | |
| | 20,000 9% Preference Shares of 100 each | | 2.000 |
| | Total | | 5,000 |
| 2 | **Reserves and Surplus Capital reserve** | | 10 |
| | Revenue reserve | | 4,000 |
| | Securities premium | | 500 |
| | Profit and Loss account | | 1,800 |
| | Total | | 6,310 |
| 3 | **Long term borrowings** | | |
| | 10% Debentures | | 400 |
| 4 | **Property, Plant and Equipment (PPE)** | | |
| | PPE: Cost | | 3,000 |
| | Less: Provision for depreciation | | (250) |
| | Net carrying value | | 2,750 |

The company passed a resolution to buy-back 20% of its equity capital @ 15 per share. For this purpose, it sold its investments of 30 lakhs for 25 lakhs.

You are required to pass necessary Journal entries.

2. Dee Limited (a non-listed company) furnishes the following Balance Sheet as at 31st March, 20X1:

**(in thousand ₹)**

| | | Particulars | Notes | ₹ |
|---|---|---|---|---|
| | | **Equity and Liabilities** | | |
| **1** | | **Shareholders' funds** | | |
| | A | Share capital | 1 | 2,700 |
| | B | Reserves and Surplus | 2 | 9,700 |
| **2** | | **Current liabilities** | | |
| | A | Trade Payables | | 1,400 |
| | | Total | | 13,800 |
| | | **Assets** | | |
| **1** | | **Non-current assets** | | |
| | A | Property, plant and Equipment | | 9,300 |
| | B | Non-Current Investments | | 3,000 |
| **2** | | **Current assets** | | |
| | A | Inventories | | 500 |
| | B | Trade receivables | | 200 |
| | C | Cash and Cash equivalents | | 800 |
| | | Total | | 13,800 |

**Notes to accounts**

| No. | Particulars | | ₹ |
|---|---|---|---|
| **1** | **Share Capital** | | |
| | Authorized, issued and subscribed capital: | | |
| | 2,50,000 Equity shares of ₹10 each fully paid up | | 2,500 |
| | 2,000, 10% Preference shares of ₹100 each | | 200 |
| | (Issued two months back for the purpose of buy-back) | | |
| | Total | | 2,700 |
| **2** | **Reserves and Surplus** | | |
| | Capital reserve | | 1,000 |
| | Revenue reserve | | 3,000 |
| | Securities premium | | 2,200 |
| | Profit and loss account | | 3,500 |
| | Total | | 9,700 |

The company passed a resolution to buy-back 20% of its equity capital @ ₹50 per share. For this purpose, it sold all of its investment for ₹22,00,000.

You are required to pass necessary journal entries and prepare the Balance Sheet.

3. Pratham Ltd. (a non-listed company) has the following Capital structure as on 31st March, 20X1:

| Particulars | ₹ | ₹ |
|---|---|---|
| Equity Share Capital (shares of ₹10 each fully paid | | 30,00,000 |
| Reserves & Surplus | | |
| General Reserve | 32,50,000 | |
| Security Premium Account | 6,00,000 | |
| Profit & Loss Account | 4,30,000 | |
| Revaluation Reserve | 6,20,000 | 49,00,000 |
| Loan Funds | | 42,00,000 |

You are required to compute by Debt Equity Ratio Test, the maximum number of shares that can be bought back in the light of above information, when the offer price for buy-back is ₹30 per share.

CHAPTER 7

# CONSOLIDATION OF ACCOUNTS

CORPORATE ACCOUNTING

| | | | | | |
|---|---|---|---|---|---|
| Concept of Group, Holding Company and Subsidiary Company | Purpose and method of preparing consolidated financial statements | Components of Consolidated Financial Statements | Calculation of Goodwill/ Capital Reserve | Loss of Subsidiary Company Minority Interests; Profit or | Elimination of Intra-Group Transactions and other Adjustments |

## A. CONCEPT OF GROUP, HOLDING COMPANY AND SUBSIDIARY COMPANY

In an era of business growth, many organizations are growing into large corporations by the process of acquisition, mergers, gaining control by one company over the other company, restructuring etc. Acquisitions and mergers ultimately lead to either cost reduction or controlling the market or sharing the material supplies or product diversification or availing tax benefits or synergy. Whatever the motto behind these ventures is, the ultimate result is the large-scale corporation. Formation of holding company is the most popular device for achieving these objectives.

### a. GROUP OF COMPANIES

Many a time, a company expands by keeping intact its separate corporate identity. In this situation, a company (i.e. holding company) gains control over the other company (subsidiary company). This control is exercised by one company over the other by-

1. Purchasing specified number of shares i.e. ownership through voting power of that company or
2. Exercising control over the board of directors.

The companies connected in these ways are collectively called as a **Group of Companies.**

Holding Company and Subsidiary Company have also been defined in Section 2 of the Companies Act, 2013.

### b. HOLDING COMPANY

As per Section 2(46) of the Companies Act, 2013,

**"Holding company",** in relation to one or more other companies, means a company of which such companies are subsidiary companies.

It may be defined as one, which has one or more subsidiary companies and enjoys control over them. Legally a holding company and its subsidiaries are distinct and separate entities. However, in substance holding and subsidiary companies work as a group. Accordingly, users of holding company's accounts need financial information of subsidiaries also to understand the performance and financial position of the group (i.e. holding company and subsidiaries on a consolidated basis).

### c. SUBSIDIARY COMPANY

Section 2(87) of the Companies Act, 2013 defines "subsidiary company" as a company in which the holding company

1. Controls the composition of the Board of Directors; or
2. Exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies:

A company shall be deemed to be a subsidiary company of the holding company even if there is indirect control through the subsidiary company (ies).

The control over the composition of a subsidiary company's Board of Directors means exercise of power to appoint or remove all or a majority of the directors of the subsidiary company.

Section 19 of the Companies Act, 2013 prohibits a subsidiary company from holding shares in the holding company. According to this section, no company shall, either by itself or through its nominees, hold any shares in its holding company and no holding company shall allot or transfer its shares to any of its subsidiary companies and any such allotment or transfer of shares of a company to its subsidiary company shall be void.

However, a subsidiary may continue to be a member of its holding company when

(a) The subsidiary company holds such shares as the legal representative of a deceased member of the holding company; or

(b) The subsidiary company holds such shares as a trustee; or

(c) The subsidiary company is a shareholder even before it became a subsidiary company of the holding company.

The subsidiary company shall have a right to vote at a meeting of the holding company only in respect of the shares held by it as a legal representative or as a trustee, as mentioned above in point (a) and (b).

### d. APPLICABLE ACCOUNTING STANDARD

Accounting Standard (AS) 21: Consolidated Financial Statements provides guidance on preparation of Consolidated Financial Statements.

This Standard came into effect in respect of accounting periods commenced on or after 1-4-2001. AS 21 lays down principles and procedures for preparation and presentation of consolidated financial statements. Consolidated financial statements are presented by the parent (holding company) to provide financial information about the economic activities of the group as a single economic entity. The parent presenting consolidated financial statements should present such statements in accordance with this standard but in its separate financial statements, investments in subsidiaries would be accounted as per AS 13.

## B. COMPANY INCLUDES BODY CORPORATE

- As per Section 2(87) of the Companies Act, 2013 Company include a ‘Body Corporate’.
- As per Section 2(11) of the Companies Act, 2013 Body Corporate includes a ‘Company incorporated out of India’.

Thus, an Indian company in which more than 50% shares are held by a foreign body corporate will be a 'Subsidiary Company'. Similarly, any Indian body corporate can be 'holding company' even if that body corporate is not registered as 'company' under Companies Act.

An Indian company can be holding/subsidiary of a foreign body corporate even if it is not registered as a Company.

## C. ASSOCIATE COMPANY

Associate Company, in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company. The purpose of significant influence has been clarified in the explanation as control of at least twenty per cent of total share capital, or of business decisions under an agreement. In the case of joint ventures it is always by way an agreement significant influence is used but not necessarily by control over share capital. The meaning of significant influence is in line with AS 18 - Related Party Disclosures.

## D. WHOLLY OWNED SUBSIDIARIES AND PARTLY OWNED

| S. No. | Wholly owned subsidiary company | Partly owned subsidiary company |
|---|---|---|
| 1. | A wholly owned subsidiary company is one in which all the shares are owned by the holding company. | In a partly owned subsidiary, all the shares of subsidiary company are not acquired by the holding company i.e. only the majority of shares (i.e., more than 50%) are owned by the holding company. |
| 2. | 100% voting rights are vested by the holding company. | Voting rights of more than 50% but less than 100% are vested by the holding company. |
| 3. | There is no minority interest because all the shares with voting rights are held by the holding company. | There is a minority interest because less than 50% shares with voting rights are held by outsiders other than the holding company. |

### a. WHOLLY OWNED SUBSIDIARY COMPANY

A company in which all the shares with voting rights (i.e. 100%) are owned by the holding company, it is said to be a wholly owned subsidiary company.

### b. PARTLY OWNED SUBSIDIARY COMPANY

A company in which only the majority of shares (more than 50%) are owned by the holding company, it is said to be a partly owned subsidiary.

### c. GROUP

A Group is a parent and all its subsidiaries.

**Minority interest** is that part of the net results of operations and of the net assets of a subsidiary attributable to interests which are not owned, directly or indirectly through subsidiary(ies), by the parent.

**Equity** is the residual interest in the assets of an enterprise after deducting all its liabilities.

**Consolidated financial statements** are the financial statements of a group presented as those of a single enterprise.

## E. PURPOSE OF PREPARING THE CONSOLIDATED FINANCIAL STATEMENTS

**Consolidated Financial Statements** (CFS) are the financial statements of a 'group' presented as those of a single enterprise, where a 'group' refers to a parent and all its subsidiaries. Parent company needs to inform the users about the financial position and results of operations of not only of their enterprise itself but also of the group as a whole. For this purpose, consolidated financial statements are prepared and presented by a parent/holding enterprise to provide financial information about a parent and its subsidiary(ies) as a single economic entity.

CFS are intended to show the financial position of the group as a whole - by showing the economic resources controlled by them, by presenting the obligations of the group and the results the group achieves with its resources.

CFS normally include consolidated balance sheet, consolidated statement of profit and loss, and notes, other statements and explanatory material that form an integral part thereof. Consolidated cash flow statement is presented in case a parent presents its own cash flow statement. The consolidated financial statements are presented, to the extent possible, in the same format as that adopted by the parent for its separate financial statements.

The logic for presentation of Consolidated Financial Statements can be appreciated with the help of an *example* below:

Assume that you are holding 10 shares of Reliance Industries Limited, one of the largest conglomerates in India. If you look at Reliance Industries Limited's separate (standalone) balance sheet, you can see investments in subsidiaries like Jio Platforms Limited, Reliance Jio Infocomm Limited, Reliance Retail Limited etc. Now, if we see the standalone financials of Reliance Industries Limited, the revenue is generated from Oil & Gas Business. However, we all know that equally significant for Reliance Industries Limited is the revenue generated from its subsidiary companies. Further, being a holding company, all operational decisions of the subsidiary companies are taken by Reliance Industries Limited. In other words, though the holding company and its subsidiaries are legally different entities, in substance, all the operations of the subsidiaries are merely an extension of the holding company, and the assets and liabilities of the subsidiaries are controlled by the holding company.

Technically, Investments appearing in the balance sheet of Reliance Industries Limited represents proportionate share in the net worth of the respective subsidiary as well as is also a proportionate share in the profits earned by such subsidiaries. Accordingly, consolidating the incomes and expenses, as well as the assets and liabilities of the subsidiary companies with that of the parent company will result in a better presentation of the operations as well as the financial position of Reliance Industries Limited.

## F. CONSOLIDATION PROCEDURES

Rule 6 of the Companies (Accounts) Rules, 2014 states that the manner of consolidation of financial statements of the company shall be in accordance with the provisions of Schedule III of the Act and the applicable accounting standards. AS 21, Preparation of Consolidated Financial Statements lays down the procedure for consolidation of financial statements of the companies within the group.

When preparing consolidated financial statements, the individual balances of the parent and its subsidiaries are aggregated on a line-by-line basis, and then certain consolidation adjustments are made.

For example, the cash, trade receivables and prepayments of the parent and each subsidiary are added together to arrive at the cash, trade receivables and prepayments of the group, before consolidation adjustments are made.

The objective is that the consolidated financial statements should present the information contained in the consolidated financial statements of a parent and its subsidiaries as if they were the financial statements of a single economic entity.

In order that the consolidated financial statements present financial information about the group as that of a single enterprise, the following steps are then taken:

a. The carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary are eliminated. In case cost of acquisition exceeds or is less than the acquirer's interest, goodwill or capital reserve is calculated retrospectively;

b. Intragroup transactions, including sales, expenses and dividends, are eliminated, in full:

c. Unrealised profits resulting from intragroup transactions that are included in the carrying amount of assets, such as inventory and fixed assets, are eliminated in full;

d. Unrealised losses resulting from intragroup transactions that are deducted in arriving at the carrying amount of assets are also eliminated unless cost cannot be recovered;

e. Minority interest in the net income of consolidated subsidiaries for the reporting period are identified and adjusted against the income of the group in order to arrive at the net income attributable to the owners of the parent; and

f. Minority interests in the net assets of consolidated subsidiaries are identified and presented in the consolidated balance sheet separately from liabilities and the parent shareholders' equity.

## G. CONTENTS AND FORMAT OF CONSOLIDATED BALANCE SHEET

Section 129 (Clause 3) of the Companies Act, 2013 mandated the companies having one or more subsidiaries, to prepare **Consolidated Financial Statements**. According to this section, where a company has one or more subsidiaries, it shall, in addition to separate financial statements will prepare a consolidated financial statement of the company and of all the subsidiaries in the same form and manner as that of its own.

It shall also attach along with its financial statements, a separate statement containing the salient features of the financial statement of its subsidiary or subsidiaries in the prescribed form.

Consolidated Financial Statements are intended to show the financial position of the group as a whole - by showing the economic resources controlled by them, by presenting the obligations of the group and the results the group achieves with its resources.

The Schedule III of the Companies Act, 2013, provides certain general instructions for the preparation of consolidated financial statements.

a. Accordingly, where a company is required to prepare Consolidated Financial Statements, i.e., consolidated balance sheet and consolidated statement of profit and loss, the company shall mutatis mutandis follow the requirements of Schedule III of the Companies Act, 2013, as applicable to a company in the preparation of balance sheet and statement of profit and loss. In addition, the consolidated financial statements shall disclose the information as per the requirements specified in the applicable Accounting Standards including the following:

   - Profit or loss attributable to **"minority interest"** and to owners of the parent in the statement of profit and loss shall be presented as allocation for the period.
   - **"Minority interests"** in the balance sheet within equity shall be presented separately from the equity of the owners of the parent.

**Format**

**Consolidated Balance Sheet Of**

**Holding Company and its Subsidiaries as on**

| Format of Consolidated Balance Sheet | | | |
|---|---|---|---|
| **1. EQUITY AND LIABILITIES** | | **Amount** | **Amount** |
| SHAREHOLDER S FUND | | | XX |
| (a) Share Capital (Holding Company) | | XX | |
| (b) Reserves & Surplus | | | |
| (i) General Reserve (Holding Co.) | | XX | |
| (ii) Capital Reserve (Holding Co.) | XX | | |
| Add: Capital Reserve from Acquisition | XX | XX | |
| (iii) Surplus | | | |
| Surplus of Holding Co. | XX | | |
| Add: Share in revenue profits of Subsidiary Co. | XX | | |
| Less: Unrealized Profits | (XX) | XX | XX |
| **2. Non-current liabilities** | | | |
| (a) Minority Interest | | XX | |
| (b) Holding Co. | XX | | |
| Subsidiary Co. | XX | XX | XX |

| | | | |
|---|---|---|---|
| **3. Current liabilities** | | | |
| Holding Co. | XX | | |
| Subsidiary Co. | XX | | |
| Less: Inter Co. or mutual Owings | XX | | XX |
| **Total** | | | **XX** |
| **ASSETS** | | | |
| **1. Non-current assets** | | | |
| (a) Property, Plant and Equipment: | | | |
| (i) Tangible assets<br>Holding Co. XX<br>Subsidiary Co. XX | | | XX |
| (ii) Intangible assets: | | | |

Thus, Consolidation Adjustments are broadly categorized as under:

**Consolidation Adjustments**

**MAJOR ADJUSTMENTS**

Those which 'drive' the double entry:

1. Goodwill/Capital Reserve (i.e., cost of Control)
2. Minority Interests
3. Consolidated Reserves
4. Disposal of Subsidiary*

**INTRA-GROUPADJUSTMENTS**

1. Intra-group balances
2. Unrealized profit
3. Inventory
4. Non-Current Asset transfers
5. Minority Interests

## H. CALCULATION OF GOODWILL/CAPITAL RESERVE (COST OF CONTROL)

As on the date of investment, the cost of investment and the equity in the subsidiary needs to be calculated.

**Equity** is defined as the ‘residual interest’ in the assets of an enterprise after deducting all its liabilities. In other words, it is equal to the net worth of the enterprise.

Once the above is calculated, goodwill or capital reserve is calculated as under.

**Goodwill = Cost of Investment Parent's share in the equity of the subsidiary on date of investment**

**Capital Reserve = Parent's share in the equity of the subsidiary on date of investment - Cost of investment**

The parent's portion of equity in a subsidiary, at the date on which investment is made, is determined on the basis of information contained in the financial statements of the subsidiary as on the date of investment.

However, if the financial statements of a subsidiary as on the date of investment are not available and if it is impracticable to draw the financial statements of the subsidiary as on that date, financial statements of the subsidiary for the immediately preceding period are used as a basis for consolidation.

Adjustments are made to these financial statements for the effects of significant transactions or other events that occur between the date of such financial statements and the date of investment in the subsidiary.

It may be mentioned that positive or negative differential is separately recognised only in purchase method. This differential calculated as cost of control is shown in the consolidated balance sheet.

**Example 01:**

**Model:** Cancellation of investment - Wholly owned subsidiary company.

From the following Balance Sheet of H Ltd. (holding) and S Ltd. (subsidiary), prepare a consolidated balance sheet of H Ltd. and its subsidiary S Ltd.

| Particulars | H Ltd Rs. | S Ltd Rs. |
|---|---|---|
| **Equity & Liabilities**<br>**Share capital:** Shares of Rs. 10 each | 5,00,000 | 2,00,000 |
| Sundry Liabilities | 1,00,000 | 25,000 |
| **Total** | **6,00,000** | **2,25,000** |
| **Assets:** Sundry Assets | 4,00,000 | 2,25,000 |
| **Investment:**<br>20,000 shares of Rs.10 each of S Ltd | 2,00,000 | |
| **Total** | **6,00,000** | **2,25,000** |

**Solution:**

**Notes**

1. The Balance Sheet reveals that H Ltd. owns the whole of issued share capital of S Ltd. (wholly owned subsidiary).
2. The balance sheet of H Ltd. reveals the investment in shares of S Ltd. the amount is equal to the nominal value of issued share capital of S. Ltd.
3. These two amounts represent the same transaction but different in nature. (the issued capital of S Ltd. and investment held by H Ltd

**Example 02:**

**Model: Goodwill**

From the following balance sheets of H Ltd. and its subsidiary S Ltd. as on 31 December 2022, prepare consolidated balance sheet.

| Particulars | Rs. | Rs. |
|---|---|---|
| **Equities & Liabilities** | | |
| **Share Capital:** Shares of Rs. 50 each | 5,00,000 | 2,00,000 |
| Creditors | 1,00,000 | 20,000 |
| Reserves | – | 10,000 |
| Profit & Loss A/c | 50,000 | 30,000 |
| Total | 6,50,000 | 2,60,000 |
| **Assets** | | |
| **Sundry Assets:** | 3,50,000 | 2,60,000 |
| Investment in the shares of S Ltd 4,000 shares (at cost) | 3,00,000 | |
| **Total** | **6,50,000** | **2,60,000** |

H Ltd. purchase shares in S Ltd. on 31.12.2022.

**Solution:**

Computation of Goodwill:

| Particulars | Rs. |
|---|---|
| **Step 1:** Cost price of shares in S Ltd. (Investment) Give: | 3,00,000 |
| **Step 2:** Less: Face value of shares: | 2,00,000 |
| | 1,00,000 |
| **Step 3:** Less: Share in Reserves: | 10,000 |
| | 90,000 |
| **Step 4:** Less: Share in Profit (P&L A/c): | 30,000 |
| ∴ Goodwill | 60,000 |

**Consolidated Balance Sheet of**
**H Ltd. & S Ltd.**
**as on 31.12.2022**

| **I. EQUITIES AND LIABILITIES** | | **Amount (Rs.)** |
|---|---|---|
| 1. Shareholders' funds | | |
| a. Share Capital | | |
| **50,000 shares of Rs. 10 each (H Ltd. only)** | | 5,00,000 |
| b. Reserve & surplus | | 50,000 |
| 2. Other Liabilities | | |
| H Ltd. | 1,00,000 | |
| S Ltd. | 20,000 | 1,20,000 |
| **Total** | | **6,70,000** |
| **II. ASSETS** | | |
| 1. Sundry Assets | | |
| H Ltd. | 3,50,000 | |
| S Ltd. | 2,60,000 | 6,10,000 |
| Goodwill | | 60,000 |
| **Total** | | **6,70,000** |

**Example 03:**

**Model: Capital reserve**

From the following balance sheets of H Ltd. and its subsidiary S Ltd. as on 31st December 2022, prepare a consolidated balance sheet.

| Liabilities | H Ltd. Rs. | S Ltd. Rs. |
|---|---|---|
| **Share Capital:** | | |
| (Shares of Rs.100 each) | 6,00,000 | 4,00,000 |
| Creditors | 2,00,000 | 50,000 |
| Reserve | 40,000 | 20,000 |
| Profit & Loss A/c | 70,000 | 15,000 |
| **Total** | **9,10,000** | **4,85,000** |

| | | |
|---|---|---|
| **Sundry Assets** | 5,00,000 | 4,85,000 |
| Investment in 4,000 Shares of S. Ltd. (on 31 December 2022) | 4,10,000 | |
| **Total** | **9,10,000** | **4,85,000** |

**Solution:**

**Computation of Capital Reserve**

| Particulars | | Rs. |
|---|---|---|
| **Step 1:** | Cost price of shares (on 31.12.22): | 4,10,000 |
| **Step 2:** | Less: Paid - up value of shares (face value) : | 4,00,000 |
| | Difference: | 10,000 |
| **Step 3:** | Less: (Proportionate) Shares in Reserve 100%: | (20,000) |
| | | (10,000) |
| **Step 4:** | Less: 100% share in profit (P&L A/c) | (15,000) |
| **Step 5:** | Capital Reserve | (25,000) |

**Consolidated Balance Sheet of**
**H Ltd. and Its Subsidiary S Ltd.**
**As on 31.12.2022**

| I. EQUITIES AND LIABILITIES | | Amount (Rs.) |
|---|---|---|
| 1. Shareholders' funds | | 6,00,000 |
| (a) Share Capital of H Ltd. | | |
| (b) Reserve & surplus | | |
| Capital Reserve | | 25,000 |
| General Reserve | | 40,000 |
| P & LA/c | | 70,000 |
| 2. Other Liabilities | | |
| H Ltd. | 2,00,000 | |
| S Ltd. | 50,000 | 2,50,000 |
| **Total** | | **9,85,000** |
| **II. ASSETS** | | |
| 1. Sundry Assets | | |
| H Ltd. | 5,00,000 | |
| S Ltd. | 4,85,000 | 9,85,000 |
| **Total** | | **9,85,000** |

## I. MINORITY INTEREST

As per AS 21, **'Minority interest'** is that part of the net results of operations and of the net assets of a subsidiary attributable to the interests which are not owned, directly or indirectly through subsidiary or subsidiaries, by the parent.

As per Ind AS 110, **'Non-controlling interest'** is an equity in a subsidiary, not attributable, directly or indirectly to a parent.

The term **'Minority interest'** or **'Non-controlling interest'** is not defined under the Companies Act, 2013.

Calculation and presentation of the minority interest: This point may be explained as under:

| Calculation | Minority interest will be calculated as under: | |
|---|---|---|
| | **Particulars** | **(Rs.)** |
| | A. Paid up value of the equity shares (including bonus shares) held by the minority | ****** |
| | B. Paid up value of preference shares presently held by the minority | ****** |
| | C. Share of minority in the capital profits/(loss) of the subsidiary | ****** |
| | D. Share of minority in the revenue profits/(loss) of the subsidiary | ****** |
| | E. Share of minority in the revenue reserve of the subsidiary | ****** |
| | F. Share of minority in the preference dividend of the subsidiary (on cumulative preference shares whether declared or not and on non-cumulative preference shares when declared) | ****** |
| | G. Share of minority in the equity dividend declared by the subsidiary | ****** |
| | **Minority Interest (A + B + C + D + E + F + G)** | |
| **Presentation of minority interest in the consolidated Balance sheet** | 'Minority Interest' should be presented as a separate item after the head 'Shareholders' fund' but before the head 'Share application money pending allotment' on the 'Equity and Liabilities' side of the Balance sheet. | ****** |

**Example 04:**

**Model: Minority interest**

From the following, prepare consolidated balance sheet of H Ltd. and its subsidiary S Ltd.

| Particulars | Rs. | Rs. |
|---|---|---|
| **Equities & Liabilities** | | |
| **Share capital:** | | |
| Shares of Rs.10 each | 5,00,000 | 3,00,000 |
| Other Liabilities | 1,40,000 | 20,000 |
| Total | 6,40,000 | 3,20,000 |
| **Assets:** | | |
| Sundry Assets | 4,00,000 | 3,20,000 |
| Investment in Shares of S Ltd. 24000 shares of Rs.10 each | 2,40,000 | |
| Total | 6,40,000 | 3,20,000 |

**Notes:**

1. This partly owned subsidiary company H Ltd. owns to the extent:

   Issued capital of S Ltd. Rs. 3,00,000

   Owned as investment in shares of S Ltd. Rs.2,40,000

   $\therefore$ proportionate share $\frac{\text{Rs. } 2{,}40{,}000}{\text{Rs. } 3{,}00{,}000} \times 100 = 80\%$

2. Outside shareholders share $= (100 - 80)\% = 20\%$

   $\therefore$ value of minority interest $= 20\%$ of Rs. 3,00,000

   = Rs. 60,000

   This amount may be shown in either of the following two ways:

   (i) As a separate item under the head 'Minority Interest'

   (ii) Along with share capital of holding company

3. As in this problem, no items relating to capital reserve profit and loss; revenue reserve profit and loss or P&L A/c balance is given - Minority interest is computed straight away in Notes 1 and 2.

**Solution:**

**Consolidated Balance Sheet of**
**H Ltd. & S Ltd.**
**as on ......**

| Particulars | Amount (Rs.) | Amount (Rs.) |
|---|---|---|
| **I. EQUITIES AND LIABILITIES** | | |
| 1. Shareholders' funds | | |
| (a) Share Capital -50,000 shares of Rs. 10 each (H Ltd. only) | | 5,00,000 |
| 2. Non-current liabilities | | |
| Minority Interest | | 60,000 |
| 3. Other Liabilities | 1,40,000 | |
| H Ltd. | 20,000 | 1,60,000 |
| S Ltd. | | |
| **Total** | | **7,20,000** |
| **II. ASSETS** | | |
| Sundry Assets | | |
| H Ltd. | 4,00,000 | |
| S Ltd. | 3,20,000 | 7,20,000 |
| **Total** | | **7,20,000** |

**Important Terms**

| | |
|---|---|
| **Date of Acquisition** | Date of acquisition refers to the date on which the relationship of holding company and subsidiary company comes into existence. |
| **Pre-acquisition Period** | Pre-acquisition period refers to the period beginning with the date of beginning of current accounting period and ending with the date immediately preceding the date of acquisition of majority shares by holding company. |
| **Post-acquisition Period** | Post-acquisition period refers to the period beginning with the date of acquisition of majority shares by the holding company and ending with the date on which the current accounting year ends. |
| **Pre-acquisition Profits and Reserves** | Pre-acquisition Profits and Reserves refer to the undistributed portion of the Profits earned and Reserves created upto the date immediately preceding the date of acquisition of majority shares by holding company. |
| **Post-acquisition Profits and Reserves** | Post-acquisition Profits and Reserves refer to the undistributed portion of the Profits earned and Reserves created on/after the date of acquisition of majority shares by holding company. |
| **Share of Holding Company** | Share of Holding Company is calculated as follows: **No. of Shares held by holding Co./Total No. of Shares of Subsidiary Co. × 100** |
| **Minority** | Minority refers to the outside shareholders (i.e., Shareholders other than holding company and its another subsidiary) holding shares in the subsidiary company and Share of Minority is calculated as follows: **No. of Shares held by Minority/Total No. of Shares of Subsidiary Co. × 100** |

## J. CONTENTS AND FORMAT OF CONSOLIDATED PROFIT AND LOSS ACCOUNT

While preparing the Consolidated Profit and Loss Account of the holding company and its subsidiary, the items appearing in the Profit and Loss Account of the holding and subsidiary companies have to be aggregated. But in doing so, the following adjustments have to be made:

a. Transfer of goods between the holding company and the subsidiary company should be eliminated both from the purchases and sales appearing in the Consolidated Profit and Loss Account.

b. Stock Reserve for unrealised profit in respect of inter-company transactions should be created by debiting Consolidated Profit and Loss Account and crediting Stock Reserve Account.

c. The share of profits of the subsidiary company arising before the date of acquisition of shares by the holding company that belongs to the holding company will be debited to the Consolidated Profit and Loss Account and credited to Capital Reserve or Goodwill Account as the case may be. In case of loss the entry will be just reversed.

d. The share of profits or losses belonging to the minority shareholders will be respectively credited or debited to Minority Interest Account.

e. Dividends received from the subsidiary company by the holding company should be eliminated from both the sides of the Consolidated Profit and Loss Account.

f. Care should be taken to see that both the companies pass entries for interest accrued and outstanding on debentures of the subsidiary company held by the holding company. The debenture interest should be eliminated from both the sides of the Consolidated Profit and Loss Account to the extent to which it relates to the debentures held by the holding company.

g. If the subsidiary company has passed entries for proposed dividend and the holding company has taken credit for its shares of the dividends, the holding company's share should be eliminated from both the sides of the Consolidated Profit and Loss Statement. The necessary changes should also be made on both the sides of the Consolidated Balance Sheet. However, if the holding company has not passed entries for proposed dividends of the subsidiary company, the debit in respect of the proposed dividend should be reduced by the holding company's share in such proposed dividend and obviously. the liability in respect of proposed dividend in the Consolidated Balance Sheet should also be reduced.

h. If there are profits and the dividends on cumulative preference shares are in arrears, the arrears of dividends on preference shares held by the Minority shareholders should be debited to the Consolidated Profit and Loss Account and credited to Minority Interest Account.

i. If fixed assets of the subsidiary company are revalued at the time of acquisition of shares by the holding company without any alteration in book-values, the excess or short depreciation should be adjusted by debiting or crediting the Consolidated Profit and Loss Account and crediting or debiting the respective Asset Account

j. The minority interest will consist of its proportion of total profits after adjustment of excess or short depreciation due to over or under valuation of fixed assets, but before adjusting the proportionate unrealised profit on stock.

It is important to note here that the consolidated Profit and Loss Statement has got no concern with the Consolidated Balance Sheet. It is prepared in addition to the Consolidated Balance Sheet to serve the purpose of showing the total profits earned by the group of companies for a particular period.

**PROFIT AND LOSS ACCOUNT**

| Particulars | Note No. | Figures for the Current Reporting period | Figures for the Previous Reporting period |
|---|---|---|---|
| I Revenue from operations | | | |
| II Other Income | | | |
| **III Total Revenue (I + II)** | | | |

| | | | |
|---|---|---|---|
| IV Expenses:<br>Cost of materials consumed<br>Purchases of Stock-in-Trade<br>Changes in inventories of finished goods<br>Employee benefits expense<br>Finance costs<br>Depreciation and amortization expense<br>Other expenses<br>**Total expense** | | | |
| V Profit before exceptional and extraordinary items and tax (III-IV) | | | |
| VI Exceptional items | | | |
| VII Profit before extraordinary items and tax (V-VI) | | | |
| VIII Extraordinary items | | | |
| IX Profit before tax (VII-VIII) | | | |
| X Tax expense: Current tax Deferred tax | | | |
| XI Profit (Loss) for the period from continuing operations | | | |
| XII Profit/(Loss) from discontinuing operations (before tax) | | | |
| XIII Tax expense of discontinuing operations | | | |
| XIV Profit/(Loss) from discontinuing operations (after tax) (XII-XIII) | | | |
| XV Earning per equity share:<br>Basic<br>Diluted | | | |

In Consolidated Financial Statements, the following shall be disclosed by way of additional information:

| Name of the entity in the | Net Assets, i.e., total assets minus total liabilities | | Share in profit or loss | |
|---|---|---|---|---|
| | As % of consolidated net assets | Amt | As % of consolidated profit or loss | Amt |
| 1 | 2 | 3 | 4 | 5 |
| Parent Subsidiaries Indian<br>1.<br>2.<br>3.<br>Foreign<br>1.<br>2.<br>3.<br>Minority Interests in all subsidiaries<br>Associates | | | | |

| | | | | |
|---|---|---|---|---|
| (Investment as per the equity method)<br>Indian<br>1.<br>2.<br>3.<br>Foreign<br>1.<br>2.<br>3. | | | | |
| Joint Ventures (as per proportionate consolidation/ investment as per the equity method)<br>Indian<br>1.<br>2.<br>3.<br>Foreign<br>1.<br>2.<br>3.<br>**TOTAL** | | | | |

1. All subsidiaries, associates and joint ventures (whether Indian or foreign) will be covered under consolidated financial statements.
2. An entity shall also disclose the list of subsidiaries or associates or joint ventures which have not been consolidated in the consolidated financial statements along with the reasons of not consolidating.

| Terms | Meaning |
|---|---|
| (i) Date of acquisition | Date of acquisition refers to the **date on which the relationship** of holding company/ parent and subsidiary company comes into existence. |
| (ii) Pre-acquisition | Pre-acquisition period refers to the period beginning with the **date of beginning of the current accounting period and ending with the date immediately preceding** the date of acquistion of majority equity shares* by the holding company/parent**. |
| (iii) Post-acquisition | Post-acquisition period refers to the period beginning with the **date of acquisition of majority equity shares*** by the holding company/parent** and ending with the date on which the current accounting period ends. |

**Let's discuss context of asterisk ***

- **Pre-acquisition profits***** and reserves refer to the undistributed portion of profits and reserves earned and created up to the date immediately preceding the date of acquisition of majority equity shares" by the holding company/parent**.
- **Post-acquisition profits***** and reserves refer to the undistributed portion of profits and reserves earned and created on or after the date of acquisition of majority equity shares" by the holding company/parent**.

The share of holding company and minority interest is calculated as under:

**Share of holding company/parent = (No. of equity shares held by the holding company/Total number of equity shares in subsidiary company) × 100**

**Minority/Non-controlling interest (No. of equity shares held by minority/Total number of equity shares in subsidiary company) × 100**

*Equity shares' may alternatively be termed as **'Equity interests'** or Ordinary shares also as per Indian Accounting Standards (Ind ASs)/International Financial Reporting Standards (IFRSs).

**The term 'Holding company' is used by the Companies Act, 2013 and the term 'Parent' is used by the AS 21/Ind AS 110/IFRS 10. However, both the terms mean the same thing.

*** In the absence of any information to the contrary, the profits of a year are treated as accruing form day to day on a uniform basis.

**Summary of Treatment of pre-acquisition profits (or losses) and reserves and post-acquisition profits (or losses) and reserves in a summarized form:** After computation of these figures by means of analysis of profits of the subsidiary as above, treat the same as under:

| Item | Holding company's share | Minority |
|---|---|---|
| **Pre-acquisition profits (or losses) and Reserves (capital profits)** | Holding company's share will be added to (or in the case of losses deducted from) the paid-up value of shares presently held by the holding company in the subsidiary company so as to calculate the holding company's share in the net assets of the subsidiary company. | The Share of minority will be added to (or in the cases of losses deducted from) the paid-up value of shares presently held by the minority in the subsidiary company so as to calculate the Minority Interest. |
| **Post-acquisition profits (or losses) and reserves (Revenue profits)** | Holding company's share in the profit of the subsidiary will be added to (or in the case of losses deducted from) the profit and Loss A/c of the holding company. Holding company's share in the reserves shall be added to the reserves of the holding company. | The Minority share in the post-acquisition profits and reserves shall be added to (or in the case of losses deducted from) the paid-up value of shares held by the minority in the subsidiary company so as to calculate the Minority Interest. |

**Note:** It may be observed that whether the profit and surpluses and losses of subsidiary are pre-acquisition or post-acquisition matters only in the case of holding company because the treatment for holding company diff depending on whether these pre-or post. However, it does not make any difference for the minority interest at all because all the profit and reserves whether pre-or post are included in the minority interest.

**Example 05:**

**Model: Pre-acquisition profit/reserves**

From the following information, prepare a consolidated balance sheet

**Balance sheet**

**As on 31 December 2022**

| Particulars | H Ltd. (Rs.) | S Ltd. (Rs.) |
|---|---|---|
| **I. Equities & Liabilities** | | |
| Share Capital | 2,00,000 | 1,00,000 |
| Shares of Rs.10 each Reserves | 50,000 | 20,000 |
| Profit & Loss A/c | 20,000 | 10,000 |
| Creditors | 30,000 | 20,000 |
| **Total** | **3,00,000** | **1,50,000** |

| | | |
|---|---|---|
| **II. Assets** | | |
| Sundry Assets | 2,20,000 | 1,50,000 |
| Investments | 80,000 | |
| 6,000 Shares of S Ltd | | |
| **Total** | **3,00,000** | **1,50,000** |

H Ld. Acquired its shares in S Ltd. on 1 January 2022 when reserves of S Ltd. stood at Rs.4,000 and its profit and loss account (Cr.) was Rs.5,000

**Solution:**

**Basic Calculations:**

1. Calculation of H Ltd's share in capital profit and reserve:

   **Step 1:** Ratio of Equity Acquired and Held by Minority Interests:

   Total number of shares = Rs. $\frac{1,00,000}{10}$ = 10,000 Shares

   Number of shares acquired by H Ltd. 6,000 Shares

   Number of shares held by minority interest by H Ltd. = 4,000 Shares

   ∴ Ratio of Shares Acquired and Held by Minority Interest 6,000: 4,000

   or 6: 4 or 3:2

| | Rs. |
|---|---|
| **Step 2:** Shares in Pre-acquisition profit: 3/5 × Rs. 5,000 = | 3,000 |
| Share in Pre-acquisition reserves: 3/5 × Rs. 4,000 = | 2,400 |
| **Step 3:** Total amount to be transferred to capital reserve or to be adjusted against goodwill | 5,400 |

2. Calculation of Goodwill

| | Rs. |
|---|---|
| **Step 1:** Investment in shares of S Ltd. | 80,000 |
| **Step 2:** Less: Face Value of Shares Held (6,000 × Rs.10) | (60,000) |
| | 20,000 |
| **Step 3:** Less: Company's share of Pre-acquisition profit & reserve | (5,400) |
| (Ref: Basic calculation 1 step 3) i.e. capital reserve: | 14,600 |

3. Calculation of H Ltd's Share in Revenue Profit & Reserves:

| | | |
|---|---|---|
| (i) | Balance in Reserve Account (Given): | 20,000 |
| | **Less:** Pre-acquisition Reserve (Given): | 4,000 |
| | ∴ Post-acquisition Reserve: | 16,000 |
| | of this, H Ltd.'s Share = $\frac{3}{5}$ × Rs.16,000 = | 9,600 |
| (ii) | Balance in P&L A/c (Given): | 10,000 |
| | **Less:** pre-acquisition profit (Given): | (5,000) |
| | ∴ Post-acquisition profit: | 5,000 |
| | Of this, H Ltd.'s share = $\frac{3}{5}$ × Rs.5,000 = | 3,000 |

4. Computation of Minority Interest:

| | | |
|---|---|---|
| (i) | Nominal value of equity shares held: | |
| | 4,000 shares (10,000-H Ltd.'s acquisition 6,000) × Rs.10 | 40,000 |

(ii) Share: $\frac{2}{5}$ i.e. minority shareholder's share

Their share in reserve: - $\frac{2}{5} \times$ Rs.20,000 = 8,000

Share in profit = $\frac{2}{5} \times 10{,}000 =$ 4,000

52,000

**Consolidated Balance Sheet of**
**H Ltd. and Its Subsidiary S Ltd.**
**As on 31 December 2022**

| I. EQUITIES AND LIABILITIES | | Amount (Rs.) |
|---|---|---|
| 1. Shareholders' funds | | |
| (a) Share Capital: 20000 shares of Rs. 10 each | | 2,00,000 |
| (b) Reserve & surplus | | |
| General Reserve H Ltd. | 50,000 | |
| Shares in S Ltd. | 9,600 | 59,600 |
| P & LA/c of H Ltd. | 20,000 | |
| Share in S Ltd. | 3,000 | 23,000 |
| 1. Minority Interest | | 52,000 |
| 2. Other Liabilities | | |
| H Ltd. | 30,000 | |
| S Ltd. | 20,000 | 50,000 |
| **Total** | | **3,84,600** |
| **II. ASSETS** | | |
| 1. Sundry Assets | | |
| H Ltd. | 2,20,000 | |
| S Ltd. | 1,50,000 | 3,70,000 |
| Goodwill | | 14,600 |
| **Total** | | **3,84,600** |

## K. ELIMINATION OF INTER-COMPANY BALANCES AND AMOUNTS

| Sr. No. | Details | Adjustments |
|---|---|---|
| a. | **Elimination of the cost to the parent of its investment in subsidiary and the parent's portion of equity in subsidiary** | The terms **'Parent'** and **'Holding company'** are same and the terms **'Subsidiary'** and **'Subsidiary company'** are also same. The investment of holding company in subsidiary is presented under the sub-head **'Non-current investments'** under the main head 'Non-current assets' on the Assets side of the holding company's Balance Sheet. The parent' portion of equity in subsidiary is shown under 'Share Capital' of the subsidiary's Balance sheet. Both are eliminated I.e. cancelled for preparing Consolidated Balance Sheet otherwise it will mean that the same company can make investment in the share capital of its own company which is completely illogical. Similarly, if the subsidiary company has investment in the holding company's equity (which is possible only before it became a subsidiary), the represented portion of the equity of holding company and the corresponding investment of the subsidiary company should also be eliminated. |

| | | |
|---|---|---|
| **b.** | **Elimination of unrealized profit on assets transferred between the holding company and subsidiary company** | If any current or non-current asset is sold by one company to another company within the group i.e. the current or non-current asset is sold by the holding company to the subsidiary company or by the subsidiary company to the holding company at a profit, there may be two situations as under:<br>The buying company has sold the whole of such asset bought at a profit from the selling company till the end of the accounting year. In such a case, the question of elimination of the unrealized profit from the asset does not arise because there is no unsold asset as such with the buying company.<br>The buying company has not sold the entire asset bought at a profit from the selling company till the end of the accounting year: In such a case, the unrealized profit on such unsold asset must be eliminated. The elimination should be done by debiting the Profit and Loss Account of the holding company and crediting the concerned asset by the amount of unrealized profit.<br>It must be noted that if the asset under consideration is the depreciable fixed asset (i.e. the item of property, plant and equipment), the amount of unrealized profit should be computed only after providing for depreciation.<br>Note: It does not make any difference which company in the group is the buyer and which company in the group is the seller. Calculation of **'Minority interest'** and **'Goodwill/Capital Reserve on consolidation'** is not in any way affected by the elimination of unrealized profit. |
| **c.** | **Elimination of unrealized loss on assets transferred between the holding company and subsidiary company** | If the asset sold by one entity to another entity within the group at a loss is sold by the buying entity fully, there is no question of elimination of unrealized loss on the unsold asset. However, when such asset bought remains with the buyer entity within the group either wholly or partly, then the unrealized loss on such unsold asset may or may not be eliminated as per the situation discussed as under:<br>Unrealized losses resulting from intra group transactions should be eliminated only if cost can be recovered. It means that if the cost cannot be recovered by selling the asset, the unrealized loss should not be eliminated.<br>If the unrealized loss is to be eliminated, the same is eliminated by debiting the concerned Asset A/c and crediting the Profit and Loss A/c of the holding company.<br>**Note:** It does not make any difference which company in the group is the buyer and which company in the group is the seller. Calculation of **'Minority interest'** and **'Goodwill/Capital Reserve on consolidation'** are not in any way affected by the elimination of unrealized loss. |
| **d.** | **Elimination of intra-group balances** | Intra group balances should also be eliminated. The following may be the examples of intra group balances:<br>1. Loan advanced by one company and taken by another company within the group:<br>2. Debtors and creditors within the group:<br>3. Bills receivable and bills payable within the group;<br>4. Debentures shown on the Equity and Liabilities side of one company and investment in those debentures shown on the assets side of another company within the group;<br>5. Prepaid expenses of one company and Income Received in Advance of another company within the group;<br>6. Outstanding Expenses of one company and Accrued Income of another company within the group. |

| | | |
|---|---|---|
| e. | **Adjustment of remittance-in-transit** | The holding company may be the debtor of the subsidiary company or the subsidiary company may be the debtor of the holding company within the group. The debtor company may send cash to the creditor company but the same may not be received by the creditor company by the end of the accounting year. In such a case, the debtor company must have debited the 'Creditors A/c' in its books at the time of sending cash. However, the creditor company did not credit the **'Debtors A/c'** and did not debit its **'Cash/Bank A/c'** because it did not receive the said cash by the end of the accounting year. Hence, in the CBS, the **'Debtors A/c'** of the recipient company should be reduced and **'Cash/Bank A/c'** should be increased by the amount of remittance-in-transit. What applies to debtors and creditors may apply to any other inter-company balances also. |
| f. | **Treatment of debentures of Subsidiary Company held by holding company** | The debentures of subsidiary company will be added with the debentures of holding company. However, if some debentures of subsidiary company are held by the holding company, then the paid-up value of such debentures held will be eliminated from the aggregate of debentures of both the companies to be shown on the **'Equity and Liabilities'** side of the consolidated balance sheet. Further, the cost of investment of holding company in such debentures will be eliminated from the aggregate of investment to be shown on the assets side of the consolidated balance sheet. The difference between the cost of investment of the holding company in such debentures and the paid-up value of such debentures of subsidiary company will be either profit or loss on debentures held which will be added to or deducted from the balance of profit and Loss Account of the holding company to find out the closing balance of consolidated profit and Loss account of the holding company to be taken to consolidated balance sheet. For this purpose, if the cost of investment in debentures is more than the paid-up value of debentures, the difference between the two is loss and in the reverse case, the difference between the two is profit. |
| g. | **Treatment of debentures of holding company held by subsidiary company** | The paid-up value of debentures and cost of investment will be eliminated as above. The difference between the paid-up value of debentures and the cost of investment of subsidiary will be taken in the analysis of profits of subsidiary<br>**Note:** The aforesaid intra group amounts are eliminated by deducting the intra group items from the aggregate amounts of the respective items on both the sides of the balance sheet. |
| h. | **Elimination of mutual contingent liabilities** | Contingent liability in respect of bills drawn by holding company/subsidiary company upon subsidiary company/holding company and discounted is eliminated. For example. Suppose H Ltd. is the holding company and S Ltd. is the subsidiary company. H Ltd. may draw a bill on S Ltd and hence the bill is 'Bills receivable' for H Ltd. and is the Bills Payable for S Ltd. In such a case, if H Ltd. discounts the bills receivable with the third party, say, Bank, the contingent liability of H Ltd. and S Ltd. in respect of bills discounted should be added and from the total, the bills accepted by S Ltd. which have been discounted by H Ltd. should be deducted as a mutual contingent liability. The same process will be adopted if S Ltd. has drawn a bill upon H Ltd. and the said bills have been discounted by S Ltd. with the third party. Thus, for Notes to Accounts to the CBS,<br>**Contingent liabilities for CBS** Total contingent liabilities-internal contingent liabilities (i.e. the contingent liabilities which exist only between the holding company and subsidiary company).<br>Thus, the formula for contingent liabilities for bills receivable may be written as under:<br>**Contingent liabilities for Bills receivable (for Notes to Account to CBS)** = Bills receivable drawn and discounted by holding company + Bills receivable drawn and discounted by subsidiary company-Bills receivable drawn by holding company upon subsidiary company and discounted-Bills receivable drawn by subsidiary company upon holding company and discounted. |

**Presentation of items in the Consolidated Balance Sheet based on the elimination of inter-company amounts and balances:** In the CBS, some items appear on the **aggregate basis (with or without elimination of the intra group amount)** and some items appear on **individual basis belonging to Holding Company only.**

The list of items appearing on aggregate basis and those appearing on individual basis may be given as under:

| Items which appear on aggregate basis subject to elimination of intra group amount and unrealized profit | Items which appear on individual basis i.e. the items which belong to holding company only |
|---|---|
| (i) Current liabilities<br>(ii) Non-current liabilities<br>(iii) Current assets<br>(iv) Non-current assets: e.g. Tangible fixed assets, intangible fixed assets, capital work-in-progress, intangible assets under development, non- current investments, long term loans and advances<br>(v) "Contingent liabilities and commitments (shown in the form of a note outside the consolidated balance sheet) le. total contingent liabilities- internal contingent liabilities<br>(vi) Proposed Dividend and Dividend Distribution tax thereon | (i) Share Capital<br>(ii) Reserves and surplus<br>(iii) Dividend payable<br>(iv) Other non-current assets (like discount on Issue of shares, underwriting commission, unamortized borrowing costs etc.) |

## L. CONSOLIDATION ADJUSTMENTS

### REVALUATION OF ASSETS OF SUBSIDIARY COMPANY

It may be possible that the fair value of the assets of the subsidiary may be different from the book value. Hence, the parent may choose to perform a revaluation of the assets of the subsidiary for the purposes of consolidation. It may be noted that such revaluation is not performed in the standalone/separate financial statements of the subsidiary. The profit or loss on revaluation of fixed assets of subsidiary should also be treated as capital profit or loss. But if the fall in the value of the asset occurs after the date of acquisition, the loss should be treated as revenue loss. Adjustment for depreciation would be made in the profit and loss account of the subsidiary.

Depreciation on changed value of the assets shall be given effect to. Depreciation on revalued assets will be taken as capital or revenue depending on the period for which the depreciation belongs to. Hence the period for depreciation is important to be considered.

**Property, Plant and Equipment (PPE)**

**Initial Recognition**

Fair Value (-) Carrying Amount

(As on the date of acquisition

PPE A/c Dr. XXX

To **Pre**- P/L A/c XXX

(In case of upward revaluation)

**Pre**-P/L A/c Dr. XXX

To PPE A/c XXX

(In case of downward revaluation)

**Subsequent Measurement**

Additional Depreciation would arise in case of initial upward or Reversal of excess depreciation would arise in case of initial downward valuation.

**Post** P/L A/c Dr. XXX

To PPE A/c XXX

(Additional depreciation)

PPE A/c Dr. XXX

To **Post** P/L A/c XXX

(Reversal of excess depreciation)

1. The above entries are not recorded in the standalone books of either the subsidiary or the parent. These entries are only for understanding the impact in the consolidated financial statements and as such, only the effect of such entries will appear in the consolidated financial statements (and not the standalone / separate financial statements).
2. It is presumed that the subsidiary does not follow the revaluation model for accounting of fixed assets. If it had to follow, then the standalone balance sheet of the subsidiary would already contain the impact of the revaluation.

**The debit/credit on account of revaluation could alternatively be taken to the Revaluation Reserve or the P/L depending on whether it is a first-time upward / downward revaluation. However, as ultimately the reserves have to be analyzed between pre- and post-acquisition for the purposes of consolidation, the nature of reserves is irrelevant.**

**Example 01:**

H Ltd. acquires 70% of the equity shares of S Ltd. on 1.1.20X1. On that date, paid up capital of S Ltd. was 10,000 equity shares of ₹10 each; accumulated reserve balance was ₹1,00,000. H Ltd. paid ₹1,60,000 to acquire 70% interest in the S Ltd. Assets of S Ltd. were revalued on 1.1.20X1 and a revaluation loss of ₹20,000 was ascertained.

**Solution:**

The book value of shares of S Ltd. is calculated as shown below:

| | ₹ |
|---|---|
| 70% of the Equity Share Capital ₹1,00,000 | 70,000 |
| 70% of Accumulated Reserve ₹1,00,000 | 70,000 |
| 70% of Revaluation Loss ₹20,000 | (14,000) |
| | 1,26,000 |

So, H Ltd. paid a positive differential of ₹34,000 i.e. ₹ (1,60,000 – 1,26,000). This differential is called goodwill and is shown in the balance sheet under the head intangibles.

**Example 02:**

A Ltd. acquired 70% interest in B Ltd. on 1.1.20X1. On that date, B Ltd. had paid-up capital of ₹1,00,000 consisting of 10,000 equity shares of ₹10 each and accumulated balance in reserve and surplus of ₹1,00,000. On that date, assets and liabilities of B Ltd. were also revalued and revaluation profit of ₹20,000 was calculated. A Ltd. paid ₹1,30,000 to purchase the said interest.

**Solution:**

In this case, the book value of Shares of B Ltd. is calculated as shown below:

| | ₹ |
|---|---|
| 70% of the Equity Share Capital ₹1,00,000 | 70,000 |
| 70% of Reserves and Surplus ₹1,00,000 | 70,000 |
| 70% of Revaluation Profit ₹20,000 | 14,000 |
| | 1,54,000 |

In this case, a negative differential of ₹24,000 arises i.e. (1,54,000 – 1,30,000) which is called and presented as capital reserve.

**Example 03:**

H Ltd. acquired 16,000 equity shares of ₹10 each, in S Ltd. on October 1, 20X1 for ₹3,06,800. The profit and loss account of S Ltd. showed a balance of ₹10,000 on April 1,20X1. The plant and machinery of S Ltd. which stood in the books at ₹1,50,000 on April 1,20X1 was considered worth ₹1,80,000 on the date of acquisition.

The information of the two companies as at 31-3-20X2 was as follows:

| | H Ltd.(₹) | S Ltd. (₹) |
|---|---|---|
| Shares capital (fully paid equity shares of ₹10 each) | 5,00,000 | 2,00,000 |
| General reserve | 2,40,000 | 1,00,000 |
| Profit and loss account | 57,200 | 82,000 |
| Current Liabilities | 1,69,800 | 33,000 |
| Land and building | 1,80,000 | 1,90,000 |
| Plant and machinery | 2,40,000 | 1,35,000 |
| Investments | 3,06,800 | |
| Current assets | 2,40,200 | 90,000 |

**Solution:**

**Percentage of holding:**

| | | No. of Shares | Percentage |
|---|---|---|---|
| Holding Co. | : | 16,000 | (80%) |
| Minority shareholders | : | 4,000 | (20%) |
| TOTAL SHARES | : | 20,000 | |

**Impact of Revaluation of Plant and Machinery will be as -**

| | ₹ |
|---|---|
| Book value of Plant and Machinery as on 01-04-20X1 | 1,50,000 |
| Depreciation Rate $\frac{(1,50,000 - 1,35,000)}{1,50,000}$ = 15,000/1,50,000 X100 | 10% |
| Book value of Plant and Machinery as on 01-10-20X1 after six months depreciation @10% (1,50,000 – 7,500) | 1,42,500 |
| Revalued at | 1,80,000 |
| Revaluation profit (1,80,000 – 1,42,500) | 37,500 |
| Share of H Limited in Revaluation Profit (80%) | 30,000 |
| Share of Minority in Revaluation profit (20%) | 7,500 |
| Additional Depreciation on appreciated value to be charged from post-acquisition profits | |
| (10% of ₹1,50,000 for 6 months) + (10% of ₹1,80,000 for 6 months) less ₹15,000 (as already charged) | 1500 |
| Share of H Limited in additional depreciation that will reduce its share (80%) in post-acquisition profit by | 1,200 |
| Share of Minority Interest in additional depreciation | 300 |

**Example 04:**

**Model: Revaluation of assets-profit**

The following are the balance sheet of P Ltd., and its subsidiary Q Ltd., as at 31 March 2023:

| I. Equity and Liabilities | P Ltd. Rs. | Q Ltd. Rs. |
|---|---|---|
| Equity shares of Rs.100 Each | 16,00,000 | 4,00,000 |
| Profit & Loss A/c | 2,00,000 | 80,000 |
| External Liabilities | 30,00,000 | 19,20,000 |

| | | |
|---|---|---|
| **Total** | **48,00,000** | **24,00,000** |
| **II. Assets** | **P Ltd. Rs.** | **Q Ltd. Rs.** |
| Equipment | 10,00,000 | 3,80,000 |
| Investment: | | |
| 3,600 equity shares in Q Ltd. on 1 April 2010 | 5,60,000 | – |
| Other Assets | 32,40,000 | 20,20,000 |
| **Total** | **48,00,000** | **24,00,000** |

On 1 April 2022 P&L A/c of Q Ltd. showed a credit balance of Rs.32,000 and equipment of Q Ltd., was revalued by P Ltd., 20% above its book value of Rs.4,00,000 (but no such adjustment effected in the books of Q Ltd.) prepare the consolidated balance sheet as at 31 March 2023.

**Solution:**

**Calculations:**

| | | |
|---|---|---|
| **I.** | **Calculation of Pre-acquisition profits:** | **Rs.** |
| (i) | Balance on 1 April 2022 | 32,000 |
| (ii) | Share of P Ltd i.e. 90% × Rs.32,000 | 28,800 |
| (iii) | Minority Interest ((i) – (ii)) | 3,200 |
| **II.** | **Revaluation of Equipment:** | |
| (i) | Profit on revaluation (20% × Rs. 4,00,000) | 80,000 |
| (ii) | Share of P Ltd (i.e. 90/100 × 80,000) | 2,000 |
| (iii) | Minority share [(i) – (ii)] | 78,000 |
| **III.** | **Calculation of Additional Depreciation:** | |
| (i) | Book value on 1 April 2022 | 4,00,000 |
| (ii) | Less: Book value on 31 March 2023 | (3,80,000) |
| (iii) | Depreciation [(i) – (ii)] | 20,000 |
| (iv) | Rate of Depreciation = $\frac{20,000}{4,00,000} \times 100 = 5\%$ | |
| (v) | ∴ Additional Depreciation on Rs.80,000 | |
| | $5\% = \frac{5}{100} \times$ Rs.80,000 | 4,000 |
| **IV.** | **Calculation of Post-acquisition of profit:** | |
| (i) | Balance on 31 March 2023 | 80,000 |
| (ii) | Less: Balance on 31 March 2022 | (32,000) |
| | | 48,000 |
| (iii) | Less: Additional Depreciation (Ref: III) | (4,000) |
| (iv) | Less: Share of P. Ltd. × 44,000 | (39,600) |
| (v) | Minority Interest [(iii) – (iv)] | 4,400 |
| **V.** | **Calculation of Cost of Control:** | |
| (i) | Cost of Investment in share of Q Ltd. | 5,60,000 |
| (ii) | Less: Paid-up Capital Held | (3,60,000) |
| | | 2,00,000 |
| (iii) | Less: Capital Profit-Pre-acquisition | (28,800) |
| | | 1,71,200 |
| (iv) | Less: Revaluation of Equipment (Capital Profit) | (72,000) |
| | | **99,200** |

**VI. Computation of Minority Interest:**

| | | |
|---|---|---|
| (i) | Paid-up value of shares held | 40,000 |
| (ii) | Add: Share of Pre-acquisition profit: | 3,200 |
| | [Ref: I (iii) Le. $\frac{1}{10} \times 32{,}000$] | 43,200 |
| (iii) | Add: Share of Profit on Revaluation | |
| | [Ref: II (iii) i.e. $\frac{1}{10} \times$ Rs.80,000] | 8,000 |
| | | 51,200 |
| (iv) | Add: Share of Post-acquisition profit | 4,400 |
| | [Ref: IV (v) i.e. $\frac{1}{10} \times$ Rs.44,000) | 55,600 |

**Consolidated Balance Sheet of P Ltd. and its Subsidiary Q Ltd. as on 31 March 2022**

| I. EQUITIES AND LIABILITIES | | Amount (Rs.) |
|---|---|---|
| 1. Shareholders' funds | | |
| a. Share Capital: | | |
| 16000 shares of Rs. 100 each | | 16,00,000 |
| b. Reserve & surplus | | |
| General Reserve | | |
| P Ltd. | 2,00,000 | |
| P & L A/c | 39,600 | 2,39,600 |
| Share in Q Ltd. | | 55,600 |
| 2. Minority Interest | | |
| 3. Other Liabilities | | |
| P Ltd. | 30,00,000 | |
| Q Ltd. | 19,20,000 | 49,20,000 |
| **Total** | | **68,15,200** |
| **II. ASSETS** | | |
| 1. Fixed Assets | | |
| P Ltd. | 10,00,000 | |
| Q Ltd. | 4,80,000 | |
| | 14,80,000 | |
| Depreciation 5% on 4,80,000 | 24,000 | 14,56,000 |
| Goodwill | | 99,200 |
| 2. Other Assets | 32,40,000 | |
| P Ltd. | 20,20,000 | 52,60,000 |
| Q Ltd. | | |
| **Total** | | **68,15,200** |

## M. BONUS SHARES ISSUED BY SUBSIDIARY COMPANY

| Situation | Treatment |
|---|---|
| **a. Accounting effect of bonus issue already given in the books of subsidiary** | If Accounting effect has already been given by subsidiary in its books, nothing will be done further. If the problem on hand only states that during the year, bonus shares have been issued and does not state anything as to whether the accounting entry for the said bonus issue has been passed or not, it is presumed that the accounting entry for the said bonus issue has been passed in the books. |
| **b. Accounting effect of bonus issue not given in the books of subsidiary** | In such a case, the following pieces of work will be done:<br>1. The balance of profits and reserves out of which bonus shares have been issued should be reduced by passing the following entry:<br>General Reserve A/c/ P&L A/c Dr.<br>To Equity Share Capital A/c<br>**Note:** Normally, if nothing is mentioned in the problem as to whether general reserve has been used or P&L A/c has been used for issue of bonus shares, the first preference should go in favour of the use of general reserve and the second one in favour of the use P&L A/c.<br>2. The paid-up value of bonus shares allotted to the minority after the date of acquisition should be added to the paid-up value of equity shares held by the minority.<br>The paid-up value of bonus shares allotted to the holding company after the date of acquisition must be added to the paid-up value of equity shares held by the holding company.<br>**Note:** As usual, no entry is passed in the books of the holding company (or for that in the books of any recipient company) for the receipt of bonus shares. |

**Example:**

**Model: Bonus shares issued out of revenue profits**

The summarized balance sheet of H Ltd. and S Ltd. as on 31 December 2022 are as follows:

| **Equity and Liabilities** | **H Ltd. Rs.** | **S Ltd. Rs.** |
|---|---|---|
| Share capital: | | |
| Share of Rs.10 each | 15,00,000 | 3,00,000 |
| Reserves | 2,40,000 | 90,000 |
| Profit & Loss A/c | 1,80,000 | 1,20,000 |
| **Total** | **19,20,000** | **5,10,000** |
| Assets | | |
| Sundry Assets | 15,00,000 | 5,10,000 |
| 24,000 shares in S Ltd. | 4,20,000 | |
| **Total** | **19,20,000** | **5,10,000** |

S Ltd. had reserves of Rs.90,000 when H Ltd. acquired the shares in S Ltd. but the P&L A/c balance of S Ltd. was fully earned after the purchase of shares.

S Ltd. decided to issue bonus shares out of the post-acquisition profit in the ratio of 2 shares for every S shares held.

Calculate the cost of control before the issue of bonus shares and after the issue of bonus shares.

**Solution:**

| Particulars | Amount (Rs.) |
|---|---|
| **I: Calculation of Cost of Control before the issue of Bonus Shares:** | |
| **Step 1:** Amount paid by H Ltd. in purchase of shares in S Ltd | 4,20,000 |
| **Step 2:** Less: Face value of shares acquired 24,000 × Rs.10 | (2,40,000) |
| | 1,80,000 |
| **Step 3:** Less: H Ltd's share of capital profits 90,000 × $\frac{8}{10}\left(\text{or } \frac{4}{5}\right)$ | (72,000) |
| **Step 4:** Cost of Control/Goodwill | 1,08,000 |
| **II: Calculation of Cost of Control After the issue of Bonus Shares:** | **Rs.** |
| **Step 1:** Amount paid by H Ltd. for purchase of shares in S Ltd. | 4,20,000 |
| **Step 2:** Less: Face value of shares required (24,000 × Rs.10) | (2,40,000) |
| | 1,80,000 |
| **Step 3:** Less: H Ltd's share of capital profits 90,000 × 8/10 | (72,000) |
| | **1,08,000** |
| **Step 4:** Less: H Ltd's Share of Bonus (3,00,000 × $\frac{8}{10}\times\frac{2}{5}$) | (96,000) |
| **Step 5:** Cost of control/goodwill | 12,000 |

## N. DIVIDEND RECEIVED FROM SUBSIDIARY (IES)

As per AS 13, **'Accounting for Investments'**, interest, dividends and rentals receivables in connection with an investment are generally regarded as income, being the return on the investment.

However, in some circumstances, such inflows represent a recovery of cost and do not form part of income.

**Example:** When unpaid interest has accrued before the acquisition of an interest-bearing investment and is therefore included in the price paid for the investment, the subsequent receipt of interest is allocated between pre-acquisition and post-acquisition periods; the pre-acquisition portion is deducted from cost.

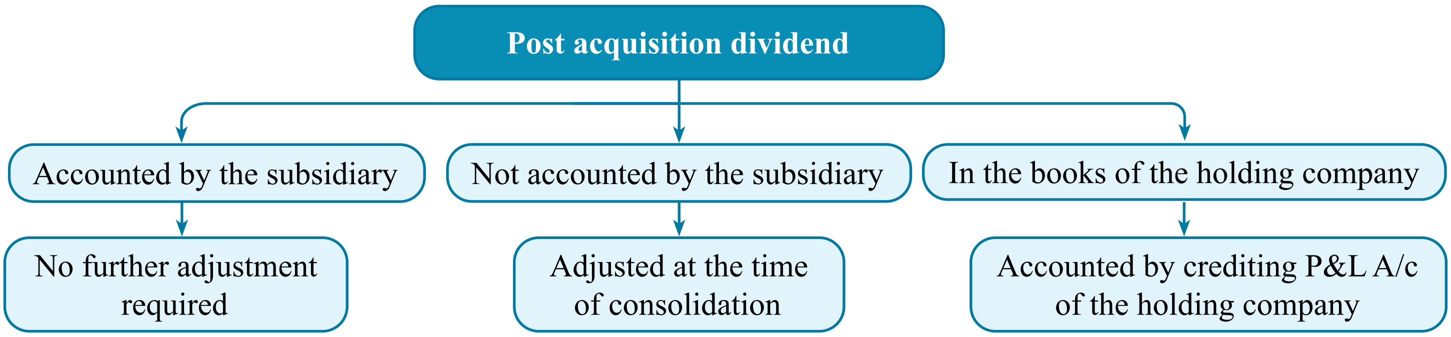
When dividends on equity are declared from pre-acquisition profits, a similar treatment (i.e. as mentioned above) may apply. If it is difficult to make such an allocation except on an arbitrary basis, the cost of investment is normally reduced by dividends receivable only if they clearly represent a recovery of a part of the cost.

When holding company receives dividend from a subsidiary company, it must distinguish between the part received out of capital profits (i.e. pre-acquisition profits) and revenue profits (i.e. post-acquisition profits); capital profits are credited to Investment account (being capital receipts) and revenue profits are credited to the Profit & Loss Account.

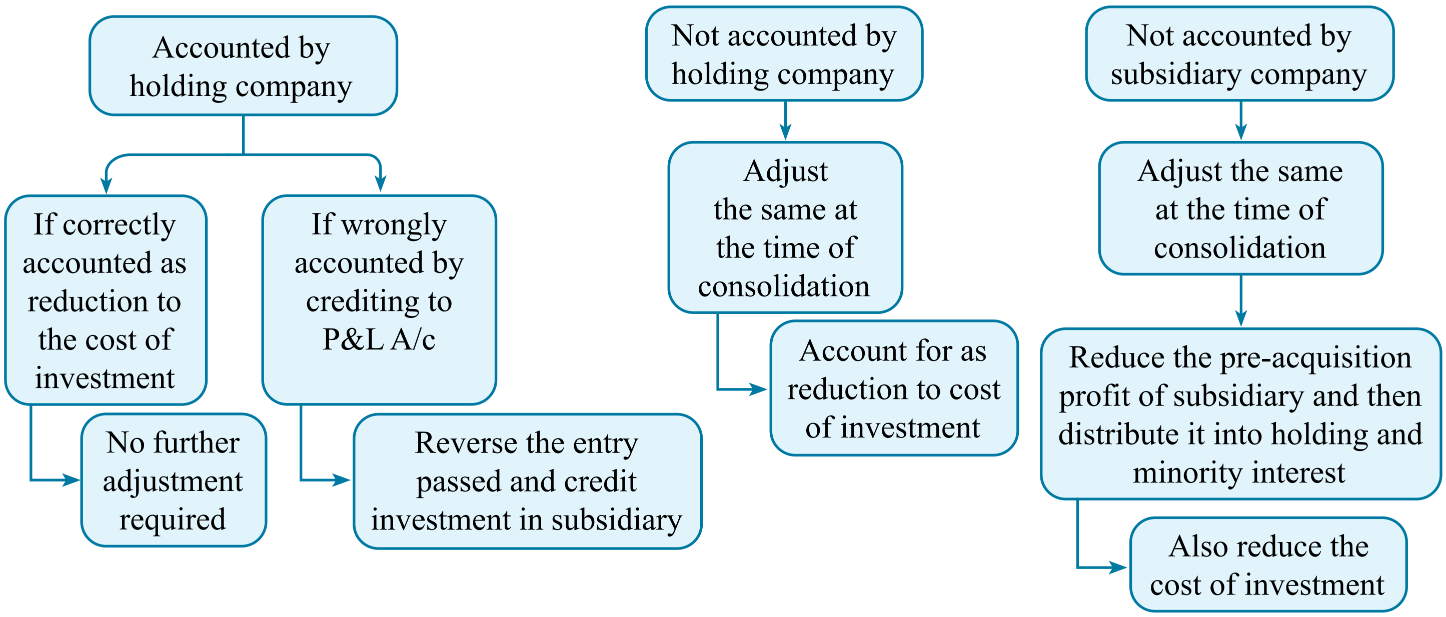
If the controlling interest was acquired during the course of a year, profit for that year must be apportioned into the pre-acquisition and post-acquisition portions, on the basis of time in the absence of information on the point.

It must be understood that the term **'capital profit'**, in this context, apart from the generic meaning of the term, connotes profit earned by the subsidiary company till the date of acquisition. As a result, profits which may be of revenue nature for the subsidiary company may be capital profits so far as the holding company is concerned.

**Treatment in case of post-acquisition dividend**




**Treatment in case of pre-acquisition dividend**




## TREATMENT OF DIVIDEND

1. **Treatment of dividend received:** Such dividend received may be either final dividend for the previous year paid by subsidiary during the current year or interim dividend paid by subsidiary for the current year during the current year. This point may be explained as under:

| | |
|---|---|
| **(a) Nature of dividend received** | The dividend received from the subsidiary company will be either capital dividend or revenue dividend. |
| **(b) Meaning of capital dividend and revenue dividend** | Capital dividend means the dividend which is received out of the pre-acquisition profits of the subsidiary. Revenue dividend means the dividend received out of post-acquisition profits of the subsidiary.<br>When information is given in the problem as to out of which profits dividend has been paid by subsidiary, the amount of capital dividend and revenue dividend may be easily determined. But, the problem may arise when such information is not given in the question. |
| **(c) What to do if information as to out of which profits Dividend is paid is not given in the problem?** | In such a case, either of the following two assumptions may be made:<br>**Assumption No. (a):** Dividend has been paid out of current year's profit: If it is assumed that dividend has been paid out of current year's profits and the dividend paid by subsiciary is more than current year's profits, then the excess of dividend paid over current year's profits should be assumed to be paid out of earlier year's profits. Accordingly, depending on the date of acquisition, the dividend shall be assumed to be paid out of pre-acquisition profits and post-acquisition profits. |

| | |
|---|---|
| | **Assumption No. (b):** Dividend has been paid out of earlier year's profits: If dividend is assumed to be paid out of earlier year's profits and the date of acquisition is in the current year, then the entire dividend will be treated as first paid out of earlier year's profits and the balance amount of dividend, if any, which is in excess of earlier year's profit shall be assumed to be paid out of current year's profits. Accordingly, depending on the date of acquisition, the dividend shall be assumed to be paid out of pre-acquisition profits and post-acquisition profits. |
| **(d) Treatment of capital dividend** | Capital dividend received by the holding company is deducted from its cost of investments in the equity shares of subsidiary company while computing goodwill/ capital reserve.<br>However, if capital dividend received by the holding company is already credited to its P&L A/c, the same will be rectified by the holding company by debiting its P&L A/c and crediting its 'Investments in equity shares in Subsidiary Company A/c'. Para 12 of AS 13 "Accounting for Investments" also requires, inter alia, that dividend on equity shares declared out of pre-acquisition profits is deducted from cost of investments.<br>**Note:** Capital dividend received by the minority requires no treatment. |
| **(e) Treatment of revenue dividend** | Revenue dividend received by the holding company is credited to its P&L A/c. Note: Revenue dividend received by the minority requires no treatment |

2. **Treatment of dividend on preference shares:** This point may be dealt with under two situations as under:

| Situation | Treatment |
|---|---|
| **(a) Preference dividend on non-cumulative pref. shares proposed by subsidiary during the current year** | This will be totally ignored for the consolidation for the year of proposal of dividend and hence will not be deducted from the profit for the analysis of profits of subsidiary. Subsidiary company will show the same by way of the notes to accounts to the CBS titled 'Proposed dividends and Corporate Dividend tax thereon' view of paragraph 14 of revised AS 4 as under:<br>'Dividend proposed to be distributed to preference shareholders for the year.... Rs. ........(Rs.... per share) Corporate dividend tax Rs......... |
| **(b) Pref. dividend on non-cumulative pref. shares declared by subsidiary during the current year** | This will be deducted from the profit of subsidiary in the year of declaration. Such dividend will be divided between the holding company and minority for the purpose of consolidation for the year of declaration. Holding company's share shall be divided between pre-acquisition and post-acquisition dividend and shall be dealt with by it accordingly. Minority share shall be added to the minority interest. |
| **(c) Preference dividend on cumulative pref. shares proposed by subsidiary during the current year** | **Case 1:** When some portion of cumulative preference shares is held by the minority: In such a case, para 27 of AS 21 will apply. Hence, the preference dividend will be deducted from the profit of subsidiary. The pref. dividend so deducted shall be divided between holding and minority. Holding company's share of such dividend will be divided between pre-and post- portion and will be dealt with accordingly. Minority's share of such dividend shall be added to the minority interest. The remaining balance of P&LA/c of the subsidiary shall be divided between the holding company and the minority. It may be carefully noted that the adjustment for the dividend on cumulative preference shares for the current year shall be made even if the subsidiary has a debit balance of P&LA/c in which case, the debit balance of P&L A/c in the books of subsidiary before such adjustment shall increase by the adjustment of such preference dividend and hence, the increased debit balance of P&L A/c of subsidiary shall be shared by both the holding company and minority. |

| | |
|---|---|
| | In the year of declaration of such proposed dividend, such preference dividend is not again deducted from profit of subsidiary for consolidation in the year of declaration because it has already been deducted from profit of subsidiary in the previous year.<br>**Case 2:** When no portion of cumulative preference shares is held by the minority i.e. all preference shares of subsidiary are held by holding company: It will be simply ignored for consolidation purpose in the year of proposal. In the year of declaration by subsidiary, such preference dividend shall be deducted from profit of subsidiary. Further, the said declared dividend shall be treated by holding as pre-acquisition or post-acquisition dividend, as the case may be, and dealt with accordingly. |
| **(d) Preference dividend on cumulative preference shares not proposed by subsidiary during the current year** | **Case 1:** When some portion of cumulative preference shares is held by the minority:<br>In such a case, para 27 of AS 21 will apply. Hence, the preference dividend will be deducted from the profit of subsidiary. The pref. dividend so deducted shall be divided between holding and minority. Holding company's share of such dividend will be divided between pre-and post-portion and will be dealt with accordingly. Minority's share of such dividend shall be added to the minority interest. The remaining balance of P&L A/c of the subsidiary shall be divided between the holding company and the minority. It may be carefully noted that the adjustment for the dividend on cumulative preference shares for the current year shall be made even if the subsidiary has a debit balance of P&L A/c in which case, the debit balance of P&L A/c in the books of subsidiary before such adjustment shall increase by the adjustment of the arrears of preference dividend and hence, the increased debit balance of P&L A/c of subsidiary shall be shared by both the holding company and minority.<br>In the year of payment of such arrears of dividend by subsidiary, it will not be deducted again from profit of subsidiary for consolidation purpose because it has already been deducted from the profit of subsidiary in the concerned previous year. Rather, in the year of payment, the same will be divided between holding and minority. Holding company's share shall be treated as pre- or post-acquisition dividend and shall be dealt with accordingly in its books. Minority will also deal with the receipt of dividend as capital income or revenue income as the case may be.<br>**Case 2:** When no portion of cumulative preference shares is held by the minority i.e. all preference shares of subsidiary are held by holding company: It will be simply ignored and will not be deducted from the profit of the subsidiary for consolidation purpose. Further, arrears of fixed cumulative dividend shall be disclosed in the notes to accounts in the CBS. In the year of payment of such arrears of dividend by subsidiary, it will be deducted from profit of subsidiary for consolidation purpose. Rather, in the year of payment, the same will be treated as pre-or post-acquisition dividend, as the case may be. |

3. **Treatment of Equity dividend:** This point may be dealt with under two situations as under:

| Situation | Treatment |
|---|---|
| **(a) Equity dividend proposed by subsidiary during the current year** | This will be ignored for the purpose of consolidation because this will not be adjusted by the subsidiary in the books of account for the year of proposal in view of para 14 of revised AS 4 Such proposed dividend is simply shown in the notes to accounts to the Balance sheet related to the year of proposal. This is adjusted by the subsidiary in the books in the year of declaration in which case, this will be divided between holding company and minority for the purpose of consolidation for the year of declaration. Accordingly, holding company shall divide its share of declared dividend between pre-acquisition dividend and post- acquisition dividend and shall treat accordingly. Minority's share of such declared dividend shall be added to minority Interest |

| | | |
|---|---|---|
| (b) | **Equity dividend not proposed by subsidiary during the current year** | It will be simply ignored for the consolidation. It will not be mentioned even in the notes to accounts to the balance sheet of the subsidiary. |
| (c) | **Equity dividend declared** | The entry will be passed if the same has not already been passed. If nothing is mentioned whether the entry for declaration of equity dividend has been passed or not. it will be presumed that the entry has been passed. |

## O. TREATMENT OF GOODWILL APPEARING IN THE BALANCE SHEET OF SUBSIDIARY COMPANY

If, the goodwill is shown in the balance sheet of the subsidiary company. That means goodwill already exists.

**Accounting Treatment:**

**Approach I: Add:** Goodwill already appearing in the balance sheet of subsidiary company to the goodwill and/ or cost of control in the consolidated balance sheet.

**Approach II: Add:** Only holding company's share to the cost of control/goodwill, from the goodwill of the subsidiary company.

**Example 01:**

**Model: Dividends paid out of pre-acquisition profits and goodwill of subsidiary company.**

From the following Balance Sheets of a holding company and its subsidiary on 31 March 2022, prepare consolidated balance sheet.

| Particulars | H Ltd. Rs. | S Ltd. Rs. |
|---|---|---|
| **Equities & Liabilities** | | |
| Share capital | 15,00,000 | 6,00,000 |
| Shares of Rs. 10 each | | |
| General reserve | 2,40,000 | 1,80,000 |
| P&L Account | 2,70,000 | 2,10,000 |
| Sundry Creditors | 1,50,000 | 1,20,000 |
| Outstanding expenses | 60,000 | 30,000 |
| **Total** | **22,20,000** | **11,40,000** |
| **Assets:** | | |
| Goodwill | 90,000 | 30,000 |
| Machinery | 9,00,000 | 4,50,000 |
| Stock | 2,40,000 | 1,50,000 |
| Debtors | 3,60,000 | 4,80,000 |
| Cash and Bank | 60,000 | 30,000 |
| Investments: | | |
| 48,000 shares in S Ltd | 5,70,000 | |
| **Total** | **22,20,000** | **11,40,000** |

When control was acquired S Ltd. had Rs.1,20,000 in general reserve and Rs.90,000 in profit and loss account. Immediately on purchase of shares, H Ltd. received Rs.48,000 as dividend from S Ltd. which was credited to profit and loss account. Debtors of H Ltd, include Rs.60,000 due from S Ltd. whereas creditors of S Ltd. include Rs. 45,000 due to H Ltd., the difference being accounted for by a cheque-in-transfer.

**Solution:**

**Step 1:** Determination of Holding-Minority Ratio:

| | | |
|---|---|---|
| (i) | H Ltd's investment in S Ltd: | 48,000 Shares |
| (ii) | Minority state in S Ltd.: (60,000 shares – 48,000 shares) | 12,000 shares |
| (iii) | $\therefore$ Holding – Minority Ratio = 48,000:12,000 = 4:1 (i.e. H Ltd. $\frac{4}{5}$ and S Ltd. $\frac{1}{5}$) | |

**Step 2:** Determination of H Ltd's share in capital profits and reserves

| | | Rs. | Rs. |
|---|---|---|---|
| (i) | Balance in Reserve (pre-acquisition) (Given in Additional Information) | | 1,20,000 |
| (ii) | Add: Balance in P&L A/c (Pre-acquisition) (Given in Additional information) | 90,000 | |
| (iii) | Less: Dividends Paid: Shares Dividend 48,000 48,000 60,000 $x = \frac{40,000 \times 60,000}{48,000}$ = Rs. 60,000 | (60,000) | 30,000 |
| (iv) | Total Capital Profit = | | 1,50,000 |
| (v) | H Ltd's share = ($\frac{4}{5}$ × Rs. 1,50,000) | | 1,20,000 |
| (vi) | S Ltd's share (Minority) $\frac{1}{5}$ × Rs.1,50,000 = | | 30,000 |

**Step 3:** Determination of Current Year's Profit:

| | | |
|---|---|---|
| (i) | Balance of Profits as on 31 March 2022 (Ref Balance Sheet) | 2,10,000 |
| (ii) | Less: Pre-acquisition profits after deducting dividends paid [Ref: Step 2 (iii)] (Rs.90,000 – Rs.60,000) | 30,000 |
| (iii) | Profits During the year | 1,80,000 |
| (iv) | H Ltd's share ($\frac{4}{5}$ × Rs. 1,80,000) | 1,44,000 |
| (v) | S Ltd.'s share | 36,000 |

**Step 4:** Determination of share in general reserve:

| | | |
|---|---|---|
| (i) | Balance of Profits as on 31 March 2022 (shown in balance sheet) | 1,80,000 |
| (ii) | Less: Pre-acquisition reserve (Given in Additional information) | 1,20,000 |
| (iii) | Transfer to reserve in the year | 60,000 |
| (iv) | Share of H Ltd.'s ($\frac{4}{5}$ × Rs. 60,000) | 48,000 |
| (v) | Share of S Ltd.'s ( $\frac{1}{5}$ Rs. 60,000) | 12,000 |

**Step 5:** Determination of Goodwill/Capital Reserve:

| | | | |
|---|---|---|---|
| (i) | Cost of investment in share of S Ltd. (Shown in Balance Sheet) | | 5,70,000 |
| (ii) | Less: Paid-up value of shares held (48,000 shares × Rs.10) | | 4,80,000 |
| | | | 90,000 |
| (iii) | Less: Dividends paid out from pre-acquisition profit (Given) | | 42,000 |
| (iv) | Add: Goodwill: | | |
| | H Ltd. | 90,000 | |
| | S Ltd. | 30,000 | 1,20,000 |
| | | | 1,62,000 |
| (v) | Less: Capital profits (Ref: Step 2 (v)) | | (1,20,000) |
| (vi) | Goodwill - To be shown in consolidated balance sheet | | 42,000 |

**Step 6:** Ascertainment of Minority Interest:

| | | |
|---|---|---|
| (i) | Face value of Minority Shares Held | 1,20,000 |
| | (12,000 shares × Rs.10) | 36,000 |
| (ii) | Add: Minority share of General Reserve ($\frac{1}{5}$ × Rs. 1,80,000) | 1,56,000 |
| (ii) | Add: Minority Share in P&L ($\frac{1}{5}$ × Rs. 2,10,000) 5 | 42,000 |
| | | 1,98,000 |

**Step 7:** Construction of Consolidated Balance sheet:

**Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd.**

**As on 31.03.22**

| **I. EQUITIES AND LIABILITIES** | | **Amount (Rs.)** |
|---|---|---|
| 1. Shareholders' funds | | |
| (a) Share Capital: | | |
| 150000 shares of Rs. 10 each | | 15,00,000 |
| (b) Reserve & surplus | | |
| General Reserve H Ltd.: | 2,40,000 | |
| Share in S Ltd. | 48,000 | 2,88,000 |
| P & L A/c H Ltd. | 2,70,000 | |
| Share in S Ltd. | 1,44,000 | |
| | 4,14,000 | |
| Less: Dividend | (48,000) | 3,66,000 |
| 2. Minority Interest | | 1,98,000 |
| 3. Current Liabilities & Provisions | | |
| H Ltd. | 1,50,000 | |
| S Ltd. | 1,20,000 | |
| | 2,70,000 | |
| Less: Inter Company Debts | (45,000) | 2,25,000 |
| Outstanding Expenses: | | |
| H Ltd. | 60,000 | |
| S Ltd. | 30,000 | 90,000 |
| **Total** | | **26,67,000** |

**(II) ASSETS**

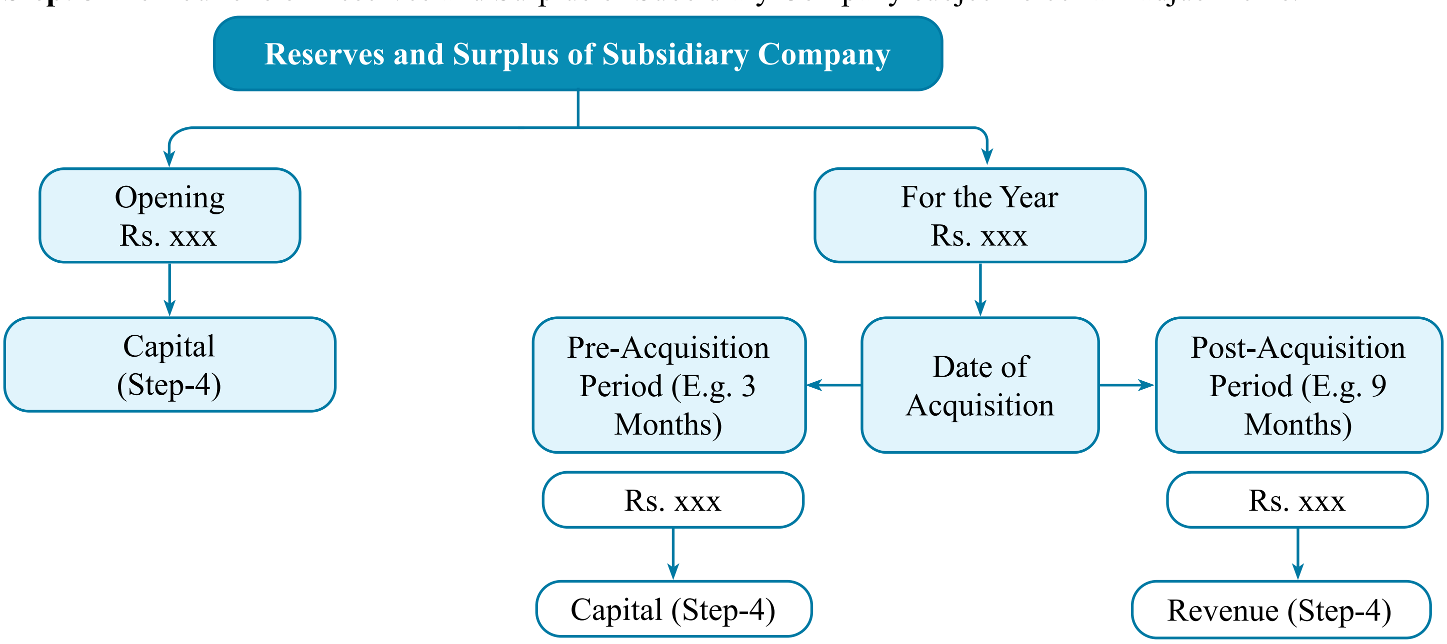
| | | |
|---|---|---|
| 1. Fixed Assets | | |
| Machinery | | |
| H Ltd. | 9,00,000 | |
| S Ltd. | 4,50,000 | 13,50,000 |
| Goodwill | | 42,000 |
| 2. Current Assets | | |
| Stock: | | |
| H Ltd. | 2,40,000 | |
| S Ltd. | 1,50,000 | 3,90,000 |
| Debtors: | | |
| H Ltd. | 3,60,000 | |
| S Ltd. | 4,80,000 | |
| | 8,40,000 | |
| Less: Inter Company Debts | (60,000) | 7,80,000 |
| Cash & Bank Balance | | |
| H Ltd. | 60,000 | |
| S Ltd. | 30,000 | 90,000 |
| Cheque-in-transit | | 15,000 |
| **Total** | | **26,67,000** |

## P. SUMMARIZED STEPS FOR PREPARATION OF CONSOLIDATED FINANCIAL STATEMENT

**Step: 1** Identify Date of Acquisition (DOA)

**Step: 2** Compute the Shareholding Ratio

**Step: 3** Distributions of Reserves and Surplus of Subsidiary Company subject to certain adjustments.



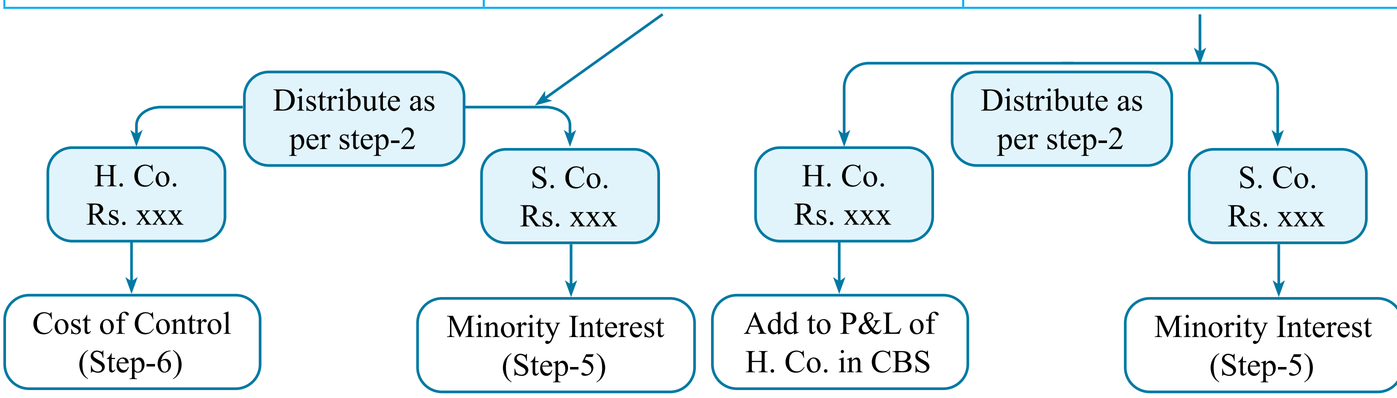
**Certain adjustments**

It is important to note that before giving the treatment under step-3 it is required to confirm about following adjustments like:

- Preliminary expense written off
- Revaluation of assets
- Dividend treatment
- Bonus share etc.

**Step: 4 Analysis of Profit and Loss of Subsidiary Company**

| Particulars | Capital | Revenue |
|---|---|---|
| Reserves and Surplus (Step-3) | | |
| ✦ Opening | **** | – |
| ✦ For the Year | **** | **** |
| Other Adjustments (If any) | **** | **** |
| Total | **** | **** |




**Step: 5 Computation of Minority Interest**

| | |
|---|---|
| ✦ Proportion of Subsidiary Company in share capital (Eq./Pref.) of Subsidiary Company (Including Bonus) [Share Capital of Subsidiary Company Proportion of Subsidiary Company (As per step-2)] | *** |
| ✦ Capital Profit/Reserve Portion (Step-4) | *** |
| ✦ Revenue Profit/Reserve (Step-4) | *** |
| ✦ Dividend adjustment (Eq/Pref.) | *** |
| **Minority Interest (Non-Controlling Interest) [Show Equity & Liability side of Consolidated Balance Sheet 'CBS']** | *** |

**Step: 6 Computation of Cost of Control**

| | |
|---|---|
| Investment of Holding Company in the shares of Subsidiary Company | *** |
| Less: | |
| Proportion of Holding Company in share capital (Eq./Pref.) of Subsidiary Company (Including Bonus) [Share Capital of Subsidiary Company Proportion of Holding Company (As per step-2)] | *** |
| Capital Portion (Step-4) | *** |
| Dividend received out of pre-acquisition profit of the subsidiary (whether equity or preference dividend) | *** |
| **Goodwill (Positive) [Show Assets Side of CBS]** | *** |
| **Capital Reserve (Negative) [Show Step-9 Reserves & Surplus of CBS]** | (***) |

**Step: 7 Treatment of Inter Company Transactions and other Adjustments**

**Step: 8 Treatment of Unrealized Profit**

**Unrealized Profit**
**Rs.xxx**

Deduct from concerned asset

Deduct from P&L of Holding Company Step-9

**Step- 9 Prepare Reserves and Surplus of Holding Company for Consolidated Balance Sheet**

| Particulars | Capital | P&L | Revenue |
|---|---|---|---|
| Capital Reserve | ** | | |
| General Reserve | | | ** |
| Security Premium | ** | | |
| P&L Account | | ** | |
| Revenue Portion (Step-4) | | ** | |
| Capital Reserve (Step-5) | ** | | |
| Unrealized Profit (Step-8) | | (**) | |
| Any other adjustments | **(**) | **/(**) | **(**) |
| Total [A + B + C] | **(A) | ** (B) | **(C) |
| (Show under head Reserve and Surplus at CBS) | | | |

**Step-10 Prepare Consolidated Balance Sheet (CBS)**

**Example 01:** From the following balance sheets of Exe Ltd. and Wye Ltd. as on 31 March, 2022, Workout: (a) Net amount due to minority interest and (b) Cost of control.

| Particulars | Exe Ltd.(Rs.) | Wye Ltd.(Rs.) |
|---|---|---|
| **Liabilities:** | | |
| Share capital: | | |
| Shares of Rs.100 each | 15,00,000 | 5,00,000 |
| General reserve | 1,50,000 | 1,00,000 |
| Profit and loss account | 2,00,000 | 75,000 |
| Creditors | 1,87,500 | 1,20,000 |
| **Total** | **20,37,500** | **7,95,000** |
| **Assets:** | | |
| Sundry assets | 14,77,500 | 7,95,000 |
| Investment: 4,000 shares of Rs.100 each | 5,60,000 | |
| **Total** | **20,37,500** | **7,95,000** |

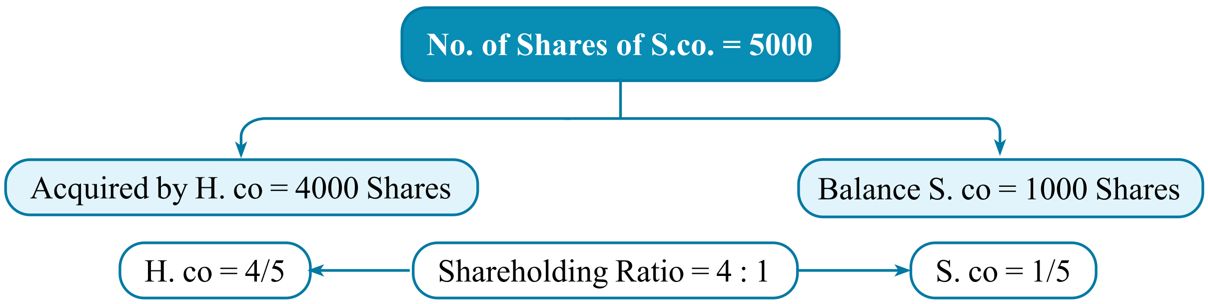
The assets of Wye Ltd. included the equipment worth Rs.1,50,000 which was revalued at Rs.1,25,000.The investment of Exe Ltd. were in the shares of Wye Ltd. and the same were acquired on 1" July, 2021. There is no opening of General Reserve and P&L of Wye ltd.

**Solution:**

**Note: 1** Exe Ltd - H.Co and Wye Ltd - S.co

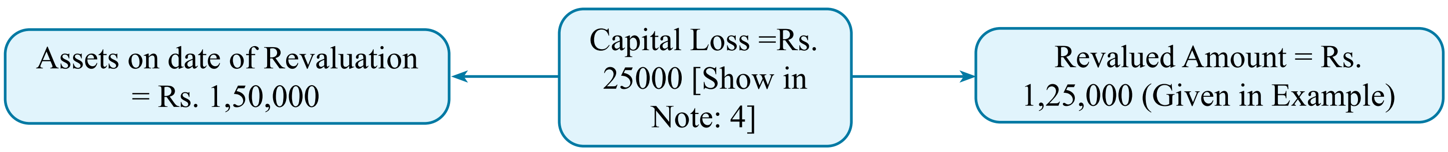
**Note: 1A** Date of Acquisition = 1.7.2021

**Note: 2** Computation of Share Holding ratio

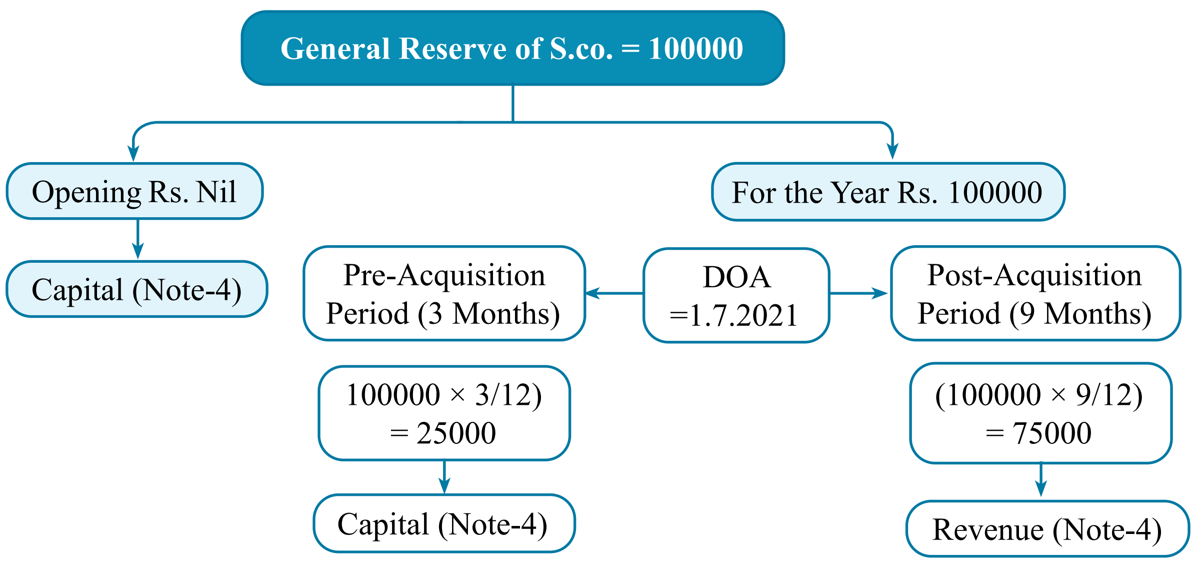


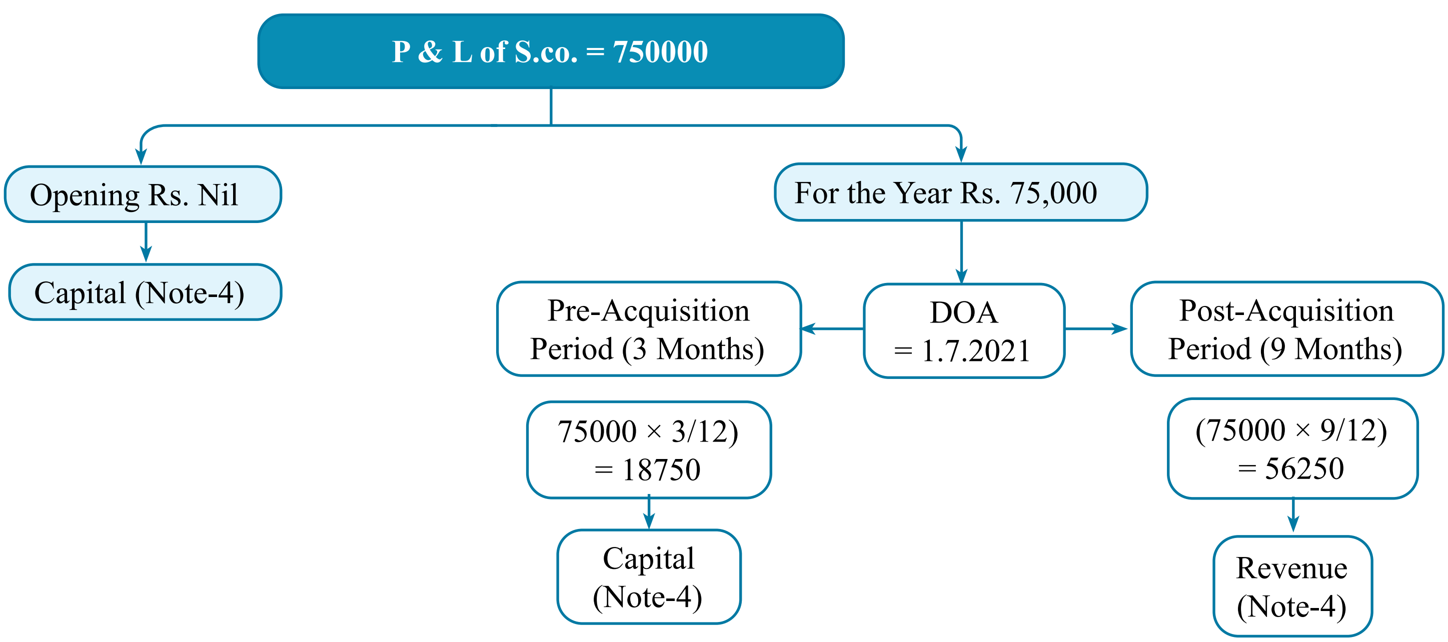

**Note: 3** Distribution of Reserves and Surplus of S.co subject to special adjustment (Here, in this example, adjustment on account of revaluation of assets)

**Note: 3(1) Treatment of Revaluation of Assets**



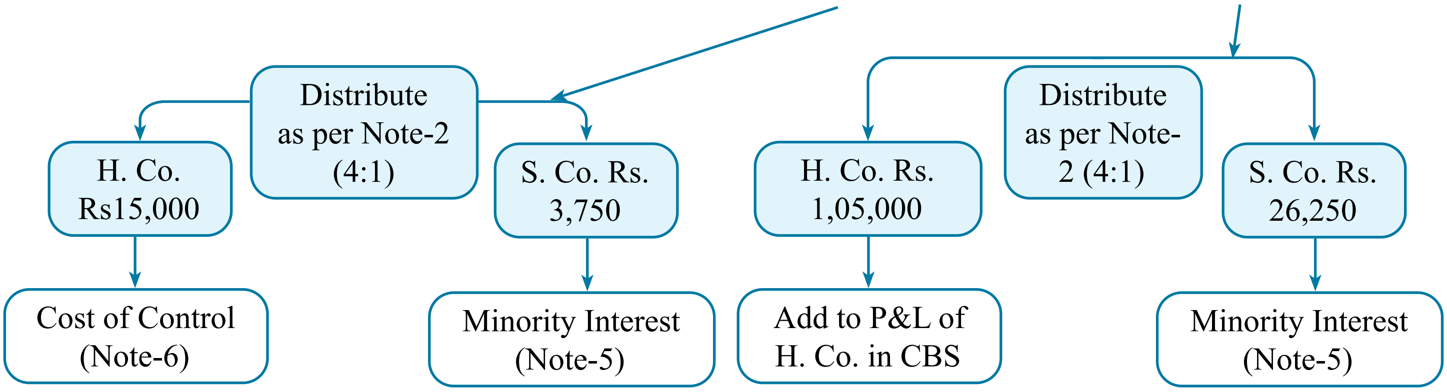

**Note: 3 (2) Distribution of Reserves and Surplus of S.co**



**Note: 4 Analysis of Profit and Loss of S.co.**

| Particulars | Capital | Revenue |
|---|---|---|
| General Reserve - Note-3(2) | | |
| ✦ Opening | – | – |
| ✦ For the Year | 25,000 | 75,000 |
| P&L-Note-3(2) | | |
| ✦ Opening | – | – |
| ✦ For the Year | 18,750 | 56,250 |
| Capital Loss on account of revaluation [Note-3(1)) | (25,000) | – |
| **Total** | **18,750** | **13,1250** |




**Note: 5 Computation of Minority Interest**

| | |
|---|---|
| ✦ Proportion of S.co in share capital of S.co | 10,00,00 |
| [Share Capital of S.co Proportion of S.co(As per step-2)] [500000 × 1/5] | |
| ✦ Capital Profit/Reserve (Note-4) | 3,750 |
| ✦ Revenue Profit/Reserve (Note-4) | 26,250 |
| **Minority Interest (Non-Controlling Interest) (Show Eq & Liability side of CBS]** | **13,00,00** |

**Note: 6 Computation of Cost of Control**

| | |
|---|---|
| Investment of H.co in the shares of S.co<br>Less: | 56,00,00 |
| ✦ Proportion of H.co in share capital of S.co [Share Capital of S.co Proportion of H.co (As per step-2)) i.e. (500000*4/5) | 40,00,00 |
| ✦ Capital Portion (Step-4) | 15,000 |
| **Goodwill (Positive) [Show Assets Side of CBS of H.co]** | **1,45,000** |

**Example 02: [Based on treatment of Inter Company transactions and Unrealised Profit]**

On 1st October, 2021, X ltd acquired 12000 equity shares of B ltd of the face value of Rs.10 each at price of Rs.170000. Following are the balance sheet of companies.

| Particulars | X Ltd. | B Ltd. |
|---|---|---|
| **Liabilities:** | | |
| Equity share capital of Rs.10 each | 10,00,000 | 20,00,00 |
| General reserve (1.4.21) | 42,00,00 | 10,00,00 |
| P&L a/c (1.4.2021) | 90,000 | 40,000 |

| | | |
|---|---|---|
| Profit for the year | 17,00,00 | 45,000 |
| Creditors | 24,00,00 | 92,000 |
| Bills payable | 80,000 | 60,000 |
| **Total** | **20,00,000** | **53,7000** |
| **Assets:** | | |
| Goodwill | 30,0000 | 70,000 |
| Land and building | 40,00,00 | 10,00,00 |
| Plant and machine | 50,00,00 | 10,00,00 |
| Stock | 20,00,00 | 40,500 |
| Debtors | 30,00,00 | 13,45,00 |
| Investments | 20,00,00 | |
| Bills receivables | 20,000 | 30,000 |
| Bank | 60,000 | 50,000 |
| Cash | 20,000 | 12,000 |
| **Total** | **20,00,000** | **53,7000** |

1. Out of debtors and bills receivable of X ltd Rs.50000 and Rs.16000 respectively represented those due from B ltd.
2. The stock in hands of B ltd includes goods purchased from X ltd at Rs.20000 which includes profit charged by latter company at 25% at cost.

Draw consolidated balance sheet as on 31.3.2022 with necessary working notes.

**Solution:**

**Note: 1X-H. Co and B Ltd - S.co**

**Note: 1A Date of Acquisition = 1.10.2021**

**Note: 2 Computation of Share Holding ratio**

**No. of shares of S. co = 20000 shares**

Acquired by H. co = 12,000 Shares

Balance S. co = 8000 Shares

H. co = 3/5 ← Shareholding Ratio = 3:2 → S. co = 2/5

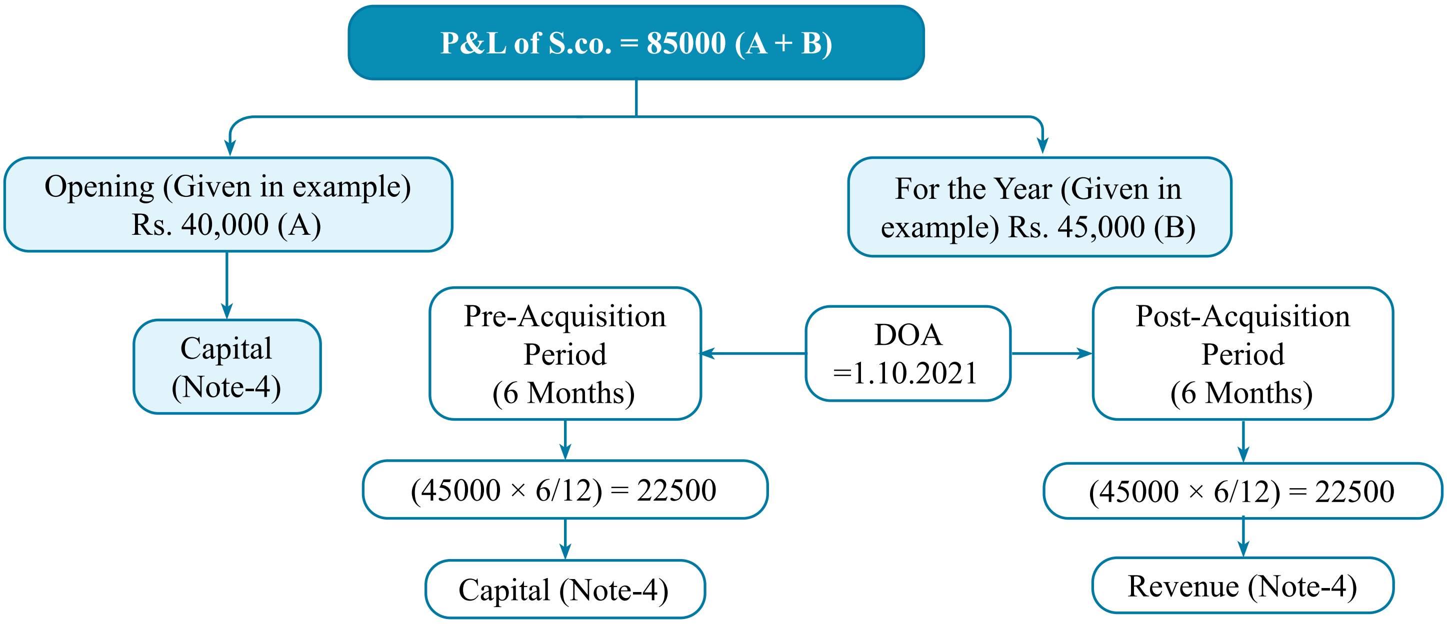
**Note: 3** Distribution of Reserves and Surplus of S.co subject to special adjustment (Here, in this example, there is no any special adjustment)

**General Reserve of S.co. = 70000**

Opening (Given in example)
Rs. 10,00,00

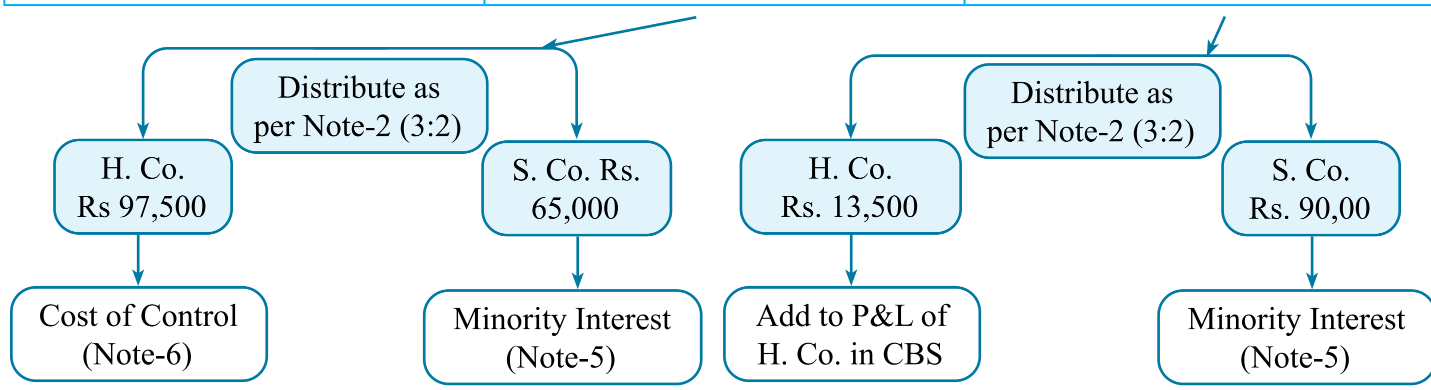
For the Year
Rs. Nil

Capital (Note-4)




**Note: 4 Analysis of Profit and Loss of S.co.**

| Particulars | Capital | Revenue |
|---|---|---|
| General Reserve Note-3 | | |
| ✦ Opening | 10,00,00 | – |
| ✦ For the Year | – | – |
| P&L-Note-3 | | |
| ✦ Opening | 40,000 | – |
| ✦ For the Year | 22,500 | 22,500 |
| **Total** | **16,25,00** | **22,500** |




**Note: 5 Computation of Minority Interest**

| | |
|---|---|
| ✦ Proportion of S.co in share capital of S.co | 80,000 |
| [Share Capital of S.co Proportion of S.co(As per Note-2)] [200000 × 2/5] | |
| ✦ Capital Profit/Reserve (Note-4) | 65,000 |
| ✦ Revenue Profit/Reserve (Note-4) | 9000 |
| **Minority Interest (Non-Controlling Interest) [Show Eq & Liability side of CBS]** | **154000** |

**Note: 6 Computation of Cost of Control**

| | |
|---|---|
| Investment of H.co in the shares of S.co | 17,00,00 |
| **Less:** | |
| ✦ Proportion of H.co in share capital of S.co [Share Capital of S.co Proportion of H.co (As per Note-2)] i.e. (200000 × 3/5%) | (12,00,00) |
| ✦ Capital Portion (Step-4) | (97,500) |
| **Capital Reserve (Negative) (Show Note-9 R&S of H.co]** | **47,500** |

"Students should understand that total investment in balance sheet would be Rs. 20,00,00 but that is total investment". For the purpose of Cost of control, you are supposed to consider "Investment of H co in shares of S.co ie. Rs. 17,00,00". Hence, remaining Rs. 30000 shall be shown as Investment in Consolidated Balance Sheet.

**Note: 7 Treatment of Inter-Company Transactions of S.co (Debtors-Creditors) and (Bills Receivable/Bills Payable)**

| Debtors | Amount |
|---|---|
| –H. co = 30,00,00<br>–S. co = 13,45,00 | 43,45,00 |
| Less: Mutual Debt (i.e. Inter Company Transaction) | (50,000) |
| **Total** | **38,45,00** |
| **Bills Receivables** | **Amount** |
| –H. CO = 20,000<br>–S. co = 30,000 | 50,000 |
| Less: Mutual Debt (i.e. Inter Company Transaction) | (16,000) |
| **Total** | **34,000** |

| Creditors | Amount |
|---|---|
| –H. co = 24,00,00<br>–S. co = 92,000 | 33,20,00 |
| Less: Mutual Debt (i.e. Inter Company Transaction) | (50,000) |
| **Total** | **28,20,00** |
| **Bills payables** | **Amount** |
| –H. co = 80000<br>–S. co = 60000 | 14,00,00 |
| Less: Mutual Debt (i.e. Inter Company Transaction) | (16,000) |
| **Total** | **12,40,00** |

**Note: 8 Treatment of Unrealized profit**

**Unrealized Profit =** [20,000 × 25/125] = Rs. 4,000

**Unrealized Profit Rs. 4000**

Deduct from P&L of H. Co Note-8

Deduct from Stock as "Stock Reserve"

**Note: 9 Reserves and Surplus of H. Co for CBS**

| Particulars | Capital | P&L | Revenue |
|---|---|---|---|
| Capital Reserve (Note-6) | 47,500 | – | – |
| General Reserve | – | – | 42,00,00 |
| P&L Account (90,000 + 17,00,00) | – | 26,00,00 | – |
| Revenue Portion (Note-4) | – | 13,500 | – |
| Unrealised Profit (Note-8) | – | (4,000) | – |
| **Total** | **47,500 (A)** | **26,95,00 (B)** | **42,00,00 (C)** |
| **Total [A + B + C]**<br>**(Show under head R&S at CBS of H.co)** | **73,70,00** | | |

**Consolidated Balance sheet of as on 31.3.2022**

| Equity and Liabilities | | Amount Rs |
|---|---|---|
| **Shareholders Fund** | | |
| Equity Share Capital | | 10,00,000 |
| Reserves and Surplus | Note-9 | 7,37,000 |
| Minority Interest (Non-Controlling Interest) | Note-5 | 1,54000 |
| **Current Liabilities** | | |
| Creditors | Note-7 | 2,82,000 |
| Trade Payables | Note-7 | 1,24,000 |
| **Total** | | **22,97,000** |
| **Assets** | | |
| **Non-Current Assets** | | |
| Goodwill<br>–H. co = 3 ,00,000<br>–S. co = 70,000 | | 3,70,000 |
| Land and Building<br>H. co = 4 ,00,000<br>-S. co = 1 ,00,000 | | 50,00,000 |
| Plant and Machinery<br>–S. co = 1 ,00,000<br>–H. co = 5 ,00,000 | | 6,00,000 |
| **Current Assets** | | |
| Stock | | 2,36,500 |

| | | |
|---|---|---|
| –H.co 2,00,000<br>–S.co 40,500<br>Less: (4,000)<br>Stock Reserve (i.e. Unrealised Profit) | Note-8 | |
| Debtors | Note-7 | 3,84,500 |
| Trade Receivables | Note-7 | 34,000 |
| Investment [20,00,00 – 17,00,00] | | 30,000 |
| Bank<br>– H.co 60,000<br>– S.co 50,000 | | 1,10,000 |
| Cash<br>– H.co 20,000<br>– S.co 12,000 | | 32,000 |
| **Total** | | **22,97,000** |

**Example 03:** On 31st March, 2023, H Ltd. has 20,000 shares out of 25,000 equity shares issued by S Ltd. H Ltd. acquired these shares in S Ltd. in the following manner:

| Date of Acquisition | % of Shares Acquired |
|---|---|
| 01st April, 2022 | 25% |
| 01st October, 2022 | 37.5% |
| 01st January, 2023 | 37.5% |

On 31st March, 2022, the balance sheet of S Ltd. exhibited equity share capital of ₹2,50,000 (in ₹10 shares) and reserves and surplus of ₹1,25,000. During the year 2022-23, net profit earned by the company was ₹50,000, that was distributed evenly throughout the year. Amount of Reserves and Surplus on 31st March, 2023 stood at stood at ₹1,75,00.

Ascertain the share of parent company in profits of S Ltd. on the dates of acquisition of these shares.

**Solution:**

Calculation of share of H Ltd. in profits of S Ltd. on the dates of acquisition of shares.

**On 01.04.2022**

Reserves and Surplus: Rs. 1,25,000

Shares acquired by H Ltd. on 01.04.22 = 20000 × 25/100 = 5,000 shares

Proportionate holding of H Ltd. in S Ltd. = 5000/25000 × 100 = 20%

Share of H Ltd. in profit on 01.04.22 = 1,25,000 × 20/100 = 25,000

**On 01.10.2022**

Reserves and Surplus on 01.04.22: = Rs. 1,25,000

Profit earned during 2022-23: Rs. 50,000

| | |
|---|---|
| Proportionate profit up to 0.1.10.22 (6 months) = 50,000 × 6/12 = Rs. 25,000 | = Rs. 1,50,000 |
| Profit for distribution | |
| Shares freshly acquired by H Ltd.: 20,000* 37.5/100 | = 7,500 shares |
| Proportion of freshly acquired share in S Ltd. = 7,500/25,000 × 100 | = 30% |
| Total share acquired by H Ltd. in S Ltd = 20% + 30% | = 50% |
| Share of H Ltd. in profit on 1/10/2022= 150000 × 50% | = Rs. 75,000 |

**On 01.01.2023**

| | |
|---|---|
| Reserves and Surplus on 01.04.2022 | = Rs. 1,25,000 |
| Profit earned during 2022-23 | = Rs. 50,000 |
| Proportionate profit up to 01.01.23 (9 months) = 50,000 × 9/12 | Rs. 37,500 |
| | Rs. 1,62,500 |
| Profit for distribution | |
| Shares freshly acquired by H Ltd.: 20,000 × 37.5/100 | = 7,500 shares |
| Proportion of freshly acquired share in S Ltd. = 7,500/25,000 × 100 | = 30% |
| Total Share of H Ltd. in S Ltd. on 1/1/23 = 50% + 30% | = 80% |
| Share of H Ltd. in profits on 1/1/23 = 162500 × 80% | = 1,30,000 |

**Example 04:** From the following details, calculate value of Goodwill/Capital Reserve and Minority Interest that will reflect in consolidated Balance Sheet on 31st March, 2023:

**Summarized Balance Sheets as on 31st March, 2023**

| Liabilities | H.Ltd.(₹) | S.Ltd. (₹) | Assets | H.Ltd.(₹) | S.Ltd.(₹) |
|---|---|---|---|---|---|
| Share Capital | | | Sundry Assets | 20,00,000 | 10,00,000 |
| (₹100 shares) | 10,00,000 | 4,00,000 | | | |
| Profit and Loss | 6,00,000 | 4,00,000 | 3000 shares in | | |
| | | | S Ltd. (01.04.22) | 7,00,000 | – |
| General Reserve | 2,00,000 | – | | | |
| Liabilities | 9,00,000 | 2,00,000 | | | |
| Total | 27,00,000 | 10,00,000 | Total | 27,00,000 | 10,00,000 |

Balance Sheet of S Ltd. on 31st March, 2022 exhibited profit of ₹1,00,000 and general reserve of ₹60,000.

**Solution:**

(i) Calculation of Goodwill:

| | |
|---|---|
| Cost of Investment in shares: | Rs. 7,00,000 |
| Less: Value of H Ltd.'s equity on date of acquisition: | (Rs. 4,20,000) |
| Value of Goodwill | Rs. 2,80,000 |
| Calculation of Value of H Ltd.'s equity on date of acquisition: | |
| Proportionate holding of H Ltd. in S Ltd. = 3000/4000 × 100 | = 75% |

Face Value of shares = 3000 × 100 = 3,00,000

Share in pre-acquisition profit = 1,00,000 × 75/100 = 75,000

Share in pre-acquisition reserves = 60,000 × 75/100 = 45,000

Rs. 4,20,000

(ii) Calculation of Minority Interest

Nominal Value of Equity Shares held by Minority Shareholders = 1000 × 100 = 10,00,00

Add: Share in pre-acquisition profits and reserves (10,00,00 + 60,000) × 25/100 = 40,000

Add: Share in post-acquisition profits (40,00,00 –16,00,00) × 25/100 = 60,000

= Rs. 20,00,00

**Example 05:** The summarized balance sheet of H Ltd. and S Ltd. as on 31 March, 2023 are given below:

| Equity and Liabilities | H Ltd. (₹) | S Ltd. (₹) |
|---|---|---|
| Share Capital: | | |
| Shares of Rs. 10 each | 1,00,00,000 | 20,00,000 |
| Reserves | 16,00,000 | 6,00,000 |
| Profit & Loss A/c | 12,00,000 | 8,00,000 |
| **Total** | **1,28,00,000** | **34,00,000** |
| Assets | | |
| Sundry Assets | 1,00,00,000 | 34,00,000 |
| Equity in S Ltd. 1,60,000 shares | 28,00,000 | |
| | **1,28,00,000** | **34,00,000** |

S Ltd. had reserves of ₹6,00,000 when H Ltd. acquired shares in S Ltd. but P & L balance was fully earned after the purchase of shares by H Ltd.

S Ltd. decided to issue bonus shares out of the post-acquisition profits in the ratio of 1 share for every 5 shares held.

(i) Calculate cost of control before issue of bonus shares and after issue of bonus shares.

(ii) What will be the journal entry passed in the books of S Ltd. and H Ltd. on issue of bonus shares by S Ltd ?

**Solution:**

| Step | Calculation of cost of control before issue of bonus shares | Amount ₹ |
|---|---|---|
| 1 | Amount of consideration paid by H Ltd. for acquisition of shares in S Ltd. | 28,00,000 |
| 2 | Less: Face Value of shares acquired | 16,00,000 |
| 3 | Less: H Ltd.'s share in capital profits 600,000 x (8/10) | 4,80,000 |
| 4 | Cost of control/Goodwill | 7,20,000 |

| Step | Calculation of cost of control after issue of bonus shares | Amount ₹ |
|---|---|---|
| 1. | Amount of consideration paid by H Ltd. for acquisition of shares in S Ltd. | 28,00,000 |
| 2. | Less: Face Value of Shares acquired | 16,00,000 |

| | | |
|---|---|---|
| 3. | Less: H Ltd.'s share in capital profits<br>6,00,000 × (8/10) | 4,80,000 |
| | | **7,20,000** |
| 4. | H Ltd.'s share in bonus<br>(20,00,000 × 8/10 × 1/5) | 3,20,000 |
| 5. | Cost of Control/Goodwill | **4,00,000** |

**Journal Entries**

| | | Amount in ₹ |
|---|---|---|
| Books of S Ltd. | P & L A/c Dr.<br>To Equity Share Capital A/c<br>**(Being issue of bonus shares in the ratio of 1 share for every 5 shares held)** | 4,00,000<br>4,00,000 |
| Books of H Ltd. | No entry is passed | |

**Example 06:**

**Balance Sheet of S Ltd. is given below**

| Particulars | Amount (₹) |
|---|---|
| Liabilities | |
| Share Capital of 10/- each fully paid | 6,00,000 |
| General Reserve | 1,50,000 |
| Profit and Loss Account | 1,05,000 |
| Creditors | 1,80,000 |
| | 10,35,000 |
| Assets | |
| Fixed Assets | 3,00,000 |
| Current Assets | 7,35,000 |
| | 10,35,000 |

**Other information:**

- Holding company H Ltd. has bought 48,000 shares in its subsidiary S Ltd.
- Consideration for purchase of shares in S Ltd. ₹9,00,000.
- General Reserve of S Ltd. on date of acquisition ₹1,20,000.
- Profit and Loss Account on date of acquisition ₹24,000.

**Calculate:**

(i) Minority Interest and Goodwill.

(ii) How will goodwill be treated in consolidated books of accounts?

**Solution:**

**H Ltd.**

| Minority Interest | ₹ |
|---|---|
| Share Capital | 1,20,000 |
| Capital Profit<br>(Pre acquisition Capital Reserve + Pre acquisition P&L A/c) x Minority shareholding | 28,800 |
| Revenue Profit<br>(General Reserve for the year + P&L A/c addition for the year) x minority shareholding | 22,200 |
| | **1,71,000** |
| Consideration | ₹9,00,000 |
| Less: Face value of shares acquired | ₹4,80,000 |
| Less: General Reserve (₹1,20,000 x4/5) | ₹96,000 |
| Less: P&L Account (24.000 x 4/5) | ₹19,200 |
| **Goodwill** | **₹3,04,800** |

Goodwill will be shown on the Asset side of Consolidated Balance Sheet of H Ltd.

## TEST YOURSELF

1. H Ltd. acquired 15,000 equity shares in S Ltd. on 1 April 2022. On 31 December 2022 the balance sheet of S Ltd., was as follows:

| | | |
|---|---|---|
| **I.** | **Equity and Liabilities** | **Rs.** |
| | Share capital: | |
| | 20,000 equity Share of Rs.100 each | 20,00,000 |
| | General Reserve | 4,00,000 |
| | On 1st January 2022 P&L A/c Rs. | |
| | Balance on 1st Jan. 2017 1,00,000 | |
| | Profit for 2017 4,00,000 | 5,00,000 |
| | Sundry Creditors | 3,00,000 |
| **II.** | **Assets** | **Rs.** |
| | Sundry Assets | 32,00,000 |
| | | 32,00,000 |

Ascertain capital profits and revenue profits.

**[Ans. Capital profits: Rs. 6,00,000; Revenue profits: Rs. 3,00,000]**

2. Calculate minority interest from the balance sheet of Delhi Ltd. Balance sheet of Delhi Ltd. as on 31st December 2022.

| | | |
|---|---|---|
| **I.** | **Equity and Liabilities** | **Rs.** |
| | Share capital: | |
| | 42,000 share of Rs.100 each | 42,00,000 |
| | General Reserve on 1st January 2022 | 18,00,000 |
| | Sundry Creditors | 9,00,000 |
| | P&L on 31 December 2022 | 6,00,000 |
| | | 75,00,000 |
| **II.** | **Assets** | **Rs.** |
| | Sundry Assets: | 32,00,000 |
| | Plant & Machinery | 21,00,000 |
| | Other Assets | 4,50,000 |
| | Investment (80% of sheets) | 19,50,000 |
| | | 75,00,000 |

Mumbai Ltd. acquired 80% of the shares it Rs. 19,50,000.

**[Ans: Minority interest: Rs. 13,20,000]**

3. On 30 June 2022, two-third of the shares of S Ltd. (with a total capital of Rs. 48,00,000) was acquired by H Ltd. the balance sheet of S Ltd. showed a debit balance of Rs. 24,00,000 on 1st January 2022 and a credit balance of Rs. 14,40,000 on 31 December 2022. The investment by H Ltd. in shares of S Ltd. is Rs. 36,00,000. Calculate the cost of control or capital reserve.

**[Ans. Cost of control/goodwill: Rs. 7,20,000)**

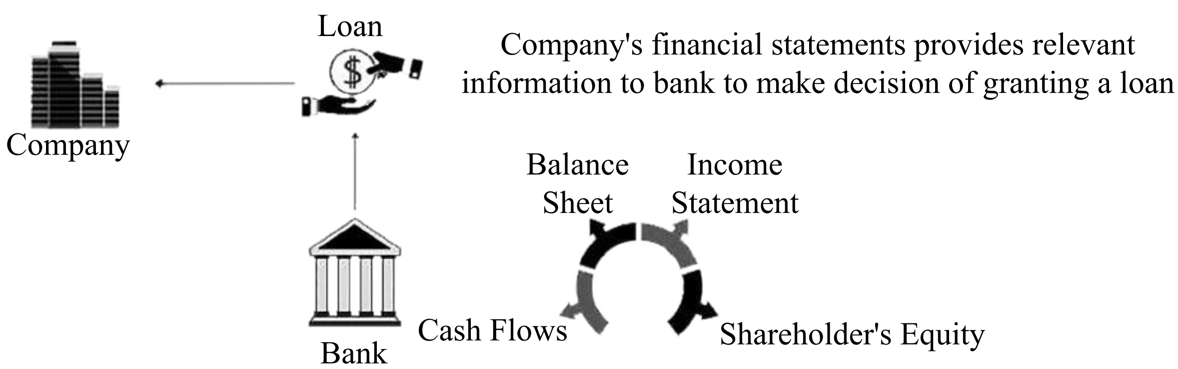
4. S Ltd. has a capital of Rs. 45,00,000 in shares of Rs. 100 each. Out of this, H Ltd. purchased 75% shares of Rs. 52,50,000. The profit of S Ltd. at the time of purchase of shares by H Ltd. were Rs. 22,50,000. S Ltd. decided to make a bonus issue out of capital profits of one share of Rs.100 each fully paid for every three shares held. Calculate the cost of control after the issue of bonus shares.

**[Ans: Cost of control/goodwill: Rs. 1,87,500]**

CHAPTER 8

# FINANCIAL STATEMENT ANALYSIS






**Ratio Analysis**

- Types of Ratios
  - ✦ Liquidity Ratios/Short-term Solvency Ratios
  - ✦ Leverage Ratio/Long-term Solvency Ratios
  - ✦ Activity Ratios/Efficiency Ratios/Performance Ratios/
  - ✦ Turnover Ratios Profitability Ratios
- Application of Ratio Analysis in decision making
- Relationship of Financial Management with other disciplines of accounting

## A. TYPES OF RATIOS

**Types of Ratios**

- Liquidity Ratios*/Short-term Solvency Ratios
- Leverage Ratios/Long-term Solvency Ratios
  - Capital Structure Ratios
  - Coverage Ratios
- Activity Ratios/Efficiency Ratios/Performance Ratios/ Turnover Ratios*
- Profitability Ratios
  - Related to Sales
  - Related to overall Return on Investment (Assets/Capital Employed/ Equity)
  - Required for analysis from Owner's point of view
  - Related to Market/ Valuation/ Investors

## a. LIQUIDITY RATIOS

The terms **'liquidity'** and **'short- term solvency'** are used synonymously. Liquidity or short-term solvency means ability of the business to pay its short term liabilities. Inability to pay-off short-term liabilities affects its credibility as well as its credit rating. Continuous default on the part of the business leads to commercial bankruptcy. Eventually such commercial bankruptcy may lead to its sickness and dissolution. Short-term lenders and creditors of a business are very much interested to know its state of liquidity because of their fina ncial stake. Both lack of sufficient liquidity and excess liquidity is bad for the organization.

**Various Liquidity Ratios are:**

1. Current Ratio
2. Quick Ratio or Acid test Ratio
3. Cash Ratio or Absolute Liquidity Ratio

### 1. Current Ratio

The Current Ratio is one of the best known measures of short-term solvency. It is the most common measure of short-term liquidity.

The main question this ratio addresses is: **"Does your business have enough current assets to meet the payment schedule of its current debts with a margin of safety for possible losses in current assets?"** In other words, current ratio measures whether a firm has enough resources to meet its current obligations.

$$\textbf{Current Ratio} = \frac{\textbf{Current Assets}}{\textbf{Current Liabilities}}$$

Where,

**Current Asset = Inventories + Sundry Debtors + Cash and Bank Balances + Receivables/ Accruals + Loans and Advances + Disposab le Investments + Any other current assets.**

**Current Liabilities = Creditors for goods and services + Short-term Loans + Bank Overdraft + Cash Credit + Outstanding Expenses + Provision for Taxation + Proposed Dividend + Unclaimed Dividend + Any other current liabilities.**

**Interpretation**

A generally acceptable current ratio is 2:1. But whether or not a specific ratio is satisfactory depends on the nature of the business and the characteristics of its current assets and liabilities.

### 2. Quick Ratio

The Quick Ratio is sometimes called the **"acid-test"** ratio and is one of the best measures of liquidity.

$$\textbf{Qick Ratio or Acid Test Ratio} = \frac{\textbf{Quick Assets}}{\textbf{Current Liabilities}}$$

Where,

**Quick Assets = Current Assets – Inventories – Prepaid expenses**

**Current Liabilities = As mentioned under Current Ratio.**

The Quick Ratio is a much more conservative measure of short-term liquidity than the Current Ratio. It helps answer the question: "If all sales revenues should disappear, could my business meet its current obligations with the readily convertible quick funds on hand?"

**Quick Assets** consist of only cash and near cash assets. Inventories are deducted from current assets on the belief that these are not 'near cash assets' and also because in times of financial difficulty, inventory may be saleable only at liquidation value. But in a seller's market, inventories are also near cash assets.

**Interpretation**

An acid-test of 1:1 is considered satisfactory unless the maj ority of "quick assets" are in accounts receivable, and the pattern of accounts receivable collection lags behind the schedule for paying current liabilities.

### 3. Cash Ratio/Absolute Liquidity Ratio

The cash ratio measures the absolute liquidity of the business. This ratio considers only the absolute liquidity available with the firm. This ratio is calculated as:

$$\textbf{Cash Ratio} = \frac{\textbf{Cash and Bank balances + Marketable Securities}}{\textbf{Current Liabilities}}$$

Or

$$= \frac{\textbf{Cash and Bank balances + Current Investments}}{\textbf{Current Liabilities}}$$

**Interpretation**

The Absolute Liquidity Ratio only tests short-term liquidity in terms of cash and marketable securities/ current investments.

**Example 01:** Calculate Current Ratio from the following information:

| Particulars | (Rs) |
|---|---|
| Inventories | 50,000 |
| Trade receivables | 50,000 |
| Advance tax | 4,000 |
| Cosh and cash equivalents | 30,000 |
| Trade payables | 1,00,000 |
| Short-term borrowings (bank overdraft) | 4,000 |

**Solution:**

Current Ratio = Current Assets/Current Liabilities

Current Assets = Inventories + Trade receivables + Advance tax + Cash and cash equivalents

= Rs. 50,000 + Rs 50,000 + Rs 4,000 + Rs. 30,000 = Rs. 1,34,000

Current Liabilities = Trade payables + Short-term borrowings

= Rs. 1,00,000 + Rs. 4,000 = Rs. 1,04,000

Current Ratio = Rs. 1,04,000

= 1.29 :1

## b. LONG-TERM SOLVENCY RATIOS/ LEVERAGE RATIOS

The leverage ratios may be defined as those financial ratios which measure the **long -term stability and capital structure of the firm.** These ratios indicate the mix of funds provided by owners and lenders and assure the lenders of the long term funds with regard to:

- Periodic payment of interest during the period of the loan and
- Repayment of principal amount on maturity.

**Structural ratios** are based on !he proportions of debt and equity in the financial structure of the firm. The Important structural ratios are: debt-equity ratio and debt-assets ratio.

**Coverage ratios** show the relationship between debt servicing commitments and the sources for meeting these burdens. The important coverage ratios ore: interest coverage ratio, fixed charges coverage ratio, and debt service coverage ratio.

1. **Debt-equity Ratio**

   Debt-Equity Ratio measures the relationship between long-term debt and equity. If debt component of the total long-term funds employed is small. outsiders feel more secure. From security point of view, capital structure with less debt and more equity is considered favourable as it reduces the chances of bankruptcy. Normally,it is considered lo be safe if debt equity ratio Is 2 : 1. However, it may vary from industry to Industry. **It Is computed as follow**

   **Debt-Equity Ratio = Long Term Debts/Shareholders' Funds where:**

   **Shareholders' Funds (Equity) = Share capital + Reserves and Surplus + Money received against share warrants**

   **Share Capital = Equity share capital + Preference share capital**

   or

   **Shareholders' Funds (Equity) = Non-current Assets + Working capital – Non-current liabilities**

   **Working Capital = Current Assets – Current Liabilities**

**Significance:** This ratio measures the degree of indebtedness of an enterprise and gives an idea to the long-term lender regarding extent of security of the debt. As indicated earlier, a low debt equity ratio reflects more security. A high ratio, on the other hand, is considered risky as it may put the firm into difficulty in meeting its obligations to outsiders. However, from the perspective of the owners, greater use of debt (trading on equity) may help in ensuring higher returns for them if the rate of earnings on capital employed is higher than the rate of interest payable.

2. **Debt to Capital Employed Ratio:** The Debt to capital employed ratio refers to the ratio of long-term debt to the total of external and internal funds (capital employed or net assets). It is computed as follows:

   **Debt to Capital Employed Ratio = Long-term Debt/Capital Employed (or Net Assets)**

   **Capital employed = long-term debt + shareholders' funds. Alternatively, it may be taken as net assets which are equal to the total assets – current liabilities**

**Significance:** Like debt-equity ratio, it shows proportion of long-term debts in capital employed. Low ratio provides security to lenders and high ratio helps management in trading on equity. In the above case, the debt to Capital Employed ratio is less than half which indicates reasonable funding by debt and adequate security of debt. It may be noted that Debt to Capital Employed Ratio can also be computed in relation to total assets. In that case, it usually refers to the ratio of total debts (long-term debts + current liabilities) to total assets, i.e., total of noncurrent and current assets (or shareholders', funds + long-term debts + current liabilities), and is expressed as

Debt to Capital Employed Ratio = Total Debts/Total Assets

3. **Interest Coverage Ratio:** Also called the times interest earned. The interest coverage ratio is defined as:

$$\frac{\textbf{Profit before interest and taxes}}{\textbf{Interest on Long term debts}}$$

   Profit before interest and taxes are used in the numerator of this ratio because the ability of a firm to pay interest is not affected by tax payment, as interest on debt funds is a tax-deductible expense. A high interest coverage ratio means that the firm can easily meet its interest burden even if earnings before interest and taxes suffer a considerable decline. A low interest coverage ratio may result in financial embarrassment when earnings before interest and taxes decline. This ratio is widely used by lenders to assess a firm's debt capacity. Further, it is a major determinant of bond rating.

**Significance:** It reveals the number of times interest on long-term debts is covered by the profits available for interest. A higher ratio ensures safety of interest on debts.

Though widely used, this ratio is not a very appropriate measure of interest coverage because the source of interest payment is cash flow before interest and taxes, not earnings before interest and taxes. In view of this, we may use a modified interest coverage ratio:

$$\frac{\textbf{Profit before interest and taxes + Depreciation}}{\textbf{Debts interest}}$$

**Example 02:** From the following details, calculate interest coverage ratio: Net Profit after tax Rs. 60,000; 15% Long-term debt 10,00,000; and Tax rate 40%.

**Solution:**

Net Profit after Tax = Rs. 60,000

Tax Rate = 40%

Net Profit before tax = Net profit after tax × 100/(100 – Tax rate)

= Rs. 60,000 × 100/(100 – 40) = Rs. 1,00,000

Interest on Long-term Debt = 15% of Rs. 10,00,000 = Rs. 1,50,000

Net profit before interest and tax = Net profit before tax + Interest

= Rs. 1,00,000 + Rs. 1,50,000 = Rs. 2,50,000

Interest Coverage Ratio = Net Profit before Interest and Tax/Interest on long-term debt

= Rs. 2,50,000/Rs. 1,50,000

= 1.67 times

4. **Fixed Charges Coverage Ratio:** This ratio shows how many times the cash flow before interest and taxes covers all fixed financing charges. It is defined as:

$$\frac{\textbf{Profit before interest and taxes + Depreciation}}{\textbf{Repayment of loan interest + (1 – Tax rate)}}$$

In the denominator of this ratio only the repayment of loan is adjusted upwards for the tax factor because the loan repayment amount, unlike interest, is not tax deductible.

This ratio measures debt servicing ability comprehensively because it considers both the interest and the principal repayment obligations. The ratio may be amplified to include other fixed charges like lease payment and preference dividends.

5. **Debt Service Coverage Ratio:** Used by financial institutions in India, the debt service coverage ratio is defined as:

$$\frac{\textbf{Profit after tax + Depreciation + Other non - cash charges + Interest on term loan + Lease rentals}}{\textbf{Interest on term loan + Repayment of term loan + Lease rentals}}$$

**Significance:** Financial institutions calculate the average debt service coverage ratio for the period during which the term loan for the project is repayable. Normally, financial institutions regard a debt service coverage ratio of 1.5 to 2.0 as satisfactory. The Debt Service Coverage Ratio can be a very helpful metric for assessing a company's overall financial health, and specifically how capable it is of servicing its current debt. The ratio can also assist lenders and investors in determining whether it's safe for the company to take on additional debt financing.

## c. TURNOVER RATIOS

Turnover ratios, also referred to as activity ratios or asset management ratios, measure how efficiently the assets are employed by a firm. These ratios are based on the relationship between the level of activity, represented by sales or cost of goods sold, levels of various assets. The important turnover ratios are: inventory turnover, average collection period, receivables turnover, fixed assets turnover, and total assets turnover.

### 1. Inventory Turnover Ratio

The inventory turnover, or stock turnover, measures how fast the inventory is moving through the firm and generating sales. It is defined as:

$$\frac{\textbf{Cost of goods sold}}{\textbf{Average inventory}}$$

**Example 03:** From the following information, calculate inventory turnover ratio :

| | **Rs.** |
|---|---|
| Inventory in the beginning | 18,000 |
| Inventory at the end | 22,000 |
| Net purchases | 46,000 |
| Wages | 14,000 |
| Revenue from operations | 80,000 |
| Carriage inwards | 4,000 |

**Solution:**

Inventory Turnover Ratio = Cost of Goods Sold/Average Inventory

Cost of Goods Sold = Inventory in the beginning + Net Purchases + Wages + Carriage inwards – Inventory at the end = Rs. 18,000 + Rs. 46,000 + Rs. 14,000 + Rs. 4,000 – Rs. 22,000 = Rs. 60,000

Average Inventory = (Inventory in the beginning + Inventory at the end)/2

= (Rs. 18,000 + Rs. 22,000)/2

= Rs. 20,000

Inventory Turnover Ratio = Rs. 60,000/Rs. 20,000 = 3 Times

**Example 04:** From the following information, calculate inventory turnover ratio:

| | **Rs.** |
|---|---|
| Revenue from operations | 4,00,000 |
| Average Inventory | 55,000 |
| Gross Profit Ratio | 10% |

**Solution:**

Revenue from operations = Rs. 4,00,000

Gross Profit = 10% of Rs. 4,00,000 = Rs. 40,000

Cost of Revenue from operations = Revenue from operations – Gross Profit = Rs. 4,00,000 – Rs. 40,00,000 = Rs. 3,60,000

Inventory Turnover Ratio = Cost of Revenue from Operations/Average Inventory

= Rs. 3,60,000/Rs. 55,000 = 6.55 times

### 2. Receivables (Debtors) Turnover Ratio

In case firm sells goods on credit, the realization of sales revenue is delayed and the receivables are created. The cash is realised from these receivables later on.

The **speed with which these receivables are collected affects** the liquidity position of the firm. The debtor's turnover ratio throws light on the collection and credit policies of the firm. **It measures the efficiency with which management is managing its accounts receivables**. It is calculated as follows:

$$\textbf{Receivables (Debtors) Turnover Ratio} = \frac{\textbf{Credit Sales}}{\textbf{Average Accounts Receivable}}$$

A low debtors' turnover ratio reflects liberal credit terms granted to customers, while a high ratio shows that collections are made rapidly.

### 3. Receivables (Debtors) Velocity/Average Collection Period

Debtor's turnover ratio indicates the average collection period. However, the average collection period can be directly calculated as follows:

$$= \frac{\text{Average Accounts Receivables}}{\text{Average Daily Credit Sales}} \text{ or } \frac{\text{12 months / 52 weeks / 360 days}}{\text{Receivable Turnover Ratio}}$$

$$\text{Average Daily Credit Sales} = \frac{\text{Credit Sales}}{\text{No. of days in year (say 360)}}$$

**Interpretation**

The average collection period measures the average number of days it takes to collect an account receivable. This ratio is also referred to as the number of days of receivable and the number of day's sales in receivables. In determining the credit policy, debtor's turnover and average collection period provide a unique guidance.

**Example 05:** Calculate the Trade receivables turnover ratio from the following information:

| | Rs. |
|---|---|
| Total Revenue from operations | 4,00,000 |
| Cash Revenue from operations | 20% of Total Revenue from operations |
| Trade receivables as at 1.4.2021 | 40,000 |
| Trade receivables as at 31.3.2022 | 1,20,000 |

**Solution:**

Trade Receivables Turnover Ratio = Net Credit Revenue from Operations/Average Trade Receivables

Credit Revenue from operations = Total revenue from operations – Cash revenue from operations

Cash Revenue from operations = 20% of Rs. 4,00,000 = Rs. 80,000

Credit Revenue from operations = Rs. 4,00,000 – Rs. 80,000 = Rs. 3,20,000

Average Trade Receivables = (Opening Trade Receivables + Closing Trade Receivables)/2 = (Rs. 40,000 + Rs. 1,20,000)/2 = Rs. 80,000

Trade Receivables Turnover Ratios = Net Credit Revenue From Operations / Average Inventory

Trade Receivables Turnover Ratio = Rs. 3,20,000/Rs. 80,000 = 4 times.

### 4. Fixed Assets Turnover Ratio

It measures the efficiency with which the firm uses its fixed assets.

$$\text{Fixed Assets Turnover Ratio} = \frac{\text{Sales / Cost of Goods Sold}}{\text{Fixed Assets}}$$

### 5. Total Asset Turnover Ratio

This ratio measures the efficiency with which the firm uses its total assets. Higher the ratio, better it is. This ratio is computed as:

$$\text{Total Asset Turnover Ratio} = \frac{\text{Sales / Cost of Goods Sold}}{\text{Total Assets}}$$

**Interpretation**

A high total assets turnover ratio indicates the efficient utilisation of total assets in generation of sales. Similarly, a low asset turnover ratio indicates total assets are not efficiently used to generate sales.

## d. PROFITABILTY RATIOS

### 1. Profitability Ratios based on Sales

**(a) Gross Profit (G.P) Ratio/ Gross Profit Margin:** It measures the percentage of each sale in rupees remaining after payment for the goods sold.

$$\textbf{Gross Profit Ratio} = \frac{\textbf{Gross Profit}}{\textbf{Sales}} \times 100$$

**Interpretation**

Gross profit margin depends on the relationship between sales price, volume and costs. A high Gross Profit Margin is a favourable sign of good management.

**(b) Net Profit Ratio/ Net Profit Margin:** It measures the relationship between net profit and sales of the business. Depending on the concept of net profit, it can be calculated as:

(i) $$\textbf{Net Profit} = \frac{\textbf{Net Profit}}{\textbf{Sales}} \times 100$$

Or

$$\frac{\textbf{Earnings after taxes (EAT)}}{\textbf{Sales}} \times 100$$

(ii) $$\textbf{Pre-tax Profit Ratio} = \frac{\textbf{Earnings before taxes (EBT)}}{\textbf{Sales}} \times 100$$

**Interpretation**

Net Profit ratio finds the proportion of revenue that finds its way into profits after meeting all expenses. A high net profit ratio indicates positive returns from the business.

**(c) Operating Profit Ratio:**

Operating profit ratio is also calculated to evaluate operating performance of business.

$$\textbf{Operating Profit Ratio} = \frac{\textbf{Operating Profit}}{\textbf{Sales}} \times 100$$

**(d) EBITDA Margin** The EBITDA margin is defined as:

$$\frac{\textbf{Earnings before interest, taxes, depreciation, and amortisation}}{\textbf{Net sales}}$$

This ratio shows the margin left after meeting manufacturing expenses, selling, general, and administration expenses (SG&A). It reflects the operating efficiency of the firm.

**Example 06:** Given the following information:

| | |
|---|---|
| Revenue from Operations | 3,40,000 |
| Cost of Revenue from Operations | 1,20,000 |
| Selling expenses | 80,000 |
| Administrative Expenses | 40,000 |

Calculate Gross profit ratio and EBITDA margin

**Solution:**

**Example 07:** Gross Profit = Revenue from Operations - Cost of Revenue from Operations

= Rs. 3,40,000 – Rs. 1,20,000 = Rs. 2,20,000

Gross Profit Ratio = (Gross Profit/Revenue from operation) × 100

= (Rs. 2,20,000/ Rs. 3,40,000) × 100

= 64.71%

EBITDA Margin = ((Gross Profit - Selling Expenses - Administrative Expenses) / Revenue from operation) × 100

= ((Rs. 2,20,000 – 80,000 – 40,000)/340000) × 100

= 29.41%

Gross profit ratio of a company was 25%. Its credit revenue from operations was Rs. 20,00,000 and its cash revenue from operations was 10% of the total revenue from operations. If the indirect expenses of the company were Rs. 50,000, calculate its net profit ratio.

**Solution:**

Cash Revenue from Operations = Rs.20,00,000 × 10/90 = Rs. 2,22,222

Hence, total Revenue from Operations are = Rs.22,22,222

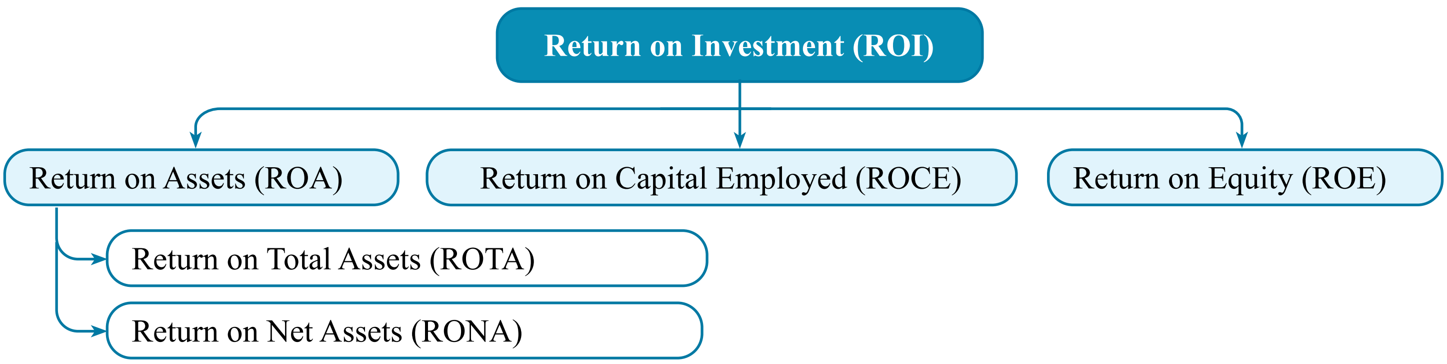
Gross profit = 0.25 × 22,22,222 = Rs. 5,55,555

Net profit = Rs.5,55,555 – 50,000 = Rs.5,05,555

Net profit ratio = Net profit/Revenue from Operations × 100

= Rs.5,05,555/Rs.22,22,222 × 100 = 22.75%

### 2. Profitability Ratios related to Overall Return on Assets/Investments




**(a) Return on Investment (ROI):** ROI is the most important ratio of all. It is the **percentage of return on funds invested in the business by its owners**. In short, this ratio tells the owner whether or not all the effort put into the business has been worthwhile. It compares earnings/returns/profit with the investment in the company. The ROI is calculated as follows:

$$\textbf{Return on Investment} = \frac{\textbf{Return / Profit / Earnings}}{\textbf{Investment}} \times \textbf{100}$$

Or,

$$\frac{\textbf{Return / Profit / Earnings}}{\textbf{Sales}} \times \frac{\textbf{Sales}}{\textbf{Investment}}$$

Or,

**= Profitability Ratio × Investment Turnover Ratio**

$$\textbf{Since, Profitability Ratio} = \frac{\textbf{Return / Profit / Earnings}}{\textbf{Sales}}\textbf{, and}$$

$$\textbf{Investment Turnover Ratio} = \frac{\textbf{Sales}}{\textbf{Investments}}$$

ROI can be improved either by improving Profitability Ratio or Investment Turnover Ratio or by both.

The concept of investment varies and accordingly there are three broad categories of ROI i.e.

**(i) Return on Assets (ROA),**

**(ii) Return on Capital Employed (ROCE) and**

**(iii) Return on Equity (ROE).**

We should keep in mind that investment may be Total Assets or Net Assets. Further, funds employed in net assets are also known as capital employed which is nothing but Net worth plus Debt, where Net worth is equity shareholders' fund. Similarly, the concept of returns/ earnings/ profits may vary as per the requirement and availability of information.

**(i) Return on Assets (ROA):** The profitability ratio is measured in terms of relationship between **net profits and assets employed** to earn that profit. This ratio measures the profitability of the firm in terms of assets employed in the firm. Based on various concepts of net profit (return) and assets, the ROA may be measured as follows:

$$\textbf{ROA} = \frac{\textbf{Net Profit after taxes}}{\textbf{Average Total Assets}} \textbf{ or } \frac{\textbf{Net Profit after taxes}}{\textbf{Average Tangible Assets}}$$

$$\frac{\textbf{Net Profit after taxes}}{\textbf{Average Fixed Assets}}$$

* **Note:** Sometimes, total assets may also be considered instead of average assets.

Here, net profit is exclusive of interest. As Assets are also financed by lenders, hence ROA can be calculated as:

$$\textbf{ROA} = \frac{\textbf{Net Profit after taxes + Interest}}{\textbf{Average Total Assets / Average Tangible Assets / Average Fixed Assets}}$$

Or

$$= \frac{\textbf{EBIT (1 – t)}}{\textbf{Average Total Assets}} \text{ (also known as } \textbf{Return on Total Assets} \text{ (ROTA))}$$

$$= \frac{\textbf{EBIT (1 – t)}}{\textbf{Average Net Assets}} \text{ (also known as } \textbf{Return on Net Assets} \text{ (RONA))}$$

**(ii) Return on Capital Employed (ROCE):** It is another variation of ROI.

The ROCE is calculated as follows:

$$\textbf{ROCE (Pre-tax)} = \frac{\textbf{Earnings before interest and taxes (EBIT)}}{\textbf{Capital Employed}} \times \textbf{100}$$

$$\textbf{ROCE (Post-tax)} = \frac{\textbf{EBIT (1 – t)}}{\textbf{Capital Employed}} \times \textbf{100}$$

Sometimes, it is also calculated as:

$$\frac{\textbf{Net Profit after taxes (PAT / EAT) + Interest}}{\textbf{Capital Employed}} \times \textbf{100}$$

Where,

Capital Employed = Total Assets - Current Liabilities

Or

= Fixed Assets + Working Capital

Or

= Equity + Long Term Debt

**Interpretation**

ROCE should always be higher than the rate at which the company borrows.

Intangible assets (assets which have no physical existence like goodwill, patents and trade-marks) should be included in the capital employed. But no fictitious asset (such as deferred expenses) should be included within capital employed. If information is available, then average capital employed shall be taken.

**(iii) Return on Equity (ROE):** Return on Equity measures the **profitability of equity funds invested in the firm.** This ratio reveals how profitably of the owners' funds have been utilised by the firm. It also measures the percentage return generated to equity shareholders. This ratio is computed as:

$$\frac{\textbf{Net Profit after taxes – Preference dividend (if any)}}{\textbf{Net Worth / Equity Shareholders Funds}} \times 100$$

**Interpretation**

Return on equity is one of the most important indicators of a firm's profitability and potential growth. Companies that boast a high return on equity with little or no debt are able to grow without large capital expenditures, allowing the owners of the business to withdraw cash and reinvest it elsewhere. Many investors fail to realize, however, that two companies can have the same return on equity, yet one can be a much better business. If return on total shareholders (i.e. equity and preference shareholder) is calculated, then Net Profit after taxes (before preference dividend) shall be divided by total shareholders' fund including preference share capital.

**(b) Return on Equity using the Du Pont Model:**

A finance executive at E.I. Du Pont de Nemours and Co., of Wilmington, Delaware, created the DuPont system of financial analysis in 1919. That system is used around the world today and serves as the basis of components that make up return on equity.

There are various components in the calculation of return on equity using the traditional DuPont model the net profit margin, asset turnover, and the equity multiplier. By examining each input individually, the sources of a company's return on equity can be discovered and compared to its competitors. The components are as follows:

**(i) Profitability/Net Profit Margin:** The **net profit margin is simply the after-tax profit a company generates for each rupee of revenue.** Net profit margin varies across industries, making it important to compare a potential investment against its competitors. Although the general rule-of-thumb is that a higher net profit margin is preferable, it is not uncommon for management to purposely lower the net profit margin in a bid to attract higher sales.

$$\textbf{Profitability/Net Profit margin} = \frac{\textbf{Profit / Net Income}}{\textbf{Sales / Revenue}}$$

Net profit margin is a safety cushion; the lower the margin, the less room for an error. A business with 1% margin has no room for flawed execution. Small miscalculations on management's part could lead to tremendous losses with little or no warning.

**(ii) Investment Turnover/Asset Turnover/Capital Turnover:** The asset turnover ratio is a measure of **how effectively a company converts its assets into sales**. It is calculated as follows:

**Investment Turnover/Asset Turnover/Capital Turnover**

$$= \frac{\textbf{Sales / Revenue}}{\textbf{Investment / Assets / Capital}}$$

The asset turnover ratio tends to be inversely related to the net profit margin i.e. higher the net profit margin, lower the asset turnover and vice versa. The result is that the investor can compare companies using different models (low-profit, high-volume vs. high-profit, low-volume) and determine which one is the more attractive business.

(iii) **Equity Multiplier:** It is possible for a company with terrible sales and margins to take on excessive debt and artificially increase its return on equity. The equity multiplier, a measure of financial leverage, allows the investor to see what portion of the return on equity is the result of debt.

The equity multiplier is calculated as follows:

$$\textbf{Equity Multiplier} = \frac{\textbf{Investment / Assets / Capital}}{\textbf{Shareholders' Equity}}$$

**Calculation of Return on Equity**

To calculate the return on equity using the DuPont model, simply multiply the three components (net profit margin, asset turnover, and equity multiplier.)

Return on Equity = (Profitability/Net profit margin) × (Investment Turnover/Asset Turnover/Capital Turnover) × Equity Multiplier

**Return on Equity (ROE)**

Net Profit Margin | Assets Turnover Ratio | Financial Leverage

Return on Equity = Net Profit Margin × Asset Turnover Ratio x Financial Leverage

- Net Profit Margin = (Net Income/Sales) – The Net Profit Margin signifies the Profit that is extracted per rupee of Sales. Everything else remaining same, a company which has a higher Net Profit Margin has a higher ROE.
- Asset Turnover Ratio = (Sales/Total Assets) – This ratio is an efficiency measurement used to determine how effectively a company uses its assets to generate revenue. Higher the Asset Turnover Ratio, higher the ROE, everything else remaining the same.
- Financial Leverage = (Total Assets/Total Equity) – Financial Leverage measure whether a company finances the purchase of assets primarily through debt or equity. The higher the Financial Leverage the higher the ROE. Financial Leverage when it becomes excessive can increase the risk of bankruptcy.

## D. SUMMARY OF RATIOS

Another way of categorizing the ratios is being shown to you in a tabular form. A summary of the ratios has been tabulated as under:

| Ratio | Formulae | Interpretation |
|---|---|---|
| **Liquidity Ratio** | | |
| Current Ratio | $\frac{\text{Current Assets}}{\text{Current Liabilities}}$ | A simple measure that estimates whether the business can pay short term debts. Ideal ratio is 2. |
| Quick Ratio | $\frac{\text{Quick Assets}}{\text{Current Liabilities}}$ | It measures the ability to meet current debt immediately. Ideal ratio is 1. |
| Cash Ratio | $\frac{(\text{Cash and Bank balances + Marketable Securities})}{\text{Current Liabilities}}$ | It measures absolute liquidity of the business. |
| **Capital Structure Ratio** | | |
| Equity Ratio | $\frac{\text{Shareholders' Equity}}{\text{Net Assets}}$ | It indicates owner's fund in companies to total fund invested. |

| | | |
|---|---|---|
| Debt Ratio | $\frac{\text{Total Debt}}{\text{Net Assets}}$ | It is an indicator of use of outside funds. |
| Debt to equity Ratio | $\frac{\text{Total Debt}}{\text{Shareholders'Equity}}$ | It indicates the composition of capital structure in terms of debt and equity. |
| Inventory Turnover Ratio | $\frac{\text{COGS/ Sales}}{\text{Average Inventory}}$ | It measures the efficiency of the firm to manage its inventory. |
| Debtors Turnover Ratio | $\frac{\text{Credit Sales}}{\text{Average Accounts Receivable}}$ | It measures the efficiency at which firm is managing its receivables. |
| Receivables (Debtors') Velocity | $\frac{\text{Average Accounts Receivables}}{\text{Average Daily Credit Sales}}$ | It measures the velocity of collection of receivables. |
| Payables Turnover Ratio | $\frac{\text{Annual Net Credit Purchases}}{\text{Average Accounts Payables}}$ | It measures how fast a company makes payment to its creditors. |
| Payables Velocity | $\frac{\text{Average Accounts Payable}}{\text{Average Daily Credit Purchases}}$ | It measures the velocity of payment of payables. |
| **Profitability Ratios based on Sales** | | |
| Gross Profit Ratio | $\frac{\text{Gross Profit}}{\text{Sales}} \times 100$ | This ratio tells us something about the business's ability consistently to control its production costs or to manage the margins it makes on products it buys and sells. |
| Net Profit Ratio | $\frac{\text{Net Profit}}{\text{Sales}} \times 100$ | It measures the relationship between net profit and sales of the business. |
| Operating Profit Ratio | $\frac{\text{Operating Profit}}{\text{Sales}} \times 100$ | It measures operating performance of business. |

**Example 08:** Following Summarized Statement of Profit/Loss and Balance Sheet are provided by ABC Ltd.:

**Summarized Profit/Loss Account of ABC Ltd.**

**(For the year ended 31st March, 2023)**

| Particulars | Amount (in crore ₹) |
|---|---|
| Sales | 144 |
| **Add:** Other Income<br>Less Cost of Sales | 15<br>110.02 |
| Gross Margin (excluding other incomes) | 48.98 |
| Operating Expenses :<br>Administration :<br>Selling and Distribution: | <br>14.36<br>5.36 |

| | |
|---|---|
| Profit Before interest and Tax (EBIT) | 29.26 |
| Interest | 4.01 |
| Profit Before Tax (EBT) | 25.25 |
| Provision for Taxes | 9.47 |
| Profit after Tax (EAT) | 15.78 |

**Balance Sheets of ABC Ltd.**

**(As on 31st March, 2023)**

| Particulars | Amount (in crore ₹) |
|---|---|
| Fixed Assets (Net) | 37.50 |
| **Current Assets:** | |
| Inventory | 16.64 |
| Accounts Receivable | 15.43 |
| Cash and Bank | 1.75 |
| **Less:** Current Liabilities | 11.25 |
| Net Current Assets | 22.57 |
| Total Assets | 60.07 |
| **Liabilities and Owners' Equity:** | |
| Share Capital | 27.00 |
| Reserves and Surplus | 6.36 |
| Long-term Debt | 26.71 |
| **Total** | 60.07 |

You are required to calculate the following ratios:

(i) Current Ratio

(ii) Liquid Ratio

(iii) Gross Profit Margin Ratio

(iv) Net Profit Margin Ratio

(v) Return on Equity.

**Solution:**

| Ratios | |
|---|---|
| (i) Current Ratio = Current Assets/Current Liabilities | (16.64 + 15.43 + 1.75)/11.25<br>**= 3.006 times (3.01 times) Or 3.01:1** |
| (ii) Liquidity Ratio = Liquid Assets*/Current Liabilities<br>* Current Assets excluding Inventory | (15.43 + 1.75)/11.25<br>**= 1.527 times (1.53 times)**<br>**Or 1.53:1** |
| (iii) Gross Profit Margin = Gross Profit/Net Sales 100 | 33.98/144* 100<br>**= 23.6%** |
| (iv) Net Profit Margin = Net Profit after Tax/Net Sales * 100 | 15.78/144* 100<br>**= 10.96%** |
| (v) Return on Equity = Earning for Equity/Average Equity *100<br>(In place of Average Equity, Closing Equity may be used) | 15.78/33.36* 100<br>**= 47.3%**<br>**33.36 (27 + 6.36)** |

**Example 09:** Prabhuji is a first-generation entrepreneur engaged in the bakery business. Prabhuji is the proprietor of B & Sons a Mumbai based concern manufacturing bakery products, confectioneries and sweets. The products are manufactured and sold in wholesale to retailers under a brand name "Bread & More". Products were essentially sold to retailers who would then sell the final customer. Since the year 2020 - the next generation of Prabhuji's family started participating in the business. The new generation is technologically aware and suggested direct sales to customers through omni channel (online sales). The bakery brand was only known locally. However, due to sales online and due to the good quality of the products - the bakery product's started gaining traction nationally. Demand for the products increased. As a result, there was a need to increase manufacturing capacity. The new members in the business suggested borrowing or setting up a Special Purpose Vehicle for the new manufacturing unit. Private Equity players can then invest in the Special Purpose Vehicle. Prabhuji is a conservative businessman. While not being average to expansion - Prabhuji suggests minimizing the need for external finance while relying more on internal accruals.

Following are some financial details:

| Particulars | Amount (₹) |
|---|---|
| Inventory at 1st April 2022 | 1,00,000 |
| Inventory at 31st March, 2023 | 2,00,000 |
| Revenues | 25,00,000 |
| Credit Sales | 80% of sales |
| Purchases | 9,50,000 |
| Wages | 7,00,000 |
| Carriage inwards | 1,50,000 |
| Receivables 1st April, 2022 | 2,50,000 |
| Receivables 31st March, 2023 | 3,00,000 |
| Total assets | 24,00,000 |
| Admin. Expenses | 2,50,000 |
| Depreciation | 2,00,000 |
| Finance charges | 50,000 |
| Total debt | 4,00,000 |
| Total equity | 20,00,000 |
| Tax | 30% |

Jimsha is a financial expert and consultant and is a school friend of Prabhuji. One of the key questions was on improvement in cash flows. Jimsha made a suggestion regarding study of working capital management. A number of firms ignore funds blocked in working capital. Prabhuji was also concerned about the return on funds invested in business as capital. Jimsha advised Prabhuji to use Du Pont Analysis to check whether funds are used efficiently.

Prabhuji mentions the increase in demand and possible need to increase capacity. There are various options available to meet the demand.

- Outsource the production to third party.
- Expand the production capacity by incurring certain capital expenditure.

There are concerns around manufacturing quality if production is outsourced. The cost of the additional capacity is likely to be substantial. A capex of 5,00,000 financed 80% by debt raiseed at 10% and remaining through new equity is required. Financial projections are given below:

| Information for 2023-24 | Current | New |
|---|---|---|
| Revenues | 25,00,000 | Increase by 30% |
| Total assets | 24,00,000 | 26,00,000 |
| Admin. Expenses | 2,50,000 | 2,75,000 |

| | | |
|---|---|---|
| Depreciation | 2,00,000 | 3,00,000 |
| Financial charges | 50,000 | 50,000 + Interest on new debt |
| Total equity | 20,00,000 | New Equity amount |
| Tatal debt | 4,00,000 | |
| Tax | 30% | 30% |

Gross profit ratio remains same as provious year.

On the basis of above information, answer the following questions:

(i) Calculate inventory turnover, average collection period and interpret the ratios.

(ii) Calculate Return on Equity by using Du Pont Analysis. Comment on how can Return on Equity be improved.

(iii) Prepare the estimate of Profit & Loss A/c for 2023-24. What will be the Owner's capital as on 31st March, 2024?

**Solution: (i)**

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$$

Cost of Goods Sold = Opening Inventory + Purchases + Wages + Carriage Inwards – Closing Inventory

Cost of Goods Sold = ₹1,00,000 + ₹9,50,000 + ₹7,00,000 + ₹1,50,000 – ₹2,00,000 = ₹17,00,000

Average Inventory = (Opening Inventory + Closing Inventory)/2

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}} = \frac{₹17,00,000}{₹1,50,000} = 11.33 \text{ times}$$

$$\text{Receivables Turnover Ratio} = \frac{\text{Credits Sales}}{\text{Receivables Turnover}} = \frac{(80\% \text{ of } 25,00,000)}{(₹22,50,000 + ₹3,00,000)/2}$$

$$\text{Receivables Turnover Ratio} = \frac{₹20,00,000}{₹2,75,000} 7.273 \text{ times}$$

$$\text{Average Collection Period} = \frac{365}{\text{Receivables Turnover}} = 365/7.273 = 50.19 \text{ days}$$

| Interpretation of Ratios | |
|---|---|
| Inventory turnover ratio of 11.33 times | Inventory turnover ratio of 11.33 has room for improvement. Inventory days (365/11.33) are 32 days. The organization should aim to reduce inventory days with better planning of raw material utilization and demand estimation of finished products. |
| Average Collection Period is 50.19 days | It takes approximately 50 days to collect on credit sales. Receivable days are on the higher side. Planning should be done to improve upon collection. Factoring as a strategy could also be used to sell receivables |

**Solution (ii)**

Return on Equity = Net Profit Margin x Asset Turnover Ratio x Financial Leverage

(1) $\text{Net Profit Margin} = \dfrac{\text{Net Profit}}{\text{Revenues}}$

$$= \frac{(\text{Sales} - \text{Cost of Goods Sold} - \text{operating expenses}) - 30\% \text{ tax}}{\text{Revenues}}$$

$$\frac{((₹25,00,000 - ₹17,00,000 - ₹2,50,000 - ₹2,00,000 - ₹50,000) - 30\% \text{ tax}}{₹25,00,000}$$

= ₹2,10,000/₹25,00,000 = 8.40% **(A)**

(2) Net Profit Margin = $\dfrac{\text{Sales}}{\text{Total Assets}} = \dfrac{₹25,00,000}{₹24,00,000} = 1.042 \text{ (B)}$

(3) Financial Leverage = $\dfrac{\text{Total Assets}}{\text{Total Equity}} = \dfrac{₹24,00,000}{₹20,00,000} = 1.20 \text{ (C)}$

**Return on Equity = (A) × (B) × (C) = 8.40 × 1.04 × 1.20 = 10.50%**

The return on equity is calculated using Du Pant Analysis. An improvement can be made in RoE:

- By improving the utilization of assets. The asset turnover ratio is on the lower side. Operations need to be studied for efficiency. An increase in Assets turnover will improve expected returns on equity.
- A small amount of debt increase on the balance sheet could help the firm. Increase in financial leverage is likely to lead to an increase in Return on Equity. However, it should be noted that borrowing costs need to be lower than expected Return on Capital Employed to benefit equity shareholder returns.
- Passing on some of the costs to customers through minor price increases and making the organization more efficient may lead to better margins and in turn better Return on equity.

**Solution (iii)**

**Estimated Profit & Loss A/c for financial year 2023-24 for "B & Sons"**

| Estimated P&L | Amount in ₹ FY 2022-23 | Amount in ₹ FY 2023-24 | Comments |
|---|---|---|---|
| Revenues | 25,00,000 | 32,50,000 | New Revenues increase by 30% |
| **Gross Profit** | **8,00,000** | **10,40,000** | Gross Profit Margin 32% |
| Admin expenses | 2,50,000 | 2,75,000 | Given |
| Depreciation | 2,00,000 | 3,00,000 | Given |
| **Earnings before Interest and Tax (EBIT)** | **3,50,000** | **4,65,000** | |
| Finance Charges | 50,000 | 90,000 | Additional Debt is 4,00,000/- @10% interest |
| **Earnings before Tax (EBT)** | **3,00,000** | **3,75,000** | |
| Tax | 90,000 | 1,12,500 | Tax rate @30% |
| **Profit after Tax (PAT)** | **2,10,000** | **2,62,500** | |

**Owner's Capital as on March 31, 2024**

| Particulars | Amount in ₹ |
|---|---|
| Equity Amount as on 1st April 2023 | 20,00,000 |
| Profit of FY 2023-24 | 2,62,500 |
| Additional Equity raised (5,00,000 – 80% debt) | 1,00,000 |
| | 23,62,500 |

**Example 10:** Calculate net profit margin from the following given information:

| Particulars | Amount (₹) |
|---|---|
| Revenue from operations | 17,00,000 |
| Cost of Revenue from operations | 10,00,000 |
| Selling Expenses | 2,00,000 |
| Administrative Expenses | 1,00,000 |
| Depreciation | 2,00,000 |

| | |
|---|---|
| Interest expenses | 50,000 |
| Other Income | 45,000 |
| Tax Rate | 30% |

| Particulars | Amount in ₹ | |
|---|---|---|
| Sales | 17,00,000 | |
| Cost of Sales | –10,00,000 | |
| Gross Profit | 7,00,000 | **41.18%** |
| Selling Expenses | –2,00,000 | |
| Admin Expenses | –1,00,000 | |
| EBITDA | 4,00,000 | **23.53%** |
| Depreciation | –2,00,000 | |
| EBIT | 2,00,000 | |
| Interest | –50,000 | |
| Other income | 45,000 | |
| EBT | 1,95,000 | |
| Tax | –58,500 | **Tax rate 30%** |
| **Net Profit** | **1,36,500** | **7.82%** |

$$\text{Net profit Margin} = \frac{\text{Net Profit}}{\text{Total Revenue}} = \frac{₹1,36,500}{₹17,45,000} = 7.82\%$$

**Note:** Total Revenue and Net Profit includes Other Income.

**Example 11:** Komal is a third-generation businesswomen in the dairy business "Bharat Ghee & Co.". The business is run under the brand "Pure Ghee". The company prepares milk-based products and is known for good quality in the market. The sales are made through self-owned stores, other retailers at locations where self-owned stores are not present and online.

The business is run by Komal's family on a strategic and operational basis. However, now the business is growing at a rapid pace. There is a need to get in professional management to run the business. "Bharat Ghee & Co." hires a new CEO - Garima, who has three decades of experience in the dairy industry. Komal will now be Executive Chairman and provide a guiding role in the business. The first task that Garima has on hand is to identify issues that are hindering business growth.

Komal asks Garima to list major concerns that the business is facing:

- Lower margins where sales are made through other retailers and online. Online platforms are charging a big commission for making sales.
- High chance of spoilage due to perishable nature of the raw material. Due to perishable nature of material - inventories are kept at a negligible level.
- Capacity increase may be necessitated in the near future for which capital will have to be raised.

Garima requests the Accounts Head - Naina for key financial metrics of "Bharat Ghee & Co". Naina provides the following details to Garima:

**Key Financials of Bharat Ghee & Co:**

| | |
|---|---|
| Credit Revenue (₹) | 80,00,00,000/- |
| Cash Revenue | 20% of total sales |
| Gross Profit ratio | 30% |

| | |
|---|---|
| Indirect expenses (₹) | 10,00,00,000/- |
| Tax rate | 25% |
| Interest on debt | 12% |
| Interest amount (₹) | 12,00,00,000/- |
| Debt to equity ratio | 2:1 |

Garima does some quick calculations to derive Return on Equity and Return on Capital Employed. Komal indicates willingness to contribute fresh equity in the business and payoff the loans. However, Garima is not in favour of repayment of loans.

Garima has made a business plan to change the strategy to decrease dependence from third party vendors. The new plan recommends creation of infrastructure to enable sales at locations which are serviced by channel partners. A new strategic business unit is to be created for implementation of the business plan.

The following infrastructure facilities need to be created:

| Items | (₹) |
|---|---|
| Cold chain warehousing facility | 15,00,00,000 |
| New trucks | 5,00,00,000 |
| Office premises | 3,00,00,000 |
| Furniture and computers | 1,00,00,000 |

- The aforementioned infrastructure will be set up using debt and equity in the ratio of 2: 1. The new debt will be raised at a rate of 14%.
- The average depreciation will be 30%.
- The above investment and raising of debt will be done on October 1. The organization follows an April to March financial year.
- The average receivables at the end of the financial year from the new business will be ₹10,80,00,000/-. The receivables turnover days will be 45 days. Assume 180 days to calculate receivables turnover ratio.
- The gross profit margin will be 20%.
- Indirect expenses other than depreciation will be ₹2,00,00,000/-.
- Income tax rate is 25%.

Komal asks for the projected P&L before approving the required investment amount:

(i) Calculate current Net Profit Margin, Return on Equity and Return on Capital Employed.

(ii) If debt is paid off using fresh equity, what will be new Net Profit Margin and Return on Equity? Assume debt is repaid on first day of financial year. Comment on change in return on equity.

(iii) Prepare the projected Profit & Loss Account of the new business unit.

**Solution (i)**

**Calculation of Net Profit Margin, Return on Capital Employed and Return on Equity**

| | | Amount in ₹ |
|---|---|---|
| Cash Sales | 20% of total sales | 20,00,00,000 |
| Credit Sales | 80% of total sales | 80,00,00,000 |
| Total Sales | | **1,00,00,00,000** |
| Gross Profit | 30% of total sales | 30,00,00,000 |

| | | |
|---|---|---|
| **Less:** Indirect Expenses | | 10,00,00,000 |
| Profit Before Interest and Tax (PBIT) | | **20,00,00,000** |
| **Less:** Interest on Debt | @12% | 12,00,00,000 |
| Profit Before Tax (PBT) | | 8,00,00,000 |
| **Less:** Tax | @25% | 2,00,00,000 |
| Profit after Tax (PAT) | | **6,00,00,000** |
| Debt (A) | Interest/Interest rate | 1,00,00,00,000 |
| Equity (B) | | 50,00,00,000 |
| Total Capital Employed (A+B) | | **1,50,00,00,000** |
| Net Profit Margin | $\frac{\text{Profit after Tax}}{\text{Total Sales}}$ | **6%** |
| Return on Equity | $\frac{\text{Profit after Tax}}{\text{Total Equity}}$ | **12.00%** |
| Return on capital employed | $\frac{\text{PBIT}}{\text{Total Capital Employed}}$ | **13.33%** |

**Solution (ii)**

**Impact on Return on equity if debt is repaid**

| | **Amount in ₹** |
|---|---|
| Cash Sales | 20,00,00,000 |
| Credit Sales | 80,00,00,000 |
| Total Sales | **1,00,00,00,000** |
| Gross Profit | 30,00,00,000 |
| **Less:** Indirect Expenses | 10,00,00,000 |
| Profit Before Interest and Tax (PBIT) | **20,00,00,000** |
| **Less:** Interest | Nil |
| Profit Before Tax (PBT) | 20,00,00,000 |
| Tax@25% | 5,00,00,000 |
| Profit after Tax (PAT) | **15,00,00,000** |
| Total Equity | **1,50,00,00,000** |
| Net Profit Margin $= \frac{\text{Profit after Tax}}{\text{Total Sales}}$ | **15.00%** |
| Return on Equity $= \frac{\text{Profit after Tax}}{\text{Total Equity}}$ | **10.00%** |

**Comment on change in return on equity**

The return on equity has declined from 12% to 10% on repayment of debt. Since there is no interest expense as debt is now not available in the balance sheet, the decline in return on equity ratio has occurred.

**Solution (iii)**

**Projected P&L A/c of the New Business Unit**

| | Amount in ₹ |
|---|---|
| **Turnover (WN-1)** | **43,20,00,000** |
| Gross Profit (20% of the Turnover) | 8,64,00,000 |
| **Less:** Depreciation (WN-ii) | 3,60,00,000 |
| **Less:** Other Indirect Expenses | 3,04,00,000 |
| Profit before interest and taxes | 3,04,00,000 |
| **Less:** Interest | 1,12,00,000 |
| Profit before taxes | 1,92,00,000 |
| Income tax | 48,00,000 |
| Profit after tax | 1,44,00,000 |

**Working Notes (WN):**

**(1) Turnover**

| | |
|---|---|
| Average receivables | ₹10,80,00,000 |
| Receivable days | 45 |
| Receivable turnover 180/45 | 4 |
| **Turnover** | **₹43,20,00,000** |

**(2) Calculation of capital investment and depreciation**

| | (Amount in ₹) |
|---|---|
| Cold chain warehousing facility | 15,00,00,000 |
| New trucks | 5,00,00,000 |
| Office premises | 3,00,00,000 |
| Furniture and computers | 1,00,00,000 |
| Total | 24,00,00,000 |
| Depreciation | 30% |
| Months of usage | 6 |
| Depreciation | 3,60,00,000 |

**(3) Capital structure and interest amount**

| | (Amount in ₹) |
|---|---|
| Debt | 16,00,00,000 |
| Equity | 8,00,00,000 |
| Interest | 14% |
| Interest amount (for six months) | 1,12,00,000 |

**Example 12:** Alpha Ltd. has provided you the following information as on 31st March, 2024:

| Particulars | Amt. in ₹ |
|---|---|
| Opening Inventory | 2,28,750/- |
| Purchases | 9,66,750/- |
| Closing Inventory | 2,95,500/- |
| Sales | 15,60,000/- |
| Sales Returns | 60,000/- |

Calculate Inventory Turnover Ratio and Gross Profit Ratio.

**Solution:**

| | | Amount in ₹ |
|---|---|---|
| A | Opening Inventory | 2,28,750 |
| B | Purchases | 9,66,750 |
| C | Closing Inventory | 2,95,500 |
| **D** | **Cost of Goods Sold (A+B-C)** | **9,00,000** |
| E | Average Inventory(A + C)/2 | 2,62,125 |
| F | Inventory Turnover Ratio (times)<br>= Cost of Goods Sold/Average Inventory (D/E) | 3.43 |
| G | Sales<br>Less: Sales Return<br>**Net Sales** | 15,60,000<br>60,000<br>**15,00,000** |
| H | Gross Profit (Net Sales - Cost of Goods Sold)<br>(G – D) | 6,00,000 |
| I | Gross Profit Ratio (Gross Profit/Net Sales)<br>(H/G) | 40.00% |

## TEST YOURSELF

1. Current Ratio is 3.5:1
   Working Capital is Rs. 90,000.
   Calculate the amount of Current Assets and Current Liabilities.
   **(Answer: Current Assets Rs. 1,26,000 and Current Liabilities Rs. 36,000)**
2. Calculate debt-equity ratio from the following information:

| | |
|---|---|
| Total Assets | Rs. 15,00,000 |
| Current Liabilities | Rs. 6,00,000 |
| Total Debts | Rs. 12,00,000 |

   **(Answer: Debt-Equity Ratio 2: 1.)**
3. Calculate Current Ratio if: Inventory is Rs. 6,00,000; Liquid Assets Rs. 24,00,000; Quick Ratio 2: 1.
   **(Answer: Current Ratio 2.5:1)**

4. Compute Inventory Turnover Ratio from the following information:

| | |
|---|---|
| Revenue from Operations | Rs. 2,00,000 |
| Gross Profit | Rs. 50,000 |
| Inventory at the end | Rs. 60,000 |
| Excess of inventory at the end over inventory in the beginning | Rs. 20,000 |

**(Answer: Inventory Turnover Ratio 3 times)**

5. From the following information calculate Gross Profit Ratio, Inventory Turnover Ratio and Trade Receivable Turnover Ratio.

| | |
|---|---|
| Revenue from Operations | Rs. 3,00,000 |
| Cost of Revenue from Operations | Rs. 2,40,000 |
| Inventory at the end | Rs. 62,000 |
| Gross Profit | Rs. 60,000 |
| Inventory in the beginning | Rs. 58,000 |
| Trade Receivables | Rs. 32,000 |

**(Answer: Gross Profit Ratio 20%; Inventory Turnover Ratio 4 times; Trade Receivables Turnover Ratio 9.375 times)**

CHAPTER 9

# CASH FLOW STATEMENT

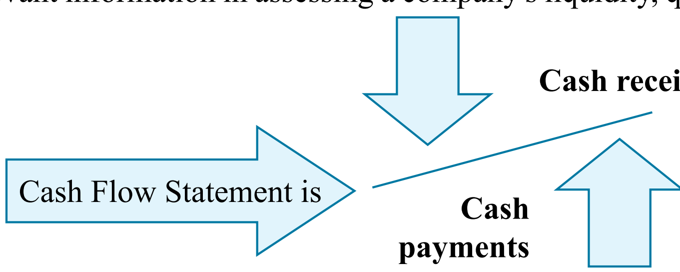
- Definition & Significance of Cash Flow Statement
- Meaning of Cash & Cash Equivalents and Cash flow
- Difference between Operating, Investing and Financing Activities.
- Preparation of Cash Flow Statement as per AS 3.

## A. INTRODUCTION

Information about the cash flows of an enterprise is useful in providing users of financial statements with a basis to assess the ability of the enterprise to generate cash and cash equivalents and the needs of the enterprise to utilise those cash flows. The economic decisions that are taken by users require an evaluation of the ability of an enterprise to generate cash and cash equivalents and the timing and certainty of their generation.

The Standard deals with the provision of information about the historical changes in cash and cash equivalents of an enterprise by means of a cash flow statement which classifies cash flows during the period from operating, investing and financing activities.

This statement provides relevant information in assessing a company's liquidity, quality of earnings and solvency.




### a. BENEFITS

1. Cash flow statement provides information about the changes in cash and cash equivalents of an enterprise.
2. Identifies cash generated from trading operations.
3. The operating cash surplus which can be applied for investment in fixed assets.
4. Portion of cash from operations is used to pay dividend and tax and the other portion is ploughed back.
5. Very useful tool of planning.

### b. PURPOSE

Cash flow statements are prepared to explain the cash movements between two points of time.

### c. SOURCES OF CASH

1. Issue of shares and debentures and raising long-term loan.
2. Sale of investments and other fixed assets.
3. Cash from operations (Net Operating Profit).

### d. APPLICATIONS OF CASH

1. Redemption of preference shares and debentures and repayment of long-term loan.
2. Purchase of investments and other fixed assets.
3. Payment of tax.
4. Payment of dividend.
5. Loss on Operation (Net Operating Loss)

**Note:** Cash includes Bank Account also. Increase in cash or decrease in cash is put in the applications and the sources respectively just to balance the cash flow statement. At this juncture, you may note that changes in all balance sheet items are to be taken into consideration separately in cash flow statement for explaining movement of cash.

## B. ELEMENTS OF CASH

As per **AS 3 Cash Flow Statements** issued by the Council of the ICAI,

### a. 'CASH' INCLUDE:

1. Cash in hand,
2. Demand deposits with banks, and

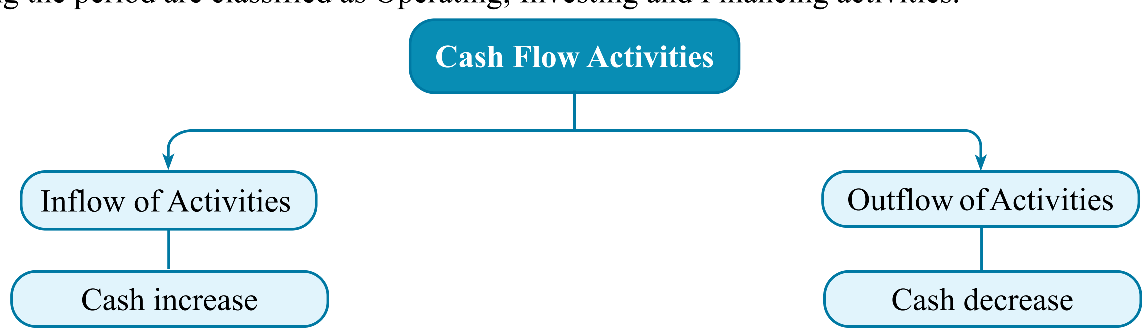
### b. CASH EQUIVALENTS INCLUDE

1. Components
   (a) Short term highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value
   (b) Securities with short maturity period of, say, three months or less from the date of acquisition
2. Objective
   (a) Deploy, for a short period, idle cash required to meet short-term cash-commitments.
3. Examples
   (a) Acquisition of preference shares, shortly before their specified redemption date, bank deposits with short maturity period, etc.

**Conclusion:** Thus, cash flow statement deals with flow of cash funds but does not consider the movements among cash, bank balance payable on demand and investment of excess cash in cash equivalents. Examples are cash withdrawn from current account, cash deposited in bank for 60 days, etc.

## C. CLASSIFICATION ACTIVITIES OF CASH FLOW

AS 3 provides explanation for changes in cash position of the business entity. As per Accounting Standard 3, cash flows during the period are classified as Operating; Investing and Financing activities.



**Classification of Cash Flow Activities**

- Operating activities (principle revenue generating)
- Investing activities (acquisition and disposal of long-term assets and other investments)
- Financing activities (changes in the size and composition of the owner's capital and borrowings)

## a. OPERATING ACTIVITIES

1. **Definition:** These are the principal revenue generating activities of the enterprise.
2. **Net Impact:** Net impact of operating activities on flow of cash is reported as 'Cash flows from operating activities' or 'cash from operations'.
3. **Key Indicator:** The amount of cash flows from operating activities is a key indicator of the extent to which the operations of the enterprises have generated sufficient cash flows to:
   (a) Maintain the operating capability of the enterprise;
   (b) Pay dividends, repay loans; and
   (c) Make new investments without recourse to external sources of financing.
4. **Information Provided:** It provides useful information about financing through working capital.
5. **Benefits:** Information about the specific components of historical operating cash flows is useful, in conjunction with other information, in forecasting future operating cash flows.

**Cash flows arising from operating activities**

Key indicator of the extent to which the operations of the entity have generated sufficient cash flows to
- Repay loans
- Maintain the operating capability of the entity
- Pay dividends
- Make new investments without recourse to external sources of financing

Primarily derived from the principal revenue-producing activities of the entity

Generally, result from the transactions and other events that have role in the determination of net profit or loss

Example

(a) Cash receipts from the sale of goods and the rendering of services
(b) Cash receipts from royalties, fees, commissions, and other revenue
(c) Cash payments to suppliers for goods and services
(d) Cash payments to and on behalf of employees
(e) Cash receipts and cash payments of an insurance entity for premiums and claims, annuities, and other policy benefits
(f) Cash payments or refunds of income taxes unless they can be specifically identified with financing and investing activities
(g) Cash receipts and payments relating to futures contracts, forward contracts, option contracts and swap contracts when the contracts are held for dealing or trading purposes.
(h) Cash flows arising from the purchase and sale of dealing or trading securities
(i) Cash advances and loans made by financial institutions since they relate to their main revenue-producing activity.

## b. INVESTING ACTIVITIES

1. **Definition:** These are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.
2. **Separate Disclosure:** Separate disclosure of cash flows arising from investing activities is important because the cash flows represent the extent to which the expenditures have been made for resources intended to generate future incomes and cash flows.

**Cash flows arising from investing activities**

Examples

Represent the extent to which expenditures have been made for resources intended to generate future income and cash flows

(a) Cash payments to acquire fixed assets (including intangibles). These payments include those relating to capitalised research and development costs and self-constructed fixed assets;

(b) Cash receipts from sales of property, plant and equipment, intangibles and other long-term assets;

(c) Cash payments to acquire equity or debt instruments of other entities and interests in joint ventures (other than payments for those instruments considered to be cash equivalents or those held for dealing or trading purposes);

(d) Cash receipts from sales of equity or debt instruments of other entities and interests in joint ventures (other than receipts for those instruments considered to be cash equivalents and those held for dealing or trading purposes);

(e) Cash advances and loans made to other parties (other than advances and loans made by a financial institution);

(f) Cash receipts from the repayment of advances and loans made to other parties (other than advances and loans of a financial institution);

(g) Cash payments for futures contracts, forward contracts, option contracts and swap contracts except when the contracts are held for dealing or trading purposes, or the payments are classified as financing activities; and

(h) Cash receipts from futures contracts, forward contracts, option contracts and swap contracts except when the contracts are held for dealing or trading purposes, or the receipts are classified as financing activities.

## c. FINANCING ACTIVITIES

1. **Definition:** These are the activities that result in changes in the size and composition of the owner's capital (including preference share capital) and borrowings of the enterprise.
2. **Separate Disclosure:** The separate disclosure of cash flows arising from financing activities is important because it is useful in predicting claims on future cash flows by providers of funds (both capital and borrowings) to the enterprise.

**Cash flows arising from financing activities**

- Useful in predicting claims on future cash flows by providers of capital to the entity
- Examples
  - (a) Cash proceeds from issuing shares or other equity instruments;
  - (b) Cash payments to owners to acquire or redeem the entity's shares;
  - (c) Cash proceeds from issuing debentures, loans, notes, bonds, mortgages and other short-term or long-term borrowings;
  - (d) Cash repayments of amounts borrowed; and
  - (e) Cash payments by a lessee for the reduction of the outstanding liability relating to a finance lease.

## D. CALCULATION OF CASH FLOWS FROM OPERATING ACTIVITIES

**Components:** Cash flows from operating activities result from the transactions and other events that enter into the determination of net profit or loss.

**Methods:** An enterprise can determine cash flows from operating activities using either:

**Methods**

- Direct Method
- Indirect Method

a. **Direct Method:** The direct method, whereby major classes of gross cash receipts and gross cash payments are considered; or

b. **Indirect Method:** The indirect method, whereby net profit or loss is adjusted for the effects of transactions of a non-cash nature, deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing activities.

### a. DIRECT METHOD

1. **Information Required**

   (a) Gross receipts and gross cash payments may be obtained from the accounting records to ascertain cash flows from operating activities.

   (b) For example,

   (i) Information about cash received from trade receivables,

   (ii) Payment to trade payables, cash expenses etc., which may be obtained by an analysis of cash book.

   (c) In actual practice, the relevant information is obtained by adjusting sales, cost of sales and other items in the profit and loss accounts for:

   - Changes during the period in inventories and operating receivables and payables;
   - Other non-cash items such as depreciation on fixed assets, goodwill written off, preliminary expenses written off, loss or gain on sale of fixed assets etc.; and
   - Other items for which the cash effects are investing or financing cash flows. Examples are interest received and paid, dividend received and paid etc., which are related to financing or investing activities and are shown separately in the cash flow statement.

2. The direct method provides information which may be useful in estimating future cash flows and which is not available under the indirect method and is, therefore, considered more appropriate than the indirect method.
3. However, indirect method of determining the cash from operating activities is more popular in actual practice.

### b. INDIRECT METHOD

Under the indirect method, the net cash from operating activities is determined by adjusting net profit or loss instead of individual items appearing in the profit and loss account. Net profit or loss is also adjusted for the effect of:

1. Changes during the period in inventories and operating receivables and payables;
2. Non-cash items such as depreciation; and
3. All other items for which the cash effects are financing or investing cash flows.

### c. CONCLUSION

1. It is worth noting that both direct and indirect methods adjust current assets and current liabilities related to operating activities to determine cash from operating activities.
2. But direct method adjust individual items of profit and loss account and indirect method adjusts overall net profit (or loss) to determine cash from operation.
3. Therefore, indirect method fails to provide break-up of cash from operations.

**Proforma of 'Cash Flow from Operating Activities' by Indirect Method**

| | | ₹ |
|---|---|---|
| Net Profit for the year | | – |
| Add: Non-Cash and Non-Operating Expenses: | – | |
| Depreciation | – | |
| Loss on Sale of Assets | – | |
| Provision for taxation, etc. | – | |
| Less: Non-Cash and Non-Operating Incomes: | | |
| Profit on Sale of Assets | – | |
| Net Profit after Adjustment for Non-Cash Items | | (–) |

| | | |
|---|---|---|
| Cash from operation | = | Net Profit (after adjustment for Non-cash Items) |
| | – | Increase in Current Assets |
| | + | Decrease in Current Assets |
| | + | Increase in Current Liabilities |
| | – | Decrease in Current Liabilities |

## E. CALCULATION OF CASH FLOWS FROM INVESTING ACTIVITIES

a. These activities are related to the acquisition and disposal of long-term assets, non-operating current assets and investments which results in outflow of cash.
b. Disposal of the aforesaid assets results in inflow of cash.
c. Thus, inflows and outflows related to acquisition and disposal of assets, other than those related to operating activities, are shown under this category.

## F. CALCULATION OF CASH FLOWS FROM FINANCING ACTIVITIES

a. These activities are basically related to the changes in capital and borrowing of the enterprise which affect flow of cash.
b. Redemption of shares and repayment of borrowings results in outflow of cash.
c. Thus inflows and outflows related to the amount of capital and borrowings of the enterprise are shown under this head.

**Note:** Students are advised to refer full text of Accounting Standard on Cash Flow Statements (AS 3) for the better understanding of the chapter.

| Cash Flow Statement (Indirect Method) | |
|---|---|
| **A. Cash flows from operating activities** | |
| **Net profit before tax and extraordinary items Adjustments for:** | |
| Depreciation Foreign exchange Investments | |
| Gain or loss on sale of fixed assets | |
| Interest/dividend | |
| Operating profit before working capital changes. | |
| Adjustments for: | |
| Trade & other receivables | |
| Inventories | |
| Trade payables | |
| Cash generation from operations | |
| Interest paid | |
| Direct taxes | |
| Cash before extraordinary items | |
| Deferred revenue | |
| Net Cash from Operating Activities. | |
| **B. Cash flows from investing activities** | |
| Purchase of fixed assets | |
| Sale of fixed assets | |
| Sale of investments | |
| Purchase of investments | |
| Interest received | |
| Dividend received | |
| Loans to subsidiaries | |
| Net Cash from Investing Activities | |
| **C. Cash flows from financing activities** | |
| Proceeds from issue of share capital | |
| Proceeds from long term borrowings | |
| Repayment to finance/lease liabilities | |
| Dividend paid | |
| Net Cash from Financing Activities | |
| Net Increase (Decrease) in Cash and Cash Equivalents (A + B + C) | |
| Cash and Cash Equivalents at the Beginning of the Period | |
| Cash and Cash Equivalents at the End of the Period | |

**Example 01:** From the following information, calculate cash flow from operating activities:

**Summary of Cash Account**
**for the year ended March 31, 20X1**

| Particulars | ₹ | Particulars | ₹ |
|---|---|---|---|
| To Balance b/d | 1,00,000 | By Cash Purchases | 1,20,000 |
| To Cash sales | 1,40,000 | By Trade payables | 1,57,000 |
| To Trade receivables | 1,75,000 | By Office & Selling Expenses | 75,000 |
| To Trade Commission | 50,000 | By Income Tax | 30,000 |
| To Sale of Investment | 30,000 | By Investment | 25,000 |
| To Loan from Bank | 1,00,000 | By Repayment of Loan | 75,000 |
| To Interest & Dividend | 1,000 | By Interest on loan | 10,000 |
| | | By Balance c/d | 1,04,000 |
| | 5,96,000 | | 5,96,000 |

**Solution:**

**Cash Flow Statement of .........**
**for the year ended March 31, 20X1 (Direct Method)**

| Particulars | ₹ | ₹ |
|---|---|---|
| **Operating Activities:** | | |
| Cash received from sale of goods | 1,40,000 | |
| Cash received from Trade receivables | 1,75,000 | |
| Trade Commission received | 50,000 | 3,65,000 |
| Less: Payment for Cash Purchases | 1,20,000 | |
| Payment to Trade payables | 1,57,000 | |
| Office and Selling Expenses | 75,000 | |
| Payment for Income Tax | 30,000 | (3,82,000) |
| Net Cash Flow used in Operating Activities | | (17,000) |

**Example 02:** The following summary cash account has been extracted from the company's accounting records:

**Summary Cash Account**

| | | (₹'000) |
|---|---|---|
| Balance at 1.3.20X1 | | 35 |
| Receipts from customers | | 2,783 |
| Issue of shares | | 300 |
| Sale of fixed assets | | 128 |
| | | 3,246 |
| Payments to suppliers | 2,047 | |
| Payments for property, plant & equipment | 230 | |
| Payments for overheads | 115 | |
| Wages and salaries | 69 | |
| Taxation | 243 | |
| Dividends | 80 | |
| Repayments of bank loan | 250 | (3,034) |
| Balance at 31.3.20X2 | | 212 |

Prepare Cash Flow Statement of this company Hills Ltd. for the year ended 31st March, 20X2 in accordance with AS-3 (Revised).

The company does not have any cash equivalents.

**Solution**

**Hills Ltd.**

**Cash Flow Statement for the year ended 31st March, 20X2**

**(Using direct method)**

| | | **(₹'000)** |
|---|---|---|
| **Cash flows from operating activities** | | |
| Cash receipts from customers | 2,783 | |
| Cash payments to suppliers | (2,047) | |
| Cash paid to employees | (69) | |
| Other cash payments (for overheads) | (115) | |
| Cash generated from operations | 552 | |
| Income taxes paid | (243) | |
| Net cash from operating activities | | 309 |
| **Cash flows from investing activities** | | |
| Payments for purchase of fixed assets | (230) | |
| Proceeds from sale of fixed assets | 128 | |
| Net cash used in investing activities | | (102) |
| **Cash flows from financing activities** | | |
| Proceeds from issuance of share capital | 300 | |
| Bank loan repaid | (250) | |
| Dividend paid | (80) | |
| Net cash used in financing activities | | (30) |
| Net increase in cash and cash equivalents | | 177 |
| Cash and cash equivalents at beginning of period | | 35 |
| Cash and cash equivalents at end of period | | 212 |

**Alternatively the Cash Flows from Operating Activities (Indirect Method) may be summarised as below:**

Net profit before tax and extra-ordinary items

**Adjustments for non-cash and non-operating items**

(+) Depreciation

(+) Amortization of intangible assets, preliminary expenses, debenture discount and the like.

(+) or (–) Other non-cash and non-operating items included in net profit

**Adjustments for gains and losses on sale of fixed assets and investments**

(–) Gains on sale of fixed assets and investments

(+) Loss on sale of fixed assets and investments

**Adjustments for changes in current assets and current liabilities**

(–) Increases in current assets

(+) Decreases in current assets

(+) Increases in current liabilities

(–) Decreases in current liabilities

(–) Income-tax paid

(–) Extraordinary items

Net Cash Flows from Operating activities

**Example 03:** From the following balances calculate cash from operations:

| Profit made during the year | 31st December | |
|---|---|---|
| | **2021** | **2022** |
| Bills receivable | 5,000 | 4,700 |
| Debtors | 1,000 | 1,250 |
| Bills payable | 2,000 | 2,500 |
| Creditors | 800 | 600 |
| Outstanding Expenses | 100 | 120 |
| Prepaid Expenses | 80 | 70 |
| Accrued Income | 60 | 75 |
| Income received in advanced | 80 | 25 |
| Profit made during the year | – | 7,000 |

**Solution:**

**Cash Flow Statement**

**Calculation of cash from Operating Activities**

| | Particulars | Amount (Rs.) | Amount (Rs.) |
|---|---|---|---|
| | **Profit made during the year** | | 7,000 |
| Add: | Decrease in current assets and increases in current liabilities: | | |
| | Decrease in bills receivable (C.A.) | 300 | |
| | Increase in bills payable (C.L.) | 500 | |
| | Increase in outstanding expenses (C.L.) | 20 | |
| | Decrease in prepaid expenses (C.A.) | 10 | 830 |
| | Total | | 7,830 |
| Less: | Increase in current assets and decrease in current liabilities: | | |
| | Increase in debtors (C.A.) | 250 | |
| | Decrease in creditors (C.L.) | 200 | |
| | Increase in accrued income (C.A.) | 15 | |
| | Decrease in income received in advance (C.L.) | 55 | 520 |
| | Cash from Operating Activities | 7,310 | |

[C.A. Current Asset, C.L. = Current Liability)

**Example 04:** Given below are the balance sheets of Veer & Sons.

| I. Equity and Liabilities | 01 Jan 2022 Rs. | 31 Dec. 2022 Rs. |
|---|---|---|
| Creditors | 4,000 | 4,400 |
| Mrs. A's Loan | 2,500 | – |

| | | |
|---|---|---|
| Loans from Bank | 4,000 | 5,000 |
| Capital | 12,500 | 15,300 |
| **Total** | **23,000** | **24,700** |
| **II. Assets** | | |
| Cash | 1,000 | 700 |
| Debtors | 3,000 | 5,000 |
| Stock | 3,500 | 2,500 |
| Machinery | 8,000 | 5,500 |
| Land | 4,000 | 5,000 |
| Building | 3,500 | 6,000 |
| Total | 23,000 | 24,700 |

During the year a machine costing Rs. 1000 (accumulated depreciation Rs. 300) is sold for Rs. 500. The provisions for depreciation against machinery as on 01 January 2022 was Rs. 2500 and on 31 December 2022 Rs. 4000. Net profit for the year amounts to Rs. 4500.

You are required to prepare a Cash Flow Statement.

**Solution:**

**Cash Flow Statement**

**For the year ending 31-12-2022**

**(i) Cash flow from operating activities**

| | | |
|---|---|---|
| Profit made during the year | | 4,500 |
| Add: Depreciation on machinery | 1,800 | |
| Loss on sales of machinery* | 200 | |
| Decrease in stock | 1,000 | |
| Increase in creditors | 400 | 3,400 |
| | | 7,900 |
| Less: Increase in debtors | | (–) 2,000 |
| Cash inflows from operating activities | | 5,900 |
| **Cash flow from investing activities** | | |
| Sale of machinery* | 500 | |
| Purchase of land (5,000 – 4,000) | (–) 1,000 | |
| Purchase of building (6,000 – 3,500) | (–) 2,500 | (–) 3,000 |
| Net cash outflow from investing activities | | |
| **Cash flow from financing activities:** | | |
| Loan from Bank | 1,000 | |
| Mrs. A's loan repaid | (–) 2,500 | |
| Drawings | (–) 1,700 | |
| Net cash outflow from financial activities | | (–) 3,200 |
| Net decrease in cash and cash equivalents | | (–) 300 |
| Cash and cash equivalents on Jan 1, 2022 | | 1,000 |
| Cash and cash equivalents on Dec 31, 2022 | | 700 |

***Working Notes:**

**Machinery Account (At Cost)**

| Particulars | Amount | Particulars | Amount |
|---|---|---|---|
| To Balance b/d | 10,500 | By Bank | 500 |
| | | By Loss on sale of Machinery | 200 |
| | | By Provision for Depreciation | 300 |
| | | By Balance c/d | 9,500 |
| | **10,500** | | **10,500** |

**Depreciation Account**

| Particulars | Amount | Particulars | Amount |
|---|---|---|---|
| To Machinery | 300 | By Balance b/d | 2,500 |
| To Balance c/d | 4,000 | By P & L A/c (balancing figure) | 1,800 |
| | 4,300 | | 4,300 |

**Example 05:** Following is the Balance Sheet of ABC Co. Ltd., on at 01st January, 2022 and 31st December 2022.

**(Amount in Rs.)**

| Particulars | 01-01-2022 | 31-12-2022 |
|---|---|---|
| **I. Equity and Liabilities:** | | |
| Equity share capital | 30,000 | 35,000 |
| Share premium | – | 3,000 |
| General Reserve | 4,500 | 6,500 |
| Profit and Loss | 3,000 | 8,080 |
| 6% Debentures | – | 7,000 |
| Sundry creditors | 8,500 | 9,070 |
| Provision for taxation | 2,250 | 4,050 |
| Proposed Divided | 3,000 | 3,500 |
| **Total** | **51,250** | **76,200** |
| **II. Assets:** | | |
| Land and building | 23,000 | 39,000 |
| Plant and machinery | 8,540 | 14,000 |
| Furniture | 550 | 650 |
| Stock | 8,240 | 9,570 |
| Sundry debtors | 7,500 | 8,550 |
| Bank balance | 3,420 | 4,430 |
| **Total** | **51,250** | **76,200** |

**Additional Information:**

Depreciation written off during the year

| | |
|---|---|
| Land and building | Rs. 6,000 |
| Plant and machinery | Rs. 5,000 |
| Furniture | Rs. 120 |

You are required to prepare a cash flow statement

**Solution:**

**Note:** The following accounts have been prepared to determine the relevant information.

**Land and Building Account**

| Particulars | Amt | Particulars | Amt |
|---|---|---|---|
| To Balance b/d | 23,000 | By Depreciation | 6,000 |
| To Bank (purchase) | 22,000 | By Balance c/d | 39,000 |
| | **45,000** | | **45,000** |

**Plant and Machinery Account**

| Particulars | Amt | Particulars | Amt |
|---|---|---|---|
| To Balance b/d | 8,540 | By Depreciation | 5,000 |
| To Bank (purchase) | 10,460 | By Balance c/d | 14,000 |
| | **19,000** | | **19,000** |

**Furniture Account**

| Particulars | Amt | Particulars | Amt |
|---|---|---|---|
| To Balance b/d | 550 | By Depreciation | 120 |
| To Bank (purchase) | 220 | By Balance c/d | 650 |
| | **770** | | **770** |

**Provision for Taxation Account**

| Particulars | Amt | Particulars | Amt |
|---|---|---|---|
| To Bank (tax paid) | 2,250 | By Balance b/d | 2,250 |
| To Balance c/d | 4,050 | By P & L A/c | 4,050 |
| | **6,300** | | **6,300** |

**Cash Flow Statement for the year ended 31-12-2022**

| **(i) Cash Flow from Operating Activities** | | | |
|---|---|---|---|
| | **Particulars** | **Rs.** | **Rs.** |
| | Profit during the year (8,080 – 3,000) | 5,080 | |
| **Add:** | **Depreciation on:** | | |
| | Land and building | 6,000 | |
| | Plant and machinery | 5,000 | |
| | Furniture | 120 | |
| | General reserve (6,500 – 4,500) | 2,000 | |
| | Taxation provision | 4,050 | |
| | Proposed dividend | 3,500 | |
| | Increase in creditors (9,070 – 8,500) | 570 | |
| **Less:** | Increase in stock (9,570 – 8,240) | (–) 1,330 | |
| | Increase in debtors (8,550 – 7,500) | (–) 1,050 | |
| **Less:** | Income tax paid | (–) 2,250 | |
| | Cash inflow from operating activities | | **21,690** |

| (ii) Cash Flow from Investing Activities | | | |
|---|---|---|---|
| **Less:** | Purchase of land and building | (–) 22,000 | |
| | Purchase of plant and machinery | (–) 10,460 | |
| | Purchase of furniture | (–) 220 | **(–) 32,680** |
| | Cash outflow from investing activities | | |
| **(iii) Cash Flow from Financing Activities** | | | |
| **Add:** | Issue of equity shares | 5,000 | |
| | Share premium | 3,000 | |
| | Issue of debentures | 7,000 | |
| | | 15,000 | |
| **Less:** | Payment of dividend | (–) 3,000 | |
| | Cash inflow from financing activities | | **12,000** |
| | **Net increase in cash** | | **1,010** |
| **Add:** | Cash balance in the beginning | | 3,420 |
| | Cash balance at the end | | 4,430 |

**Example 06:** The following Balance Sheets are given :

| I. Equity and Liabilities | 2021 (Rs.) | 2022 (Rs.) |
|---|---|---|
| Equity Share Capital | 30,000 | 40,000 |
| Redeemable Pref. Capital | 15,000 | 10,000 |
| General Reserve | 4,000 | 7,000 |
| Profit and Loss Account | 3,000 | 4800 |
| Proposed Dividend | 4,200 | 5,000 |
| Creditors | 5,500 | 8,300 |
| Bills Payable | 2,000 | 1,600 |
| Provision for Taxation | 4,000 | 5,000 |
| **Total** | **67,700** | **81,700** |
| **II. Assets** | | |
| Goodwill | 11,500 | 9,000 |
| Land and Building | 20,000 | 17,000 |
| Plant | 8000 | 20,000 |
| Debtors | 16,000 | 20,000 |
| Stock | 7,700 | 10,900 |
| Bills Receivable | 2,000 | 3,000 |
| Cash in Hand | 1,500 | 1,000 |
| Cash at Bank | 1,000 | 800 |
| **Total** | **67,700** | **81,700** |

It is also given that:

(a) Depreciation of Rs. 2000 on land and building and Rs.1000 on plant has been charged in 2022.

(b) Interim dividend of Rs. 2000 has been paid in 2022.

(c) Income tax Rs. 3500 has been paid during 2022.

Prepare Cash Flow Statement for the year 2022.

**Solution:**

**Cash Flow Statement for the year 2022**

| (i) | Cash from Operating Activities | Amt (Rs.) | Amt (Rs.) |
|---|---|---|---|
| **Add:** | Profit during the year (4,800 – 3,000) | 1,800 | |
| | Depreciation on plant | 1,000 | |
| | Depreciation on building | 2,000 | |
| | Goodwill written off (11,500 – 9,000) | 2,500 | |
| | Proposed dividend | 5,000 | |
| | Interim dividend | 2,000 | |
| | General reserve (7,000 – 4,000) | 3,000 | |
| | Provision for taxation (3,500 + 5,000 – 4,000) | 4,500 | |
| | Increase in creditors (C.L.) (8,300 – 5,500) | 2,800 | |
| | | 24,600 | |
| **Less:** | Decrease in bills payable (C.L.) (1,600 – 2,000) | (–) 400 | |
| | Increase in debtors (C.A.) (16,000 – 20,000) | (–) 4,000 | |
| | Increase in stock (C.A.) (7,700 – 10,900) | (–) 3,200 | |
| | Increase in bills receivable (C.A.) (2,000 – 3,000) | (–) 1,000 | |
| | Income tax paid | (3,500) | |
| | Cash inflow from operating activities | | 12,500 |
| **(ii)** | **Cash from Investing Activities** | | |
| | Purchase of plant (8,000 – 20,000 – 1,000) | (–) 13,000 | |
| | Sale of building (20,000 – 17,000 – 2,000) | 1,000 | |
| | Cash outflow from investing activities | | (–) 12,000 |
| **(iii)** | **Cash from Financing Activities** | | |
| | Issue of share capital (40,000 – 30,000) | 10,000 | |
| | Redemption of pref. shares (10,000 – 15,000) | (–) 5,000 | |
| | Dividend paid | (–) 4,200 | |
| | Interim dividend paid | (–) 2,000 | |
| | Cash outflow from financing activities | | (–) 1,200 |
| | **Net decrease in cash** | | **(–) 700** |
| | Cash balance in the beginning (1500 +1000) | | 2,500 |
| | Cash balance at the end (1000 + 800) | | 1,800 |

## G. LIMITATIONS OF CASH FLOW ANALYSIS

Cash flow analysis is a useful tool of financial analysis. However, it has its own limitations. These limitations are as under:

a. Cash flow statement cannot be equated with the income statement. An income statement takes into account both cash as well as non-cash items; therefore, net cash does not necessarily mean net income of the business.

b. The cash balance as disclosed by the cash flow statement may not represent the real liquid position of the business since it can be easily influenced by postponing purchases and other payments.

c. Cash flow statement cannot replace the income statement or the funds flow statement. Each of them has a separate function to perform.

In spite of these limitations it can be said that cash flow statement is a useful supplementary instrument. It discloses the volume as well as the speed at which the cash flows in the different segments of the business. This helps the management in knowing the amount of capital tied up in a particular segment of the business. The technique of cash flow analysis, when used in conjunction with ratio analysis, serves as a barometer in measuring the profitability and financial position of the business.

## H. HOW TO INTERPRET A CASH FLOW STATEMENT

Whenever review any financial statement, we should consider it from a business perspective. Financial documents are designed to provide insight into the financial health and status of an organization.

**For example,** cash flow statements can reveal what phase a business is in: whether it's a rapidly growing startup or a mature and profitable company. It can also reveal whether a company is going through transition or in a state of decline.

Using this information, an investor might decide that a company with uneven cash flow is too risky to invest in; or they might decide that a company with positive cash flow is primed for growth. Similarly, a department head might look at a cash flow statement to understand how their particular department is contributing to the health and wellbeing of the company and use that insight to adjust their department's activities. Cash flow might also impact internal decisions, such as budgeting, or the decision to hire (or fire) employees.

Cash flow is typically depicted as being positive (the business is taking in more cash than it's expending) or negative (the business is spending more cash than it's receiving).

**POSITIVE CASH FLOW**

It indicates that a company has more money flowing into the business than out of it over a specified period. This is an ideal situation to be in because having an excess of cash allows the company to reinvest in itself and its shareholders, settle debt payments, and find new ways to grow the business. Positive cash flow does not necessarily translate to profit, however, business can be profitable without being cash flow-positive, and can have positive cash flow without actually making a profit.

**NEGATIVE CASH FLOW**

It means cash outflow is higher than cash inflow during a period, but it doesn't necessarily mean profit is lost. Instead, negative cash flow may be caused by expenditure and income mismatch, which should be addressed as soon as possible. Negative cash flow may also be caused by a company's decision to expand the business and invest in future growth, so it's important to analyze changes in cash flow from one period to another, which can indicate how a company is performing overall.

**Example 07:** IronMount Corp and BronzeMetal Corp had identical cash positions at the beginning and end of 2022. Each company also reported a net income of Rs. 225,000 for 2022.

| Particulars | Iron Mount | Bronze Metal |
|---|---|---|
| **Operating Activities** | | |
| Net Income | 2,25,000 | 2,25,000 |
| Adjustment to reconcile net income | | |
| Depreciation and Amortization | 30,000 | 2,40,000 |
| Gain on sale of equipment | (2,77,800) | 0 |
| Increase in accounts receivable | (67,500) | 65,550 |
| Decrease in Inventory | 56,250 | (1,31,250) |

| | | |
|---|---|---|
| Increase in accounts payable | 17,100 | (12,150) |
| Decrease in income tax payable | (4,500) | (12,900) |
| Net cash provided by operating activities | (21,450) | 37,4250 |
| **Investing Activities** | | |
| Sale of equipment | 3,07,350 | (30,600) |
| Net cash used for investing activities | 3,07,350 | (30,600) |
| **Financing Activities** | | |
| Proceeds from Long term borrowing | 30,000 | (27,750) |
| Net cash provided by (used for) financing activities | 30,000 | (27,750) |
| Increase or Decrease in cash and cash equivalent | 3,15,900 | 3,15,900 |
| Beginning of the year | 50,000 | 50,000 |
| End of the year | 3,65,900 | 3,65,900 |

IronMount and Bronze Medal, both companies, have the same end-of-the-year cash of 365,900. Additionally, changes in cash during the year are the same at 315,900. Which company is displaying elements of cash flow stress?

**Solution:**

We note that Cash Flow from Operations is negative for IronMount at -21,450. Gain on equipment sales is deducted as this is not an operating cash flow. IronMount sale of equipment adds 307,350, contributing to the cash increase.

On the other hand, when we look at BronzeMetal, we note that its cash flow from operations is strong at 374,250 and seems to be doing great in its business. They are not relying on the one-time sale of equipment to generate cash flows.

With this, we conclude that IronMount is showing signs of stress due to low core operating income and its reliance on other one-time items to generate cash.

From the following information of Mr. Zen, prepare a Cash flow statement as per AS-3 for the year ended 31.3.20X1:

**Ledger balances of Mr. Zen as of 20X0 and 20X1**

| | As on 1.4.20X0 ₹ | As on 1.4.20X1 ₹ |
|---|---|---|
| Zen's Capital A/c | 10,00,000 | 12,24,000 |
| Trade payables | 3,20,000 | 3,52,000 |
| Mrs. Zen's loan | 2,00,000 | – |
| Loan from Bank | 3,20,000 | 4,00,000 |
| Land | 6,00,000 | 8,80,000 |
| Plant and Machinery (net block) | 6,40,000 | 4,40,000 |
| Inventories | 2,80,000 | 2,00,000 |
| Trade receivables | 2,40,000 | 4,00,000 |
| Cash | 80,000 | 56,000 |

**Additional information:**

A machine costing ₹80,000 (accumulated depreciation there on ₹24,000) was sold for ₹40,000. The provision for depreciation on 1.4.20X0 was ₹2,00,000 and 31.3.20X1 was ₹3,20,000. The net profit for the year ended on 31.3.20X1 was ₹3,60,000.

**Solution**

**Cash Flow Statement of Mr. Zen as per AS 3 for the year ended 31.3.20X1**

| | | | ₹ |
|---|---|---|---|
| **(i)** | **Cash flow from operating activities** | | |
| | Net Profit (given) | | 3,60,000 |
| | **Adjustments for** | | |
| | Depreciation on Plant & Machinery (W.N.2) | 1,44,000 | |
| | Loss on Sale of Machinery (W.N.1) | 16,000 | 1,60,000 |
| | Operating Profit before working capital changes | | 5,20,000 |
| | Decrease in inventories | 80,000 | |
| | Increase in trade receivables | (1,60,000) | |
| | Increase in trade payables | 32,000 | (48,000) |
| | **Net cash generated from operating activities** | | 4,72,000 |
| **(ii)** | Cash flow from investing activities | | |
| | Sale of Machinery (W.N.1) | 40,000 | |
| | Purchase of Land (8,80,000 – 6,00,000) | (2,80,000) | |
| | **Net cash used in investing activities** | | (2,40,000) |
| **(iii)** | **Cash flow from financing activities** | | |
| | Repayment of Mrs. Zen's Loan | (2,00,000) | |
| | Drawings (W.N.3) | (1,36,000) | |
| | Loan from Bank | 80,000 | |
| | Net cash used in financing activities | | (2,56,000) |
| | Net decrease in cash | | (24,000) |
| | Opening balance as on 1.4.20X0 | | 80,000 |
| | Cash balance as on 31.3.20X1 | | 56,000 |

**Working Notes:**

1. **Plant & Machinery A/c**

| | ₹ | | ₹ |
|---|---|---|---|
| To Balance b/d (6,40,000 + 2,00,000) | 8,40,000 | By Cash – Sales | 40,000 |
| | | By Provision for Depreciation A/c | 24,000 |
| | | By Profit & Loss A/c -Loss on Sale (80,000 – 64,000) | 16,000 |
| | | By Balance c/d (4,40,000 + 3,20,000) | 7,60,000 |
| | 8,40,000 | | 8,40,000 |

2. **Provision for depreciation on Plant and Machinery A/c**

| | ₹ | | ₹ |
|---|---|---|---|
| To Plant and Machinery A/c | 24,000 | By Balance b/d | 2,00,000 |
| To Balance c/d | 3,20,000 | By Profit & Loss A/c (Bal. fig.) | 1,44,000 |
| | — | | — |
| | 3,44,000 | | 3,44,000 |

**3. To find out Mr. Zen's drawings:**

| | ₹ |
|---|---|
| Opening Capital | 10,00,000 |
| Add: Net Profit | 3,60,000 |
| | 13,60,000 |
| Less: Closing Capital | (12,24,000) |
| Drawings | 1,36,000 |

**Note:** Students may note that in case there is an increase in the amount of debentures/loans during the year and the interest is required to be computed, then in such a case, students may choose either to compute interest on the closing balance of the debentures or may compute interest on opening balance for full year (in case of no repayment) and proportionate interest on additions. Suitable note for assumption may be given in the solution for this.

## TEST YOURSELF

1. From the following Balance Sheets of Roop Ltd., prepare a cash flow statement.

| I. Equity and Liabilities | 2021 (Rs.) | 2022 (Rs.) |
|---|---|---|
| Equity Share Capital | 15,000 | 2,00,00 |
| 12% Preference share capital | 75,00 | 5,000 |
| General Reserve | 2,000 | 3,500 |
| P & LA/c | 1,500 | 2,400 |
| Creditors | 3,750 | 4,950 |
| **Total** | **29,750** | **35,850** |
| **II. Assets** | | |
| Goodwill | 3,600 | 2,000 |
| Building | 8,000 | 6,000 |
| Plant | 4,000 | 10,000 |
| Debtors | 11,900 | 15,450 |
| Stock | 1,000 | 1,500 |
| Cash | 1,250 | 900 |
| **Total** | **27,950** | **35,850** |

Depreciation charged on plant was Rs. 1000 and on building Rs. 6000.

**[Ans. Cash from operations Rs. 8150; Net decrease in cash Rs. 350. Purchase of plant Rs. 7000; purchase of building Rs. 4000].**

2. Calculate Cash Flow from Operating Activity

**Balance Sheet**

**As on 1st December, 2022**

| I. Equity and Liabilities | Rs. |
|---|---|
| Equity | 65,000 |
| Capital General Reserve | 15,000 |
| Profit & Loss | 15,000 |
| Balance Debentures | 20,000 |

| | |
|---|---|
| Sundry Creditors | 20,000 |
| Proposed Dividend | 6,000 |
| **Total** | **14,15,00** |
| **II. Assets** | **Rs.** |
| Fixed Assets | 50,000 |
| Less: Dep. | 45,000 |
| Investment | 5,000 |
| Sundry | 10,000 |
| Debtors | 30,000 |
| Stock | 25,000 |
| Cash | 31,500 |
| **Total** | **1,41,500** |

**[Ans. Cash from operations Rs. 16,500; Net increase in cash Rs. 16,500]**

3. The Balance Sheets of a Prem Limited Company at 31.3.2021 and 31.3.2022 were as follows:

| I. Equity and Liabilities | 31.3.2021 (Rs.) | 31.3.2022 (Rs.) |
|---|---|---|
| Equity Share Capital | 45,00 | 6,500 |
| General Reserve | 500 | 750 |
| Profit and Loss Account | 1,000 | 1,500 |
| Debentures | 1,000 | 2,000 |
| Sundry | 870 | 1,100 |
| Creditors | 7,870 | 11,850 |
| Assets | **Rs.** | **Rs.** |
| Fixed Assets | 4,600 | 8,300 |
| Stock | 1,100 | 1,300 |
| Debtors | 1,870 | 1,950 |
| Cash | 200 | 2,500 |
| Preliminary Expenses | 100 | 50 |
| Total | 7,870 | 11,850 |

**Additional information:**

Depreciation on fixed assets for the year 2021-22 was Rs. 1170. Prepare a Cash Flow Statement

**[Ans. Cash from operations Rs. 1850; Net increase in cash Rs. 50]**

4. Balance sheet of XYZ is as follows:

| I. Equity and Liabilities | 2021 (Rs.) | 2022 (Rs.) |
|---|---|---|
| Share | 7,000 | 7,400 |
| Capital Debentures | 1,200 | 600 |
| Sundry | 1,036 | 1,184 |
| Creditors | 70 | 80 |
| Provision for doubtful debts P & L A/c | 1,004 | 1,056 |
| **Total** | **10,310** | **10,320** |

| II. Assets | | |
|---|---|---|
| Cash | 900 | 780 |
| Sundry Debtors | 1,490 | 1,770 |
| Stock | 4,920 | 4,270 |
| Land | 2,000 | 3,000 |
| Goodwill | 1,000 | 500 |
| **Total** | **10,310** | **10,320** |

**Additional Information:**

(i) Dividend totaling Rs. 350 was paid.

(ii) Land was purchased for Rs. 1000 and amount provided for the amortization of goodwill totaled Rs. 500.

(iii) Debentures of Rs. 600 were redeemed. Prepare a Cash flow statement.

**[Ans. Cash from operations Rs. 1430; Net Decrease in cash Rs. 120]**

**[Hint: Provision for doubtful debts has been added back to profit to calculate cash from operations]**

**5.** From the following summary of bank account of X. Ltd., prepare Cash Flow Statement for the year ended 31st March, 2023:

**Summary of Bank Account for the year ended 31.3.2023**

| Particulars | Amount in ₹ in lakh | Particulars | Amount in ₹ in lakh |
|---|---|---|---|
| To Balance b/d | 50 | By Payments to Suppliers | 2,000 |
| To Issue of Equity Shares | 300 | By Purchase of Fixed Assets | 200 |
| To Receipts from Customers | 2,800 | By Overhead Expenses | 200 |
| | | By Wages and Salaries | 100 |
| To Sales of Fixed Assets | 100 | By Income Tax | 250 |
| | | By Dividend | 50 |
| | | By Repayment of Bank Loan | 300 |
| | | By Balance c/d | 150 |
| Total | 3,250 | Total | 3,250 |

Assume that the company does not have any cash and cash equivalents and there were NIL cash transaction.

**6.** The summarized information of CBA Limited is given below:

**Balance Sheet of CBA Ltd. on 1st April 2022 to 31st March, 2023**

| | | Amount (in ₹) | |
|---|---|---|---|
| | **Particulars** | **1st April 2022** | **31st March, 2023** |
| **I.** | **Equities and Liabilities** | | |
| | Equity Share Capital | 9,00,000 | 10,50,000 |
| | Share Premium | – | 90,000 |
| | General Reserve | 1,35,000 | 1,95,000 |
| | Profit and Loss Account | 90,000 | 2,42,400 |
| | 10% debentures | – | 2,10,000 |
| | Sundry Creditors | 2,55,000 | 2,72,100 |
| | Provision for Taxation | 67,500 | 1,21,500 |
| | Proposed Dividend | 90,000 | 1,05,000 |
| | **Total** | **15,37,500** | **22,86,000** |

| II. | Assets | | |
|---|---|---|---|
| | Land and Building | 6,90,000 | 11,70,000 |
| | Plant and Machinery | 2,56,200 | 4,20,000 |
| | Furniture | 16,500 | 19,500 |
| | Stock | 2,47,200 | 2,87,100 |
| | Sundry Debtors | 2,25,000 | 2,56,500 |
| | Bank | 1,02,600 | 1,32,900 |
| | | 15,37,500 | 22,86,000 |

| Depreciation during the year: | Amount (in ₹) |
|---|---|
| Land and Building | 1,80,000 |
| Plant and Machinery | 1,50,000 |
| Furniture | 3,600 |

Debentures were issued on 1st October, 2022.

Prepare Cash Flow Statement of CBA Limited for the financial year ended 31st March, 2023.

CHAPTER 10

# FORECASTING FINANCIAL STATEMENTS



## A. INTRODUCTION

The **financial health and performance** of companies are of paramount importance to stakeholders such as **governments, regulators**, and **investors**, especially in light of various **corporate scandals** like **Enron, WorldCom, Arthur Andersen**, and **Satyam** (referred to as *"India's Enron"*). These incidents have prompted discussions around the need for new methods of measuring **firm performance** to ensure **maximization of shareholder value**.

**Financial statements** play a critical role in assessing an entity's **financial position** and the efficiency with which its **capital has been utilized**. As highlighted by **Bhunia et al. (2011)**, analyzing financial statements **quantitatively** helps evaluate the **effectiveness and efficiency** of **resource utilization** by management.

**Financial analysis** uses quantitative data from financial statements to establish meaningful **relationships** among various components, enabling stakeholders to assess the entity's overall **financial health**. This includes understanding its **strengths and weaknesses**, **profit quality**, and **income sustainability**.

According to **Section 2(40) of the Companies Act, 2013**, 'Financial statements' include the **balance sheet**, **profit and loss account** (or **income and expenditure account** for non-profit entities), **cash flow statement**, **statement of changes in equity** (if applicable), and any related **explanatory notes**.

Historically, financial reporting has held significance since ancient times, notably mentioned in **Kautilya's Arthashastra**. However, modern-day **pressures on management** to present favorable financial outcomes often lead to reports that may not reflect the **actual economic reality**. Studies by **Kneer, Reckers & Jennings (1996)** and **Albrecht, Wernz & Williams (1995)** support this concern, indicating that management may face strong **incentives to manipulate financial results**, portraying a **misleadingly stable and growing picture** to satisfy stakeholders.

## B. FINANCIAL STATEMENTS

According to **Section 2(40) of the Companies Act, 2013**, a **financial statement** about a company includes:

- **a. Balance Sheet** as at the end of the financial year,
- **b. Profit and Loss Account**, or in case of non-profit entities, an **Income and Expenditure Account** for the financial year,
- **c. Cash Flow Statement** for the financial year,
- **d. Statement of Changes in Equity**, if applicable, and

Any **explanatory note** annexed to, or forming part of, the above documents.

Financial statements are often referred to as the **"horoscope of a business"**—those who understand how to read and analyze them can identify **early warning signals**, allowing timely actions and decisions.

The **analysis of financial statements** involves evaluating an entity's **past, present**, and **anticipated future** financial position, capital structure, and income performance using data disclosed within the statements. This process helps in interpreting financial developments and diagnosing the causes of any deviations from expected performance.

As per legal requirements, **financial statements are considered an open source of information**, and their structure, composition, and disclosure are standardized through **basic accounting principles**. They not only assist in **decision-making** but also reflect the **cumulative impact of managerial decisions**, thereby providing meaningful insights to all stakeholders.

In essence, financial statements enable **Multiple-Criteria Decision Analysis (MCDA)** and serve to evaluate the **effectiveness and performance** of a business entity.

Research by **Korableva and Kalimullina (2014)** highlights that **timely and high-quality financial statements** offer a comprehensive picture of an entity's **performance, stability, and financial health**. They help:

- Diagnose deviations from targets or benchmarks,
- Identify **idle resources** in production, and
- Assess the **success or risk of bankruptcy**.

The **objective of financial statement analysis** varies across stakeholders, depending on their individual goals and the **scope of their evaluation**. Thus, while the **tools and focus of analysis** may differ, financial statements remain a critical resource for all interested users.

Before proceeding to **financial forecasting**, it is essential to understand the foundational terminologies to avoid **confusion and misinterpretation**.

| | |
|---|---|
| **Forecast** | A probable event where in the business is likely headed (Estimate of what is likely to happen.) |
| **Budget** | Future financial target or goals, which may or may not be equal to the forecast. |
| **Projection** | A blueprint of forward-looking business options in answer to "What would happen if". (Scenario: What-if) |
| **Pro Forma** | The effects of a future transaction on past financial statements. |

## C. FINANCIAL FORECASTING: MEANING AND INTRODUCTION

**Financial Forecasting** is the process of **estimating or predicting a company's financial future** by analyzing its **historical data**—such as **revenue, cash flow, expenses**, and **sales**. It plays a central role in **business performance management** and in building **stakeholder confidence**. This process supports decision-making regarding future performance and emphasizes the idea of **"Today's Commitment for Tomorrow's Actions."**

It involves:

- Analyzing **past performance**,
- Understanding **current business trends**, and
- Considering **macroeconomic and organizational-specific factors**.

Organizations that implement best practices in forecasting are better equipped to **grow** and **handle unexpected challenges**. A sound financial forecast includes:

- **Projected income and expenses**,
- **Macroeconomic influences**, and
- **Contingency planning** for unforeseen expenditures.

### a. IMPORTANCE OF FINANCIAL FORECASTING

**Financial forecasts** are essential for **business planning, budgeting, operations, and funding**, helping both internal leaders and external stakeholders make informed decisions.

Benefits include:

1. Serving as the **foundation for budgeting** decisions.
2. Enabling **realistic and achievable business goals** through integrated financial reports.
3. Offering insights into **past performance** and **future comparisons**.

4. Acting as a **barometer for financial decision-making**.
5. Helping **build investor confidence** by demonstrating a clear and structured financial roadmap.
6. Allowing a **customized approach** based on core business fundamentals.
7. Helping in **accurate budgeting** and **risk reduction** through the early identification of problem areas.
8. Enhancing **Return on Investment (ROI)**, which in turn strengthens investor trust.

## b. FINANCIAL FORECASTING VS. BUDGETING

Based on research and expert arguments, a concrete financial plan is built on both forecasting and sound spending guidance. It is important to note that the terms **"financial forecasting"** and **"budgeting"** are separate process and can't be used interchangeably. Financial forecasting is a critical first step in the budgeting process. Organizations that work hard to create reliable financial forecasts are more likely to build realistic budgets. Financial forecasting should always precede the budgeting process to ensure spending is in line with factors that can impact overall financial performance. Those who create budgets without financial forecasts are at risk of overspending and not having enough available cash for unexpected costs or shortfalls in revenue. Lacking a forecast may also keep the business from greenlighting a new capital investment or launching a product that may have ended up being a growth driver.

| Basis | Forecast | Budget |
|---|---|---|
| Meaning | Mere estimate of what is likely to happen. | Shows that policy and program to be followed in future period under planned conditions |
| Nature of Event | Probable | Proposed |
| Tool of control | No | Yes |
| Base | It's a preliminary step or base for budgeting | Forecasts are converted into budget |
| Hierarchy | It ends with forecast of likely events | It begins when forecasting ends. |
| Scope | Wider | Limited |

## c. FINANCIAL FORECASTING VS FINANCIAL PROJECTION

A **financial forecast** is a **statement of management's expectations** based on what is **reasonably anticipated** to occur within the company, along with the **expected economic impact**.This information may be published by publicly traded companies or provided internally for management and stakeholder review.

In contrast, a **financial projection** involves estimating the likely outcomes of **one or more hypothetical scenarios or assumptions**. It is used as a **strategic tool** to explore potential **business and market conditions**, allowing management to evaluate different possibilities before implementing changes in their plans.

A **financial projection** provides a **snapshot of a possible outcome**, often analyzed in terms of **probability**, helping in decision-making and scenario planning.

1. **Key Differences Between Financial Forecast and Financial Projection:**

| Criteria | Financial Forecast | Financial Projection |
|---|---|---|
| Definition | Management's expectation of what is likely to happen | Estimation based on hypothetical or assumed scenarios |
| Purpose | Reflects realistic business expectations | Tests alternate scenarios before final planning |
| Nature | Expected and realistic outcome | Possible or probable outcome based on "what if" conditions |
| Audience | Public and stakeholder disclosure | Internal strategic planning |
| Example Use | Forecasting next quarter sales based on trends | Estimating outcomes if a new pricing strategy is applied |

**For Example**

Suppose current **market conditions** and **seasonal trends** lead the **management of a wholesaler** to expect a **7% increase in sales** for the next quarter. This **7% increase** becomes the **financial forecast**—what the business **expects** to happen.

However, the company **aims for a 10% sales increase** to improve profitability. Thus, the **budget** is set accordingly. Management still anticipates only a 7% actual result but **targets** 10%.

To bridge this gap, rather than simply increasing sales pressure, the company runs **financial projections** to simulate different strategies and determine how they could potentially achieve an **8% or higher increase** in sales.

**Conclusion:**

- **Financial Forecasts** = What is **expected** to happen (based on current trends and business conditions).
- **Financial Projections** = What **might** happen under **alternative assumptions or strategies**.

Both are essential tools for **forward-looking financial planning**, but serve **distinct purposes** in the overall financial management process.

## D. FINANCIAL FORECASTING COMPONENTS AND FACTORS

Following components and factors should be considered and incorporated for financial forecasting:

- Define the purpose of financial forecasting
- Collection of historical data and accuracy of data sources
- A forward-looking time horizon (12-18-24 Month span)
- Formulas to determine how much weight to give any piece of data
- Consideration of an Internal and Macro-economic risk
- Best/Worst case (Revenue and Expenses) scenarios
- Selection of financial forecast method
- Documentation/Monitoring/Analysis of data

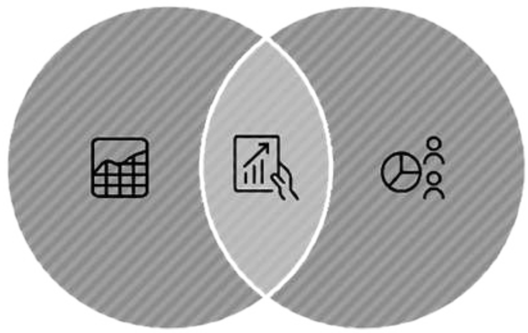
## E. FINANCIAL STATEMENT FORECASTING

A common approach to forecasting in financial accounting is through **Pro Forma Statements**, which involve the **projection of future financial reports**, such as the **Profit & Loss Statement**, **Balance Sheet**, and **Cash Flow Statement**. These projections are highly dependent on the **assumptions** made during preparation, particularly regarding **expected market conditions**.

The term **"pro forma"** signifies estimates or forecasts and is used to construct financial documents that reflect **anticipated future performance**.

## a. FORECASTING METHODS

Forecasting financial statements can be done through **two primary approaches**:




1. **Quantitative Methods** – Based on **historical numerical data**.
2. **Qualitative Methods** – Based on **expert opinions, intuition**, and **experience**, particularly useful where historical data is limited or unreliable.

   Although **qualitative methods** are more **subjective**, they provide **valuable insights** into aspects that **quantitative data cannot capture** (e.g., market disruption, regulatory changes).

## b. KEY FORECASTING TECHNIQUES

1. **Based on Revenue (% of Turnover Method)**
   (a) This method involves calculating key items (like **COGS**, **Stock**, and **Cash**) as a **percentage of sales**.
   (b) Historical relationships are used to estimate future line items.

   **Example:** If historically, **COGS = 30% of Sales**, apply the same ratio to future sales.

   **Formula:**

$$\textbf{Item Forecast} = \left(\frac{\textbf{Historical Item}}{\textbf{Historical Sales}}\right) \times \textbf{Estimated Future Sales}$$

2. **Moving Average Method**
   (a) Based on the **average (or weighted average)** of past periods.
   (b) Useful for **short-term forecasting**, such as projecting next month's sales or quarterly performances.
   **(c) Weighted averages** help improve accuracy by emphasizing recent periods.

   **Formula:**

$$\textbf{Moving Average} = \frac{P_1 + P_2 + P_3 + \ldots}{N}$$

   Where,

   P = Values from past periods

   N = Number of periods considered

3. **Constant Growth Rate Method**
   (a) Assumes the **historical growth rate** remains constant over time.
   (b) Used to project future revenue by multiplying the previous year's revenue by the growth rate.

   **Example**:

   If revenue in 2021-22 was ₹1,00,000 and growth rate = 12%, then revenue for 2022-23= ₹1000(1 + 0.12) = ₹1,12,000

   (c) **Limitation**: Ignores **market fluctuations** and **external uncertainties**.

4. **Regression Method**
   (a) Analyzes the **relationship between two variables**:
      (i) **Dependent Variable** (e.g., Sales – to be forecasted)
      (ii) **Independent Variable** (e.g., Advertising Expense – influencing factor)
   (b) Based on the **linear regression model**:

$$Y = BX + A$$

Where,

Y = Dependent Variable (Forecasted Value)

B = Slope of the regression line

X = Independent Variable

A = Intercept

   (c) Helps predict outcomes by analyzing **cause-and-effect relationships**.

5. **Delphi Method (Estimate-Talk-Estimate Technique - ETE)**
   (a) A **systematic, qualitative forecasting method**.
   (b) Gathers **expert opinions** through **multiple rounds of anonymous surveys**.
   (c) After each round, a **summary of responses** is shared, and experts can revise their views.
   (d) Continues until **consensus or stability** in opinion is achieved.
   (e) Useful for predicting **uncertain or subjective scenarios** where data is insufficient.

Forecasting financial performance is a **crucial strategic tool** for business planning. While **quantitative methods** are data-driven and more objective, **qualitative methods** offer insight into scenarios where numbers alone are insufficient. Using a **combination of both** enhances accuracy and helps in preparing **reliable pro forma financial statements**, which in turn support better decision-making for **management, investors**, and other stakeholders.

## F. FORECASTING OF PROFIT & LOSS (PROFITABILITY PROJECTIONS)

Typically, the starting point for Profit & Loss forecasting is to forecast of sales revenue. Moreover, the sales production is closely interrelated. Hence they should be estimated together. Few points should be considered while projection of profitability:

a. It is advisable not to assume full Capacity utilization in the beginning year of operation. It means capacity utilization should be low in beginning years and rise gradually to reach the maximum level.
b. It may be assumed that sales and production would be equal. Hence, adjustments towards finish goods stock is not required.
c. Revenue shall be considered net of excise duty.
d. So far as, the cost of production is concerned, the requirements of material per unit of output shall be considered and prices of are defined in Cost, Insurance and Freight (CIF) terms.
e. Inflation factor shall be ignored and present cost of material shall be considered.
f. Seasonal fluctuations in prices must be considered while estimation.

Following statement may be used for Profitability Projections:

| Particulars | Amount Rs. |
|---|---|
| Revenue (Sales) | *** |
| Less: Variable Cost | *** |
| Contribution | *** |
| Less: Fixed Cost | *** |

| | |
|---|---|
| ✦ Depreciation<br>✦ Other | |
| EBIT | *** |
| Less: Interest | |
| EBT | *** |
| Less: Tax | *** |
| EAT (PAT) [Profit for the Year] | *** |

**Case: 1**

You are the Company Secretary of DP ltd and assigned task of profitability projections of difference scenarios based on historical data provided: (Rs in Cr.)

| | |
|---|---|
| Revenue (Sales) | 200 |
| Variable cost (60% of Sales) | 120 |
| Fixed Cost (others) | 20 |
| Depreciation | 25 |
| Taxes | 10 |
| Cash flow from operation | 50 |
| Net Cash flow | 50 |

Company is forecasting that sales will be increased by 37.5% approximately keeping in the mind of Market forces whereas, the variable cost will be forecasted at 56% of sales. Company is in the anticipation of having fixed cost of Rs.15 cr. On the other side (i.e.) on worst situation, Company is forecasting the that sales will be curb by 25% approximately keeping in the mind of Market forces whereas, the variable cost will be forecasted at 65% of sales. Company is in the anticipation of having fixed cost of Rs. 25 cr. It is forecasted that depreciation remains unchanged in case of any scenario and tax rate shall be applicable at 28.57%.

**Solution:**

**Statement showing Profitability Projection (Rs in Cr.)**

| Particulars | Historical Data | Optimistic Scenario | Pessimistic Scenario |
|---|---|---|---|
| Sales | 200 | 275<br>(200 + 37.5%) | 150<br>(200 – 25%) |
| **Less:** Variable cost | (120)<br>(60% of sales) | (154)<br>(56% of 275) | (97.5)<br>(65% of 150) |
| Contribution | 80 | 121 | 52.5 |
| **Less:** Fixed Cost | | | |
| ✦ Other | (20) | (15) | (25) |
| ✦ Depreciation | (25) | (25) | (25) |
| EBIT/EBT | 35 | 81 | 2.5 |
| **Less:** Tax (28.57%) | (10) | (23.14) | (0.71) |
| EAT | 25 | 57.86 | 1.79 |

So, it can be seen from the above forecasting that, in case of optimistic scenario, company may earn profit Rs. 57.86 crores (i.e. increase in profitability 131% approx) against the historical data. While, profitability will be lower projected in worst situation i.e. around Rs. 1.79 cr. (i.e., Decrease in profitability 93% approx as

## G. FORECASTING OF CASH FLOW STATEMENT

The **Cash Flow Statement** shows the **changes in cash and cash equivalents** during a specific period and is divided into three main activities: **Operating**, **Investing**, and **Financing**. It highlights the **inflows and outflows of cash** and is prepared for every reporting period along with other financial statements *(Prepared as per Schedule III of the Companies Act, 2013 and as per AS-3 or Ind AS-7 as applicable)*. A **cash flow arises** when a transaction causes an **increase or decrease** in cash or cash equivalents.

### a. OPERATING ACTIVITIES

**Operating Activities** are the core revenue-generating activities of a business and include transactions that affect **net profit or loss**. This section reflects a company's ability to generate **adequate cash from operations**, which builds confidence among **lenders and investors**. A company with strong operational cash flow usually enjoys **higher market capitalization** and indicates **quality earnings**.

**Net Profit Vs Cash from Operating Activities**

| Points | Net Profit | Cash from Operating Activities |
|---|---|---|
| Meaning | It indicates net result of operating and non-operating activities carried out during accounting year. | It indicates cash flow as result of operating activities. |
| Non-Cash Items | It is computed after taking into consideration the effect of Non-cash items. | It is computed excluding the effect of Non-cash items as it is merely book entries. |

**Note:**
- It's not profit that repays loan; it is the cash that repays loan.
- Non-cash items (shown as foot note) include
- Depreciation
  - ii. Issue of shares/dentures for consideration other than cash
  - iii. Conversion of debentures into equity shares
  - iv. Purchase of business by issue of shares

### b. INVESTING ACTIVITIES

**Investing Activities** primarily involve **cash inflows from the sale or disposal of non-current assets** (whether tangible or intangible, depreciable or non-depreciable) and **non-operating incomes** from investments, such as **dividends received on shares**, **interest on debentures**, and **rent from investment properties**. This section helps lenders and stakeholders assess **how the company is deploying its cash**, whether it is acquiring business-related assets like machinery or investing funds outside the core business. Continuous investment in **capital expenditure (CAPEX)** suggests a focus on **future capacity building and growth**. In contrast, frequent investments in **financial instruments** such as shares and debentures may indicate that the **management is less focused on business expansion**.

### c. FINANCING ACTIVITIES

It demonstrates the nature of capital structure of entity and reflects the picture of borrowers financing policy. As a lender, it is inevitable to match dividend pay-out with operating cash flow. Amount of dividend should not exceed the operating cash flow.

Following statement may be used for Cash Flow Forecasting:

| Particulars | Amount Rs. |
|---|---|
| Net Cash From Operating Activities [A] | *** |
| Net Cash From Investing Activities [B] | *** |
| Net Cash From Financing Activities [C] | *** |

| | |
|---|---|
| Total A + B + C | *** |
| Add: Opening balance of Cash and Cash Equivalents | *** |
| Closing balance of Cash and Cash Equivalents | *** |

**Following Points to be considered while preparing cash flow projections**

1. It's not profit that repays loan; it is the cash that repays loan.
2. It is important to disassociate the cash position from the profit of business entity.
3. Timing of revenue recognition and expenses don't match with timing of cash inflow and outflow.
4. Banks should shift to cash flow-based lending from traditional assets-based lending.
5. If company is not doing well, sales and net profit may increase due to window dressing of account but quality of earning (i.e., operating cash flow) may decline.
6. If Net operating cash flow shows consistently declining trend over the period of 3-5 years, it's an indication of incipient sickness.
7. If company keeps investing in the CAPEX that indicates the company is focused on capacity building for future growth.
8. If company keeps investing in financial assets like shares, debentures etc would indicate that management is not very much focused on expansion.
9. As a lender, it is inevitable to match dividend pay-out with operating cash flow.
10. Amount of dividend should not exceed the operating cash flow.

**Case:2**

Following is the balance sheet of XL ltd at the end of 2022 is as follows and you are required to forecast Cash flow for 2023. (Rs. in cr.)

| Liabilities | Amount Rs. | Assets | Amount Rs. |
|---|---|---|---|
| Share Capital | 100 | Fixed Assets | 180 |
| Reserves and Surplus | 20 | Current Assets: | |
| Secured Loans | 80 | Cash | 20 |
| Unsecured Loans | 50 | Trade Receivables | 80 |
| Current liabilities | 90 | Inventories | 80 |
| Provisions | 20 | | |
| Total | 360 | Total | 360 |

The projected Profit & Loss for the year 2023 is given below:

| | |
|---|---|
| Revenue from operation | 400 |
| Cost of Goods Sold | 300 |
| Depreciation | 20 |
| Profit Before Interest and taxes | 80 |
| Interest | 20 |
| PBT | 60 |
| Tax | 30 |
| PAT | 30 |
| Dividend | 10 |
| Retained Earnings | 20 |

During the year 2023, company has forecasted to raise secured term loan of Rs. 20 crore and repay of previous term loan to the extent of Rs. 5 crore and increase unsecured loan by Rs. 10 crore. It is forecasted that current liabilities and provisions remains unchanged. While, company is planning to buy fixed assets worth Rs. 30 crore and increase the inventories and receivables by Rs. 10 crore and Rs. 15 crore respectively. Company is in the projection of paying dividend of Rs. 10 crore. Assuming other asset would remain unchanged except cash.

**Solution:**

**Statement showing forecasted Cash Flow**

| Particulars | Amount (Rs.) |
|---|---|
| Profit before Interest and Taxes | 80 |
| **Add:** Depreciation | 20 |
| Operating Profit before Working Capital Changes | 100 |
| **Less:**<br>✦ Increase in Inventories<br>✦ Increase in receivables | <br>(10)<br>(15) |
| Cash Generated from Operation | 75 |
| **Less:** Tax | (30) |
| **Net Cash Flow from Operating Activities [A]** | **45** |
| Increase in Fixed Assets (CAPEX) | (30) |
| **Net Cash flow from Investing Activities [B]** | **(30)** |
| Increase in Secured Loan (20-5) | 15 |
| Increase in Unsecured Loan | 10 |
| Interest | (20) |
| Dividend | (10) |
| **Net Cash flow from Financing Activities [C]** | **(5)** |
| **A + B + C** | **10** |
| **Add:** Opening balance of Cash and Equivalents (Refer Balance sheet) | 20 |
| Closing balance of Cash and Equivalents | 30 |

## H. FORECASTING OF BALANCE SHEET

The balance sheet, showing the balances in various assets, equity and liabilities of corporates and which reflects the financial conditions of firms at given point of time. The forecasted balance sheet may be prepared based on following format.

| Particulars | Note No. | Figures for Historical data | Figures for forecasted data |
|---|---|---|---|
| **I. EQUITY AND LIABILITIES** | | | |
| 1. **Shareholders Fund**<br>a. Share capital<br>b. Reserves and Surplus (e.g., Debit balance of P&L as negative figure)<br>c. Money received against share warrants | | | |
| 2. **Share application Money Pending Allotment** | | | |

| | | | |
|---|---|---|---|
| **3. Non-Current Liabilities**<br>a. Long term borrowings<br>b. Deferred Tax Liabilities<br>c. Other Long-term liabilities<br>d. Long term Provisions<br>**4. Current Liabilities**<br>a. Short term Borrowings<br>b. Trade payables<br>c. Other Current Liabilities<br>d. Short term Provisions | | | |
| **Total** | | | |
| **II. ASSETS** | | | |
| **(1) Non-Current Assets**<br>a. Fixed Assets<br>i. Tangible assets<br>ii. Intangible assets<br>iii. Capital Work in progress<br>iv. Intangible assets under Developments<br>b. Non-current Investments<br>c. Deferred Tax Assets (Net)<br>d. Long term loans and Advances<br>e. Other Non-current Assets<br>**(2) Current Assets**<br>a. Current Investments<br>b. Inventories<br>c. Trade Receivables<br>d. Cash and Cash Equivalents<br>e. Short term loans and advances<br>f. Other Current Assets | | | |
| **Total** | | | |

**Case: 3**

Following is the balance sheet of Wye ltd at the end of 2022 is as follows and you are required to forecast Cash flow for 2023. (Rs in cr.)

| Liabilities | Amount Rs. | Assets | Amount Rs. |
|---|---|---|---|
| Share Capital | 100 | Fixed Assets | 180 |
| Reserves and Surplus | 20 | Current Assets: | |
| Secured Loans | 80 | Cash | 20 |
| Unsecured Loans | 50 | Trade Receivables | 80 |
| Unsecured Loans | 50 | Trade Receivables | 80 |
| Current liabilities | 90 | Inventories | 80 |
| Provisions | 20 | | |
| Total | 360 | Total | 360 |

The projected Profit & Loss for the year 2023 is given below:

| | |
|---|---|
| Revenue from operation | 400 |
| Cost of Goods Sold | 300 |
| Depreciation | 20 |
| Profit Before Interest and taxes | 80 |
| Interest | 20 |
| PBT | 60 |
| Tax | 30 |
| PAT | 30 |
| Dividend | 10 |
| Retained Earnings | 20 |

During the year 2023, company has forecasted to raise secured term loan of Rs. 20 crore and repay of previous term loan to the extent of Rs. 5 crore and increase unsecured loan by Rs. 10 core. It is forecasted that current liabilities and provisions remains unchanged. While, company is planning to buy fixed assets worth Rs. 30 crore and increase the inventories and receivables by Rs. 10 crore and Rs.15 crore respectively. Company is in the projection of paying dividend of Rs. 10 crore. Assuming other assets would remain unchanged except cash.

**Solution:**

**Statement showing forecasted Balance Sheet**

| Equity and Liabilities | Note | Historical (Rs. in core) | Forecasted (Rs. in core) | |
|---|---|---|---|---|
| **Shareholders Fund:** | | | **Changes** | **Rs** |
| Share Capital | | 100 | – | 100 |
| Reserves and Surplus | | 20 | 20 (Retained Earning) | 40 |
| **Non-Current Liabilities** | | | | |
| Secured Loans | | 80 | +20 (Addition) –5 (Repayment) | 95 |
| Unsecured Loans | | 50 | +10 (Addition) | 60 |
| Current Liabilities | | 90 | – | 90 |
| Provisions | | 20 | | 20 |
| **Total** | | | | **405** |
| **Assets** | | | | |
| **Non-Current Assets** | | | | |
| Fixed Assets | | 180 | +30 (CAPEX) – 20 (Depreciation) | 190 |
| **Current Assets:** | | | | |
| Cash | | 20 | | 30 (Balancing Amount) |
| Inventories | | 80 | +10 (Increase) | 90 |
| Trade Receivables | | 80 | +15 (Increase) | 95 |
| **Total** | | | | **405** |

**Cash Flow Projections**

| Points to be considered: | | |
|---|---|---|
| Estimation of Cash Flow | ✦ Cash outflow (Cash outlay) | |
| | ✦ Cash Inflow | |
| Cash Outflow | ✦ Estimated by Engineering & Product Development | |
| Revenue Projection | ✦ Estimated by Marketing Group | |
| Operating Cost | ✦ Estimated by Production people, CMA, Purchase Managers, Personnel executives, tax payers and others | |
| Overall coordination | ✦ By Finance Managers | |
| Cash flow stream | Initial Investment | ✦ After tax Cash outlay on CAPEX & NWC (At the time of Set up of Project) |
| | Operating Cash inflows | ✦ After tax cash inflow from operation of project during economic life. |
| | Terminal Cash inflows | ✦ After tax cash inflow from Liquidation of project at the end of economic life. |
| Time horizon of cash flow analysis | 1. Physical life of plant<br>2. Technological life of plant<br>3. Product Market Life of plant<br>4. Investment planning horizon of the firm | |
| **Best Measurement Criteria (Cash flow)** | ✦ Profit cannot be spent<br>✦ Profit is subjective and Judgment based | |
| **Factors focusing cash flow** | ✦ Depreciation<br>✦ Change in Working capital<br>✦ Deferred tax<br>✦ Capitalization of R&D Expenses<br>✦ Opportunity costs | |
| **List of Relevant cash flows for decision making** | ✦ Cost of New Plant/Machine<br>✦ Scrap Value (Salvage/Residual Value) of old/New Plant/Machine<br>✦ Working Capital<br>✦ Cost reduction/Saving<br>✦ Tax liability/Benefits | |
| **List of Irrelevant cash flows:** | ✦ Sunk Cost<br>✦ Allocated overheads<br>✦ Committed cost (Fixed Cost)<br>✦ Non-cash items (Depreciation) | |

**Note:**

| Particulars | Free Cash Flow to Firm (FCFF) | Free Cash Flow to Equity (FCFE) |
|---|---|---|
| **Meaning** | Cash Flow available to both equity and debt holders | Cash Flow available to common equity shares holders |
| **Leverage** | Excludes (i.e. unlevered Cash Flow) | Includes |

| | | | | |
|---|---|---|---|---|
| **Application** | To compute Enterprise Value | | To compute Equity Value | |
| **Risk Factor** | WACOC (i.e. Ko) | | Ke | |
| **Formula** | Profit after Tax 'PAT' | ** | Profit after Tax 'PAT' | ** |
| | **Add:** Depreciation and NC* | ** | **Add:** Depreciation and NC* | ** |
| | **Cash Flow After Tax** | ** | **Cash Flow After Tax** | ** |
| | | | **Less:** Preference Dividend | |
| | **Less:** Change in Working Capital | ** | **Less:** Change in Working Capital | |
| | **Less:** Change in investments | ** | **Less:** CAPEX | ** |
| | **FCFE** | ** | **Less:** Repayment of Debt/Pref. | ** |
| | OR | | **Add:** Proceeds from Debt/Pref. | |
| | Cash Flow from operation | ** | **Add:** New debt issue | |
| | **Add:** Interest*(1-t) | ** | **FCFE** | ** |
| | **Less:** CAPEX | ** | | |
| | FCFE | ** | | |
| | * investment includes total debt and preference share capital also.<br>* NC – Non-cash charges | | | |

## Basic Principles and Biases of Cash flow Estimation

**Separation Principle**
- Cash flow associated with Investment side and financing side should be separated.
- Focus on Net Operating Profit After Tax [i.e. PAT + Interest(1-t)]

**Incremental Principle**
- Focus on Cash flow for firm with project less without project.

**Post Tax Principles**
- Cash flow should be measured on "After Tax Basis".
- Important issues:
  1. What tax rate should be used to assess tax liability?
  2. How to treat losses?
  3. What is the effect of non-cash charges?

1. What tax rate should be used to assess tax liability?
- Use Marginal Rate of tax instead of Average Rate of Tax

2. How to treat losses?

| Alt | Project | Firm | Action |
|---|---|---|---|
| (a) | Loss | Loss | Defer Tax Saving |
| (b) | Loss | Profit | Take tax saving in yr of loss |
| (c) | Profit | Loss | Defer taxes until firm makes profit |
| (d) | Profit | Profit | Consider tax in yr of profit |
| Stand alone | Loss | – | Defer tax saving until project makes profit |

3. What is the effect of non-cash charges?

**Examples:**

(a) Depreciation
(b) Issue of shares/dentures for consideration other than cash
(c) Conversion of debentures into equity shares
(d) Purchase of business by issue of shares
(e) Deferred Tax Charge (or Benefit) and MAT Credit entitlement.

**Note:** Tax benefit of depreciation (Depreciation Marginal Tax Rate)

| | |
|---|---|
| | Deferred Tax Liability or Assets:<br>✦ There is a difference between taxable income (As per Income Tax Regulations) and Accounting Profit (As per GAAP)<br>✦ Difference may be permanent or temporary<br>✦ Permanent Difference (i.e. Some income is exempted but included in accounting profit)<br>✦ Temporary Difference (Timing Difference)<br>☛ Depreciation charged as per WDV for taxable income but as per SLM for accounting profit.<br>☛ Differences are found on year to year but total depreciation charges over the life of asset would be same under both the methods.<br>✦ When Deferred Tax Liability or Assets arises?<br>Because of temporary difference between taxable income and accounting profit. Deferred Tax Liability (Assets) is recognized when charge in the financial statements is less (More) than the amount allowed for the tax purpose. |
| **Consistency Principle** | ✦ Cash flow and discount rates applied to these cash flows must be in consistent with respect to investor group and inflation.<br>✦ Free Cash Flow to Firm<br>✦ Free Cash Flow to Equity<br>✦ Incorporate the expected inflation in the estimates of future cash flow and apply nominal discount rate (NDR).<br>✦ NDR = [(1 + RDR) *(1 + EIR)]-1<br>Where.<br>RDR – Real Discount Rate<br>EIR = Expected Inflation Rate |
| **Biases in Cash Flow Estimation** | Because of the nature of cash flow estimation, it deals with future and errors in estimation are bound to occur. Hence, critical importance of forecasting of cash flow is given and adequate care should be given to guard against certain biases which may lead to overstatement or understatement of profitability and don't reflect true and fair view of corporate performance. Overstatement of profitability in terms of executives faulty planning, over optimism which mainly deals with cognitive bias and organizational pressure. Whereas Understatement of profitability deals with under estimation of salvage value, ignorance of intangible benefits and sometimes value of future options will be overlooked. |

**Case:4**

Y Ltd recently reported the following income Statement Rs in Cr.

| | |
|---|---|
| Sales | 700 |
| Operating Cost | 500 |
| EBIT | 200 |
| Interest | 40 |
| EBT | 160 |
| Taxes@40% | 64 |
| EAT (Net Income) | 96 |
| Dividend | 32 |
| Retained Earnings | 64 |

This year company is forecasting 25% increase in sales and it expects that its year end operating cost will be around 70% of sales. It is expected that tax rate, interest and dividend pay-out ratio will be constant. You are required to compute projected Net Income and expected growth rate in dividend.

**Solution:**

**Statement showing Projected Profit & Loss**

| Particulars | Amount (Rs in cr.) |
|---|---|
| Sales (700 + 25%) | 875 |
| **Less:** Operating Cost (70% of 875) | 612.5 |
| EBIT | 262.5 |
| **Less:** Interest | 40 |
| EBT | 222.5 |
| **Less:** Tax @40% | 89 |
| EAT (Net Income) | 133.5 |
| Dividend (33.33% × 133.5) | 44.50 |

**Note: 1**

**Dividend Pay-out Ratio (Existing Year)** = [Dividend/Net Income] × 100

= [32/96] × 100 = 33.33%

**Note: 2 Expected Growth in Dividend**

= [(44.5 – 32)/32] × 100

= 39.06%

**Case: 5**

At the end of last year, X ltd reported the following income statement (Rs in Cr.)

| | |
|---|---|
| Sales | 3000 |
| Operating Cost excluding depreciation | 2450 |
| EBITDA | 550 |
| Depreciation | 250 |
| EBIT | 300 |
| Interest | 125 |
| EBT | 175 |
| Taxes @40% | 70 |
| EAT (Net Income) | 105 |

Looking ahead to the following year, the company management has assembled the following information.

- Year-end sales are expected to be 10% higher than last year.
- Year-end Operating Cost excluding depreciation are expected to equal 80% of year-end sales.
- Depreciation is expected to increase at the same rate as sales.
- Interest costs are expected to remain unchanged.
- Interest costs are expected to remain unchanged.
- Tax rate is expected to remain at 40%.

Based on the above information, what will be the forecast for year-end net income?

**Solution:**

**Statement showing Projected Profit & Loss (Rs in cr.)**

| | |
|---|---|
| Sales (3000 + 10%) | 3300 |
| **Less:** Operating Cost (80% of 3300) | 2640 |
| EBITDA | 660 |
| **Less:** Depreciation (250+10%) | (275) |
| EBIT | 385 |
| **Less:** Interest | (125) |
| EBT | 260 |
| **Less:** Tax @40% | (104) |
| EAT (Net Income) | 156 |

## TEST YOURSELF

1. **Tanuja Ltd** recently reported the following **Income Statement for the year 2022** (₹ in crores):

| Particulars | Amount (₹ Cr.) |
|---|---|
| Sales | 1,528 |
| Operating Cost | 933 |
| EBIT (Sales - Operating Cost) | 595 |
| Interest | 95 |
| EBT (EBIT - Interest) | 500 |
| Taxes @ 40% | 200 |
| Net Income (EAT) | 300 |
| Dividend @ 25% | 75 |
| Retained Earnings | 225 |

For the next financial year, **Tanuja Ltd** is projecting:

- **A 20% increase in sales**
- **Operating costs** to be **60% of sales**
- **Tax rate, interest,** and **dividend payout ratio** to remain **unchanged**

**You are required to compute:**

1. Projected Net Income (EAT)
2. Expected Growth Rate in Dividend

**Answer:**

**Projected Net Income = ₹ 383.06 Cr**

**Expected Growth Rate in Dividend = 27.69%**

2. What is Financial Forecasting? Explain its Importance.
3. Difference between Financial Forecasting vs Budgeting.
4. What are the Components and Factors of Financial Forecasting?
5. Methods of Financial Forecasting? Explain with an example.
6. Following is the balance sheet of XL ltd at the end of 2022 is as follows and you are required to forecast Cash flow for 2023. (Rs in cr.)

| Liabilities | Amount Rs | Assets | Amount Rs |
|---|---|---|---|
| Share Capital | 100 | Fixed Assets | 180 |
| Reserves and Surplus | 20 | Current Assets: | |
| Secured Loans | 80 | Cash | 20 |
| Unsecured Loans | 50 | Trade Receivables | 80 |
| Current liabilities | 90 | Inventories | 80 |
| Provisions | 20 | | |
| Total | 360 | Total | 360 |

The projected Profit & Loss for the year 2023 is given below:

| | |
|---|---|
| Revenue from operation | 400 |
| Cost of Goods Sold | 300 |
| Depreciation | 20 |
| Profit Before Interest and taxes | 80 |
| Interest | 20 |
| PBT | 60 |
| Tax | 30 |
| PAT | 30 |
| Dividend | 10 |
| Retained Earnings | 20 |

During the year 2023, company has forecasted to raise secured term loan of Rs. 20 crore and repay of previous term loan to the extent of Rs. 5 crore and increase unsecured loan by Rs. 10 crore. It is forecasted that current liabilities and provisions remains unchanged. While, company is planning to buy fixed assets worth Rs. 30 crore and increase the inventories and receivables by Rs. 10 crore and Rs. 15 crore respectively. Company is in the projection of paying dividend of Rs. 10 crore. Assuming other asset would remain unchanged except cash.

7. You are the **Company Secretary of Tanuja Ltd**, and you have been assigned the task of preparing **profitability projections** under **different market scenarios** based on the following **historical financial data** (₹ in crores):

| Particulars | Amount (₹ Cr.) |
|---|---|
| Revenue (Sales) | 200 |
| Variable Cost (60% of Sales) | 120 |
| Fixed Costs (Other than Depreciation) | 20 |
| Depreciation | 25 |
| Taxes | 10 |
| Cash Flow from Operations | 50 |
| Net Cash Flow | 50 |

Based on current market analysis, Tanuja Ltd is considering the following two forecast scenarios:

1. **Optimistic Scenario (Favorable Market Conditions):**
   - **Sales** are projected to **increase by approximately 37.5%.**
   - **Variable Costs** are expected to be **56% of Sales.**
   - **Fixed Costs** (excluding depreciation) are estimated at **₹15 Cr.**
2. **Pessimistic Scenario (Adverse Market Conditions):**
   - **Sales** are projected to **decrease by approximately 25%.**
   - **Variable Costs** are expected to be **65% of Sales.**
   - **Fixed Costs** (excluding depreciation) are estimated at **₹25 Cr.**

   In both scenarios, it is expected that:
   - Depreciation will remain unchanged.
   - Tax Rate will be applicable at 28.57%.

   You are required to compute **projected profitability** and assess how the company's financial performance may vary under each scenario.

8. Komal is a third-generation businesswomen in the dairy business "Bharat Ghee & Co."

The business is run under the brand "Pure Ghee". The company prepares milk-based products and is known for good quality in the market. The sales are made through self-owned stores, other retailers at locations where self-owned stores are not present and online.

The business is run by Komal's family on a strategic and operational basis. However, now the business is growing at a rapid pace. There is a need to get in professional management to run the business. "Bharat Ghee & Co." hires a new CEO - Garima, who has three decades of experience in the dairy industry. Komal will now be Executive Chairman and provide a guiding role in the business. The first task that Garima has on hand is to identify issues that are hindering business growth.

Komal asks Garima to list major concerns that the business is facing:

- Lower margins where sales are made through other retailers and online. Online platforms are charging a big commission for making sales.
- High chance of spoilage due to perishable nature of the raw material. Due to perishable nature of material - inventories are kept at a negligible level.
- Capacity increase may be necessitated in the near future for which capital will have to be raised.

Garima requests the Accounts Head - Naina for key financial metrics of "Bharat Ghee & Co". Naina provides the following details to Garima:

**Key Financials of Bharat Ghee & Co:**

| | |
|---|---|
| Credit Revenue (₹) | 80,00,00,000/- |
| Cash Revenue | 20% of total sales |
| Gross Profit ratio | 30% |
| Indirect expenses (₹) | 10,00,00,000/- |
| Tax rate | 25% |
| Interest on debt | 12% |
| Interest amount (₹) | 12,00,00,000/- |
| Debt to equity ratio | 2:1 |

Garima does some quick calculations to derive Return on Equity and Return on Capital Employed. Komal indicates willingness to contribute fresh equity in the business and payoff the loans. However, Garima is not in favour of repayment of loans.

Garima has made a business plan to change the strategy to decrease dependence from third party vendors. The new plan recommends creation of infrastructure to enable sales at locations which are serviced by channel partners. A new strategic business unit is to be created for implementation of the business plan.

The following infrastructure facilities need to be created:

| Items | (₹) |
|---|---|
| Cold chain warehousing facility | 15,00,00,000 |
| New trucks | 5,00,00,000 |
| Office premises | 3,00,00,000 |
| Furniture and computers | 1,00,00,000 |

- The aforementioned infrastructure will be set up using debt and equity in the ratio of 2: 1. The new debt will be raised at a rate of 14%.
- The average depreciation will be 30%.
- The above investment and raising of debt will be done on October 1. The organization follows an April to March financial year.
- The average receivables at the end of the financial year from the new business will be ₹10,80,00,000/-. The receivables turnover days will be 45 days. Assume 180 days to calculate receivables turnover ratio.
- The gross profit margin will be 20%.
- Indirect expenses other than depreciation will be ₹2,00,00,000/-.
- Income tax rate is 25%.

Komal asks for the projected P&L before approving the required investment amount:

(a) Calculate current Net Profit Margin, Return on Equity and Return on Capital Employed.

(b) If debt is paid off using fresh equity, what will be new Net Profit Margin and Return on Equity ? Assume debt is repaid on first day of financial year. Comment on change in return on equity.

(c) Prepare the projected Profit & Loss Account of the new business unit.

**Solution:**

**Calculation of Net Profit Margin, Return on Capital Employed and Return on Equity**

| | | **Amount in ₹** |
|---|---|---|
| Cash Sales | 20% of total sales | 20,00,00,000 |
| Credit Sales | 80% of total sales | 80,00,00,000 |
| **Total Sales** | | **1,00,00,00,000** |
| Gross Profit | 30% of total sales | 30,00,00,000 |
| **Less:** Indirect Expenses | | 10,00,00,000 |
| **Profit Before Interest and Tax (PBIT)** | | **20,00,00,000** |
| **Less:** Interest on Debt | @12% | 12,00,00,000 |
| Profit Before Tax (PBT) | | 80,00,00,000 |
| **Less:** Tax | @25% | 2,00,00,000 |
| **Profit after Tax (PAT)** | | 6,00,00,000 |
| **Debt (A)** | **Interest/Interest rate** | **1,00,00,00,000** |
| Equity (B) | | 50,00,00,000 |
| **Total Capital Employed (A + B)** | | **1,50,00,00,000** |
| **Net Profit Margin** | $\frac{\textbf{Profit after Tax}}{\textbf{Total Sales}}$ | **6%** |
| **Return on Equity** | $\frac{\textbf{Profit after Tax}}{\textbf{Total Equity}}$ | **12.00%** |
| **Return on capital employed** | $\frac{\textbf{(PBIT)}}{\textbf{Total Capital Employed}}$ | **13.33%** |

**9.** Y Ltd. recently reported the following income Statement:

| | **(₹ in Crore)** |
|---|---|
| Sales | 600 |
| Operating Cost | 470 |
| EBIT | 130 |
| Interest | 40 |
| EBT | 90 |
| Taxes @ 40% | 36 |
| EAT (Net Income) | 54 |
| Dividend | 21.6 |
| Retained Earnings | 32.4 |

This year company is forecasting 25% increase in sales and it expects that its year end operating cost will be around 70% of sales. It is expected that tax rate, interest and dividend pay-out ratio will be constant. You are required to compute projected Net Income and expected growth rate in dividend.

**Solution:**

Computation of Projected Net Income and expected growth rate in Dividend

| Particulars | Amount (Rs. in crore) |
|---|---|
| Sales (600 + 25%) | 750 |
| **Less:** Operating cost (70% of 750) | 525 |
| EBIT | 225 |
| **Less:** Interest | 40 |
| EBT | 185 |
| **Less:** Tax @40% | 74 |
| EAT (Net Income) | 111 |
| Dividend (40% × 111) | 44.40 |
| Retained Earnings | 66.60 |

**Note: 1**

Dividend Pay-out Ratio (Existing Year) = [Dividend/Net Income] × 100

$= [21.6/54] \times 100 = 40\%$

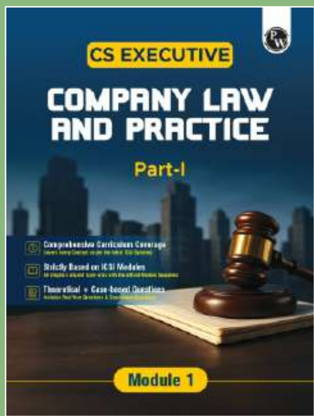
**Note: 2**

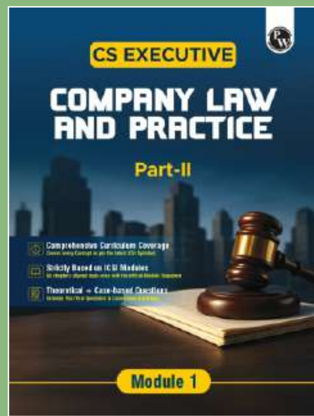
Expected Growth rate in Dividend

$= [(44.40 - 21.6)/21.6] \times 100$

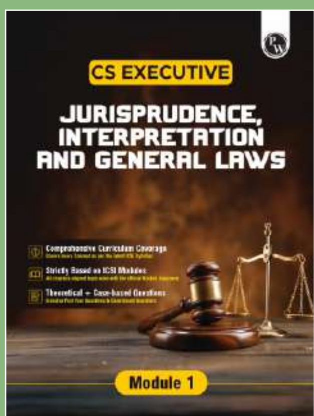
$= 105.55\%$

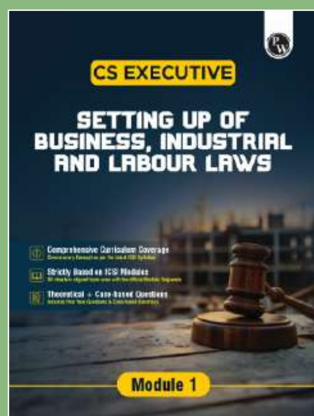
## Other Books in This Series



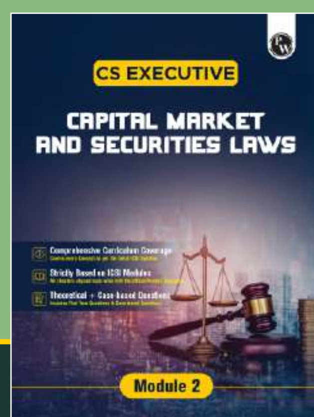











₹ 409/-

PHYSICS WALLAH PUBLICATION

To Buy PW Books
SCAN ME!

To share Feedback
SCAN ME!

ISBN 978-93-6897-456-7
9 789368 974567

2a9f66a7-9b88-44fb-a0c4-5ea548f7fe43